

Copyright Exhaustion

Second Edition

In the second edition of this timely book, copyright scholar Péter Mezei offers a comprehensive examination of copyright exhaustion, including its historical development, theoretical framework, practical application, and policy considerations. He compares the substantive norms and case law for the first-sale doctrine in the US and in the European Union, covering both analogue and digital applications in detail, and, in doing so, questions the common rejection of exhaustion in the resale of digital subject matter, such as computer programs, sound recordings, audio-visual works, and e-books. Instead, he proposes a digital first-sale doctrine that would offer legal consistency to copyright law and a technologically feasible and economically balanced framework for content producers and consumers. This book should be read by anyone interested in how copyright law continues to evolve in conjunction with the digital world.

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Copyright Exhaustion

*Law and Policy in the United States
and the European Union*

Second edition

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To the three Graces, again

Contents

Acknowledgments *page ix*

Introduction 1

1	The Theory of Copyright Exhaustion	7
1.1	Balance in Copyright Law	7
1.2	The Conceptual Elements of Copyright Exhaustion	9
1.3	Policy Considerations of Copyright Exhaustion	13
1.4	The Taxonomy of Copyright Exhaustion	16
1.5	The Doctrine of Exhaustion under International Copyright Law	21
1.5.1	TRIPS Agreement (1994)	22
1.5.2	The WIPO Internet Treaties (1996)	25
1.5.3	The Marrakesh VIP Treaty (2013)	28
1.6	National, Regional, and International Exhaustion	31
2	The Doctrine of Exhaustion in the Copyright Law of the EU	35
2.1	The Origins of the Doctrine of Exhaustion in the Founding Member States	37
2.2	The First Phase of ECJ Case Law in the 1970s and 1980s	42
2.3	The Green Paper 1988	49
2.4	Vertical Harmonization (1991–1996) and Special Rules on Exhaustion	51
2.5	Horizontal Harmonization (2001) and General Rules on Exhaustion	56
2.6	The Limitations of the Doctrine of Exhaustion	61
2.6.1	Limited Parallel Importation: The Doctrine of Regional Exhaustion	62
2.6.2	The <i>Droit de Suite</i>	66
3	The First-Sale Doctrine in the Copyright Law of the US	71
3.1	The Origins of the First-Sale Doctrine	71
3.2	The Development of the First-Sale Doctrine until 1976	75
3.3	The Challenges of the First-Sale Doctrine after 1976 and the Amendments of the USCA	77
3.3.1	Record Rental Amendment Act	79
3.3.2	Computer Software Rental Amendment Act	81
3.3.3	Video Rentals and the Lack of Amendments	82
3.4	The Limitations of the First-Sale Doctrine	83
3.4.1	Prohibition of Parallel Importation versus First-Sale Doctrine	83
3.4.2	Sporadic <i>Droit de Suite</i>	100

vii

4	Digital Exhaustion in the EU and the US	106
4.1	Case Law on Digital Exhaustion	107
4.1.1	Resale of Computer Programs	107
4.1.2	The Digital Resale of Sound Recordings: The <i>ReDigi</i> Case	121
4.1.3	Resale of Audiobooks and E-Books	128
4.1.4	Resale of Audiovisual Works	141
4.2	A Critical Analysis of the Case Law on Digital Exhaustion	144
4.2.1	License versus Sale	145
4.2.2	Distribution versus Making Available to the Public	149
4.2.3	The New Copy Theory versus Migration of Files and Forward-and-Delete Technologies	154
4.2.4	Different Subject Matters, <i>Lex Specialis</i> , and the Theory of Functional Equivalence	160
4.2.5	Digital Exhaustion and Territoriality	166
4.3	En Route to Digital Exhaustion?	167
4.3.1	Isn't It Only Hype?	167
4.3.2	Traditional Positivism: A Dead End?	172
4.3.3	Constructive Realism: The Economic, Social, and Technological Effects of the Digital Exhaustion Doctrine	177
	Conclusion	199
	<i>Bibliography</i>	205
	<i>Index</i>	254

Acknowledgments

After spending seven years doing research on P2P file sharing, and completing my book on the topic, I was ready to turn to new topics of copyright law. During the fall of 2013, I bumped into, coincidentally, one of my then-students, Juan Pinoargote, at the local market in Turku, Finland. He was eager to know my opinion on the then fresh *ReDigi* ruling. I was familiar with the *UsedSoft* case, but *ReDigi* was new to me. Consequently, Juan deserves the first handshake, as he drew my attention to the idea of digital exhaustion.

Since 2013, I have worked systematically on the first and now the second edition of this book. I presented my work on over a dozen conferences since 2013, including “SCIPLAW” in Vienna, “CICL” in Leeds, and “CopyCamp” in Warsaw in 2014; “Online Content Distribution Conference” in Helsinki in 2017; the Oxford Intellectual Property Speakers Series in Oxford and the “Law and Society Conference” in Toronto in 2018; the “Owning Expression and Propertizing Speech Conference” in Luxembourg in 2019; and the “IP MOSAIC 2020” virtual conference. I appreciate the kind invitations of Daniel Steinbock to Toledo, Ohio, USA; Tuomas and Ulla-Maija Mylly to Turku, Finland; Katja Weckström to Joensuu, Finland; Horst-Peter Götting, Anne Lauber-Rönsberg, and Jana Lutter to Dresden, Germany; Edouard Treppoz to Lyon, France; Louis-Daniel Muka Tshibende to Lyon, France; Laurent Manderieux and Gabriele Gagliani to Milan, Italy; Christophe Geiger to Strasbourg, France; Rainer Oesch to Helsinki, Finland; and Estelle Derclaye and Bernd Justin Jütte to Nottingham, UK, where I have delivered university lectures on exhaustion since 2013. During, after, and independently of these programs, and beyond the persons indicated above, I had the privilege of discussing the details of my research with Daniel Acquah, Christiaan Alberdingk Thijm, Simon Apel, Clemens Appl, Lionel Bently, Enrico Bonadio, Maurizio Borghi, Oleksandr Bulayenko, Corinna Coors, John Cross, Gábor Faludi, Emanuele Fava, Lauraleen Ford, Giancarlo Frosio, Brian

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¹ Jütte (2018a) 838–839; Acquah (2019) 673–678; Harkai (2019) 577–579.

Introduction

On September 8, 2020, Omega Auctions, a top auction house for music memorabilia and vinyl records, offered for sale a rare CD copy of Ed Sheeran's first ever, unreleased album, *Spinning Man*. While the CD's opening price was £10,000, it ultimately sold for £61,500 including the buyer's premium. Mr. Sheeran had given away said copy to a relative's friend when he stayed and slept at his relative's house during his busking days. Over a decade later, the brother of that friend found the demo in a drawer and subsequently sold it at the auction. In his 2014 book, Mr. Sheeran wrote that he had produced twenty copies of the album himself and created the cover art, too. Nevertheless, he was unwilling to allow "anyone else to get hold of a copy," and he therefore kept the remaining nineteen CDs.¹

While such news might be of pressing interest to auctioneers (is there anything similar out there yet?), music fans (are those songs great?), or Ed Sheeran himself (I don't want to hear my old love songs on YouTube), the story has its own exciting copyright dimensions, especially from the perspective of the doctrine of exhaustion. Mr. Sheeran lawfully transferred the ownership (through gift) of a lawfully created copy of a copyright-protected subject matter to another person, who then offered that copy for sale (through an auction house). Such constellation is what exhaustion is designed to deal with. Nonetheless, some open questions remained. What will the new owner do with the copy? Admittedly, exhaustion does not allow for the use of the copy for purposes other than a further resale. Moreover, the current owner of the copy could face serious copyright consequences, if any of the fourteen tracks of *Spinning Man* would find its way to streaming portals, or the CDs were to be multiplied without Mr. Sheeran's prior written permission.

This book is about similar stories – although probably less compelling than the case of *Spinning Man*.

¹ Nugent (2020).

The doctrine of exhaustion, more commonly referred to within the US as the “first-sale” doctrine,² is one of the most fundamental principles of copyright law. Under this doctrine, the rightholder must accept that copies, or the originals of copyrighted works, and other subject matter lawfully placed into circulation by or with the authorization of the rightholder, through sale or in any other form of transfer of ownership, are subsequently distributed by the lawful owner of those copies or originals, if the rightholder received proper remuneration for the initial distribution.³

Anglo-Saxon academia and case law have often stressed that this doctrine stems from the common law’s refusal to permit restraints on the alienation of chattels,⁴ but the earliest clear and direct reference to the *Erschöpfungslehre* in copyright law is found in Joseph Kohler’s monograph published in 1880.⁵

Regardless of the precise origins of the doctrine, both the US Supreme Court and the Supreme Court of the German Reich confirmed the validity of this concept, at similar times and in cases with comparable fact patterns.⁶ The *Königs Kursbuch*⁷ and the *Bobbs-Merrill*⁸ cases both concerned the resale of books, which were originally put into circulation

² Exhaustion and first sale are referred to interchangeably: “[w]hereas exhaustion, although the word is all too frequently substituted for the phrase ‘first sale’ [...]” See Frankel (2016) 216. See further Chiappetta (2016) 125. Elsewhere Susy Frankel and Daniel Gervais argue differently: “[t]he first sale principle is distinct from the exhaustion principle.” See Frankel and Gervais (2016) 88.

³ Compare to Goldstein and Hugenholtz (2010) 305.

⁴ Lord Coke explained common law’s refusal to permit restraints on the alienation of chattels in 1628 as follows: “[I]f a man be possessed of ... a horse, or of any other chattell ... and give or sell his whole interest ... therein upon condition that the Donee or Vendee shall not alien[ate] the same, the [condition] is void, because his whole interest ... is out of him, so as he hath no possibilit[y] of a Reverter, and it is against Trade and Traff[c], and bargaining and contracting betwee[n] man and man: and it is within the reason of our Author that it should ouster him of all power given to him.” Quoted by *Supap Kirtsaeng v. John Wiley & Sons, Inc.*, 133 S.Ct. 1351 (2013) 1363. See further Liu (2001) 1291–1292; Perzanowski and Schultz (2011) 929, note 224; Katz et al. (2016) 8–24; Graham and McJohn (2020) 505.

⁵ Kohler (1880) 139. See infra II.1.1. Graham Dutfield and Uma Suthersanen have argued that it might have been Lord Hardwicke’s distinction between *corpus mysticum* and *corpus mechanicum* in the *Pope v. Curll* ruling that represents the roots for a “later refined” first-sale or exhaustion doctrine. While this opinion is truly interesting, I seriously doubt that we can deduct exhaustion from Lord Hardwicke’s opinion. Compare to Dutfield and Suthersanen (2020) 72–74.

⁶ The foundations of the doctrine were first set by court decisions in the United States, commencing from the mid-1880s. See *Clemens v. Estes*, 22 Fed. Rep. 899 (1885). See infra III.1.

⁷ RG 10.06.1906 (Rep. I. 5/06). See infra II.1.1.

⁸ *Bobbs-Merrill Company v. Isidor Straus and Nathan Straus*, 210 US 339 (1908). See infra III.1.

by their respective publishers at a fixed price, yet subsequently, in some instances, were resold at a lower price. Both rulings were based on the premise that if the rightholder had received fair remuneration for the first sale then they had no right to control further resales of the given copies. This argument is known as *Belohnungstheorie* in the German legal system and as the “reward theory” in Anglo-Saxon jurisprudence. These two revolutionary decisions serve as apt examples for the underlying theory (*functionalism*) developed by Konrad Zweigert and Hein Kötz. They submitted that “one can almost speak of a basic rule of comparative law: different legal systems give the same or very similar solutions, even as to detail, to the same problems of life.”⁹ Indeed, similar questions like what is a first sale; who are lawful acquirers; the goods versus services and the license versus sale dichotomy; the transformation of lawfully acquired copies; or the applicability of the doctrine in the digital realm had to be answered in both jurisdictions.

Following the US Supreme Court’s decision in the 1908 *Bobbs-Merrill* case, the US Congress codified the first-sale doctrine in the newly enacted Copyright Act 1909. Since then, the first-sale doctrine has actively contributed to the development of US copyright law. By way of comparison, although the legal system of the EU¹⁰ is much younger than that of the US, the doctrine of exhaustion has gained similar prominence there. Intellectual property was not originally listed among the competences of the EEC in the Treaty of Rome 1957. However, the regional protection of copyright law has subsequently been developed through the European Court of Justice (ECJ) case law. Indeed, several rulings, particularly on the free movement of goods and services, have played a pivotal role in the evolution of copyright law within the EU.¹¹

The determination of the exact content of this doctrine may vary, in light of countries’ divergent socio-economic backgrounds and their differing policy considerations. Broadly speaking, the treatment of the doctrine is analogous across jurisdictions. The fundamental objective is to establish a balance between the exclusive rights of the rightholder on the one hand, and on the other hand the ownership interests of those

⁹ Zweigert and Kötz (1996) 39.

¹⁰ Except where expressed reference is made to the European Economic Community (EEC), the book uses the abbreviation “EU” to cover both the EEC and the European Union.

¹¹ The earliest preliminary ruling of the ECJ in this matter was *Deutsche Grammophon Gesellschaft mbH v. Metro-SB-Großmärkte GmbH & Co. KG*, Case 78/70, ECLI:EU:C:1971:59. See *infra* II.1.2.

persons who acquire physical control over a copy of a protected subject matter. Indeed, as Sam Ricketson and Jane Ginsburg noted:

[t]o extend the author's rights so as to encompass the ways in which these objects [the objects in which the work is embodied or reproduced] are distributed and subsequently dealt with brings these intangible rights into direct conflict with the rights of property that the owner of a copy enjoys once he has purchased it.¹²

While it is true that establishing a balance between proprietary and copyright interests is central, the doctrine of exhaustion also represents a staunch economic battlefield between international stakeholders. Countries and regional organizations, as well as intellectual property owners and end users/consumers, have considerably different commercial interests. As Shubha Ghosh noted,

[i]ntellectual property owners tend to be large companies with political and economic clout while users are dispersed and generally have weaker economic and political power. Consequently, the political pressure in both the legislature and courts is to place limits on the exhaustion principle.¹³

Allowing third parties to trade goods freely between countries might limit the extent to which rightholders can exercise their economic rights. Such practices might also have direct or indirect consequences on the budget of the affected countries. In order to mitigate this impact, several governments have limited the doctrine of exhaustion to function solely within their borders and prohibited the importation of copies of protected subject matter, without the express authorization of the rightholder.

Looking at more historic examples, England limited the importation of books published abroad as early as 1534.¹⁴ Likewise, one of the first economic decisions of the evolving the US was the foundation of an "Association" by the First Continental Congress to boycott the importation and consumption of British and Irish goods.¹⁵ Unsurprisingly, such protectionist behavior was present in many countries over the centuries – both related and unrelated to the modern exhaustion doctrine.

However, this logic is not followed by all nations, with a small number choosing to accept the doctrine of international exhaustion.

¹² Ricketson and Ginsburg (2006) 660. See further Stern (1989) 119.

¹³ Ghosh (2013) 3.

¹⁴ "[...] [T]he decisive act of 1534 [...] finally revoked the privileges granted to the foreign printers fifty years before, and forbade the import of all bound books upon pain of 6s. 8d per volume." See Loades (1964) 49.

¹⁵ Compare to McCusker and Menard (1991) 358–377. The non-importation ban had a long-lasting effect, keeping the "manufacturing clause" alive in US copyright law as late as the twentieth century. See Chapter 3, note 74.

These countries generally consider free trade paramount (e.g., the Netherlands) or they have limited access to copies of works due to their geographical location (e.g., New Zealand). A particularly noteworthy example is the US Supreme Court's recent decision in *Kirtsaeng*, which departs from the US's traditional understanding of the first-sale doctrine and opened the doors to international exhaustion.

For an intermediary interpretation of the doctrine, one must look no further than the EU. This economic organization was originally set up to allow six (and later, many more) countries to trade with each other in a single, uniform market. Thus, barriers to cross-border exchange of goods and services might inevitably run against the basic concept of the EU.

In light of the above contextual overview, attention must now turn to briefly outlining the aims and ambitions of this book. The aim is to provide a concise and comparative discussion of the development, content, policy considerations, regulation, and case law of the doctrine of exhaustion under the law of the US, the EU, and, where necessary, several specific Member States of the EU. Chapter 1 summarizes the theoretical framework, policy considerations, and international background of the principle in copyright law. Chapters 2 and 3 introduce the historical development of exhaustion within both the EU and the US. These chapters will also consider built-in limitations of the system, namely, the ban on parallel importation, as well as the resale right (*droit de suite*).

Chapter 4 considers the present issues and future challenges facing the doctrine of exhaustion. The most important copyright challenges of the twenty-first century are generally bound to the application of the existing legal principles to the digital environment. The main challenge for a doctrine of digital exhaustion is whether retailers and end users can resell digital data files "sold" via online platforms lawfully. The question is not only timely but also extremely challenging to answer. A physical, tangible copy possesses significantly different characteristics when compared to an intangible copy. At the same time, social needs have changed drastically in the last decades. This makes the reconsideration of the applicability of the exhaustion doctrine for digital goods necessary. Moreover, the latest tendencies in the field might require a reconsideration of contract law, too. Digital files are most often acquired under licenses, rather than through sales. Nevertheless, it is timely to consider whether the contracts for the transfer of digital files should effectively be treated as licenses rather than sales.¹⁶

¹⁶ Hauck et al. (2016) 147.

Commentators often focus on the three most famous cases, *UsedSoft*,¹⁷ *ReDigi*,¹⁸ and *Tom Kabinet*.¹⁹ However, this book will move beyond this rather simplistic analysis and demonstrate how the judicial practice in both the EU and the US is far more complex than one might initially assume. It will also address how rightholders try to circumvent the constructive (some might say, liberal) interpretation of the ECJ in *UsedSoft* – namely, whether the use of more restrictive license contracts, the spread of service-type uses, and the virtualization of services offered by rightholders can make any discourse on a digital exhaustion doctrine futile.

This book aims to focus on the statutes and case law of the US and the EU as well as the EU's Member States. It will introduce the normative background of the doctrine of exhaustion and provide thorough insight into the case law ("law in action") on this subject. Mark van Hoecke is correct in saying that "we need a 'toolbox,' not a fixed methodological road map"²⁰ for any comparative legal research. This book is not an exception: various comparative legal methods will be applied throughout the book. From the six methods that van Hoecke listed in his seminal paper, this book aims to rely on (Zweigert and Kötz's) "functionalism,"²¹ the "law-in-context method,"²² and, consequently, on a special combination of these methods, the "common core method".²³ To a certain degree, when online retailers' end-user-license-agreements will be analyzed, a quantitative and qualitative empirical (data analysis) research method will also be applied.²⁴

¹⁷ *UsedSoft GmbH v. Oracle International Corp.*, Case C-128/11, ECLI:EU:C:2012:407.

¹⁸ *Capitol Records, LLC, v. ReDigi Inc.*, 934 F.Supp.2d 640 (2013) and *Capitol Records, LLC, v. ReDigi Inc.*, 910 F.3d 649 (2018).

¹⁹ *Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet Internet BV and Others*, Case C-263/18, EU:C:2019:1111.

²⁰ Van Hoecke (2015) 1.

²¹ According to van Hoecke, this method practically means that "rules and concepts may be different, but that most legal systems will eventually solve legal problems in a similar way." This method allows for the looking for functional equivalents and differences in various legal systems. Compare to *ibid.*, 9.

²² This method focuses on the political-technological-economic environment, which formed the body of the law; it necessitates the empirical observation of case law and more. Compare to *ibid.*, 16–18.

²³ This method "looks for commonalities and differences between legal systems in view of the question to what extent harmonization on certain points would be possible among the compared legal systems or the question how a European rule [...] could be interpreted in such a way that it fits best the different national traditions." Compare to *ibid.*, 21.

²⁴ Other than the sources mentioned earlier, the book further builds its comparative methodology on the works of Oderkerk (2001); Glenn (2006); Husa (2006); and Wolff (2019).

1 The Theory of Copyright Exhaustion

1.1 Balance in Copyright Law

Law is a fiction.¹ Copyright law is an excellent example of legal fictions. All its norms, definitions, doctrines – e.g., creativity, originality, person-ality, economic and moral rights, limitations, and exceptions, to name a few – are created and regularly re-created by human minds to serve metaphorical purposes.² At the same time, copyright law is not a limitless fiction. It has its historical roots, development, subjects, objects, pur-poses, and limits. The ultimate question of copyright law, then, is noth-ing else than *why, to whom, and to what extent do laws assign copyright protection?*³

Copyright law is closely related to the values and norms of natural law, yet the exclusive rights of the authors, and their limitations and excep-tions, have always been set by the artificial rules recognized and granted by the legislature. The goal of the first Copyright Act, the English Statute of Anne adopted in 1709, was to place the protective emphasis on the authors, by abolishing the printing monopoly and the censorship prac-tices of the Stationer's Company.⁴

Since 1709, copyright law has gradually been extended to include new subject matter and new beneficiaries. This widening reflects a change in societal needs and is, undoubtedly, a response to increasingly innovative technology. Copyright law is also designed to protect cultural interests and to promote a steady supply of cultural products in the public interest. In order to achieve this delicate balance between rightholders and

¹ On legal fictions see Fuller (1967); Del Mar and Twining (2015). On legal fictions and copyright law see especially Ng Boyte (2014) 707–762.

² On metaphors and law see especially Larsson (2017); Gill (2018).

³ This book aims to use copyright law as a term to describe authors' rights, related rights, and *sui generis* protection. Wherever necessary, these terms/categories will be clearly separated.

⁴ Matthews (1890) 589–590. The Stationers' Company did not have a full monopoly. Separate printing patents were issued to individuals to publish specific works. See Atkinson and Fitzgerald (2014) 21; Gadd (2016) 88; Yu (2016) 67.

society, and to prevent a return to absolute monopolies, exclusive rights are subject to limitations. The extent and form of these limitations have varied over time and between jurisdictions. The difficulty is in deciding the boundaries of copyright protection, in a manner that maintains the economic and moral incentives to authors, while at the same time ensuring society is not deprived of the appropriate access to culturally important goods and knowledge.

This pursuit of balance is well illustrated by the intellectual property clause (IP clause) included in the US Constitution, which states that “Congress shall have Power To [...] promote the Progress of Science and useful Arts, by securing for limited Times to Authors and Inventors the exclusive Right to their respective Writings and Discoveries.”⁵ Commentators have confirmed that the main purpose of the US federal copyright law is not only to reward authors but also to encourage cultural advancements by incentivizing authors to create.⁶ Judicial practice of the IP clause provides stark evidence that the boundary line for where this balancing act takes place is constantly changing.⁷

This balance can be guaranteed by limitations and exceptions to economic rights,⁸ including but not limited to the term of protection,⁹ the geographical limits,¹⁰ statutory and mandatory licenses, collective rights management, free uses (including fair use and fair dealing), the merger doctrine, and the idea/expression dichotomy. Alternatively, a technology-neutral application of the copyright norms can help in achieving this balance.¹¹

⁵ US Constitution, Art. I, section 8, clause 8.

⁶ Donohue (1986) 192–193. The US Supreme Court has noted in *Mazer v. Stein* that “the economic philosophy behind the clause empowering Congress to grant patents and copyrights is the conviction that encouragement of individual effort by personal gain is the best way to advance public welfare through the talents of authors and inventors in ‘Science and Useful Arts.’” See *Mazer, et al. v. Stein, et al.*, 347 US 201 (1954) 219.

⁷ Regarding the development of the IP clause, see Joyce and Patterson (2003) 909–952; Oliar (2006) 1771–1845; Patterson et al. (2009) 241–242; Breagelmann (2009) 104–105; Hess (2013) 1970–1971, 1982–1984; O’Connor (2015) 733–830; Bracha (2016) 342–345.

⁸ See Geiger (2004) 818–819 for the differences between limitations and exceptions.

⁹ Both in the US and the EU, the copyright term has been greatly expanded in recent decades. See the Sonny Bono Copyright Term Extension Act, Pub. L. No. 105–298, 112 Stat. 2827 and the Copyright Term Directive. The EU and the US also include a longer term of protection in the free trade agreements concluded with developing nations. See Woods (2009) 362.

¹⁰ Territorial copyright laws tend to limit the proper functioning of cross-border services. The overruling of the concept of territoriality is thus one of the most interesting topics of copyright law in the European Union. See SEC (2012) 680, 4.

¹¹ On the importance of a technology-neutral copyright system, see in general Hofmann (2016) 482–512.

Another doctrine that attempts to balance competing interests is exhaustion. It sets limitations for the author's exclusive right of distribution, along the ownership interests of lawful acquirers of copies of protected subject matter.¹² According to Friedrich-Karl Beier, "the principle of exhaustion is nothing more than a figurative expression for the simple legal idea that once genuine goods have been marketed, subsequent distribution should not be impeded by [IPR] actions."¹³

This doctrine, which came into existence in the analog world at the turn of the twentieth century, faces challenges with the advent of digital technology and more specifically the exponential development of the Internet.¹⁴ The increasing prevalence of online stores that resell used music, e-books, or software poses serious questions, such as whether the doctrine of exhaustion can be applied to digital content. The need to establish balance in the digital domain requires clarification on the differences between license and sale, the transformation of economic rights (communication to the public versus distribution), or even a redefined concept of property.¹⁵

1.2 The Conceptual Elements of Copyright Exhaustion

Exhaustion was harmonized on a general level by the InfoSoc Directive of the EU and is formulated in the following terms:

[t]he distribution right shall not be exhausted within the Community in respect of the original or copies of the work, except where the first sale or other transfer of ownership in the Community of that object is made by the rightholder or with his consent.¹⁶

Similarly, the US Copyright Act 1976 (USCA) defines the first-sale doctrine as follows:

[n]otwithstanding the provisions of section 106(3), the owner of a particular copy or phonorecord lawfully made under this title, or any person authorized by such owner, is entitled, without the authority of the copyright owner, to sell or otherwise dispose of the possession of that copy or phonorecord.¹⁷

In light of these norms, the following four elements might be recognized as the conceptual basis for the doctrine of exhaustion:

- 1 the rightholder or another authorized person
- 2 lawfully distributes and thus transfers the ownership over

¹² De la Durantaye and Kuschel (2016) 209. ¹³ Quoted by Schovsbo (2010) 171.

¹⁴ Peifer (2006) 2–3.

¹⁵ A great example is the Canadian court decision that declared the .ca domain as subject to personal property. See Carrington (2014) 81.

¹⁶ InfoSoc Directive, Art. 4(2). ¹⁷ USCA §109(a).

- 3 the original or a copy of a protected subject matter and
- 4 the lawful owner may resell the copy without the rightholder's permission.¹⁸

The first conceptual element is commonly known as the doctrine of consent.¹⁹ It clearly indicates that the first distribution needs to be initiated by, or with the consent of, the original or any successive right-holder (e.g., wholesalers, retailers, distributors, agents).²⁰ It is part of this conceptual element that rightholders must have the opportunity to demand appropriate remuneration for the transfer of ownership over the copy of the protected subject matter.²¹

The second doctrinal element sets forth that the ownership interests over the given object shall be lawfully transferred. The distribution should take place in accordance with the provisions of the copyright law. Therefore, exhaustion should not apply to counterfeit or pirated products or to copies distributed illegally, e.g., copies acquired through theft.²² The same applies to copies produced or distributed in violation of a license, e.g., contrary to the provisions on quantity or time limitations, as well as to copies manufactured by the publisher but not distributed with transfer of title (i.e., copies that remain in stock).²³ Furthermore, exhaustion applies only to copies made available to the public with the transfer of ownership,²⁴ or, as Raymond Nimmer stated, via the “first authorized disposition by which title passes.”²⁵ Thus, rental lending or leasing, along with any other service-like forms of dissemination²⁶ (public performance, communication to the public, broadcasting, and simultaneous retransmission),²⁷ won't effectuate exhaustion. Similarly, offering a copy for trial purchase,²⁸ transferring a copy to another person with reservation of title of ownership,²⁹ or simply placing counterfeit products of copyrighted furniture into the window of a shop³⁰

¹⁸ Nimmer and Nimmer (2013) §8.12[B][1][a]. ¹⁹ Tritton (2002) 470–471.

²⁰ Dreier and Schulze (2013) §17 Rn. 31.

²¹ Schack (2005) 181; Dreier and Schulze (2013) §17 Rn. 25.

²² *United States v. Belmont et al.*, 715 F.2d 459 (1983), cert. denied, 465 US 1022 (1984); *Paul Edmond Dowling v. United States*, 473 US 207 (1985); *Microsoft Corp. v. Software Wholesale Club, Inc.*, 129 F.Supp.2d 995 (2000).

²³ Loewenheim (2010) §20 Rn. 38. ²⁴ *Ibid.*, Rn. 36; Karmel (2012) 361–368.

²⁵ Nimmer and Nimmer (2013) §8.12[B][1][a].

²⁶ See expressly in Recital (2) of the InfoSoc Directive.

²⁷ Compare to the *Coditel I* and *Coditel II* rulings of the ECJ.

²⁸ BGH 7.6.2001 (I ZR 21/99) 1036–1038; OLG Frankfurt am Main 22.12.2016 (11 U 108/13) 512–517.

²⁹ Loewenheim (2010) §20 Rn. 36; Dreier and Schulze (2013) §17 Rn. 25.

³⁰ *Peek & Cloppenburg KG v. Cassina SpA*, Case C-456/06, ECLI:EU:C:2008:232, paras. 35–36.

would not fall within the scope of distribution. In contrast, a gift³¹ or trade is deemed to be a distribution and accordingly exhaustion also applies to the copies affected. In sum, on the one hand, the rightholder has the privilege to set the initial purchase price of the given copy, and hence set the “reward” it deems fair consideration for the transfer. On the other hand, the rightholder might decide to transfer the ownership of the copy free of charge. In the latter situation, let’s recall the Ed Sheeran example presented in the Introduction; it cannot object to a later resale of the copy by the lawful acquirer against consideration. Finally, copies made under or in compliance with some limitations and exceptions, e.g., under mechanical/compulsory licenses or remuneration library uses,³² might also serve as a ground for redistribution.

It is also relevant whether the author may contractually limit the conditions of distribution. It is generally accepted that the rightholder should have the right to contractually limit the conditions (e.g., the retail price, the time frame, the geographical scope, or the channels) of the initial distribution.³³ The rightholder, however, is not entitled to contractually exclude future distributions. The only exception to this rule is related to the geographical scope of exhaustion. The EU implements a policy of regional exhaustion, whereas certain countries apply exhaustion with a scope limited to their own national territory. In both systems, copies originally put into circulation outside of the borders of the given country, or of any member of the European Economic Area (EEA), may also be contractually banned from being imported into the territory of the given country or the whole EEA.³⁴ In countries where international

³¹ *Walt Disney Productions v. John Basmajian and Christie, Manson & Woods International, Inc.*, 600 F.Supp. 439 (1984); *UMG Recordings, Inc. v. Troy Augusto*, 558 F.Supp.2d 1055 (2008); *Stern v. Lavender*, 319 F.Supp.3d 650 (2018). See further Kernochan (1989) 1410.

³² Kernochan (1989) 1415–1416; Trimble (2016) 467–470.

³³ Loewenheim (2010) §20 Rn. 39; Walter and von Lewinski (2010) 135, para. 5.4.34, and 999–1000, paras. 11.4.22–11.4.24; Hovenkamp (2011) 497–498; Dreier and Schulze (2013) §17 Rn. 32, 38–40; Katz (2014) 62. The US Congress accepted the same argument when passing the USCA: “[t]his does not mean that conditions on future disposition of copies or phonorecords, imposed by a contract between their buyer and seller, would be unenforceable between the parties as a breach of contract, but it does mean that they could not be enforced by an action for infringement of copyright.” See H.R. Rep. (1976) 79. Compare to Patry (1994) 846. Dutch and Swiss academia take the opposite view and refuse such contractual freedom of the rightholder. Compare to Rigamonti (2009) 16; Guibault and van’t Klooster (2012) 705; Verkade (2012) 302–303.

³⁴ Schack (2005) 182; Loewenheim (2010) §20 Rn. 39; Dreier and Schulze (2013) §17 Rn. 35–37. Vice versa: under regional exhaustion, copies put into circulation within the EEA have “extraterritorial” effects – that is, such copies effectuate the application of the

exhaustion applies, contractual stipulations that limit importation to the territory of the given country are void.

The third element of the doctrine stipulates that the originally acquired object must always be the subject of resale. A lawful purchaser may “reinterpret” the copy so long as it does not run against the adaptation right. A German judgment found the reuse of postcards on packaging of chocolate boxes to be covered by exhaustion.³⁵ Similar decisions are found in Dutch³⁶ and US³⁷ case law. In contrast, the European Court of Justice (ECJ) has noted that exhaustion does not apply to transformation-like uses where the source work is reproduced or transferred to another tangible medium (e.g., from a paper poster to canvas).³⁸

The fourth conceptual element requires that the initial and any subsequent lawful acquirer can transfer the ownership interest over the object to any other person. Service-type uses are specifically excluded. This element also guarantees that lawful owners cannot rely on exhaustion if their ownership interest over the copy is not terminated by the resale, e.g., if the work is multiplied before being resold. Some countries, e.g., the US³⁹ or various Member States of the EU,⁴⁰ allow for the exhaustion of public display right as well.

All things considered, the rightholder must accept that copies, or the originals of copyrighted works and other subject matter lawfully placed into circulation by or with the authorization of the rightholder, through sale or in any other form of transfer of ownership, are subsequently

exhaustion in other EEA members as well. This was confirmed by the German Federal Supreme Court as well. See BGH 16.06.1994 (I ZR 24/92) 799.

³⁵ KG 26.1.2001 (5 U 4102/99) 125–126. Compare to Loewenheim (2010) §20 Rn. 40; Dreier and Schulze (2013) §17 Rn. 28.

³⁶ The *Poortvliet* case is introduced below. Compare to Chapter 2, note 43 and the accompanying text.

³⁷ *Scarves by Vera Inc. v. American Handbags Inc.*, 188 F.Supp. 255 (1960); *Elisa Allison, et al., v. Vintage Sports Plaques, et al.*, 136 F.3d 1443 (1998) 1447–1449. On the latter decision, see Choderker (1998–1999) 431–443. To the contrary: if the original authorization to sell the products containing the likeness of public figures was missing, the resale of those copies will similarly be tortious (under states laws). See *Herbert S. Zim v. Western Publishing Company*, 573 F.2d 1318 (1978); *Christie Brinkley v. John Casablancas, et al.*, 438 N.Y.S.2d 1004 (1981); *Genesis Publications, Inc., et al., v. Anne C. Goss*, 437 So.2d 169 (1983), *cert. denied*, 449 So.2d 264 (1984).

³⁸ *Art & Allposters International BV v. Stichting Pictoright*, Case C-419/13, ECLI:EU: C:2015:27.

³⁹ USCA §109(c).

⁴⁰ E.g., Finnish Copyright Act (Act 404/1961) section 20; Hungarian Copyright Act (Act LXXXVI of 1999) Art. 69(2). These Acts do not *expressis verbis* mention the term “exhaustion”; however, they regulate the free display of lawfully acquired copies of works by their lawful owners.

distributed by the lawful owner of those copies or originals. For that purpose, the rightholder shall set the reward that it deems fair for the initial distribution transfers. (Alternatively, the rightholder is allowed to transfer the ownership interest over the copy free of charge.)

1.3 Policy Considerations of Copyright Exhaustion

The doctrine of exhaustion seeks to secure a balance between the divergent interests of society and is based on three primary policy objectives: the superiority of property rights over copyrights, the reward theory, and the restraint of rightholders over market control.⁴¹

Following several centuries of dispute, it is now accepted that property rights of lawful acquirers take precedence over copyrights, if it comes to the tangible copies of protected subject matter.⁴² The US House of Representatives stated, after the enactment of the USCA, that “the copyright owner’s exclusive right of public distribution would have no effect upon anyone who owns ‘a particular copy or phonorecord lawfully made under this title’ and who wishes to transfer it to someone else or to destroy it.”⁴³

The superiority of property rights gained further reinforcement with the reward theory. According to the reward theory, the rightholder is able to freely set the initial purchase price of copies of their work, as fair reward for the transfer of ownership, although the rightholder is not entitled to any further reward related to subsequent acts of distribution.⁴⁴ The reward theory has recently been extended by the ECJ to include the digital domain. In *UsedSoft*, the court noted that exhaustion might apply “if the first sale of the copy of work concerned enabled the above stated rightholder to acquire a just reward.”⁴⁵

Both of the aforementioned policy considerations closely relate to the third, namely, that the rightholder does not have and, in the sense of competition law, should not have the ability to exercise full control over the secondary market.⁴⁶ Exhaustion ensures that rightholders cannot

⁴¹ See Puig (2013) 162–170 regarding these three policy considerations and their erosion.

⁴² *Paul Edmond Dowling v. United States*, 473 US 207 (1985) 216–217; Schricker (2006) 33–43; Loughlan (2007) 402; Reh binder (2008) 2; Wenzel and Burkhardt (2009) 22–23; Fagundes (2010) 652–705.

⁴³ H.R. Rep. (1976) 79.

⁴⁴ The UrhG that codified exhaustion for the first time in Germany designated the reward theory as the leading policy consideration of the principle. Compare to Walter and von Lewinski (2010) 135, note 226. On the *Belohnungstheorie*, see further Reimer (1972) 225–226; Röttinger (1993) 94; Puig (2013) 162.

⁴⁵ *UsedSoft v. Oracle* (2012) para. 63.

⁴⁶ Schack (2005) 180; Targosz (2010) 343; Karapapa (2020) 488–489.

control all forms of distribution and thus precludes the emergence of absolute monopolies. This anticompetition policy argument can be traced effectively in the EU, where the acceptance of the doctrine of exhaustion shares a causal relationship with the intention of strengthening the internal market and protecting the free movement of goods.

Indeed, in *Théberge*, the Supreme Court of Canada took a similar stance against absolute control by rightholders, with the court noting that

[t]he proper balance among these and other public policy objectives lies not only in recognizing the creator's rights but in giving due weight to their limited nature. In crassly economic terms it would be as inefficient to overcompensate artists and authors for the right of reproduction as it would be self-defeating to undercompensate them. Once an authorized copy of a work is sold to a member of the public, it is generally for the purchaser, not the author, to determine what happens to it. Excessive control by holders of copyrights and other forms of intellectual property may unduly limit the ability of the public domain to incorporate and embellish creative innovation in the long-term interests of society as a whole, or create practical obstacles to proper utilization.⁴⁷

It is important to note, however, that Francophone countries, such as France and Belgium, provided rightholders with far wider rights concerning the fate of copies. According to the doctrine of *droit de destination*, rightholders could have controlled any subsequent distributions of the copies, even if the latter had been initiated by the lawful acquirers.⁴⁸ This point will be revisited later, when it is shown how this Francophone concept was subsequently overruled by the harmonization of the right of distribution within the EU.

These primary policy considerations were further supplemented by a number of secondary, or indirect, considerations.⁴⁹ Commentators

⁴⁷ *Théberge v. Galerie d'Art du Petit Champlain Inc., et al.*, [2002] 2 S.C.R. 336, 2002 SCC 34, para. 37. On the decision, see Fischman Afori (2007) 25–61; de Beer and Tomkowicz (2009) 12–13; Ghosh (2013) 38–39; Crowne (2015) 802; Billah (2018) 134–135; Racine (2019) 371–373.

⁴⁸ According to Desurmont, “the conception of the latter right is very broad in both legislations [...] enabling the author to accompany permission to reproduce his work with various conditions and limitations, and thereby to control the conditions governing how the copies produced will be used by third parties.” See Desurmont (1987) 20.

⁴⁹ On these secondary or indirect policy considerations, see Reese (2003) 585–610; Perzanowski and Schultz (2011) 894–901; Serra (2013) 1774–1781; Puig (2013) 160–162; Shinall (2014) 376; Reis (2015) 189–194; Katz (2014) 109–117; Rub (2015) 773–795; Kerber (2016) 153–156. These considerations were discussed by Advocate General Szpunar in his Opinion in the *Tom Kabinet* case. See: Case C-263/18, *Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet Internet BV and Others*, Opinion of Advocate General Szpunar, 10 September 2019, EU:C:2019:697, para. 80–96.

unanimously agree that the mere existence of the doctrine of exhaustion makes it easier to acquire copies, due to their affordability (as it results in the decrease of retail prices) and their availability (as it maintains access to works being permanently or temporarily withdrawn from the primary channels of the market).

In addition, exhaustion supports the preservation of cultural heritage. Research by Deirdre Mulligan and Jason Schultz showed that only 4,267 works, of the 187,280 books published in the US between 1927 and 1946, were available through the customary channels of commerce in 2002.⁵⁰ Similar data also showed that only 174 of 10,000 books published in the US in 1930 were still commercially available in 2001.⁵¹ Likewise, only 4 percent of the 157,068 movies registered in the database of Turner Classic Movies were available for home viewing in the US in 2009.⁵² Without the doctrine of exhaustion, these contents could have potentially been lost from society forever, after the initial distribution was terminated by the rightholders.

Commentators noted that exhaustion ensures the proper functioning of consumer protection law: e.g., by the transparency of transactions,⁵³ respecting the privacy of consumers,⁵⁴ or guaranteeing that the consumer expectations (based on the language of an agreement) are met.⁵⁵ Furthermore, the competition generated by secondary markets triggers more innovation by rightholders. Indeed, any overprotection of copyrights and significant restrictions on secondary markets can chill innovation by users and competitors of rightholders.⁵⁶ The doctrine also effectively mitigates against the effects of technological “lock-in” by allowing for a more relaxed enjoyment of works. This is done through decreasing the reliance on the unique formats and channels of access applied by manufacturers, distributors, and aggregators.⁵⁷ Exhaustion can ultimately facilitate competition among digital platforms and other service providers.⁵⁸ This seems to be plausible in the digital domain but seemed to be a valid claim in the pre-Internet era, too. Aaron

⁵⁰ Mulligan and Schultz (2002) 472. ⁵¹ Katz (2014) 110. ⁵² Kaufman (2009).

⁵³ Hess (2013) 1971–1978; Trampuž (2016) 175–177.

⁵⁴ Kerber (2016) 165; Karapapa (2020) 490.

⁵⁵ Leistner and Antoine (2018) 159–180; Oprysk (2020) 212; Oprysk and Sein (2020) 596.

⁵⁶ Wolfgang Kerber noted that “permitting too far-reaching restrictions in regard to the resale and use of digital copies might stifle and block too much further valuable innovation activities, because then the users/innovators might need too often the consent of the copyright owners.” See Kerber (2016) 164.

⁵⁷ Region codes used on DVDs are such classic access digital rights management (DRM) controls that lead to the “lock-in” of lawful acquirers of the original DVDs. See further Yu (2012) 187–264.

⁵⁸ Kerber (2016) 164.

Perzanowski and Jason Schultz have shown that several years prior to, and following, the codification of the first-sale doctrine in 1909, US courts allowed for the creative reinterpretation or transformation of the purchased copies as well as the creation of new material objects (e.g., rebinding lawfully sold copies of works).⁵⁹

All these policy arguments have their roots in the analog world, prior to the invention of digital technologies and, crucially, the Internet. The drastically altered landscape we face today has prompted certain commentators to reason that the doctrine of exhaustion shall only apply if several supplementary requirements are met. These are as follows: that the copies sold by the rightholder and resold by the acquirers shall not compete (rivalrousness and *Rivalität*), the acquirer of the original copy shall not maintain exclusive control over the copy of the work (excludability and *Exklusivität*), and the quality of the copies shall deteriorate over time (consumability and *Abnutzbarkeit*).⁶⁰ It is doubtful whether these requirements can easily be met in the digital age. In light of this, jurisprudence and academia, in several countries, have been reluctant to apply exhaustion to digital content.⁶¹ This book will argue and seek to demonstrate that the doctrine *should* be expanded to the digital environment. Moreover, this book will submit that the three additional requirements may be fulfilled during the resale of digital data.

1.4. The Taxonomy of Copyright Exhaustion

Researchers generally agree that the meaning of exhaustion is the same in all jurisdictions.⁶² It is far from settled, however, what the taxonomy of exhaustion is. The number of options might be great, ranging from a “limitation,” an “exception,” an “exclusion,” an “exemption,” a “restriction” to an “implied license.” Indeed, exhaustion is routinely described as a “doctrine” or a “principle.”⁶³

International copyright norms are of some, but only minor, help. Most importantly, the Copyright Treaty of the World Intellectual Property Office (WIPO) Copyright Treaty (as well as the WPPT [Phonograms and Performances Treaty]), as will be shown below, includes notable doctrinal elements on the meaning of exhaustion. One of those provisions clarifies that exhaustion is not subject to the three-step test, unlike

⁵⁹ Perzanowski and Schultz (2011) 912–922.

⁶⁰ Capobianco (2013) 409–413; Zech (2013) 376–377. ⁶¹ Compare to IV.3.3.

⁶² Compare to de Beer and Tomkiewicz (2009) 3; Pope (2011) 207.

⁶³ Indeed, the meaning of these terms, in general, is far from settled. See Sirinelli (1999) 2–3.

“regular” limitations and exceptions. As such, the *a contrario* conclusion might be that exhaustion is neither a limitation nor an exception.

Such a conclusion would be, however, both illogical and baseless. First, exhaustion is purposefully left out of the scope of the three-step test, as it exactly provides for the free resale of a given copy of a work by the lawful owner without the authorization of (and payment to) the rightholder. This is in full compliance with the reward theory’s purposes. It therefore seems so that exhaustion and the three-step test are unrelated to each other.

Second, the leading international treaties explicitly left it for the signatories to regulate the substantive meaning of exhaustion. A quick – and certainly not exhaustive – look at various domestic solutions indicate that exhaustion is mainly treated as a “limitation.” In the US, the first-sale doctrine is listed as a “limitation on exclusive rights,” similarly to the fair use doctrine (which is a flexible concept, having no equivalent in the EU) or library reproductions (which are in close compliance with EU law exceptions and limitations).⁶⁴ Some inconsistency exists though, as some commentators treat exhaustion as an “exception.”⁶⁵

In the UK, which is no longer a member of the EU, the statutory language indicates that any “subsequent distribution, sale, hiring or loan of copies previously put into circulation,” other than rental and lending, is “not included in,” that is, it is excluded from, the scope of “issuing copies to the public.”⁶⁶ Irrespective of the above, some scholarly opinions in the UK (and beyond) highlight that exhaustion roots in the theory of implied license rather than limitations of rights.⁶⁷

The EU directives regulate exhaustion in articles⁶⁸ that are distinct from the specific articles on “limitations and exceptions”;⁶⁹ and, unlike exhaustion, these limitations and exceptions are subject to the three-step test.⁷⁰ Nothing bars us, however, from treating exhaustion as a special limitation (dedicated solely to limiting the effects of the right of distribution) under the harmonized EU law as well.

⁶⁴ McJohn (2006) 219; Brown and Denicola (2009) 323–324; Yen and Liu (2011) 294; Joyce et al. (2013) 518.

⁶⁵ Goldstein and Hugenholtz (2010) 306; Westkamp (2016) 503.

⁶⁶ CDPA, Art. 18. Compare to Bently and Sherman (2009) 144.

⁶⁷ Hilty (2016) 67; Mysoor (2018) 665–670.

⁶⁸ See Software Directive, Article 4(2); Rental, Lending and Related Rights Directive, Article 9(2); Database Directive, Article 5(c); and InfoSoc Directive, Article 4 (2), respectively.

⁶⁹ See especially Software Directive, Article 5; Rental, Lending and Related Rights Directive, Article 10; Database Directive, Articles 6 and 9; and InfoSoc Directive, Article 5.

⁷⁰ In the EU, see InfoSoc Directive, Article 5(5).

While the ECJ is silent on the taxonomy of exhaustion, the court's ruling in *Kyocera* might be of some help to us. There, the ECJ argued that the right of reproduction

may, depending on the circumstances, be either, as an exception, totally excluded, or merely limited. It is conceivable that such a limitation may include, depending on the particular situations that it governs, in part an exclusion, a restriction, or even the retention of that right.⁷¹

The ECJ expressed this opinion in regard to the right of reproduction and a specific limitation to it (namely, reprography). There is, however, no reason to believe that the categorization of exceptions and limitations as set out above does not apply to other economic rights, e.g., the right of distribution. If so, exhaustion might be correctly treated as a special limitation of the distribution right, as the right to authorize the resales by the rightholder is excluded under certain circumstances. We cannot be certain that this is a correct interpretation. The ECJ's above quote immediately serves as a ground for skepticism. As seen above, "mere" limitations may include in part an exclusion, while exceptions are exclusions (in general). It seems to be unclear how limitations and exceptions be called exclusion at the same time, or where the dividing line lies between "total exclusion" and "an exclusion." Likewise, it's unclear what "restriction" or "retention" practically means in this context. So far, the ECJ has not clarified the differences between these concurring terms, nor do Member States' domestic rules seem to be in full compliance with such categorization.⁷² The European academic sources reflect these inconsistencies as well. The majority call exhaustion a "limitation,"⁷³ but others treat it as a "restriction."⁷⁴ Some categorize it inversely: e.g., Dietrich Reimer concluded that "I really don't think that [exhaustion] is a real exception."⁷⁵ Indeed, some lessened the role of (trademark) exhaustion by stating that "the principle of exhaustion is nothing more than a figurative expression for the simple legal idea that once genuine goods have been marketed, subsequent distribution should not be impeded by [IPR] actions."⁷⁶

Altogether, while it seems to be almost impossible to find a full compromise in this matter, strong arguments speak in favor of declaring

⁷¹ *Verwertungsgesellschaft Wort (VG Wort) v. Kyocera and Others*, Joined Cases C-457/11 to C-460/11, ECLI:EU:C:2013:426, para. 34.

⁷² Pila and Torremans (2019) 321–322.

⁷³ Röttinger (1993) 60; Schovsbo (2010) 171; Seville (2016) 71; Pila and Torremans (2019) 301.

⁷⁴ Walter and von Lewinski (2010) 134, 5.4.33. ⁷⁵ Reimer (1982) 367.

⁷⁶ Beier (1970) 57.

and treating exhaustion as a “special limitation” to the distribution (and occasionally the display) right under EU law.

Another spin-off question derives from this conclusion. Is exhaustion a “user right,” too? The question of whether limitations and exceptions shall be treated as user rights is not a new one. Indeed, comparative research suggests that the domestic laws of various countries follow very different paths in this respect.⁷⁷ Most importantly, the ECJ has declared in various preliminary rulings that limitations and exceptions under Article 5 of the InfoSoc Directive represent rights for the benefit of users.⁷⁸ The aim of these rules is to provide for a fair balance of users’ and rightholders’ rights⁷⁹ as well as public interests.⁸⁰ Furthermore,

the interpretation of the exceptions and limitations provided for in Article 5 of Directive 2001/29 must allow [...] their effectiveness to be safeguarded and their purpose to be observed, since such a requirement is of particular importance where those exceptions and limitations aim, as do those provided for in Article 5 (3)(c) and (d) of Directive 2001/29, to ensure observance of fundamental freedoms.⁸¹

Is this conclusion also applicable to exhaustion, which is a special limitation to the right of distribution? If we agree that the ECJ aims to provide for a uniform interpretation of the whole body of the EU copyright law, then we shall also accept that a similar logic applies to exhaustion. This is true even if exhaustion is not covered by Article 5 of the InfoSoc Directive, and the ECJ’s case law related to user rights under Article 5 is not directly applicable here.

Exhaustion can be treated as an autonomous concept of EU copyright law. No exact definition is included in the relevant directives, and no reference is made in the interpretation of the doctrine under the Member States’ laws. Therefore, there is some space for the independent and uniform (autonomous) interpretation of the term “exhaustion” by the ECJ. When interpreting a rule this way, the ECJ shall determine the doctrine’s meaning “by considering their usual meaning in everyday

⁷⁷ Compare to Hilty and Nérissou (2012) 16–18.

⁷⁸ *Technische Universität Darmstadt v. Eugen Ulmer KG*, Case C-117/13, ECLI:EU:C:2014:2196, para. 43.; *Spiegel Online GmbH v. Volker Beck*, Case C-516/17, ECLI:EU:C:2019:625, para. 54.

⁷⁹ *Marc Soulier and Sara Doko v. Premier ministre and Ministre de la Culture et de la Communication*, Case C-301/15, ECLI:EU:C:2016:878, para. 30–31.; *Spiegel Online GmbH v. Volker Beck* (2019) para. 54.

⁸⁰ *Land Nordrhein-Westfalen v. Dirk Renckhoff*, Case C-161/17, ECLI:EU:C:2018:634, para. 41.

⁸¹ *Spiegel Online GmbH v. Volker Beck* (2019) para. 55. On “user rights” see, e.g., Snijders and van Deursen (2019) 1176–1190; Synodinou (2019) 20–37; Jütte (2020) 461–484; Borghi (2021) 263–280.

language, while also taking into account the context in which they occur and the purposes of the rules of which they are part.”⁸²

As the ECJ has not interpreted exhaustion this way yet, the following syllogism is merely theoretical. First, although it would be hard to say what the everyday language meaning of a highly metaphoric expression (“exhaustion”) is, it is still evident that it refers to the elapse, inactivity, unavailability of a certain interest (here, the right of exhaustion). Second, the context of exhaustion was – in line with the basic history of the doctrine – to rebalance various interests at stake (here, those of the lawful acquirers and the rightholders). Finally, the purpose of the doctrine is generally covered by the basic policy purposes of exhaustion: the primacy of ownership interests; fair (but not unlimited) reward to rightholders; and the prohibition of market control. In an EU environment, we shall also take into consideration the fundamental freedom of movement of goods as a further purpose of the doctrine.

In light of these, we can simply conclude that exhaustion allows lawful acquirers of copies to enforce the preservation of their ownership interests over the rightholders’ distribution right. As such, they might effectively claim that plaintiffs have no legal ground to sue them, as their economic right can no longer be exercised (at least with respect to the original copy in question). Alternatively, users might be able to initiate a case themselves to find in a declaratory judgment that they have a right to use the given copy without any intrusion of the rightholder. In both cases, we can confirm that the doctrine of exhaustion represents a user right under EU law.

The situation is different in the US. The first-sale doctrine is expressly treated as an affirmative defense. As such, the doctrine might only be applied as a defense against the plaintiff’s allegation of unlawful use. More precisely, following that the plaintiff successfully proved an infringement of its copyright (unauthorized distribution), the burden of proof will be on the defendant’s side to evidence lawful acquisition and lawful resale.⁸³ In *Adobe Systems*, the court has precisely summarized this as follows:

The rule is no different for the first sale defense. Under § 109(a), the party asserting the first sale defense bears the initial burden of satisfying the statutory requirements. Thus, that party must show ownership through lawful acquisition.⁸⁴

⁸² *Pelham GmbH and Others v. Ralf Hütter and Florian Schneider-Esleben*, Case C-476/17, ECLI:EU:C:2019:624, para. 28.

⁸³ H.R. Rep. (1976) 80–81; *United States v. Goss*, 803 F.2d 638 (1986) 644–646; *Timothy S. Vernor v. Autodesk, Inc.*, 621 F.3d 1102 (2010) 1107. Compare to Billah (2018) 141. Nevertheless, there are some rulings that speak against such conclusion. Compare to Lavin et al. (2019) 1136, note 296.

⁸⁴ *Adobe Systems Inc. v. Stargate Software Inc.*, 216 F.Supp.2d 1051 (2002) 1079.

Such affirmative defense status of the first-sale doctrine has indirect negative consequences for the users. Undoubtedly, the first-sale doctrine gives standing and a “user right feeling” for lawful owners, but the exercise or enforcement of this limitation requires a lengthy and costly procedure. Importantly, the Canadian Supreme Court has followed a different path in this respect again. In its seminal ruling in *CCH Canadian Ltd. v. Law Society of Upper Canada*, the Canadian Supreme Court declared the country’s fair dealing rules as “user’s rights.” As such, the judges found fair dealing “an integral part of the Copyright Act rather than simply a defence.”⁸⁵

1.5 The Doctrine of Exhaustion under International Copyright Law

The doctrine of exhaustion was developed originally at the state level, in a period at the end of the nineteenth and beginning of the twentieth centuries that was famous for protectionist national economies. (This was equally true for the newly born Germany and the still developing United States of America.) Unsurprisingly, for a long time, there was no interest – particularly at the international level – in further developing the doctrine, as this would have inevitably required surrendering many protectionist solutions. Indeed, different countries regulated the scope (including the limitations) of economic rights in considerably different ways. For example, some countries didn’t even acknowledge the right of distribution as an independent economic right and consequently the doctrine of exhaustion was not regulated at all. Other countries’ copyright regimes included a distinct distribution right, but it only extended to the domestic transfers (and resales) of copies. Finally, some other countries did not impose any restrictions on the importation of copies lawfully produced abroad. In sum, the scope of exhaustion could vary between national, regional, or international models⁸⁶ depending on whether a country predominantly exported or imported cultural goods.

The first international copyright treaties say nothing on distribution or mention it only superficially.⁸⁷ The international conventions that

⁸⁵ *CCH Canadian Ltd. v. Law Society of Upper Canada*, 2004 SCC 13, para. 48. Compare to Craig (2005) 437–461.

⁸⁶ On these three competing models, see UNCTAD-ICTSD (2005) 93–94; Correa (2007) 79; Abbott (2007) 5; Bonadio (2011) 154–155.

⁸⁷ Compare with BC Art. 13(3), 14(1)(i) and 16(2). Some have argued that the right of reproduction necessarily implies the existence of the right of distribution. Nevertheless, this notion is not broadly accepted. On the theory of “implied right of (first) distribution,” see Ficsor (2014a) 5–7, especially note 5.

include some relevant wording on our topic are the Trade-Related Aspects of Intellectual Property Rights (TRIPS) Agreement and the WIPO Internet Treaties (WCT/WPPT).⁸⁸ Their rules are far from uniform and leave notable space for signatories to regulate the scope of exhaustion domestically.

1.5.1 *TRIPS Agreement (1994)*

The TRIPS Agreement, adopted in 1994, was the first international agreement on intellectual property that touched upon the copyright aspects of exhaustion.⁸⁹

The original preparatory document of 1991 (the Chairman's Text) still stood for the introduction of a general right of distribution and the doctrine of exhaustion.⁹⁰ These plans ultimately failed, after lengthy negotiations,⁹¹ as the contracting parties failed to reach a compromise on an independent right of distribution.⁹² Until 1994, only a limited number of countries had a settled regulation and/or case law on the doctrine of exhaustion. These domestic solutions also showed significant differences. On the one hand, most developed countries with large economic potential, strong domestic markets, and the capacity to export cultural goods (such as the US⁹³ or Germany)⁹⁴ were interested in national exhaustion. National exhaustion is followed by significantly different countries as well. India, one of the greatest global markets, as well as smaller ASEAN countries, e.g., Singapore, Brunei, or Cambodia, apply a national exhaustion doctrine.⁹⁵ On the other hand, countries that relied heavily on the importation of cultural goods, such as the Netherlands,⁹⁶ Switzerland,⁹⁷ Japan,⁹⁸

⁸⁸ Goldstein and Hugenholtz (2010) 304–305; Blomqvist (2014) 119–126.

⁸⁹ The first international treaty that regulated exhaustion was the Treaty on Intellectual Property in Respect of Integrated Circuits of May 26, 1989, Art. 6(5).

⁹⁰ Ficsor (2002) 153–154. ⁹¹ UNCTAD-ICTSD (2005) 97–104.

⁹² Reinbothe and von Lewinski (2002) 80; UNCTAD-ICTSD (2005) 94–109.

⁹³ Compare to Chapter 3. ⁹⁴ Reimer (1982) 364.

⁹⁵ Ghosh and Calboli (2018) 127–136. ⁹⁶ Compare to Section 2.1.1.

⁹⁷ Knopf (2001) 113–122. The Swiss Federal Supreme Court noted that national exhaustion prevailed with respect to audiovisual works between August 1, 2002, and April 1, 2004, as the domestic copyright Act allowed for the application of the doctrine if the copies were originally put into circulation within the Swiss Federation. See: Schweizerisches Bundesgericht 1.3.2007 (4C.384/2006) 70–72. The current and effective rules limit the application of exhaustion on audiovisual works in terms of time. Under Art. 12(1^{bis}) of the Swiss Copyright Act, the resale or rental of copies of audiovisual works is forbidden as long as the rightholder exercises his or her public performance rights in movie theaters. For further examples, see Pope (2011) 218–219.

⁹⁸ During the period of the negotiations of the TRIPS Agreement, the courts of Japan ruled expressly against international exhaustion. In a 1994 judgment of the Tokyo District

Australia,⁹⁹ and New Zealand,¹⁰⁰ as well as countries with developing and small markets, were more interested in international exhaustion.¹⁰¹ China, which poses strict (political) limitations on importation and, at the same time, has a far-reaching market, has also introduced norms that tend to have an exhaustion doctrine with international effect.¹⁰² Similarly to these countries, copyright exhaustion had an international reach in the United Kingdom before the EEC/EU level of harmonization.¹⁰³ Finally, the EU adopted two directives before 1994 that were based on the concept of regional exhaustion.¹⁰⁴ Vincent Chiappetta described the futile preparation and the results of the TRIPS Agreement, observing that contracting parties “agreed to disagree” on the content of exhaustion.¹⁰⁵

Not surprisingly, the final text of the TRIPS Agreement turned out to be the best compromise for the signatories and, more importantly, did not introduce any new substantive obligations. Instead, it granted absolute freedom for the signatories regarding the issue of regulation,

Court, the importation of 1,000 copies of the movie *101 Dalmatians* was found to be illegal, mainly since the movie was not yet officially released in Japan. See Donnelly (1997) 485. Later, the Japanese Copyright Act codified international exhaustion in 1999, with the sole exception of audiovisual works. See LaFrance (2009) 162. Shortly thereafter, the Japanese Supreme Court expanded the scope of international exhaustion to audiovisual works as well. See Doi (2002) N147–148.

⁹⁹ Pope (2011) 220–222; Ghosh and Calboli (2018) 124–125.

¹⁰⁰ Verma (1998) 562–565; Cohen Jehoram (1999) 509; Abbott (2000) 7; Knopf (2001) 113–30–113–31; Longdin (2001) 112–4–112–9; LaFrance (2009) 163–167; Mueller-Langer (2014) 294; Frankel and Gervais (2016) 102–104; Ghosh and Calboli (2018) 125–126. For a long time, international exhaustion did not cover literary works in Australia. Indeed, expanding the reach of the doctrine to cover this subject matter is still heavily contested by authors of literary works. See Harmon and Clark (2016).

¹⁰¹ “The developing countries, who were quite understandably sceptical about signing TRIPS, were certainly not about to be forbidden from allowing for international exhaustion.” See Knopf (2001) 113–117. See further Cohen Jehoram (1999) 507, 509; Yu (2012) 225–226. Frankel and Gervais noted that “parallel importation is a calibration device to create competition in small markets [e.g., Israel, New Zealand, and Singapore] where otherwise size often dictates a small number of players.” See Frankel and Gervais (2016) 102. As a rare exception, South American countries mainly accept a national exhaustion doctrine. Carlos and Juan Correa summarized that “[s]ome [Latin American] countries incorporated that principle for some categories of intellectual property rights and not for others. While international exhaustion has been adopted in many patent and trademark laws, national exhaustion prevails in the area of copyright. The rationale for this differentiation is unclear.” See Correa and Correa (2016) 213–214. As a rare exception, courts in India have permanently refused to accept international exhaustion. See Gomber (2017) 263–267.

¹⁰² Ghosh and Calboli (2018) 126–127. ¹⁰³ Mysoor (2018) 669.

¹⁰⁴ Compare to Section 2.2.4.

¹⁰⁵ Chiappetta (2000) 333–392. On the conflict of developed and developing countries over parallel imports during the debates of the TRIPS Agreement and in the post-TRIPS period, see further Chiappetta (2016) 129–133.

“whether enacted by statute, articulated in judicial opinions, or formulated in agency regulations or rules,”¹⁰⁶ and whether the regulation should have a national, regional, or international reach. The TRIPS Agreement approached the doctrine from a neutral perspective, stressing that “[f]or the purposes of dispute settlement under this Agreement, subject to the provisions of Articles 3 and 4 nothing in this Agreement shall be used to address the issue of the exhaustion of intellectual property rights.”¹⁰⁷

This dubious phrasing means that signatories are bound by the principle of national treatment and the most-favored-nation treatment when designating the reach of exhaustion. Disputes stemming from the domestic regulations shall not, however, be subject to a dispute settlement procedure under the World Trade Organization (WTO) law. In sum, no country can force other countries to provide for the exhaustion of the right of distribution with a broader and tighter territorial scope. These provisions do not, however, prevent injured parties from initiating proceedings before the domestic courts.¹⁰⁸

Frederick Abbott highlighted, with respect to the opinion of Mr. Adrian Otten, then the Secretary to the Trade Negotiating Group during the Uruguay Round, that

[t]he formula in Article 6, TRIPS Agreement, reflects a compromise between governments favoring an explicit recognition of national discretion in regard to exhaustion practices, including the choice of national or international exhaustion, and governments not wanting to provide such recognition although not seeking to regulate such practices specifically.¹⁰⁹

Nevertheless, the TRIPS Agreement does include a few provisions that bear a resemblance to the doctrine of exhaustion. One relates to the right of rental, and at least two others to the importation of (pirated) goods.

Software, audio, and video rental began in Japan,¹¹⁰ and subsequently became a multi-billion-dollar business in the US and EU. The TRIPS Agreement started with the tripartite negotiations of the US, Japan, and the EU. Since the US Congress excluded the application of the first-sale doctrine, in relation to the rental of audio recordings and computer programs by 1990,¹¹¹ and the EU harmonized the right of rental by 1992,¹¹² it

¹⁰⁶ Ghosh (2013) 3–4. ¹⁰⁷ TRIPS Agreement Art. 6.

¹⁰⁸ Heath (1997) 628–629; Knopf (2001) 113–13; Slotboom (2003) 432–434; UNCTAD-ICTSD (2005) 104–108; Correa (2007) 78–79.

¹⁰⁹ Abbott (2000). See further Verma (1998) 552–562. ¹¹⁰ Horowitz (1988) 32.

¹¹¹ Compare to Section 3.3.3. ¹¹² Compare to Section 2.2.4.

is not surprising that the Agreement finally enabled the introduction of the right of rental by its signatories.¹¹³

The TRIPS Agreement also enabled the contracting parties to adopt regulation on temporary measures to prevent the import of such products that are in violation of the law.¹¹⁴ This provision does not foreclose the application of regional or international exhaustion. Instead, it provides a “double force” for the benefit of countries that apply national exhaustion. This rule allows states to protect against the import of products that are considered illegal under their own rules, irrespective of whether the copies had been marketed lawfully in the source country. The TRIPS Agreement also prohibits the cross-border distribution of pirated products through the tools of customs law.¹¹⁵

1.5.2 *The WIPO Internet Treaties (1996)*

The two WIPO Internet Treaties of 1996 showed a clear progression of the norms of exhaustion.¹¹⁶ For the first time in international copyright law, these treaties allowed for a general right of distribution. Article 6(2) of WCT notes:

[n]othing in this Treaty shall affect the freedom of Contracting Parties to determine the conditions, if any, under which the exhaustion of the right [of distribution] applies after the first sale or other transfer of ownership of the original or a copy of the work with the authorization of the author.

Article 8(2) of WPPT contains essentially the same wording. According to the WPPT:

[n]othing in this Treaty shall affect the freedom of Contracting Parties to determine the conditions, if any, under which the exhaustion of the right in paragraph (1) applies after the first sale or other transfer of ownership of the original or a copy of the fixed performance with the authorization of the performer.¹¹⁷

¹¹³ TRIPS Agreement Art. 11. Compare to Yu (2014b) 1136–1137.

¹¹⁴ TRIPS Agreement Art. 44(1).

¹¹⁵ TRIPS Agreement Art. 51. On the practical application of customs law against pirated products, see Deutsch and Zimmerman (2014) 276–286; Schneider and Maillefer (2015) 262–268.

¹¹⁶ Ficsor (2003) 202–203. Ficsor noted that there was a considerable, but fruitless discussion on whether the Internet Treaties should introduce the right of importation. See Ficsor (2014a) 9–14.

¹¹⁷ On the fascinating history of WCT Art. 6 and the lengthy debates on exhaustion between developing and most developed nations, see Ficsor (2002) 210–211, 213–218, 226–230, 241–242, 245–246, 248–249; Reinbothe and von Lewinski (2002) 80–84; von Lewinski (2008) 452, para. 17.63.

Under the above terms, signatories of the WIPO Internet Treaties should comply with specific substantive provisions on exhaustion, while remaining free to develop their own regulations in other aspects.¹¹⁸

The WCT and WPPT allowed signatories to choose whether to introduce domestic, regional, or international exhaustion, as well as leaving open the option to leave the issue unregulated.¹¹⁹ Additionally, the treaties required that the affected copies should be lawfully sold, or ownership over them should otherwise be transferred.¹²⁰ The expression “nothing in this Treaty shall affect” makes it clear that no further provisions of the treaty, including the three-step test,¹²¹ create an obstacle for signatories to regulate on exhaustion.¹²² In practice, it means that the freedom of lawful acquirers to dispose of the property of the copy is absolutely in accordance with the law. Resales do not, per se, conflict with the normal exploitation of the works, nor do they unreasonably prejudice the legitimate interests of the respective author.¹²³ The Agreed Statement attached to Article 6 of the WCT and Article 8 of the WPPT, makes it clear that “[a]s used in these Articles, the expressions ‘copies’ and ‘original and copies,’ being subject to the right of distribution and the right of rental under the said Articles, refer exclusively to fixed copies that can be put into circulation as tangible objects.”

Considering that the preamble of the WCT¹²⁴ and the WPPT¹²⁵ requires international copyright law to be brought in line with the requirements of the Internet, it is asserted that the most important

¹¹⁸ Sheinblatt (1998) 538–539; Walter and von Lewinski (2010) 998, 11.4.18.

¹¹⁹ Reinbothe and von Lewinski (2002) 85. ¹²⁰ Ibid., 86–87.

¹²¹ WCT Art. 10; WPPT Art. 16. ¹²² Reinbothe and von Lewinski (2002) 87.

¹²³ Ibid.; von Lewinski (2008) 453, para. 17.65.

¹²⁴ “*The Contracting Parties, Desiring to develop and maintain the protection of the rights of authors in their literary and artistic works in a manner as effective and uniform as possible, Recognizing the need to introduce new international rules and clarify the interpretation of certain existing rules in order to provide adequate solutions to the questions raised by new economic, social, cultural and technological developments, Recognizing the profound impact of the development and convergence of information and communication technologies on the creation and use of literary and artistic works, Emphasizing the outstanding significance of copyright protection as an incentive for literary and artistic creation, Recognizing the need to maintain a balance between the rights of authors and the larger public interest, particularly education, research and access to information, as reflected in the Berne Convention, Have agreed as follows [...]*.”

¹²⁵ “*The Contracting Parties, Desiring to develop and maintain the protection of the rights of performers and producers of phonograms in a manner as effective and uniform as possible, Recognizing the need to introduce new international rules in order to provide adequate solutions to the questions raised by economic, social, cultural and technological developments, Recognizing the profound impact of the development and convergence of information and communication technologies on the production and use of performances and phonograms, Recognizing the need to maintain a balance between the rights of performers and producers of phonograms and the larger public*

element of exhaustion is the Agreed Statement's emphasis on the "ability to put into circulation as tangible objects." Some academics would disagree,¹²⁶ yet J. A. L. Sterling has plausibly opined that "the dispute whether the right of distribution also involves circulation of works in an electronic way is decided. The Treaty only applies to 'hard copies' so for example books, discs, cassettes."¹²⁷

The Internet has become a quintessential part of daily human existence for the vast majority of people, prompting complicated legal questions, such as whether and how copyright law needs to adapt to this change in society. This debate is epitomized in the WIPO Internet Treaties, where deciding on the exact form of protection for rightholders regarding online uses was arduous. The US suggested that the right of distribution should be expanded to the Internet, while this was met with fierce opposition from another group of countries, led by the EU, who argued for the application of the right of communication to public. However, the honest answer is that neither of these rights are capable of handling "on-demand" uses perfectly.¹²⁸

Mihály Ficsor Senior, the then Assistant Director General of the WIPO, explained:

[b]etween the two opposing alternatives – that is, between basing the international regulation on interpretation and, as a maximum, on slight modification, of existing rights, on the one hand, and introducing a new on-demand transmission/delivery right, on the other – a third compromise alternative would also be possible (and, actually, would seem, for the time being, to have the best chance to get a sufficient general acceptance). This could consist of an umbrella provision under which it would be an obligation to grant an exclusive right or exclusive rights to authorize either any use of works and other protected productions – with some possible reasonable exceptions – through ondemand transmission/delivery, or to authorize certain acts – described in such a neutral way (that is, without involving any specific legal characterization) as possible – carried out in the case of such transmission/delivery, but the legal characterization of the right or rights granted (whether it results in the combination – and possible extension – of existing rights, and/or in a new specific right) would be left to national legislation.¹²⁹

interest, particularly education, research and access to information, *Have agreed as follows [...].*"

¹²⁶ Rigamonti (2009) 20–21; Ruffler (2011) 380–381. These opinions are discussed in detail in IV.3.3.

¹²⁷ Sterling (1998) 566.

¹²⁸ Distribution traditionally involves the sale of physical/tangible copies. Communication to the public generally covers simultaneous transmissions from one place to multiple places by wire or wireless means, e.g., broadcasting, cable services, satellite transmission.

¹²⁹ Ficsor (2002) 205–206. On the long and winding road of the idea of the umbrella solution, see *ibid.*, 145–254. See further de Beer and Burri (2014) 95–98.

This third option was finally adopted, and parties to the WCT/WPPT regulated the new economic right for both authors and neighboring rightholders with this compromise in mind.¹³⁰

Although this right was formulated in a technology-neutral way, it was clearly designed to cover all on-demand transmissions of data via the Internet. This right is applicable where the copyrighted subject matter is made accessible to every member of the public (i.e., having an Internet connection) and where members of the public may access these works from a place and at a time individually chosen by them. Consequently, predetermined programs, including webcasting, pay-per-use, pay-tv, or pay-radio services, are excluded from the scope of this right. Such programs should be covered by other rights, especially communication to the public or performance rights.¹³¹ Logically, the right of distribution should apply for the sale of tangible copies (like CDs) via the Internet.

This categorization of online uses will have significant ramifications for the fate of the doctrine of exhaustion in the digital environment.

1.5.3 *The Marrakesh VIP Treaty (2013)*

A third “Internet treaty” was accepted by the members of the WIPO in 2012, namely, the Beijing Treaty on Audiovisual Performances. Article 8 (2) and Agreed Statement 7 of the treaty include the same language related to the right of distribution and the doctrine of exhaustion. As such, it did not affect the already existing doctrinal basis of exhaustion at all.

To the contrary, the WIPO’s most recent international treaty, focusing on the beneficial access to selected cultural goods by blind, visually impaired, or otherwise print-disabled people, made it indirectly possible to extend the scope of the doctrine of exhaustion, even if only in a limited and targeted way.

Article 5(1) of the Marrakesh VIP Treaty says that

Contracting Parties shall provide that if an accessible format copy is made under a limitation or exception or pursuant to operation of law, that accessible format copy may be distributed or made available by an authorized entity to a beneficiary person or an authorized entity in another Contracting Party.

Article 6 allows for the unauthorized importation of accessible format copies by beneficiary persons, their agents or authorized entities. Article 10(2) further states that “[n]othing shall prevent Contracting Parties

¹³⁰ WCT Art. 8; WPPT Arts. 10 and 14. Compare to Ficsor (2002) 249–250.

¹³¹ von Lewinski (2008) 457, para. 17.76.

from determining the appropriate method of implementing the provisions of this Treaty within their own legal system and practice.”

By these new rules, the WIPO has allowed that the signatories introduce a limited and targeted international (a “treaty country-wide”)¹³² exhaustion to comply with the treaty provisions.

First, let us begin with the note that – in compliance with our findings above – exhaustion is a special limitation of the right of distribution. As such, it can fit into the limitations or exceptions mentioned in Article 5(1) of the treaty; and since signatories are free to select the applicable tool to comply with the treaty obligations per Article 10(2), exhaustion remains a candidate to cover (at least some) relevant activities under the treaty.

Second, the limited and targeted nature of exhaustion under the treaty might be visible from the purpose of the treaty itself. It only benefits a limited group of people. Indeed, and more precisely, the actual benefit of distribution is granted to entities that are authorized to support only visually impaired people in accessing cultural goods, including the exportation and importation of accessible format copies to other authorized entities. As such, the Marrakesh VIP Treaty will not affect the fate of copyright exhaustion. The treaty will only tailor it to the needs of a specific scenario.

Third, the selected domestic limitations and exceptions, per Agreed Statement 5 of the treaty, are subject to the three-step test. This note might complicate the application of exhaustion in a Marrakesh scenario, as exhaustion is *per se* not subject to the three-step test. In fact, Agreed Statement 5 seems to exclude exhaustion from the available repertoire for signatories. This is, however, not necessarily true, as exhaustion applies as a limitation of the distribution right regarding further transfers of ownership. The Marrakesh VIP Treaty might necessitate the application of the three-step test, and hence may be the remuneration of rights holders for the use of their works for the benefit of visually impaired people in general, but the subsequent exportation or importation of lawfully published/distributed accessible format copies needs no further remuneration. In light of this, we shall agree with Marketa Trimble, who concluded that exhaustion should remain only an optional tool for the signatories to comply with the treaty.¹³³

Fourth, as Agreed Statement 6 attached to Article 5(1) of the treaty noted: “[i]t is further understood that nothing in this Treaty reduces or extends the scope of exclusive rights under any other treaty.” As such, no

¹³² Trimble (2016) 466.

¹³³ *Ibid.*, 461.

elements of the international status quo are affected by the Marrakesh VIP Treaty. This is similarly mirrored by Article 5(4)(c) of the treaty, which clarified that “nothing in this Article affects the determination of what constitutes an act of distribution or an act of making available to the public.”

Fifth, Article 5(5) added that “[n]othing in this Treaty shall be used to address the issue of exhaustion of rights.” This language resembles the TRIPS Agreement, with at least one significant difference: it skips the reference to dispute settlement procedures. Notwithstanding this, while the treaty itself privileges the actual distribution of accessible format copies, it does not oblige signatories of the treaty to change their policies and rules regarding the doctrine of exhaustion in general. In short, signatories have no other obligation than guaranteeing the free flow of copies in accessible formats, if they are willing to stick to a national or a regional exhaustion policy.

This latter point might be directly relevant for the EU as well. The new treaty was not only signed by many (although not all) Member States of the EU in 2013 and 2014, but also by the EU itself in 2014. The Member States, however, disagreed whether the EU had any competence to conclude such a treaty and hence the ECJ was requested to provide an opinion on the matter.¹³⁴ In its Opinion 3/15, the ECJ opined that the conclusion of the Marrakesh VIP Treaty was within the exclusive competence of the EU.¹³⁵ Consequently, several Member States – including the home country, Hungary, of this author – did not sign and ratify the treaty at all, but they are directly bound by the EU’s respective regulation¹³⁶ and directive.¹³⁷ The regulation, in compliance with Article 5 of the Marrakesh Treaty, guarantees the free exportation and importation of accessible format copies between the EU and other countries. As such, the scope of the EU’s regional exhaustion doctrine is restricted by the targeted and limited rules for the benefit of visually impaired people.

¹³⁴ Verellen (2017).

¹³⁵ Opinion 3/15 of the Court, ECLI:EU:C:2017:114. Compare to Acquah (2017) 548–550; Arena (2018) 770–779.

¹³⁶ Regulation (EU) 2017/1563 of the European Parliament and of the Council of 13 September 2017 on the cross-border exchange between the Union and other countries of accessible format copies of certain works and other subject matter protected by copyright and related rights for the benefit of persons who are blind, visually impaired, or otherwise print-disabled.

¹³⁷ Directive (EU) 2017/1564 of the European Parliament and of the Council of 13 September 2017 on certain permitted uses of certain works and other subject matter protected by copyright and related rights for the benefit of persons who are blind, visually impaired, or otherwise print-disabled and amending Directive 2001/29/EC on the harmonisation of certain aspects of copyright and related rights in the information society.

1.6 National, Regional, and International Exhaustion

International copyright norms left it for the individual countries to decide whether and how they want to regulate the right of distribution and to decide what limitations to impose. National exhaustion has been acknowledged worldwide as an undisputed legal doctrine, or, so to say, the minimum scope of the concept. It is more challenging to see how countries react to a global economy, and how they wish to manage parallel importation. As Frederick M. Abbott noted: “[C]ountries need not limit their exhaustion policies to the national territory. They may provide that exhaustion also occurs when a good or service is lawfully placed on the market outside the national territory.”¹³⁸

The term “parallel importation” refers to the case when products that have been lawfully produced and/or put in circulation in one country with the authorization of the rightholder enter the territory of another country without the expressed consent of the rightholder.¹³⁹ The term “gray market” describes this scenario well. Since the relevant copies are lawfully distributed, they are not part of the black market. They are, however, imported without authorization so can hardly be described as completely “white.”

The importance of parallel importation is found in its economic significance. Herman Cohen Jehoram summarized it in the following terms:

[P]arallel import occurs when authentic – not counterfeited – products are imported cheaply, without the consent of the producer who has a trade mark, copyright, patent or other intellectual property right in these products, with the aim to compete with the producer’s own products, which he himself had originally marketed abroad at a lower price.¹⁴⁰

Consequently, the reaction of national legislation on the arbitrage with gray market goods is closely associated with that country’s economic goals.

The most important argument in favor of parallel imports derives from the reward theory. Carlos Correa noted:

The underlying concept for allowing parallel imports is, in sum, that since the IPR holder would be normally rewarded through the first sale or distribution of

¹³⁸ Abbott (2007) 4–5. On the doctrine’s international trade aspects see further in great detail: Ghosh and Calboli (2018) 41–64.

¹³⁹ Compare to Donohue (1986) 183–184; Congdon (1989) 597; Miller (1995) 479–480; Heath (1997) 623; Verma (1998) 543–546; Roa (1999) 228–229; Laddie et al. (2000) 1533; Pope (2011) 205–206; Alvarado (2012) 891–892; Goldberg (2012) 3066–3088; Katz (2014) 74–75; Mueller-Langer (2014) 287.

¹⁴⁰ Cohen Jehoram (1999) 495.

the product, he has no right to control the use or resale of goods put on the market with his consent, or in a way that allowed him to obtain compensation.¹⁴¹

Gray market goods increase competition because they are financially advantageous for consumers. Kaitlyn Amundsen highlighted that countries might enjoy significant advantages of parallel imports. She demonstrated that the value of the products imported into the US, in 2011, reached 2.67 trillion USD, and the value of goods acquired through used markets exceeded 900 billion USD.¹⁴² These two numbers clearly mirror the high demand for used copies, even in the most developed countries. A ban on parallel importation would result in substantial damages for countless stakeholders. Libraries, for example, rely on gray market goods, as smaller purchase prices allow them to acquire more copies, which, in turn, allows them to lend works to a higher number of patrons.¹⁴³ After all, parallel import and international exhaustion increases international competition and access to cheaper goods and satisfies consumers' needs efficiently. This is especially valuable for developing countries.¹⁴⁴

Conversely, the exclusion of parallel imports might have weighty advantages, such as strengthening the market positions of rightholders¹⁴⁵ or developing price discriminations.¹⁴⁶ A diverse price strategy might be explained by the variable willingness to advertise, as goods that enter a new and competitive market might require more ads. The business models used for distribution are also relevant. For example, distribution directly, through agents or within a franchise system, could have consequences on the pricing of goods. The quality of sources/raw materials used to produce the copies is also an important factor.¹⁴⁷ Additionally, tax laws also vary from country to country. For example, the US does not

¹⁴¹ Correa (2007) 86. ¹⁴² Amundsen (2012) 354–355.

¹⁴³ Aldridge (2011) 339–340.

¹⁴⁴ Bonadio (2011) 155; Frankel and Gervais (2016) 87–88.

¹⁴⁵ On the definition of market power, see Meurer (2001) 82–83.

¹⁴⁶ On the definition of price discrimination, see *ibid.*, 67–80; Lunney (2008) 394–404; Hovenkamp (2011) 532–538; Rub (2015) 766–767. On the economic significance of price discrimination, see further Cozine (1998) 778–779; Richelieu (2000) 828; Meurer (2001) 140–147; Lunney (2008) 404–456; Goldstein and Hugenholtz (2010) 305; Aldridge (2011) 327–334; Collins (2012) 30–32; Yu (2012) 206–207; Frankel and Gervais (2016) 87.

¹⁴⁷ This was the issue in *Kirtsaeng*, where John Wiley & Sons published the Asian version of the textbook on paper that was inferior to the North American version. As the Second Circuit stressed: “[w]hile the written content of books for the domestic and international markets is often similar or identical, books intended for international markets can differ from the domestic version in design, supplemental content (such as accompanying CD-ROMS), and the type and quality of materials used for printing, including ‘thinner paper and different bindings, different cover and jacket designs, fewer internal ink colors, if any, [and] lower quality photographs and graphics.’” See *John Wiley & Sons, Inc. v. Kirtsaeng*, 654 F.3d 210 (2011) 213.

apply any unified federal sales tax, whereas the level of VAT shows marked (10–20 percent) differences between EU Member States. Wages, and the related social security contributions, similarly affect the unit costs of the copies. James P. Donohue noted that

authorized U.S. distributors contend that the price differential is explained by the following factors: (1) international currency fluctuations vis-a-vis the currently strong U.S. dollar; (2) because the “market” for the goods is established by authorized distributors, gray market dealers have little, if any, promotional expense associated with their operations, and hence get a “free ride” on the efforts of the authorized distributors; (3) little, if any, after-sale servicing or warranty protection is offered by the gray market dealers; (4) authorized dealers often must carry full product line inventory and pay the associated costs of adequately servicing the line; and (5) authorized U.S. distributors face higher costs from foreign manufacturers for services offered to domestic consumers.¹⁴⁸

Price discrimination might be advantageous for both rightholders and society, since international price discrimination increases production and decreases unit prices. It allows rightholders to differentiate between countries (developing versus developed), and target groups (private individuals versus profit-oriented corporations). Such discrimination is beneficial for consumers, as the purchase price of the copies is set in accordance with their purchasing power.¹⁴⁹ Pricing strategies might also generate higher profit on the rightholders’ side, which, in turn, might serve as a basis for further investment.

Nonetheless, price discrimination inherently has shortcomings. Weaker-quality products, incompatibility with standards, or the lack of warranty might mislead customers. This can lead to a loss of prestige or even economic loss.¹⁵⁰ Furthermore, Frederick Abbott has argued that “[n]o persuasive evidence has been presented that returns on investment in the copyright-dependent industries (audio-visual, software, etc.) are or will be inadequate to allow future investments in creative expression.”¹⁵¹ Finally, there is a clear risk that rightholders might become unwilling to sell their products for a cheaper price in developing countries, if those very same copies can be freely imported to developed countries.¹⁵²

“Brexit,” the withdrawal of the UK from the EU (and the European Atomic Energy Community), provides a unique example of how

¹⁴⁸ Donohue (1986) 184 (footnotes omitted).

¹⁴⁹ Ghosh (2013) 10; Puig (2013) 168–169; Katz (2014) 77–78; Rub (2015) 770–773. On the advantages of price discrimination for consumers, see further Barfield and Groombridge (1998) 903–949 Abbott (2000) 17–18; Laddie et al. (2000) 1535–1536; Bonadio (2011) 156–158.

¹⁵⁰ Weicher (1989) 475–477; Mueller-Langer (2014) 287. ¹⁵¹ Abbott (2000) 21.

¹⁵² This argument has been discussed and criticized at UNCTAD-ICTSD (2005) 117.

countries might switch between the three types of exhaustion. The UK used to apply an international exhaustion regime before joining the EEC,¹⁵³ and applied the EEC/EU's regional exhaustion after that. After the end of the transitional period, from January 1, 2021, onward, the UK, however, will cease being a member of the internal market. The final "Brexit Agreement,"¹⁵⁴ similarly to the other recent trade agreements of the EU, stipulated that the Parties to the Agreement shall keep their freedom to "determine whether and under what conditions the exhaustion of intellectual property rights applies."¹⁵⁵ Consequently, the EU will not give up its regional exhaustion doctrine, and the British exports to the EU Member States will be subject to authorization. The agreement leaves intact the UK's freedom to choose from the three alternative models of exhaustion. Ultimately, importation from the EU to the UK will face no obstacles.¹⁵⁶ In essence, the UKIPO's official statements seem to clarify the return to an international exhaustion regime under UK IP (including copyright) law, with an exception regarding trade to and from the EU. The EU–UK trade relations in the field of IP law (including copyright law) is currently based on an "asymmetric regional exhaustion" regime.¹⁵⁷ At the same time, this model might only last for a temporary period, as the UK Government plans to launch a public consultation on the UK exhaustion system in 2021.¹⁵⁸

Another notable issue is the fate of *droit de suite* in the UK. The country was not a clear supporter of this concept, to say the least. Nevertheless, and against some expectations,¹⁵⁹ the UK expressed its willingness to keep the *droit de suite* as required by the Berne Convention in the Political Declaration relating to Brexit, launched in October 2019.¹⁶⁰ The resale right will reciprocally apply to those authors who are nationals of countries that implemented the respective rule of the Berne Convention.¹⁶¹ The Brexit Agreement nevertheless provides sensible flexibilities to the UK. There is no obligation to keep the EU *acquis* in its entirety. Elements of the system, e.g., the thresholds and royalty rates, might be changed at a later stage.¹⁶²

¹⁵³ Mysoor (2018) 669.

¹⁵⁴ Trade and Cooperation Agreement Between the European Union and the European Atomic Energy Community, of the One Part, and the United Kingdom of Great Britain and Northern Ireland, of the Other Part, OJ L 444, 31.12.2020 ("Brexit Agreement").

¹⁵⁵ Brexit Agreement, Article IP.5.

¹⁵⁶ Compare to UKIPO (2020a). See further Rosati (2019) 63–64; Ahrens (2020) 390–391.

¹⁵⁷ Stephens (2020). ¹⁵⁸ Lee (2021) 326. ¹⁵⁹ Rub (2019) 664.

¹⁶⁰ Capon (2021).

¹⁶¹ Compare to UKIPO (2020b) and Brexit Agreement, Article IP.13.

¹⁶² Stokes (2021) 96.

2 The Doctrine of Exhaustion in the Copyright Law of the EU

The EEC was originally founded with the aim of fostering cooperation between Member States and harmonizing their laws across economic and political sectors. The necessary legislation at the EEC level required the delegation of competences to the EEC, under the TEEC. However, no such provision regarding the harmonization of intellectual property law was included in the original TEEC. Regardless, this has not hindered the development of the law in this area. The articles of the TEEC on the freedom of movement of persons, services, and capital,¹ the prohibition of discrimination or ban on export/import customs, and limitations and other equivalent measures,² as well as the right of establishment,³ have all served as the foundation for harmonization in this field.⁴

Without question, Article 36 of the TEEC⁵ has played the most significant role in the historical development of the doctrine of exhaustion in copyright law.⁶ Under this Article, Member States were allowed to limit the functioning of the free movement of goods in order to protect industrial and commercial property, provided that these prohibitions or restrictions did not constitute a means of arbitrary discrimination or a disguised restriction on trade between Member States.⁷ Indeed, any economic measures that proved to be an obstacle for free trade between Member States, whether that is in the form of monopolies, cartels, or a

¹ TEEC Title III. ² TEEC Arts. 30–34 and 36. ³ TEEC Art. 52.

⁴ On the legislative competences of the EU, see Walter and von Lewinski (2010) 11–13, paras. 1.0.16–1.0.19.

⁵ Currently TFEU Arts. 34–36.

⁶ The doctrine of exhaustion was first accepted by the ECJ in trademarks law. See *Établissements Consten S.à.R.L. and Gründig-Verkaufs-GmbH v. Commission of the European Economic Community*, Joined Cases 56/64 and 58/64, ECLI:EU:C:1966:41. See further Reischl (1982) 422–424; Walter and von Lewinski (2010) 64–65, para. 3.0.28. The doctrine was similarly accepted by the ECJ in patent law in the 1970s. See *Centrafarm BV and Adriaan de Peijper v. Sterling Drug Inc.*, Case 15/74, ECLI:EU:C:1974:114; *Merck & Co. Inc. v. Stephar BV and Petrus Stephanus Exler*, Case 187/80, ECLI:EU:C:1981:180. Compare to Joliet (1975) 15–38; Reischl (1982) 420–422; Mutimear (1996) 185–188.

⁷ TEEC Art. 36.

dominant position, opposed the original aims of the EEC and thus the EEC could take steps to rectify said obstacles.⁸

Following on from the limitations allowed under Article 36 of the TEEC, the question arose whether copyright law forms a part of industrial or commercial property? The ECJ answered this question positively.⁹ In *Phil Collins* the ECJ emphasized that

the commercial exploitation of copyright raises the same problems as does the commercial exploitation of any other industrial and commercial property right. [...] For that reason, and as the Court has consistently held, those rights, although governed by national legislation, are subject to the requirements of the Treaty and therefore fall within its scope of application.¹⁰

At the same time, the ECJ applied the free movement of goods (but not that of services) as a general barrier to the exercise of copyright law.¹¹

The ECJ noted in *Patricia* that

[t]he purpose of Articles 30 and 36 [of the TEEC] is therefore to reconcile the requirements of the free movement of goods with due respect for the legitimate exercise of exclusive rights in literary and artistic property. This implies, in particular, that any abusive exercise of those rights that is of such a nature as to maintain or create artificial barriers within the Common Market should not be given protection.¹²

Consequently, the ECJ distinguished between the existence (i.e., the protection of economic interests of rightholders) and the exercise of copyrights (i.e., the ability of rightholders to use or license their economic rights). The exercise of these economic rights might be limited by the laws of the EEC, if a decision of a Member State distorted the internal market.¹³ This practice by the ECJ ultimately served as the bedrock for the subsequent EEC-wide copyright legislation.

⁸ This is called the *Dassonville Formula*, and it was originally developed by the ECJ in *Procureur du Roi v. Benoît and Gustave Dassonville*, Case C-8/74, ECLI:EU:C:1974:82. See further Tritton (2002) 539. On the intertwining of intellectual property law and the common market, see Walter and von Lewinski (2010) 54–56, paras. 3.0.1–3.0.4; Granmar (2011) 321–351.

⁹ Ubertaini (1985) 50–52.

¹⁰ *Phil Collins v. Imtrat Handelsgesellschaft mbH and Patricia Im- und Export Verwaltungsgesellschaft mbH and Leif Emanuel Kraul v. EMI Electrola GmbH*, Joined Cases 92/92 and 326/92, ECLI:EU:C:1993:847, paras. 21–22. See further Cohen Jehoram (1994) 825–827; Kaltner (1994) 33–34; Winghardt (2001) 993–1011; Walter and von Lewinski (2010) 45–46, paras. 2.0.7. and 48, para. 2.0.13.

¹¹ Ubertaini (1985) 53; Gladwell (1986) 369; Gotzen (1990) 299–300.

¹² *EMI Electrola GmbH v. Patricia Im- und Export and Others*, Case C-341/87, ECLI:EU:C:1989:30, para. 8.

¹³ The distinction between “existence” and “exercise” of intellectual property rights stems from the ECJ’s early judgment in *Consten and Grundig*. See *Établissements Consten S.à. R.L. and Grundig-Verkaufs-GmbH v. Commission of the European Economic Community*, Joined Cases 56 and 58/64, ECLI:EU:C:1966:41. On the *existence versus exercise dichotomy*, see especially Korah (1982) 11–14; Reischl (1982) 418–420; Ubertaini

With that in mind, the historical development of the doctrine of exhaustion at the EU level can be separated into two distinct periods. The first is ECJ jurisprudence, prior to 1991, that helped shape the contours of the doctrine. The second is the copyright directives that were adopted by the Council and the Parliament of the EEC in the 1990s and in 2001.

The first directives were strictly vertical in their application and enabled only a limited scope for exhaustion. At the same time, negotiations were under way for the TRIPS Agreement, the WCT, and the WPPT. These international norms were passed in 1994 and 1996, respectively, and directly influenced the preparation of the EU's first horizontal copyright directive, namely, the InfoSoc Directive 2001.¹⁴

Jens Schovsbo characterized these two distinct periods as the first and the second phase of the development of exhaustion, as well as negative versus positive regulation. Negative, because the ECJ prohibited several Member States practices, and positive, as the EEC legislative bodies introduced substantial norms on the meaning, scope and content of exhaustion.¹⁵

The aim of this chapter is to summarize how the doctrine of exhaustion was conceived and developed, and how it currently operates. It is important to note that the doctrine predates the EEC/EU. The doctrine was originally regulated by at least two founders of the EEC. It is therefore necessary to begin by looking at these domestic solutions, before moving on to discuss the way in which the ECJ reshaped the framing of this doctrine through the revolutionary ruling in *Deutsche Grammophon*.¹⁶

2.1 The Origins of the Doctrine of Exhaustion in the Founding Member States

In 1971, the EEC was limited to only six members.¹⁷ These founding Member States viewed the doctrine of exhaustion in markedly different ways. It was Germany who first accepted the doctrine of exhaustion in Europe. In part, this was influenced by the writings of Joseph Kohler, spanning back to Kohler's 1880 book.¹⁸ Although Kohler did not discuss

(1985) 54; Rothnie (1993) 332; Tritton (2002) 466–468; Keeling (2003) 51–60; Walter and von Lewinski (2010) 56–69, paras. 3.0.5–3.0.43.

¹⁴ Ramalho (2014) 223. The directive was first proposed in 1997. See Hugenholtz (2013) 60.

¹⁵ Schovsbo (2010) 170. See further Oprysk (2019a) 165–168.

¹⁶ *Deutsche Grammophon* (1971). On the final decision in the case, see *Deutsche Grammophon Gesellschaft mbH v. Metro-SB-Großmärkte GmbH & Co. KG* (3 U 108/1970), Hanseatische OLG, October 28, 1971. In Hunnings (1973) 465–474.

¹⁷ The founders of the EEC were the Federal Republic of Germany, France, Italy, Belgium, the Netherlands, and Luxembourg.

¹⁸ Kohler claimed that “[a]s to what concerns the personal sovereignty of the author over his works, it is exhausted in that moment, when he executes the act of publication, or in any case, when the publication is fulfilled. To grant him the additional legal sovereignty on

the concept in detail at this time, he elaborated on it in the following decades in the context of both patent and copyright law.¹⁹ Indeed, Kohler's efforts ripened in 1902 when the Reichsgericht elevated the doctrine of exhaustion into judicial practice through its decision on patent law.²⁰ Although the German Parliament, following Kohler's guidelines,²¹ codified the right of distribution in the LUG of 1901, it still did not expressly refer to exhaustion.²² Legal literature urged the acceptance of the doctrine,²³ and the Reichsgericht finally responded in 1906 in the case of *Königs Kursbuch*.

In *Königs Kursbuch*, the publisher of the book titled *Königs Kursbuch* sold the copies to distributors for a wholesale price of 30 Pf, but included a notice inside the copies stating that the books should be resold for a fixed price of 50 Pf. The defendant did not comply with this notice and sold these lawfully obtained copies for less than the stipulated 50 Pf. The plaintiff claimed that such practices ran afoul of its distribution right. The Reichsgericht rejected the plaintiff's claims, stating that section 11 of the LUG did not grant a monopoly to the rightholders to control the distribution of the copies. Instead, the right of distribution became "exhausted" for each copy that was lawfully marketed.²⁴

distribution would allow him to impact everyday life of the society, which no legislation can permit. No law may grant the author the legal right to retrieve authorized distributed copies." (Denn was die persönliche Souveränität des Autors über seine Publikationen betrifft, so ist sie mit dem Momente erschöpft, wo derselbe die Publikationsakte vollzogen hat, jedenfalls mit dem Momente, wo die Publikation bewirkt ist. Ihm auch noch fernerhin die rechtliche Souveränität über die Verbreitung zugestehen, hieße ihm einen Eingriff in den menschlichen Lebensverkehr gestatten, welchen keine Rechtsordnung gewähren kann. Kein Gesetz darf dem Autor die rechtliche Macht gewähren, die befugtermaßen verbreiteten Exemplare zurückzuziehen.) See Kohler (1880) 139.

¹⁹ On Kohler's work, see Haberstumpf (2014) 470–481; de la Durantaye and Kuschel (2016) 207–209.

²⁰ RG 26.03.1902 (Rep. I. 303/01). ²¹ Haberstumpf (2014) 477.

²² LUG §11. Compare to Reimer (1981) 494.

²³ The "loudest" voices came from Mitteis. His opinion was quoted in RG 10.06.1906 (Rep. I. 5/06) 398.

²⁴ "Once author or publisher exercised his legal right of distribution of his work, this right is exhausted" (Haben aber Urheber oder Verleger das Werk in Ausübung ihres Rechts einmal an das Publikum abgesetzt und so in den Verkehr gebracht, so ist ihr Recht erschöpft). See *ibid.*, 398. The first criminal chamber of the Reichsgericht published a similar decision on the same day. There, too, the retailers sold the copies cheaper than the price fixed by the publisher. The ruling concluded, without any reference to the doctrine of exhaustion, that the publishers cannot enforce any claims against those with whom they did not conclude any contract. See RG 10.06.1906, 39 RGSt 108. On the effects of the RG decisions on fixed prices in Germany, see Mohn (1919) 280–281; Leiss (1973) 185–186. See further Haberstumpf (2014) 479–480; Berger (2016) 187.

In the years that followed this decision,²⁵ both courts and academia crystalized the parameters of the doctrine and developed the three main limitations that could restrict the exercise of exhaustion.

First, the doctrine of exhaustion assumed a geographical/national character, that is, it applied exclusively to the copies that were put into circulation within the German Empire (and later in the Federal Republic of Germany). Consequently, copies that were lawfully sold abroad could be imported solely under the authorization of the rightholder.

Additionally, the BGH confirmed that time limitations and content-based limitations could be contractually established. In *Der Heiligenhof*, the defendant sold the relevant copies to a broader audience (outside the circles of a readers' club) than the parties had agreed to. The BGH emphasized that the LUG allowed the rightholder to partially or entirely authorize the exercise of copyrights,²⁶ as well as to set geographical, time, and content-based limitations.²⁷ The BGH concluded that the rightholders might object to resales if the copies were put on the market against the contractual stipulations, such as the aforementioned example that obliged the retailer to market copies within the confines of a readers' club.²⁸

Exhaustion was finally codified in 1965 by the UrhG.²⁹ The principle had national characteristics and prevented the possibility of copies being put into circulation outside the market of "West Germany" and then later being resold within the Federal Republic of Germany (FRG).³⁰ The UrhG also allowed rightholders to contractually limit the circumstances surrounding the first sale of copies. However, rightholders were not allowed to contract out any further lawful resale of the copies.³¹

The German courts tried to preserve as much of their own national traditions on exhaustion as possible. For example, in the final decision in *Membran*, the BGH refused to apply the decision of the ECJ on factual grounds by excluding the application of regional exhaustion where copies were produced in the UK, but were first sold to the defendant's German subsidiary.³² Consequently, the defendant had to pay the royalties due, or, more precisely, the difference between the royalties set by the British

²⁵ Allfeld (1928) 141–148. ²⁶ LUG Art. 8(3) first sentence.

²⁷ LUG Art. 8(3) second sentence and Art. 14. Quoted by BGH 21.11.1958 (I ZR 98/57) 202. Content-based limitations could be both quantitative and qualitative ones. Allfeld noted that LUG Art. 11 excluded lending from the scope of distribution. Nonetheless, the rightholder could limit such use of copies contractually. See Allfeld (1928) 144–145.

²⁸ BGH 21.11.1958 (I ZR 98/57) 202–203. ²⁹ UrhG Art. 17(2).

³⁰ Reimer (1981) 494; Reimer (1982) 364.

³¹ Schack (2005) 182; Loewenheim (2010) §20 Rn. 39; Dreier and Schulze (2013) §17 Rn. 35–37.

³² BGH 06.05.1981 (I ZR 92/78) 102.

and German collective rights management associations – under the German law and not the English law.³³ In another case, the BGH fully agreed with the ECJ that the importation of copies from Portugal, an EFTA member at the time, to the FRG required authorization under the concept of regional exhaustion.³⁴

A bigger tension existed between the case law of the BGH and the ECJ, with respect to the applicability of the doctrine to service-type uses. On the one hand, the ECJ concluded in *Coditel I*³⁵ that the retransmission of foreign TV signals, via cable, was subject to authorization and that the doctrine of exhaustion was not applicable to this type of use. On the other hand, the BGH in the very same year, opined that the first authorized broadcasting of a work led to the exhaustion of the right of distribution.³⁶ The BGH's somewhat archaic approach centered on the fact that the court referred to the ratio of *Der Heiligenhof*, which was decided under the LUG and not the UrhG.³⁷ Interestingly, the LUG, unlike the UrhG, also applied the right of distribution to immaterial forms of public dissemination of works.³⁸ Similarly, the applicability of the doctrine of exhaustion to video rentals remained unsettled, in Germany, until the ECJ published its preliminary ruling in *Warner Brothers v. Christiansen*.³⁹ The BGH ultimately confirmed that the public performance right is not subject to exhaustion.⁴⁰

The tension between the case law of the BGH and the ECJ on service-type uses was finally resolved, in the 1990s, with the issue of EU “vertical” directives. The concept of national exhaustion was accordingly removed after the UrhG reform of 1995, where the vertical directives were implemented by the German Parliament.

Moving on from the example of Germany, Dutch copyright law serves as another fruitful case for our consideration. The country's copyright Act was adopted in 1912, yet no explicit mention of the doctrine of exhaustion can be exhibited from the original text. Nonetheless, Article 12 of the Act, which detailed the authors' exclusive right of publication (*openbaar maken*) covered, solely, the distribution (*verbreiding*) of unpublished literary, scientific, and artistic works. This formulation was later clarified by three decisions of the Hoge Raad.⁴¹

³³ Ibid. ³⁴ BGH 21.03.1985 (I ZR 166/82) 924–926.

³⁵ *SA Compagnie générale pour la diffusion de la télévision, Coditel and Others v. Ciné Vog Films and Others*, Case 62/79, ECLI:EU:C:1980:84.

³⁶ BGH 07.11.1980 (I ZR 24/79) 413–419. ³⁷ Ulmer (1981) 375–376.

³⁸ Allfeld (1928) 144. ³⁹ von Ungern-Sternberg (1984) 262–267.

⁴⁰ BGH 15.05.1986 (I ZR 22/84) 742–743.

⁴¹ The following decisions are introduced by Verkade (2012) 295–299.

First, in the 1952 case of *Leesportefeuille*, the defendant made available collections (reading-cases) of five to ten writings appropriated from weekly and monthly journals to its clients for a limited period (usually one week). After the collections were returned to the defendant, it then shared them again with other clients. This process usually occurred a total of ten to fifteen times. The Hoge Raad concluded that the above activity was lawful. The court rejected the plaintiff's argument that the service ran against the publishers' express prohibition, inserted in the colophons of the magazines, in which they warned third parties that they did not consent to any reuse of writings.⁴²

Second, in the 1979 case of *Poortvliet*, the defendant cut the works of Rien Poortvliet, who was famous for his drawings and paintings of animals and gnomes, from the calendar in which they had been published and sold them attached to plywood. The decision of the Hoge Raad confirmed that there was no violation of the law, because the defendant had transformed the works and had not simply resold them.⁴³

Third, the 1987 *Stemra v. Free Record Shop* case discussed the legality of the rental of sound recordings. The Hoge Raad clarified that the Dutch copyright Act does not grant an exclusive right to the authors for "further distribution" (*verder openbaar maken*) of their works through rental. The court emphasized that the publishers cannot acquire this right to prohibit the rental by issuing an expressed notice.⁴⁴

The default scope of exhaustion was international in Dutch law.⁴⁵ Not surprisingly, the Netherlands tried to resist the concept of regional exhaustion.⁴⁶ Nevertheless, the concept of international exhaustion was irrevocably overruled by the implementation of the InfoSoc Directive into the Netherlands legal infrastructure.⁴⁷

From the remaining four founders of the EEC, Italy was the only country in which judicial practice ensured the application of exhaustion through legal interpretation.⁴⁸ In the three remaining states, namely, France, Belgium, and Luxembourg, exhaustion was unknown, with the theory of *droit de destination* being favored. This theory of destination granted a practically unlimited exclusivity for the rightholder to decide

⁴² Ibid., 297. ⁴³ Ibid., 298. See further Seville (2016) 72, note 312.

⁴⁴ Verkade (2012) 299.

⁴⁵ This was best evidenced by the *Deléal* ruling of the Court of Amsterdam. Compare to Van Oostveen (1997) D74–75; Cohen Jehoram (1999) 499; Spoor et al. (2005) 186; Overdijk et al. (2011) 36. Similarly, Scandinavian countries – who were EFTA members at that time – relied on the concept of international exhaustion. See Reimer (1981) 495–496; Koktvedgaard (1982) 359–360; Rosén (1987) 120–131; Bjelke (1991) 42; Karnell (1999) 654–660.

⁴⁶ Compare to *Laserdisken ApS v. Kulturministeriet*, Case C-479/04, ECLI:EU:C:2006:549.

⁴⁷ Walter and von Lewinski (2010) 231. ⁴⁸ Röttinger (1993) 58.

on the requirements of the initial and any further distribution of the copies, as well as the exclusion of some forms of appropriation of the copies (e.g., rental). As Alphonse Tournier summarized the ratio of the Brussels Court of Appeals' ruling from 1953, "the record – the Appeal Court has made no mistake – is not an ordinary chattel like a table or a chair; it is not merely an ebonite plate. It is such a chattel, as regards raw material and manufactured product, but it is also and above all the tangible evidence of the publication of a work, and to this second and essential element of the record, the purchaser has only a limited right of use – limited by the wish of the author in the exercise of his reproduction rights."⁴⁹ Consequently, the *droit de destination* bound not only the contractual partners but also any relevant third party.⁵⁰ The existence of the *droit de destination* was confirmed as late as 1988 by the French Supreme Court (Cour de Cassation).⁵¹

2.2 The First Phase of ECJ Case Law in the 1970s and 1980s

Irrespective of whether the EEC had competence to deal with copyright law or not, the differing domestic rules made it practically impossible to regulate the doctrine of exhaustion in the early years of the EEC. Consequently, the "first phase" of the harmonization of the doctrine was carried out in front of the ECJ, through the ECJ's interpretation of the fundamental rules of the TEEC.⁵²

In the landmark *Deutsche Grammophon* case, the plaintiff sold its audio discs in the territory of the FRG for a fixed price (DM 12.33 + VAT) to distributors and wholesale retailers. They were also required to sell the copies for a fixed price (DM 19). The Deutsche Grammophon (DG) only contracted with German companies that accepted the use of fixed prices. In other Member States DG authorized the sale of records "in accordance with the traditional retail practice" of individual licensing agreements.⁵³ During 1969, for several months, the defendant offered the discs at a lower price, ranging between DM 13.50 to DM 14.85 +

⁴⁹ Tournier (1953) 30.

⁵⁰ Compare to Tournier (1953) 32; Tournier (1961) 84–107; Reimer (1981) 497–498; Green Paper (1988) 147–148, para. 4.2.2; Cohen Jehoram (1999) 499; Corbet (2005) 48–50.

⁵¹ Spitz (2015) 73.

⁵² Jütte (2017) 134–139. Frank Gotzen called this first phase of harmonisation, led by the ECJ, as the "phase of confrontation." See Brison (2012) 31–32.

⁵³ "In paragraph (1) these licensing agreements state in particular that DG assigns to the licensee the exclusive right to exploit its recordings in the territory covered by the agreement in a manner in accordance with normal commercial usage." See *Deutsche Grammophon* (1971) 490.

VAT, as it was not contractually bound to follow the fixed prices. As soon as the plaintiff learned of Metro's actions, it requested the defendant to cease such behavior immediately, yet these attempts were unsuccessful. Later, Metro purchased more audio discs from an alternative company called Rosner & Co., which was headquartered in Hamburg. Metro continued selling these records for an even cheaper price than the former (DM 11.95 to 12.95 + VAT). The disputed discs were produced by DG in the FRG. However, these copies were provided to DG's French subsidiary (Polydor), who then sold them in the territory of a third country. Rosner & Co. acquired these copies from this source. DG argued that Metro's activity violated its distribution right granted under the UrhG.⁵⁴ DG also claimed that the German rules on exhaustion cannot be applied, because the discs at issue were not originally sold in the territory of Germany.⁵⁵

The ECJ based its preliminary ruling on the principles of the TEEC, namely, the prohibition of partitioning the market, the free movement of goods and the prohibition of distortion of competition.⁵⁶ The ECJ emphasized that prohibitions and restrictions can be applied in commerce, including copyright law, unless, in accordance with Article 36 of the TEEC, these measures serve arbitrary discrimination or disguised restriction of the trade between Member States.⁵⁷ The ECJ concluded that

[i]f a right related to copyright is relied upon to prevent the marketing in a Member State of products distributed by the holder of the right or with his consent on the territory of another Member State on the sole ground that such distribution did not take place on the national territory, such a prohibition, which would legitimize the isolation of national markets, would be repugnant to the essential purpose of the Treaty, which is to unite national markets into a single market. That purpose could not be attained if, under the various legal systems of the Member States, nationals of those States were able to partition the market and bring about arbitrary discrimination or disguised restrictions on trade between Member States. Consequently, it would be in conflict with the provisions prescribing the free movement of products within the common market for a manufacturer of sound recordings to exercise the exclusive right to distribute the protected articles, conferred upon him by the legislation of a Member State, in such a way as to prohibit the sale in that State of products placed on the market by him or with his consent in another Member State solely because such distribution did not occur within the territory of the first Member State.⁵⁸

⁵⁴ UrhG Art. 85. ⁵⁵ *Deutsche Grammophon* (1971) 489–490.

⁵⁶ Compare to TEEC Arts. 3(G), 5, 30, 36, 85(1), and 86.

⁵⁷ *Deutsche Grammophon* (1971) paras. 5–11. On the functioning of Art. 36, see Fennelly (2003) 33–4–33–11.

⁵⁸ *Deutsche Grammophon* (1971) paras. 12–13.

The ruling clarified that contractual stipulations cannot be applied to persons who are not a party to the original contract. Furthermore, and more importantly, it set forth that the establishment and functioning of the single market preempts the application of copyright law and related rights. Jan Corbet has called this the “Eurodefense.”⁵⁹ However, it is arguable that prohibitions and restrictions that are reasonable and do not arbitrarily limit the trade between the Member States and therefore do not partition the single market are acceptable. National exhaustion, that is, the prohibition of parallel imports from other Member States, was found to be such an arbitrary restriction. Consequently, only regional exhaustion can “facilitate the achievement of the Community’s aims.”⁶⁰

The ECJ was presented almost immediately with a further chance to develop the doctrine of exhaustion in *Membran*. In this case, the German collective rights management association (CMO) of sound recording producers, GEMA, sued Musik-Vertrieb Membran GmbH and K-Tel International for importing audio discs to the FRG that were lawfully sold within the common market. The judges submitted that

[i]t follows from the foregoing considerations that neither the copyright owner or his licensee, nor a copyright management society acting in the owner’s or licensee’s name, may rely on the exclusive exploitation right conferred by copyright to prevent or restrict the importation of sound recordings which have been lawfully marketed in another Member State by the owner himself or with his consent. [...] It should be observed next that no provision of national legislation may permit an undertaking which is responsible for the management of copyrights and has a monopoly on the territory of a Member State by virtue of that management to charge a levy on products imported from another Member State where they were put into circulation by or with the consent of the copyright owner and thereby cause the Common Market to be partitioned. Such a practice would amount to allowing a private undertaking to impose a charge on the importation of sound recordings which are already in free circulation in the Common Market on account of their crossing a frontier; it would therefore have the effect of entrenching the isolation of national markets which the [TEEC] seeks to abolish.⁶¹

This decision confirmed the validity of *Deutsche Grammophon* and the supremacy of the common market over the interests of rightholders regarding lawfully sold copies of sound recordings. The ECJ also found

⁵⁹ Corbet (1994) 327.

⁶⁰ TEEC Art. 5. On the fears stemming from the novelty of regional exhaustion, see Dietz (1985) 388–397. On the ruling, see Korah (1982) 16–18.

⁶¹ *Musik-Vertrieb membran GmbH and K-tel International v. GEMA – Gesellschaft für musikalische Aufführungs- und mechanische Vervielfältigungsrechte*, Joined Cases 55 and 57/80, ECLI:EU:C:1981:10, paras. 15 and 18. On the ruling, see Korah (1982) 24–28.

that the right of distribution exhausts, irrespective of the fact that the source and target country applied a slightly different rate of royalties for the reproduction and distribution of the sound recordings. Consequently, it is clear that rightholders are not entitled to claim the highest possible reward for the use of their protected subject matter.⁶²

Elsewhere, the ECJ had to decide whether the French copyright law complied with Article 30 of the TEEC, as it stipulated that at least six to eighteen months should elapse between the theater screenings of a movie and its subsequent distribution on video tapes. The ECJ found that the French law could simultaneously be applied to the distribution of video tapes, regardless of the place of their first sale, and that the rule was capable of distorting trade within the Community. Nevertheless, the ECJ found that the French law served culturally important aims, namely, to facilitate the creation of motion pictures. The law, thus, complied with Articles 30 and 36 of the TEEC and therefore copyrights prevail over the free movement of video tapes.⁶³ Likewise, the ECJ allowed the French CMO, SACEM, to request the payment of 8.25 percent of the turnover of discotheques that use recorded musical works. Of this, 6.6 percent represents a performance fee and 1.65 percent represents a supplementary mechanical reproduction fee. As the French law applied to every copy of sound recordings, irrespective of the location of the first sale of the records,⁶⁴ the ECJ concluded that

even if the charging of the fee in question were to be capable of having a restrictive effect on imports, it does not constitute a measure having equivalent effect prohibited under Article 30 of the Treaty inasmuch as it must be regarded as a normal exploitation of copyright and does not constitute a means of arbitrary discrimination or a disguised restriction on trade between Member States for the purposes of Article 36 of the Treaty.⁶⁵

Following on from this, the ECJ had to clarify the boundaries of the doctrine of exhaustion in relation to service-like uses as well. In *Coditel I* the plaintiff Ciné Vog Films acquired exclusive rights to show the movie *Le Boucher* publicly in Belgium. This included movie performances and TV broadcasting. Ciné Vog Films' original license lasted for seven years, commencing from the first showing of the movie in theaters, namely,

⁶² The BGH did not follow the ECJ's ruling, as it did not treat the transfer of the copies to the foreign subsidiary of the original producer as a first sale and, consequently, distribution. See BGH 06.05.1981 (I ZR 92/78) 102.

⁶³ *Cinéthèque SA and Others v. Fédération nationale des cinémas français*, Joined Cases 60/84 and 61/84, ECLI:EU:C:1985:329, paras. 21–24.

⁶⁴ *G. Basset v. Société des auteurs, compositeurs et éditeurs de musique (SACEM)*, Case 402/85, ECLI:EU:C:1987:197, paras. 12–15.

⁶⁵ *Ibid.*, para. 16.

May 15, 1970. The original agreement prescribed that the TV broadcasting could only start forty months after the first movie showing. The original producers of *Le Boucher* authorized in parallel the German public television broadcasting station to broadcast the work in the territory of the FRG. Coditel, a Belgian cable television network, picked up the signals of the German station's program of January 5, 1971, and retransmitted (diffused) the signals to its subscribers via cable. Ciné Vog Films considered this action a violation of its exclusive rights over the content, whereas Coditel tried to defend itself by citing the free supply of services granted under Article 59 of the TEEC. The Belgian Court of Appeals established that, under Article 11^{bis} of BC,⁶⁶ although the defendant ("an organization different from the original") performed an act of unauthorized retransmission, it was in doubt whether the free supply of services prevailed.⁶⁷

The ECJ affirmed that the broadcasting ("showing") of movies under geographically limited licenses cannot be considered an arbitrary discrimination or disguised restriction. The ECJ noted that "the right of a copyright owner and his assigns to require fees for any showing of a film is part of the essential function of copyright in this type of literary and artistic work."⁶⁸ Therefore, a cable TV operator that receives signals from another Member State can be prohibited from the retransmission of those signals.⁶⁹ The exclusion of service-like uses, namely, retransmission of TV signals, from the scope of the doctrine of exhaustion was reaffirmed by the ECJ in *Coditel II*.⁷⁰

The ECJ similarly backed rightholders' interests in *Warner Brothers v. Christiansen*. This dispute arose out of video rental practices that became popular in Europe in the 1980s. The defendant, who operated a video rental store in Copenhagen, lawfully purchased a copy of the plaintiff's movie *Never Say Never Again* in the UK and imported it to

⁶⁶ "Authors of literary and artistic works shall have the exclusive right of authorizing:

- (i) The radio-diffusion of their works or the communication thereof to the public by any other means of wireless diffusion of signs, sounds or images;
- (ii) Any communication to the public, whether over wires or not, of the radio-diffusion of the work, when this communication is made by a body other than the original one; The communication to the public by loudspeaker or any other similar instrument transmitting, by signs, sounds or images, the radiodiffusion of the work." See BC Art. 11^{bis} (1).

⁶⁷ On the facts of the case, see *Coditel v. Ciné Vog Films* (1980) 883–885.

⁶⁸ *Ibid.*, para. 14. ⁶⁹ *Ibid.*, paras. 15–17.

⁷⁰ *Coditel SA, Compagnie générale pour la diffusion de la télévision and Others v. Ciné-Vog Films SA and Others*, Case 262/81, ECLI:EU:C:1982:334. The *Coditel* rulings of the ECJ served as a practical foundation of the Television without Frontiers Directive and the Satellite Directive. See Schricker (1988) 492. On the *Coditel* rulings, see Korah (1982) 43–42; Cohen Jehoram (1985) 193–194.

Denmark. The Danish copyright law granted an exclusive right of rental for the benefit of authors and producers of audiovisual works. In Denmark, Metronome Video ApS had these rights with respect to plaintiff's movie.⁷¹ The ECJ concluded that

[t]he existence of that [hiring] market was made possible by various factors such as the improvement of manufacturing methods for video-cassettes which increased their strength and life in use, the growing awareness amongst viewers that they watch only occasionally the video-cassettes which they have bought and, lastly, their relatively high purchase price. The market for the hiring out of video-cassettes reaches a wider public than the market for their sale and, at present, offers great potential as a source of revenue for makers of films. However, it is apparent that, by authorizing the collection of royalties only on sales to private individuals and to persons hiring out videocassettes, it is impossible to guarantee to makers of films a remuneration which reflects the number of occasions on which the video-cassettes are actually hired out, and which secures for them a satisfactory share of the rental market. That explains why, as the Commission points out in its observations, certain national laws have recently provided specific protection of the right to hire out video-cassettes.⁷²

The above opinion of the ECJ has not only excluded the applicability of exhaustion on video rental, but it also showed the way toward harmonizing the rental right in general.⁷³

Finally, in 1989 the ECJ broadened the scope of exhaustion by adding a further dimension to the principle. In *EMI v. Patricia*, the plaintiff, EMI Electrola GmbH, acquired rights from its parent company, EMI Records Limited, to reproduce and distribute the sound recordings of Cliff Richards. The defendants, Patricia Im- und Export and Lüne-ton, produced unauthorized sound recordings in Germany that incorporated several performances of the English musician. Although the recordings were exported to a Danish enterprise, they were later reimported to the FRG. The plaintiff claimed the violation of its reproduction and distribution rights. The defendants argued that the recordings were lawfully marketed in Denmark, as the term of protection for the sound recordings at issue had already expired under Danish law.⁷⁴

The ECJ confirmed that authorization was not necessary for the distribution of the sound recordings in Denmark, as the term of

⁷¹ *Warner Brothers Inc. and Metronome Video ApS v. Erik Viuff Christiansen*, Case 158/86, ECLI:EU:C:1988:242, paras. 3–5.

⁷² *Ibid.*, paras. 14–15.

⁷³ Rothnie (1993) 370. The courts of the then non-EEC Member States Finland and Norway followed a completely identical practice with respect to video rentals. See Bjelke (1991) 43.

⁷⁴ *EMI Electrola GmbH v. Patricia Im- und Export and Others*, Case C-341/87, ECLI:EU:C:1989:30, paras. 1–4.

protection expired there. However, this did not provide proper grounds for any further distribution of the copies in the territory of other Member States, where protection still existed. According to the ECJ,

the fact that the sound recordings were lawfully marketed in another Member State is due, not to an act or the consent of the copyright owner or his licensee, but to the expiry of the protection period provided for by the legislation of that Member State. The problem arising thus stems from the differences between national legislation regarding the period of protection afforded by copyright and by related rights, those differences concerning either the duration of the protection itself or the details thereof, such as the time when the protection period begins to run. [...] Insofar as the disparity between national laws may give rise to restrictions on intra-Community trade in sound recordings, such restrictions are justified under Article 36 of the [TEEC] Treaty if they are the result of differences between the rules governing the period of protection and this is inseparably linked to the very existence of the exclusive rights.⁷⁵

In sum, the first phase rulings of the ECJ set the fundamentals of the theoretical framework of the doctrine of exhaustion. These can be summarized as follows:

- contractual provisions cannot be enforced against third parties (*Deutsche Grammophon*);
- the first lawful distribution allows for the exhaustion of the distribution right (*Deutsche Grammophon* and – following an *a contrario* argument – *Patricia*);
- the free movement of goods and the theory of the common market enjoy priority over copyright law; this also serves as the basis for regional exhaustion (*Deutsche Grammophon*, *Membran*, and *Patricia*);
- the free supply of services can be limited with reference to copyright law (*Coditel I* and *II* as well as *Warner Brothers*);
- those provisions of Member States that protect cultural values and that are to be applied without discrimination to goods produced in the Member States and abroad can serve as reasonable limitations to the principle of free movement of goods (*Cinéthèque*);
- different royalty rates applied by Member States without discrimination on service-like use of copies, produced in Member States and abroad, do not provide grounds for the unauthorized use of copies (*Basset*);

⁷⁵ Ibid., paras. 10 and 12. The differences of Member States' rules on copyright terms led the European Commission on the preparation of the directive that harmonized copyright terms within the whole EU. The directive was finally accepted in 1993. Compare to Cohen Jehoram (2001) 533–534. The ratio of the ruling was later reaffirmed in *Criminal proceedings against Titus Alexander Jochen Donner*, Case C-5/11, ECLI:EU:C:2012:370, paras. 31–37.

- different royalty rates applied by Member States on the reproduction and distribution of copies do not provide grounds to prevent the resale of the lawfully marketed copies (*Membran*);
- different calculations as to the term of protection and, in certain cases, the expiry of the term of protection does not provide suitable grounds for the reliance upon exhaustion (*Patricia*).⁷⁶

2.3 The Green Paper 1988

Herman Cohen Jehoram reasoned that the first generation of ECJ case law was sufficiently detailed and remained in full compliance with the aims of the EEC. Consequently, this satisfaction with the status quo hindered the emergence of further harmonization in this area.⁷⁷ Some questioned whether it would be necessary or even right to incorporate copyright law under the scope of Articles 30 and 36 of the TEEC.⁷⁸

Others criticized the reasons for an exclusive regional legal exhaustion.⁷⁹ The White Paper 1985 inspected the stability of the common market and asserted as a principle that the “[d]ifferences in intellectual property laws have a direct and negative impact on intra-Community trade and on the ability of enterprises to treat the common market as a single environment for their economic activities.”⁸⁰

Only a few weeks after the *Warner Brothers v. Christiansen* ruling was issued, the European Commission published the Green Paper on “Copyright and the Challenge of Technology.” This discussion gave a timely boost to the prospects of harmonization within copyright law.⁸¹ There, the European Commission stated that

⁷⁶ On the preliminary rulings of the ECJ from the first phase, see Reimer (1972) 232–233; Ubertaini (1985) 55–66; Gladwell (1986) 369–370; Gotzen (1990) 301–302; Rothnie (1993) 330–335, 346–350, 364–271, 375, and 377; Röttinger (1993) 62–112; Gaubiac (2002) 3–6; Tritton (2002) 462–464, 529–537; Fennelly (2003) 33–11–33–17; Keeling (2003) 81–82, 99–102; Cook (2010) 24–26, 38–42; Espantaleon (2010) 32–33; Walter and von Lewinski (2010) 64, paras. 3.0.27, 68–69, paras. 3.0.38–43, and 1001–1005, paras. 11.4.28–11.4.40; Hugenholtz (2012) 196.

⁷⁷ Cohen Jehoram (1994) 822.

⁷⁸ Adolf Dietz informed us that Frank Gotzen made a stand for the cultural embeddedness of copyright law, and for the exclusion of it from the scope of industrial and commercial property. See Dietz (1979) 398–399.

⁷⁹ During the 1980s, the exclusiveness of regional exhaustion was questioned in the Netherlands and Sweden, where exhaustion functioned with an international reach. See Karnell (1999) 656–659; Cohen Jehoram (1999) 495–497. See further Dietz (1979) 407.

⁸⁰ COM(85) 310, 37, para. 145.

⁸¹ Working groups were already founded in the EEC in 1959 to deal with industrial property issues (especially patent, trademark, and design laws). Copyright law was not

[t]he Court has held that in all these fields reliance on an exclusive right to exclude goods lawfully marketed in other Member States would be incompatible with the fundamental principles of the Community Treaty providing for the free circulation of goods since it would legitimize the isolation of national markets. While Article 36 EEC authorizes the Member States to maintain restrictions on imports justified on the grounds of the protection of industrial and commercial property, it does not permit a right holder to prevent the free circulation of goods once, with the right holder's consent, they have been placed on the market within the Community.⁸²

At the same time, the Commission found the ECJ case law detailed enough to establish that "national copyright laws will not have adverse or divergent effects on the functioning of the common market."⁸³ Consequently, the harmonization of a general right of distribution and the related doctrine of exhaustion seemed to be unnecessary in 1988.⁸⁴ The European Commission only revised its opinion in the Green Paper 1995.⁸⁵

The European Commission realized that community law needed to urgently answer several social and legal challenges. Prior to the 1980s, the rental of sound recordings hadn't been an attractive business due to the significant deterioration of the data carriers' quality.⁸⁶ However, as digital technologies became more popular in the 1980s, with Sony standardizing the CD in 1983 and putting the digital audio tape (DAT) on the market in 1987, the quality of the copies became sufficiently stable and as a result the "rental outlets ... mushroomed."⁸⁷ This exponential growth was also in part due to the high price of video tapes and video players.⁸⁸ Unfortunately, the Green Paper 1988 omitted a detailed analysis of the software rental practices in the EEC. The document merely urged the harmonization of economic rights of software creators.⁸⁹ The stakeholders of the music, film, and software industries were also

among these topics, as it showed a weaker economic significance for the EEC. See Cook (2010) 5, para. 1.07. Later, the European Parliament accepted a resolution on May 30, 1974, that touched upon culture, and thus, indirectly, copyright law. A slow but consequent discussion on the cultural dimension of the EEC took place after this time. Compare to Dietz (1985) 380–384.

⁸² Green Paper (1988) 148, para. 4.3.1. ⁸³ Ibid., 152, para. 4.4.1.

⁸⁴ Ibid., 153, para. 4.4.4. Compare to Gotzen (1990) 301.

⁸⁵ Green Paper (1995). See further von Lewinski (2005) 233.

⁸⁶ Green Paper (1988) para. 4.5.2. ⁸⁷ Ibid., 156, para. 4.5.3.

⁸⁸ Ibid., 157, para. 4.5.5. Elsewhere, the Green Paper 1988 noticed that – unlike in the US – the purchase and rental prices of video tapes converged in the 1980s. Consequently, the Commission opined that "the profit margin for video pirates has been dramatically reduced in the last few years, taking away a major incentive to engage in the activity." See *ibid.*, 37, para. 2.3.4. See further Reimer (1982) 364.

⁸⁹ Green Paper (1988) 191, para. 5.6.14. and 200, para. 5.8.2.d.

lobbying for the EEC-level harmonization of a new rental right. The Green Paper 1988 agreed with this demand and stated that

[p]resent trends in the distribution and marketing of sound and video recordings suggest that commercial rental will constitute an increasingly important means by which such recordings will be made available to the public. Furthermore, given the links between rental and the problems of piracy and private copying, this development implies significant economic consequences for those whose works and performances are recorded. In the absence of a firm legal basis for right holders to authorize the commercial exploitation of their works through rental, it seems likely that those responsible for creating recorded works will receive a much lower return for their efforts and investment than would otherwise be the case, while middlemen could profit disproportionately from the efforts of others.⁹⁰

Thus, the European Commission recommended arranging the rental right for copyright and related rightholders in the music, film, and software industries. The Green Paper 1988 emphasized that the introduction of such a right would not run against the case law of the ECJ, since the latter accepted the application of exhaustion solely in relation to tangible copies and foreclosed the application of the doctrine to service-type uses.⁹¹

The Commission did not appear to show any interest in regulating the right of lending in the Green Paper 1988.⁹² However, the Commission's reluctance was overruled shortly thereafter by the Council in 1992, when the right of lending was then harmonized.⁹³

2.4 Vertical Harmonization (1991–1996) and Special Rules on Exhaustion

The first copyright directive of the EEC was adopted in 1991 and outlined the protection afforded to computer programs. As of that moment, only six of the twelve Member States had regulated exhaustion.⁹⁴ The Software Directive changed this situation in several ways. First, it

⁹⁰ Ibid., 161, para. 4.10.1. See further Schricker (1988) 500–502. It was not the Green Paper 1988 that solicited first for the introduction of the rental right. The ALAI represented this view already in 1961. Later, the WIPO and CISAC expressed a similar opinion in several working papers. See Desurmont (1987) 8.

⁹¹ Green Paper (1988) 163, para. 4.10.5. ⁹² Ibid., 165, para. 4.10.9.

⁹³ On the content and the reactions to the Green Paper in general, see Lucas (1991) 145–153.

⁹⁴ Green Paper (1988) 147–148, para. 4.2.2; Gotzen (1990) 300. In the UK, the theory of implied license, at least hypothetically, allowed for the exhaustion of the distribution right. See Tritton (2002) 471–473, paras. 7–017–7–018; Cook (2010) 17, para. 2.08.

introduced the new rental right for the authors of software.⁹⁵ Second, it harmonized exhaustion in compliance with ECJ case law. Accordingly, “the first sale in the Community of a copy of a program by the rightholder or with his consent shall exhaust the distribution right within the Community of that copy, with the exception of the right to control further rental of the program or a copy thereof.”⁹⁶

The directive focuses solely on software; therefore, neither the rights nor the limitations included in the directive can be applied to other types of subject matter. The directive does not distinguish between the medium on which the copy of the program is reproduced or distributed; thus, in theory, it can cover both tangible and intangible versions. This might be true, even though Mario Monti, Commissioner for Competition, made a statement to the contrary in 2000. He claimed that “[a]s to the exhaustion of copyright it must be borne in mind that under the Directive Community exhaustion only applies to the sale of copies i.e. goods, whereas supply through on-line services does not entail exhaustion.”⁹⁷ Nevertheless, Monti gave the above opinion as an answer to a specific question raised by a Member of the European Parliament and thus it lacks any binding nature. Yet, this question remains extremely significant with respect to the digital first-sale doctrine.

Following the paths of the ECJ, the Software Directive spoke of a Community-wide exhaustion. It further distinguished between “sales-type” and “service-type” distribution, where the application of the doctrine of exhaustion to the latter was excluded. Unfortunately, neither the original nor the codified version of the directive contains a single recital on the policy considerations relating to the application of the doctrine. This omission might be explained by the fact that the Council fitted the right of distribution and the regional exhaustion into the text of the directive only as part of the common position during the final phase of legislation.⁹⁸

One year after adopting the Software Directive, the Council finalized a further directive, which dealt with rental and lending rights, as well as the economic rights of related rightholders. The right of distribution was granted for performers (in respect of fixation of their performances), phonogram producers (in respect of their phonograms), producers of the first fixations of films (in respect of the originals and copies of their

⁹⁵ Council Directive 91/250/EEC Art. 4(c) first sentence. This provision is currently located in Directive 2009/24/EC Art. 4(1)(c).

⁹⁶ Council Directive 91/250/EEC Art. 4(c) second sentence. This provision is currently located in Directive 2009/24/EC Art. 4(2).

⁹⁷ COM(2000) 199, 17. ⁹⁸ Walter and von Lewinski (2010) 125, para. 5.4.6.

films), and broadcasting organizations (in respect of the fixations of their broadcasts).⁹⁹ The Council resisted national exhaustion, as they felt it would jeopardize the attainment of the objectives of the internal market, and instead chose to regulate the regional/Community-wide exhaustion of the right of distribution.¹⁰⁰ Furthermore, the directive excluded rental and lending activities as services from the scope of exhaustion.¹⁰¹ Finally, as a side note: the *droit de destination* ultimately surrendered due to the harmonization of the principle of exhaustion. To be more precise, the Directive on Rental, Lending and Related Rights has only harmonized the rights of related rightholders. The *droit de destination* lost its final battle when the InfoSoc Directive was implemented by the Francophone countries.¹⁰²

Notwithstanding the above, not one recital explained any further details of the doctrine's operation. This might be clarified by the fact that the exclusion of the applicability of the doctrine of exhaustion on rental and lending rights was added to the directive by a mere technical modification. To explain, the original motion of the Commission contained the phrase "shall not be *affected*." This was later changed by the European Parliament to "shall not be *exhausted*." As the ECJ already confirmed that the doctrine of exhaustion affects only the distribution right, this technical modification might arguably have been unnecessary.¹⁰³ However, the modification should not be perceived as a mistake, as its content and consequences were the same as those of the original motion and the judicial practice of the Community. Indeed, the terminological consequence is of vital importance and therefore the amendment should be applauded.

Shortly after the adoption of the directive, a German company dealing with the rental of sound recordings questioned the harmonization of the rental right or, to be more specific, its exclusion from the scope of exhaustion. The ECJ refused the plaintiff's claim and emphasized that

⁹⁹ Council Directive 92/100/EEC Art. 9(1). This rule is identically numbered in Directive 2006/115/EC.

¹⁰⁰ The draft version of the directive – in Art. 7(2) – aimed to allow for the regional parallel importation of protected subject matter more directly. According to it, "[i]f a subject matter referred to in paragraph 1 (fixations of performers' performances, phonograms, visual and audiovisual recordings and fixations of broadcasts) has been put into circulation within the Community by the right owner or with his consent, then its import into another Member State may not be prohibited by virtue of the right referred to in paragraph 1 (exclusive right to make the subject matter in question available to the public by sale or otherwise)." Quoted by Röttinger (1993) 94.

¹⁰¹ Council Directive 92/100/EEC Art. 1(4). This provision is currently located in Directive 2006/115/EC Art. 1(2).

¹⁰² Brison (2012) 41. ¹⁰³ Walter and von Lewinski (2010) 268, para. 6.1.33.

the release into circulation of a sound recording cannot, therefore, by definition, render lawful other forms of exploitation of the protected work, such as rental, which are of a different nature from sale or any other lawful form of distribution. Thus, the distinction drawn in the [Rental] Directive between the effects of the specific rental and lending right is justified. The former is not exhausted by the sale or any other act of distribution of the object, whereas the latter may be exhausted, but only and specifically upon the first sale in the Community by the rightholder or with his consent. The introduction by the Community legislation of an exclusive rental right cannot therefore constitute any breach of the principle of exhaustion of the distribution right, the purpose and scope of which are different.¹⁰⁴

Furthermore, the ECJ added that

the inclusion, challenged by the defendant in the main proceedings, of phonogram producers among the beneficiaries of the exclusive rental right appears justified by the protection of the extremely high and risky investments which are required for the production of phonograms and are essential if authors are to go on creating new works. As the Advocate General has explained in point 26 of his Opinion, the grant of an exclusive right to producers certainly constitutes the most effective form of protection, having regard in particular to the development of new technologies and the increasing threat of piracy, which is favoured by the extreme ease with which recordings can be copied. In the absence of such a right, it is likely that the remuneration of those who invest in the creation of those products would cease to be properly guaranteed, with inevitable repercussions for the creation of new works.¹⁰⁵

The European Parliament and the Council adopted another vertical directive in 1996. The Database Directive acknowledged the right of distribution for the authors of databases.¹⁰⁶ At the same time, it limited the doctrine's application in line with the concept of Community-wide exhaustion¹⁰⁷ and said that "the first sale in the Community of a copy of the database by the rightholder or with his consent shall exhaust the right to control resale of that copy within the Community."¹⁰⁸ The exhaustion of the distribution right cannot be contractually overridden, as the doctrine guarantees the preservation of the free movement of goods and the freedom of commerce, and any option to override the doctrine "would mean a standstill of the economy."¹⁰⁹

¹⁰⁴ *Metronome Musik GmbH v. Music Point Hokamp GmbH*, Case C-200/96, ECLI:EU:C:1998:172, paras. 18–20.

¹⁰⁵ *Ibid.*, para. 24. See further Braun (1998) 627–630; Travers (1999) 171–177.

¹⁰⁶ Database Directive Art. 5(c) first sentence.

¹⁰⁷ The applicability of international exhaustion was expressly refused by the Commission during the preparation of the directive. See Walter and von Lewinski (2010) 719, para. 9.5.15. Reinbothe found international exhaustion undefendable already in 1999. See Reinbothe (1999) 49.

¹⁰⁸ Database Directive Art. 5(c) second sentence. ¹⁰⁹ Derclaye (2008) 185.

A similar provision is introduced in relation to the *sui generis* protection of database producers. According to it,

re-utilization shall mean any form of making available to the public, all or a substantial part of the contents of a database by the distribution of copies, by renting, by on-line or other forms of transmission. The first sale of a copy of a database within the Community by the rightholder or with his consent shall exhaust the right to control resale of that copy within the Community.¹¹⁰

Nonetheless, the ECJ made it clear that

the concepts of extraction and re-utilisation cannot be exhaustively defined as instances of extraction and re-utilisation directly from the original database at the risk of leaving the maker of the database without protection from unauthorised copying from a copy of the database. That interpretation is confirmed by Article 7 (2)(b) of the directive, according to which the first sale of a copy of a database within the Community by the rightholder or with his consent is to exhaust the right to control “resale,” but not the right to control extraction and re-utilisation of the contents, of that copy within the Community.¹¹¹

Unlike the earlier directives, the Database Directive enhanced the dogmatic foundation of exhaustion in its recitals. According to one of them,

the question of exhaustion of the right of distribution does not arise in the case of on-line databases [...] this also applies with regard to a material copy of such a database made by the user of such a service with the consent of the right-holder, whereas, unlike CD-ROM or CD-I, where the intellectual property is incorporated in a material medium, namely an item of goods, every on-line service is in fact an act which will have to be subject to authorization where the copyright so provides.¹¹²

Furthermore, “in the case of on-line transmission, the right to prohibit re-utilization is not exhausted either as regards the database or as regards a material copy of the database or of part thereof made by the addressee of the transmission with the consent of the rightholder.”¹¹³

These provisions do not contain anything surprising. Indeed, the WCT, which was accepted the same year, made clear that the doctrine concerns exclusively tangible copies. As the EU supported this view during the negotiations of the WCT, it is understandable that this prerequisite is incorporated into the Database Directive as well. It is

¹¹⁰ Database Directive Art. 7(2)(c).

¹¹¹ *The British Horseracing Board Ltd and Others v. William Hill Organization Ltd.*, Case C-203/02, ECLI:EU:C:2004:695, para. 54. See further Aplin (2005) 204–221; Gaster (2005) 129–135; Wiebe (2005) 169–174; Kon and Heide (2006) 60–66.

¹¹² Database Directive recital (33). Compare to Walter and von Lewinski (2010) 723, para. 9.5.23.

¹¹³ Database Directive recital (43). Compare to Bainbridge (1999) 211.

similarly relevant that the rental and lending rights are harmonized in a general form by the Rental Directive. Consequently, these rules, as well as the exclusion of the doctrine of exhaustion in relation to these rights, can also be applied to the authors of the databases.¹¹⁴

2.5 Horizontal Harmonization (2001) and General Rules on Exhaustion

After the adoption of the TRIPS Agreement, yet prior to the inception of the WCT/WPPT, the European Commission published the Green Paper 1995. This document advocated for the general harmonization of the right of distribution, as well as the doctrine of exhaustion, in compliance with the preexisting ECJ case law and vertical directives.¹¹⁵ Therefore, the supremacy of the free movement of goods over the interests of right-holders is expressly confirmed. Service-type uses were still exempted from the scope of the doctrine. Equally, unauthorized first sales were not covered by the right of distribution and exhaustion also did not apply to piratical copies.¹¹⁶ The Green Paper 1995 also refuted the applicability of international exhaustion.¹¹⁷ The European Commission affirmed its position in 1996.¹¹⁸

The InfoSoc Directive was finally accepted in 2001.¹¹⁹ It changed the theoretical framework of exhaustion in several aspects. It extended the right of distribution to authors¹²⁰ and it codified the applicability of the doctrine to all protected works.¹²¹ The directive declared that any type of transfer of ownership could lead to the applicability of the doctrine.¹²²

¹¹⁴ Database Directive recital (24). ¹¹⁵ Green Paper (1995) 44. ¹¹⁶ *Ibid.*, 44–45.

¹¹⁷ *Ibid.*, 47. On Green Paper 1995, see further Walter and von Lewinski (2010) 940, para. 11.0.8.

¹¹⁸ COM(96) 568, 17–19. Compare to Walter and von Lewinski (2010) 943, para. 11.0.21.

¹¹⁹ On the preparatory phase and the content of the directive's draft, see von Lewinski (1999) 767–782; Walter and von Lewinski (2010) 944–951, paras. 11.0.28–11.0.50.

¹²⁰ Infosoc Directive Art. 4(1). The right of distribution was earlier harmonized with respect to the related rightholders.

¹²¹ *Ibid.*, Art. 4(2). The doctrine of exhaustion was earlier applied solely with respect to computer programs, database, and copies of protected subject matter covered by the Council Directive 92/100/EC.

¹²² *Ibid.* The three relevant directives accepted in the pre-InfoSoc Directive era speak solely of “sale.” Surprisingly, the Walter and von Lewinski treatise contains two dissenting opinions whether the broader formulation applied by the InfoSoc Directive means novelty or not. Walter claimed that any forms of transfer of ownership were implicitly included into the concept of sale and the rules of the early directives. See Walter and von Lewinski (2010) 1008, para. 11.4.49. Von Lewinski opined to the contrary. See *ibid.*, 718–719, para. 9.5.14. Although I favor the latter view, the whole dispute is no longer relevant, as the broader interpretation prevails since the adoption of the InfoSoc Directive.

In a similar vein to the provisions of the WCT/WPPT, the directive also stated that

copyright protection under this Directive includes the exclusive right to control distribution of the work incorporated in a tangible article. The first sale in the Community of the original of a work, or copies thereof by the rightholder or with his consent, exhausts the right to control resale of that object in the Community. This right should not be exhausted in respect of the original, or of copies thereof sold by the rightholder or with his consent, outside the Community. Rental and lending rights for authors have been established in Directive 92/100/EEC. The distribution right provided for in this Directive is without prejudice to the provisions relating to the rental and lending rights contained in Chapter I of that Directive.¹²³

Finally, recital (29) follows the wording of recital (33) of the Database Directive and points out that

the question of exhaustion does not arise in the case of services and on-line services in particular. This also applies with regard to a material copy of a work or other subject-matter made by a user of such a service with the consent of the rightholder. Therefore, the same applies to rental and lending of the original and copies of works or other subject-matter which are services by nature. Unlike CD-ROM or CD-I, where the intellectual property is incorporated in a material medium, namely an item of goods, every on-line service is in fact an act which should be subject to authorisation where the copyright or related right so provides.¹²⁴

The interpretation of this recital has been far from uniform. Advocate General Yves Bot emphasized in his Opinion in the *UsedSoft* case that

[r]ecital 29 in the preamble to Directive 2001/29 is not without ambiguity either. While it appears to draw a distinction between the sale of goods, to which the exhaustion rule would apply, and the provision of services, to which that rule would be inapplicable, the fact remains that online services, as defined by EU law, include the sale of goods online. Thus, for example, by the standard of the wording of that recital, the exhaustion rule should not apply to an online purchase of a CD-ROM in which the copy of the computer program is incorporated. To my mind, however, the distinction as to whether the sale takes place remotely or otherwise is irrelevant for the purposes of applying that rule.¹²⁵

The ECJ was called upon several times to test the doctrine under the InfoSoc Directive. In that process, the ECJ has creatively developed the meaning, scope and requirements of the application of exhaustion. These

¹²³ InfoSoc Directive recital (28). The Commission has expressly confirmed the validity of this rule during the drafting of the directive. Compare to Rosati (2015) 674.

¹²⁴ InfoSoc Directive recital (29).

¹²⁵ Opinion of Advocate General Yves Bot, *Axel W. Bierbach, administrator of UsedSoft GmbH v. Oracle International Corp.*, Case C-128/11, ECLI:EU:C:2012:234, para. 76.

rulings properly fit into the “third phase of Europeanisation” and “phase of creative interpretation,”¹²⁶ and represent well what many call the ECJ’s activism¹²⁷ or harmonization through the ECJ.¹²⁸ This case law can easily be separated into two main groups: rulings related to offline distribution and exhaustion, and the application of the doctrine of exhaustion in the digital domain. Chapter 4 is dedicated to the latter topic, hence, we cast light only on offline exhaustion here.

The *Le Corbusier* ruling of the ECJ provides an apt illustration of how exhaustion applies in the offline world, as well as how limited the right of distribution is. In this case, the Italian company Cassina produced furniture, namely, LC2 and LC3 armchairs and sofas and LC10-P table sets, all designed by Charles-Édouard Jeanneret (aka Le Corbusier). Peek & Cloppenburg furnished its German fashion shops with counterfeit Cassina products (without having any knowledge of the infringing nature of the copies). The defendant also decorated the shop windows with these items of furniture, without allowing for the use of them. Cassina claimed that this use of the furniture violated its copyrights.¹²⁹

The referring court sought an answer as to whether Article 4(1) of the InfoSoc Directive, more precisely the phrase “distribution to the public by sale or otherwise,” includes such forms of use where the copies of works are used without the transfer of ownership over them and where the items involved are publicly displayed without any chance to sit on them.¹³⁰ The ECJ noted that the InfoSoc Directive does not define “distribution.”¹³¹ Accordingly, the ECJ followed the rules of the WCT/WPPT, which are also binding on the EU and concluded that “distribution otherwise” also presupposes the transfer of ownership.¹³² This interpretation is supported by the paragraphs of WCT/WPPT on exhaustion, since these also require the transfer of ownership for the application of the doctrine.¹³³ In sum, the ECJ reasoned that

¹²⁶ Both expressions originate from Frank Gotzen. See Brison (2012) 43–49. The number of IP – including, but not limited to copyright – cases reaching the ECJ has risen from only two (!) in 1999 to seventy-four (!) in 2018. See Cassiers and Strowel (2018) 175.

¹²⁷ Compare to Beck (2017) 333–353.

¹²⁸ Compare to Geiger (2016) 435–446; Xalabarder (2016) 635–639; Jotzo (2017) 447–470. The growing need for ECJ harmonization is partially due to several dysfunctionalities of harmonization through directives; see Hugenholtz (2013) 65–67.

¹²⁹ *Peek & Cloppenburg KG v. Cassina SpA*, Case C-456/06, ECLI:EU:C: 2008:232, paras. 14–16.

¹³⁰ *Ibid.*, para. 28.

¹³¹ *Ibid.*, paras. 29–31. The right of distribution is regulated by WCT Art. 6(1) and WPPT Art. 8(1) and 12(1).

¹³² *Ibid.*, para. 32.

¹³³ *Ibid.*, para. 34. The doctrine of exhaustion is regulated by WCT Art. 6(2) and WPPT Art. 8(2) and 12(2).

the term “otherwise” in Article 4(1) of Directive 2001/29 must be interpreted in accordance with the meaning given to it in Article 4(2), that is to say, as entailing a transfer of ownership. It follows that the concept of distribution to the public, otherwise than through sale, of the original of a work or a copy thereof, for the purpose of Article 4(1) of Directive 2001/29, covers acts which entail, and only acts which entail, a transfer of the ownership of that object.¹³⁴

Nonetheless, the ECJ stated that no transfer of ownership had occurred in the present case. They reasoned that, regardless of the fact that the furnishings at issue were originals or copies, Peek & Cloppenburg granted the local use of the Le Corbusier models for its customers and placed them into the shop window for decorative purposes. None of these actions involved the transfer of ownership. As a result, the ECJ denied broadening the scope of the right of distribution.¹³⁵ Indeed, it expressly declared that “it is not for the Court to create, for authors’ benefit, new rights which have not been provided for by Directive 2001/29 and by so doing to widen the scope of the concept of distribution of the original of a work or a copy thereof beyond that envisaged by the Community legislature.”¹³⁶

Subsequently, the ECJ was presented with a further opportunity to clarify the scope of the public distribution right. In *Donner*, the ECJ concluded that the importation of furnishings from Italy, where no copyright protection existed on the given works or the copyright protection was not enforceable, to Germany, where protection did exist and was enforceable, could lead to the infringement of the right of distribution. The ECJ found that the liability of the importer could stand if the transfer of ownership took place in Italy, but the transfer of the disposal of the works occurred in Germany. Therefore, the distribution to the public of copies of works could be evidenced if the seller targeted purchasers with its service. Such direct evidence in the present case was the setting up of a German-language website, advertising the corporation’s services among German customers, and maintaining cooperation with another corporation that ensured the transport of furnishing from Italy to Germany.¹³⁷

The ratio of this ruling was later reaffirmed by the ECJ in *Dimensione v. Knoll*.¹³⁸

¹³⁴ *Ibid.*, paras. 35–36. ¹³⁵ *Ibid.*, para. 40.

¹³⁶ *Ibid.*, para. 38. See further Walter (2008) 246–248; Goldmann and Möller (2009) 551–558; Walter and von Lewinski (2010) 994–996, paras. 11.4.10–11.4.13; Eichelberger (2011) 403–434.

¹³⁷ Criminal proceedings against Titus Alexander Jochen Donner (2012) paras. 23–30. See further Eichelberger (2012) 954–959; Lauterbach (2013) 13–15.

¹³⁸ “[A]n infringement of the distribution right can be observed where consumers located in the territory of the Member State in which that work is protected are invited, by targeted advertising, to acquire ownership of the original or a copy of that work.” See

In *Art & Allposters*, the Hoge Raad wanted to test the validity of the *Poortvliet* case¹³⁹ and so turned to the ECJ for advice on whether the “transfer” of paintings from posters to canvas was in violation of Dutch and EU law.¹⁴⁰ *Art & Allposters International BV* purchased lawfully produced poster copies of famous paintings and enabled its customers to order copies of the works in the form of posters, framed posters, posters on wood, and images on canvases. *Stichting Pictoright*, the competent Dutch CMO, demanded the payment of royalties for each copy sold. It argued that the original, paper-based copies were “adapted” to canvas format. The defendant claimed that the right of distribution was exhausted when the original posters were put on to the market and so it was entitled to resell them, regardless of the format of the new copies.¹⁴¹

The crux of the dispute was whether exhaustion

applies in a situation where a reproduction of a protected work, after having been marketed in the European Union with the copyright holder’s consent, has undergone an alteration of its medium, such as the transfer of that reproduction from a paper poster onto a canvas, and is placed on the market again in its new form.¹⁴²

The ECJ rejected both parties’ arguments and analyzed that the plaintiff’s claim on the adaptation of the works was unfounded. The transfer of paintings to canvas clearly lacked the necessary creation of a new original work of expression.¹⁴³ The defendant’s arguments did not convince the Court either, because regardless of the fact that *Art & Allposters* purchased the paper copies lawfully, it still did not gain authorization to reproduce the copies.¹⁴⁴ The ECJ referred to *Laserdisken* when it stated that “for the distribution right to be exhausted, two conditions must be fulfilled: first, the original of a work or copies thereof must have been placed on the market by the rightholder or with his consent and, second, they must have been placed on the market in the European Union.”¹⁴⁵ Based on the text of the InfoSoc Directive, the international copyright norms, and the preexisting ECJ jurisprudence, the judges rightly

Dimensione Direct Sales srl and Michele Labianca v. Knoll International Spa, Case C-516/13, ECLI:EU:C:2015:315, para. 33. See further Malovic (2015) 895–896.

¹³⁹ Compare to Chapter 2, note 43 and the accompanying text.

¹⁴⁰ There is significant case law on the transfer of copies to new material objects (mediums) in the US, too. See note 29 and the accompanying text.

¹⁴¹ *Art & Allposters International BV v. Stichting Pictoright*, Case C-419/13, ECLI:EU:C:2015:27, paras. 14–21.

¹⁴² *Ibid.*, para. 23. ¹⁴³ *Ibid.*, paras. 24–28. ¹⁴⁴ *Ibid.*, paras. 29–40.

¹⁴⁵ *Ibid.*, para. 31.

concluded that “the EU legislature, by using the terms ‘tangible article’ and ‘that object,’ wished to give authors control over the initial marketing in the European Union of each tangible object incorporating their intellectual creation.”¹⁴⁶ Thus, the ECJ considered the “transfer to canvas” as a new reproduction, which fell outside of the owner’s rights deriving from the lawful initial purchase.

Finally, the ECJ followed the argument of the French Government and concluded that

[t]he fact that the ink is saved during the transfer cannot affect the finding that the image’s medium has been altered. What is important is whether the altered object itself, taken as a whole, is, physically, the object that was placed onto the market with the consent of the rightholder. That does not appear to be the case in the dispute in the main proceedings.¹⁴⁷

After all, as the copies were placed on the market without proper authorization, the doctrine of exhaustion could not support the defendant’s position.¹⁴⁸ The ECJ further noted that the applicability of the doctrine of exhaustion depends on “whether the altered object itself, taken as a whole, is, physically, the object that was placed onto the market with the consent of the rightholder.”¹⁴⁹ Some have argued that this statement precludes the resale of digital contents.¹⁵⁰ It is more convincing that *Art & Allposters* only reflects “the concept that a physical transformation of a physical copy prevents exhaustion”¹⁵¹ and it does not alter the ratio of *UsedSoft* at all.¹⁵² Advocate General Szpunar supported this reasoning in his Opinion in *Stichting Leenrecht*.¹⁵³

2.6 The Limitations of the Doctrine of Exhaustion

The EU directives on copyright law harmonized the doctrine of exhaustion vertically and then later horizontally. As the ECJ emphasized in a separate preliminary ruling, “[r]ecourse to Article 36 [of the TEEC] is nonetheless no longer possible where Community directive provide for harmonization of the measures necessary to achieve the specific objective

¹⁴⁶ Ibid., para. 37. ¹⁴⁷ *Art & Allposters* (2015) para. 45.

¹⁴⁸ Ibid., paras. 41–48. See further Rosati (2015) 675–681; Savič (2015a) 389–394; Griffiths (2016) 73–84; Stokes (2016) 172–174; Karapapa (2020) 494–496.

¹⁴⁹ *Art & Allposters* (2015) para. 45. ¹⁵⁰ Savič (2015a) 391–392.

¹⁵¹ Verkade (2012) 303–305. ¹⁵² Griffiths (2016) 78–79.

¹⁵³ “[I]n my view, the judgment in *Art & Allposters International* neither calls into question nor limits in any way the conclusions which follow from the *UsedSoft* judgment.” See Opinion, *Vereniging Openbare Bibliotheken v. Stichting Leenrecht*, Case C-174/15, ECLI: EU:C:2016:856, para. 54.

which would be furthered by reliance on this provision.”¹⁵⁴ Accordingly, any limitation of exhaustion might be found only in the *acquis communautaire*.¹⁵⁵

The tangible copies as prerequisites of exhaustion¹⁵⁶ and the exclusion of service-type uses from the scope of the doctrine¹⁵⁷ will be discussed in greater detail in Chapter 4. However, two additional limitations will be addressed here. The first is the theory of regional or Community-wide exhaustion, which limits parallel importation into the EU. The second is the resale royalty right, otherwise referred to as the *droit de suite*.¹⁵⁸

2.6.1 Limited Parallel Importation: The Doctrine of Regional Exhaustion

The legislative bodies of the EU followed the ECJ case law that established the theoretical framework of regional exhaustion. Accordingly, the first lawful distribution of a tangible copy within the EEA¹⁵⁹ makes exhaustion applicable within the entire single market.¹⁶⁰ Conversely, if the first lawful sale or other transfer of ownership took place outside the territory of the EEA, in other countries such as the US or EFTA Member States, then the importation to the EEA should be subject to authorization.¹⁶¹ This is best evidenced by *Polydor v. Harlequin*, where the plaintiff managed to prohibit the import of sound recordings produced in

¹⁵⁴ The *Queen v. Minister of Agriculture, Fisheries and Food, ex parte Compassion in World Farming Ltd.*, Case C-1/96, ECLI:EU:C:1998:113, para. 47. See further Muñoz (1999) 831–839; Van Calster (2000) 115–123.

¹⁵⁵ Cook (2010) 19, para. 2.13. ¹⁵⁶ InfoSoc Directive recital (28).

¹⁵⁷ Software Directive Art. 4(1)(c); Rental Directive Art. 1(2); Database Directive recital (33) and (43); InfoSoc Directive recital (29) and Art. 3(3). See further COM(2000) 199, 17.

¹⁵⁸ I refrain from presenting any other obstacles that existed in the Member State before the Community harmonization was complete. So, for example, exhaustion applied solely to literary and musical works, as well as sound recordings in the Scandinavian countries. See Koktvedgaard (1982) 358–359; Karnell (1999) 654–655. In Switzerland, audiovisual works were not subject to international exhaustion. Compare to Chapter 1, note 97.

¹⁵⁹ The EEA currently includes the twenty-seven Member States of the EU and Iceland, Lichtenstein, and Norway. The Community-wide exhaustion applies in the latter three countries under the EEA Agreement Annex XVII Art. 2 of Protocol 28. Compare to Keeling (2003) 115–119. Michel Walter and Silke von Lewinski argued in their treatise that the above provision is unnecessary, as the ECJ case law on the doctrine of exhaustion is directly applicable in the EEA Member States under Annex XVII. See Walter and von Lewinski (2010) 36, para. 1.0.77. I respectfully disagree with this opinion. Although the preliminary rulings might serve as a guideline in this respect, they do not cover all aspects of the doctrine. Indeed, the directives provide a more concise view on exhaustion.

¹⁶⁰ Verma (1998) 547.

¹⁶¹ Software Directive Art. 4(2); Rental Directive Art. 9(2); Database Directive Art. 5(c); InfoSoc Directive recital (28) and Art. 4(2).

Portugal (an EFTA member at that time) to the UK (already an EEC Member State). The ECJ agreed with the plaintiff and concluded that, irrespective of the fact that Articles 14(2) and 23 of the EFTA Treaty included virtually the same wording as Articles 30 and 36 of the TEEC, the two documents are separate and the interpretation of the TEEC cannot be applied on the EFTA Treaty. Therefore, the TEEC only allows for an intra-Community (EU and EEA) exhaustion.¹⁶²

In the preharmonization period, certain Member States (e.g., Germany) followed the doctrine of national exhaustion and others (e.g., the Netherlands and the Scandinavian countries) opted for international exhaustion. Nonetheless, the EU clearly and irrevocably rejected both concepts.¹⁶³ Community legislation had a clear right to do so under both the TRIPS Agreement and WCT/WPPT. Indeed, the internal logic of the EU did not offer any other possibility. As Warwick Rothnie perfectly noted,

the basic goal of the EC is the market integration: to establish a single market from the national market of the Member States. However on the internal market the Member States remain to regulate the rights for intellectual property protection. So, if the national law enables the intellectual property rightholder to block the parallel import then the rights for intellectual property protection can be used for preventing the integration of the market.¹⁶⁴

Regional exhaustion seemed necessary to tackle the aggressive foreign trade policy of the US.¹⁶⁵

During the 1990s, some commentators argued against this approach. For example, Gunnar Karnell noted that the vertical directives provided only that the right of distribution be exhausted upon putting the work on the market in the territory of the EU, but did not explicitly exclude the importation of copies from outside of the EU.¹⁶⁶ The Dutch rightholders also opposed regional exhaustion after the Dutch Parliament accepted the modification of the Act on Related Rights on January 1, 1996. The Dutch Trade Association requested the revocation of the amendment. The Dutch government accepted the arguments of the protesters and informed the legislative bodies of the Community that it would vote against the directive on the legal protection of designs that also included the doctrine of regional legal exhaustion if the abolition of international

¹⁶² *Polydor Limited and RSO Records Inc. v. Harlequin Records Shops Limited and Simons Records Limited*, Case 270/80, ECLI:EU:C:1982:43. On the ruling, see Reimer (1981) 505–507; Korah (1982) 37–38; Tritton (2002) 504–505, 555–557. On the original proceedings in the UK, see Laddie et al. (2000) 1550–1551.

¹⁶³ Keeling (2003) 144–145; von Lewinski (2005) 233–236.

¹⁶⁴ Rothnie (1993) 316. See further Bodewig (2013) 401–402.

¹⁶⁵ Cohen Jehoram (1999) 503–504. ¹⁶⁶ Karnell (1999) 656–657.

exhaustion was not revoked. The Dutch government kept its promise and became the only one to veto the draft of the Designs Directive. The deadlock was finally resolved, with the European Commission accepting that it would prepare an economic analysis on the doctrine of regional and international exhaustion. With this promise in hand, the Dutch Government finally adopted the draft of the Designs Directive.¹⁶⁷

The retreat of the Dutch government did not pacify Dutch rightholders, and, not surprisingly, the first case in which the legitimacy of the Community-wide exhaustion was challenged came from the Netherlands. In its preliminary ruling, the ECJ, however, made it clear that

[i]t follows from the clear wording of Article 4(2) of Directive 2001/29, in conjunction with the twenty-eighth recital in the preamble to that directive, that that provision does not leave it open to the Member States to provide for a rule of exhaustion other than the Community-wide exhaustion rule. [...] This, moreover, is the only interpretation which is fully consistent with the purpose of Directive 2001/29 which, according to the first recital in the preamble thereto, is to ensure the functioning of the internal market. A situation in which some Member States will be able to provide for international exhaustion of distribution rights while others will provide only for Community-wide exhaustion of those rights will inevitably give rise to barriers to the free movement of goods and the freedom to provide services.¹⁶⁸

Dior v. Evora perfectly illustrates how parallel importation works in a situation where trademark law and copyright law clash. The French plaintiff claimed that the luxury perfumes acquired by the Dutch defendant, through parallel import, were not advertised and sold during the 1993 Christmas sales, in compliance with the plaintiff's strict requirements. Hence, the plaintiff claimed that the defendant violated the trademarks and copyrights relating to the bottles and labeling of the Dior perfumes.¹⁶⁹ The ECJ disagreed with the plaintiff's assertion that EU rules on the free movement of goods allowed for the limitation of the resale of lawfully sold products, even if such resales ran against the basic business policy of the company.¹⁷⁰ It also added that having regard to that case law – there being no need to consider the question of whether

¹⁶⁷ The EU–Dutch soap opera was summarized by Cohen Jehoram (1999) 495–497. The directive was finally accepted in 1998. See Directive 98/71/EC of the European Parliament and of the Council of October 13, 1998, on the legal protection of designs.

¹⁶⁸ *Laserdisken ApS v. Kulturministeriet*, Case C-479/04, ECLI:EU:C:2006:549, paras. 24 and 26. See further Runge (2006) 666–667; Schovsbo (2015) 385–386.

¹⁶⁹ On the facts, procedural background, and questions raised, see *Parfums Christian Dior SA and Parfums Christian Dior BV v. Evora BV*, Case C-337/95, ECLI:EU:C:1997:517, paras. 1–14.

¹⁷⁰ *Ibid.*, paras. 51–54.

copyright and trademark rights may be relied on simultaneously in respect to the same product – it is sufficient to hold that, in circumstances such as those in point in the main proceedings, the protection conferred by copyright as regards the reproduction of protected works in a reseller's advertising may not, in any event, be broader than that which is conferred on a trademark owner in the same circumstances.¹⁷¹

In other words, the rightholder cannot refer to its copyright if the products can be lawfully sold in another Member State following the exhaustion of trademark rights.¹⁷² Rightholders can oppose uses that fall outside of the scope of regional parallel importation. For example, the TRIPS Agreement clearly prohibits the cross-border distribution of pirated products. The Customs Regulation contains the definition of pirated goods¹⁷³ and it provides for the suspension and halting of the importation of those goods that violate intellectual property rights.¹⁷⁴

These rules¹⁷⁵ were affirmed by the ECJ in *Blomquist v. Rolex*, where the dispute arose from the purchase of a pirated Rolex watch by a Danish resident, Mr. Blomquist, from a Chinese corporation over the Internet. The Danish customs authority informed Mr. Blomquist and the Rolex Company about the illegal nature of the imported watch, suspending the customs procedure. Mr. Blomquist objected against the destruction of the watch without compensation as, in his opinion, he purchased the item lawfully.¹⁷⁶ The Højesteret initiated the procedure of the ECJ, as it was in doubt whether there was a violation of copyright and trademark law in the main proceedings, with regard to the fact that the watch was purchased for personal use and that would have been a precondition for applying the provisions of the Customs Regulation.¹⁷⁷

¹⁷¹ Ibid., para. 58. See further Norman (1998) 306–312; Kur (1999) 24–30.

¹⁷² Cook (2010) 27, para. 2.28.

¹⁷³ “[G]oods which are the subject of an act infringing a copyright or related right or a design in the Member State where the goods are found and which are, or contain copies, made without the consent of the holder of a copyright or related right or a design, or of a person authorised by that holder in the country of production.” See Regulation (EU) No. 608/2013 of the European Parliament and of the Council of June 12, 2013, concerning customs enforcement of intellectual property rights and repealing Council Regulation (EC) No. 1383/2003, Art. 2(6).

¹⁷⁴ Ibid., Art. 17(1).

¹⁷⁵ More precisely, the ECJ applied the provisions included in the Council Regulation (EC) No. 1383/2003 of July 22, 2003, concerning customs action against goods suspected of infringing certain intellectual property rights and the measures to be taken against goods found to have infringed such rights. In respect to the topic discussed above, the two regulations do not show any significant differences.

¹⁷⁶ *Martin Blomquist v. Rolex SA and Manufacture des Montres Rolex SA*, Case C-98/13, ECLI:EU:C:2014:55, paras. 16–20.

¹⁷⁷ Ibid., para. 21.

The ECJ emphasized that distribution occurs, and should be considered proven, if a sales contract and a delivery contract is concluded.¹⁷⁸ Furthermore,

goods coming from a non-member State which are imitations of goods [...] protected in the European Union by copyright, a related right [...] can be classified as [...] “pirated goods” where it is proven that they are intended to be put on sale in the European Union, such proof being provided, inter alia, where it turns out that the goods have been sold to a customer in the European Union or offered for sale or advertised to consumers in the European Union.¹⁷⁹

Moreover, the judges indicated that the online purchase of the watches from a nonmember country did not deprive the rightholder of the protection of its intellectual property rights by the Customs Regulation.¹⁸⁰

Consequently, the Community-wide exhaustion of the distribution right is backed by a regional parallel importation system, where customs regulations effectively support IPR holders in tackling the movement of lawful and pirated copies of works from nonmember countries.

2.6.2 *The Droit de Suite*

Opinions differ when it comes to the issue of whether the *droit de suite* can be considered a limitation of exhaustion. A few decades ago, Dietrich Reimer rejected this possibility.¹⁸¹ Others say that the resale royalty right is the *derogation* (rather than limitation) of exhaustion. Jens Schovsbo claimed that

it would be a mistake to consider [the *droit de suite*] as an *exception* to the principle of exhaustion. In my opinion it is a lot more about the fact that the principle of exhaustion was not determined in a really precise way except for a few basic parameters and the fact that the exhaustion shall be considered as a balancing principle in the field of intellectual property protection rather than a dogma.¹⁸²

The present author argues that the *droit de suite*, as a right for an equitable remuneration, functions as a practical limitation to the doctrine of exhaustion.

¹⁷⁸ Ibid., para. 29. ¹⁷⁹ Ibid., para. 33.

¹⁸⁰ Ibid., para. 34. On the decision, see Dyekjaer (2014) 550–551; Hieger (2014) 548; Hasik and Łapińska (2015) 73–87. A great number of US cases deal with the clash of trademark law and copyright law related to the importation of cosmetics and other goods of fashion. See *infra* Section 3.4.1.

¹⁸¹ Reimer (1982) 367.

¹⁸² Schovsbo (2010) 179. See further Koktvedgaard (1982) 359. Spoor’s similar opinion is quoted by Verkade (2012) 292.

The *droit de suite* was first acknowledged by the Berne Convention.¹⁸³ The wording of Art. 14^{ter} (1) is categorical when it sets forth that “the author, or after his death the persons or institutions authorized by national legislation, shall, with respect to original works of art and original manuscripts of writers and composers, enjoy the inalienable right to an interest in any sale of the work subsequent to the first transfer by the author of the work.”¹⁸⁴ However, reciprocity is the precondition for the application of the resale royalty right for foreigners.¹⁸⁵ Furthermore, it remains completely at the discretion of the countries of the EU to determine the procedure for collection and the amounts of the royalty.¹⁸⁶

The EU took advantage of the wide freedom left by the Berne Convention,¹⁸⁷ and, in 2001, after extensive preparation¹⁸⁸ harmonized a number of basic issues of the *droit de suite*. The directive on the resale royalty right recognized that “the resale right is a right of a productive character which enables the author/artist to receive consideration for successive transfers of the work. The subject matter of the resale right is the physical work, namely the medium in which the protected work is incorporated.”¹⁸⁹ Unlike the Berne Convention, the directive grants the resale right solely for the authors of works of art. Writers and composers fall outside the protection.¹⁹⁰ The resale right is inalienable and the author cannot waive it in advance. Based on this right, the author shall be entitled “to receive a royalty based on the sale price obtained for any resale of the work, subsequent to the first transfer of the work by the author.”¹⁹¹ The resale royalty shall be paid in case of resales that involved art market professionals either as sellers, buyers, or intermediaries.¹⁹²

The resale right is limited in multiple ways. The directive enables the Member States to decide that “the [resale] right [...] shall not apply to

¹⁸³ On the historical development and conceptual features of the *droit de suite*, see Katzenberger (1973) 361–375; Ulmer (1975) 12–28; Reddy (1995) 515–517; Pfennig (1997) 20–29; Petty (2014) 983; Barrett (2018) 664.

¹⁸⁴ BC Art. 14^{ter} (1).

¹⁸⁵ BC Art. 14^{ter} (2). Consequently, the *droit de suite* is one of those rare examples where the principle of national treatment – which is the default rule of the BC – shall not apply. See Goldstein and Hugenholtz (2010) 319.

¹⁸⁶ BC Art. 14^{ter} (3).

¹⁸⁷ This is also allowed for by BC Art. 20. According to it, “[t]he Governments of the countries of the Union reserve the right to enter into special agreements among themselves, insofar as such agreements grant to authors more extensive rights than those granted by the Convention, or contain other provisions not contrary to this Convention. The provisions of existing agreements which satisfy these conditions shall remain applicable.”

¹⁸⁸ Walter and von Lewinski (2010) 841–846, paras. 10.0.18–10.0.29.

¹⁸⁹ Resale Right Directive recital (2). ¹⁹⁰ Ibid., recital (19). ¹⁹¹ Ibid., Art. 1(1).

¹⁹² Ibid., Art. 1(2).

acts of resale where the seller has acquired the work directly from the author less than three years before that resale and where the resale price does not exceed EUR 10000.”¹⁹³

The subject of the protection was also determined in an exhaustive list. Works of graphic or plastic art such as pictures, collages, paintings, drawings, engravings, prints, lithographs, sculptures, tapestries, ceramics, glassware, and photographs are covered, provided they are created by the artist.¹⁹⁴ The Member States can determine a threshold for the purchase price, a maximum of EUR 3,000, under which the resale of original works of art shall be exempt from the obligation to pay the resale royalty.¹⁹⁵

The case law of the ECJ made it clear that Member States can regulate every aspect of the resale right that was not harmonized explicitly by the EU. This was first articulated in *Dali*, where the Fundación Gala-Salvador Dali was organized “on the initiation and under the supervision” of Salvador Dali not long before his death in 1989. Before he passed away, he appointed the Spanish state as his heir and the aforementioned foundation as the manager of his copyrights. In 1997, the foundation assigned the management of the rights to another Spanish organization, VEGAP. The latter concluded a cooperation agreement on the collection of all royalties relating to Dali’s works in France with ADAGP. The latter organization transferred the collected royalties, with the exception of the resale royalty, to VEGAP. In accordance with French copyright law, ADAGP paid the resale royalty to Dali’s heirs apparent. The Spanish foundation requested the termination of the above practice and demanded the payment of the resale royalty collected in France.¹⁹⁶

The ECJ stated that the Resale Right Directive is detailed enough for the uninterrupted operation of the internal market. Thus, if the author is alive, it is clearly he or she who is entitled to the royalty (as it is inalienable and it is prohibited to waive it). However, Member States are free to regulate the inheritance of the resale right, as the directive does not mention what to do in the case of the author’s death. Since French copyright law accepts only the heirs apparent as the beneficiaries of the

¹⁹³ Ibid., Art. 1(3). ¹⁹⁴ Ibid., Art. 2(1).

¹⁹⁵ Ibid., Art. 3(1)–(2). On the analysis of the directive, see Walter and von Lewinski (2010) 846–884, paras. 10.1.1–10.13.1 ; O’Dwyer (2018) 21–40 ; Rubí-Puig (2020) 79–81.

¹⁹⁶ *Fundación Gala-Salvador Dali and Visual Entidad de Gestión de Artistas Plásticos (VEGAP) v. Société des auteurs dans les arts graphiques et plastiques (ADAGP) and Others*, Case C-518/08, ECLI:EU:C:2010:191, paras. 13–17.

resale royalty, the ADAGP lawfully transferred the relevant amounts to them.¹⁹⁷

In another dispute, the French subsidiary of Christie's required that the purchasers should pay an amount equal to the resale royalty to the auction house when buying a work of fine art. Subsequently, Christie's France transferred this fee to the competent CMO. The *Syndicat national des antiquaires* union, which also dealt with the trade of works of art, disputed the legality of this practice given the fact that under the Resale Right Directive "the royalty is payable by the seller."¹⁹⁸

The ECJ argued that the directive serves two primary goals: first, to enable fine artists to receive a share from the future (financial) success of their works; and second, to terminate the differences prevalent in the domestic markets, so that the resale right can be applied with uniformity in all Member States of the EU.¹⁹⁹ To achieve these goals efficiently, Member States can determine the person who shall pay the resale royalty.

Under Art. 1(2) and (4) of the directive, there is an obligation to pay the resale royalty when an art dealer is involved in the business. However, the directive does not provide clear instructions as to whether the person who actually pays the resale royalty to the CMO should be the same person who directly, or indirectly, bears its costs. The judges indicated that certain language versions of the directive are less strict and seem to enable the two persons to be different.²⁰⁰ In order to identify the proper meaning of the directive, the ECJ scrutinized the context and the target of the rules and found that

although the directive makes provision about certain matters relating to the works covered, the persons entitled to receive royalties, the rates applied, the transactions subject to payment of a royalty, and the basis of calculation, as well as about certain matters relating to the person by whom the royalty is payable, it is silent about the identity of the person who must definitively bear the cost of the royalty due to the author in respect of the resale right. [...] There is no need to eliminate differences between national laws which cannot be expected to affect the functioning of the internal market and that, in order to leave as much scope for national decision as possible, it is sufficient to limit the harmonisation exercise to those domestic provisions that have the most direct impact on the functioning of the internal market. For the purpose of achieving the aforementioned objective, thus circumscribed, it is necessary that provision be made as to the person liable for payment of the royalty vis-à-vis the author and as to the rules for establishing the amount of the royalty. However, such provision is

¹⁹⁷ *Ibid.*, paras. 24–33. See further Heun-Rehn and Wagner (2010) 212–218; Schulze (2010) 529–530.

¹⁹⁸ *Christie's France SNC v. Syndicat national des antiquaires*, Case C-41/14, ECLI:EU:C:2015:119, paras. 7–12.

¹⁹⁹ *Ibid.*, paras. 15–16. ²⁰⁰ *Ibid.*, para. 25.

not necessary with regard to the question as to who, definitively, will bear the cost of the royalty.²⁰¹

The ECJ reasoned that it might be risky to provide Member States freedom to decide who shall bear the costs of the resale royalty. Nonetheless, the Court treated these possible consequences only indirectly²⁰² and found the practice of Christie's France to be acceptable.²⁰³

In sum, the resale right clearly limits the applicability of the doctrine of exhaustion. It does not establish an obstacle for the exercise of the rights relating to private property. However, it does introduce preconditions for it, namely, the payment of an equitable share to the author (or his or her heirs).²⁰⁴ Since the free resale is one of the central elements of the doctrine of exhaustion, that is, no payment, and no authorization is required for the redistribution, we can easily accept that *droit de suite* works as an internal limitation of exhaustion.

²⁰¹ Ibid., paras. 27, 29, and 30. ²⁰² Ibid., para. 31.

²⁰³ See further Dannreuther (2015) 2–7.

²⁰⁴ Walter and von Lewinski (2010) 837, paras. 10.0.7–10.0.8.

3 The First-Sale Doctrine in the Copyright Law of the US

The US legal system varies markedly from its European counterpart and one area where these differences have a direct impact is on the first-sale doctrine. The TEEC and the consolidated version of the TFEU indirectly allow for the regulation of intellectual property. EU copyright law originates from the jurisprudence of the ECJ and more recently has been crystallized through several directives. Although cultural policy considerations were followed in the creation of the *acquis communautaire*, the prevailing aim of the EU has always been the proper functioning of the internal market. EU directives allow each individual Member State to implement the directive as they see fit, as long as the requirements of the directive are met, and thus significant differences may exist among domestic copyright provisions.

By contrast, the IP clause of the US Constitution gives Congress the direct right to regulate copyright law in its entirety, encompassing both its cultural and economic dimensions. The USCA requires no implementation at the state level and therefore it applies unilaterally across the whole of the US. The first-sale doctrine has been a part of US copyright law for over a century and has been periodically refined through subsequent amendments and court rulings. By way of comparison, the EU exhaustion doctrine was developed in two phases: ECJ case law and, later, through harmonization. The ECJ first addressed the doctrine of exhaustion in copyright law as late as 1971 (in *Deutsche Grammophone*), whereas US federal courts had been grappling with this issue as early as 1885. As a direct consequence, the US has experienced far more varied technological and economic challenges regarding the functioning of the limits to the right of distribution.

This chapter aims to explore and introduce the unique development of the first-sale doctrine within the US as well as highlight the most important legal, social, and economic circumstances that helped shape the doctrine.

3.1 The Origins of the First-Sale Doctrine

In compliance with the IP clause of the US Constitution, the USCA was designed to promote the progress of science by protecting both right-holders' interests and by allowing for the widest possible dissemination of knowledge. The USCA and the judiciary try to achieve this balance in several ways, including the exclusive economic right to distribution, which is limited by the first-sale doctrine.¹ In US copyright law, the first-sale doctrine was created as a result of judicial interpretation around the turn of the twentieth century. Although the 1908 *Bobbs-Merrill v. Straus* ruling of the Supreme Court is treated as the guiding precedent, the doctrine can be traced back further.

The first court ruling that expressly referred to the limits placed on rightholders' right to vend was *Stowe v. Thomas*. In this case, the Pennsylvania Circuit Court stated that “[w]hen [the rightholder] has sold his book, the only property which be [*sic*] reserves to himself, or which the law gives to him, is the exclusive right to multiply the copies of that particular combination of characters which exhibits to the eyes of another ideas intended to be conveyed.”²

Later, in *Henry Bill Publishing v. Smythe*, the plaintiff James G. Blaine distributed his book entitled *Twenty Years of Congress* exclusively through his own agents. The defendant, who was working as a book merchant, purchased six copies of the book from an agent of the plaintiff and resold five of these books for a profit of 5.86 USD. The plaintiff sued Smythe for the violation of his copyrights.³ The district court ruled in favor of the plaintiff. However, the district court did make several caveats to the judgment, which can be directly connected to the first-sale doctrine. Judge Hammond emphasized that

had Mr. Blaine sold the books to retailers or wholesale merchants [...] and defendant purchased from these books without error to the legal title then it might be possible that Mr. Blaine would have no chance to apply his monopoly since this right is prevented by the described action.⁴

Therefore, “the only books that could become part of general circulation with the plaintiff’s consent to use and sales could only be the ones that the customers received second hand. These sales as established by the title of ownership of the particular customers concerning the particular copy of work.”⁵

¹ USCA §109(a).

² *Stowe v. Thomas*, 23 F.Cas. 201 (1853) 206–207. See further Mosley (2015) 245.

³ *Henry Bill Publishing Co. v. Smythe*, 27 Fed. Rep. 914 (1886) 914–915.

⁵ *Ibid.*, 919.

⁴ *Ibid.*, 918.

At the same time, “the disputed copies were presented to the agents with the intent of supply and they never acquired ownership of them but they remained in the ownership of plaintiff.”⁶ Smythe lost the case, as the original copies were never put into circulation lawfully by the plaintiff and therefore Smythe could not acquire ownership over those copies.

In a clear show of support with this logic, the court in *Clemens v. Estes* concluded that no infringement had occurred when the defendant resold Mark Twain’s *The Adventures of Huckleberry Finn*, even though Twain intended to distribute the copyrighted books through a subscription service.⁷ In *Harrison v. Maynard, Merrill & Co.* the court reaffirmed that “[t]he new purchaser cannot reprint the copy. He cannot print or publish a new edition of the book; but the copy having been absolutely sold to him, the ordinary incidents of ownership in personal property, among which is the right of alienation, attach to it.”⁸

The first-sale doctrine was finally established by the Supreme Court in its seminal *Bobbs-Merrill v. Straus* decision. In this case, the Bobbs-Merrill Company registered the copyright on Hallie Erminie Rives’ *The Castaway*, on May 18, 1904, and it was published immediately thereafter. Although the publisher sold the copies for a reduced price to wholesalers and bookstores, it placed an expressed warning inside the book, stating that the copies should not be distributed for less than a dollar. R. H. Macy & Company, owned by Isidor and Nathan Straus, acquired copies in bulk and, contrary to the expressed warning, they offered the books for 89 cents USD.⁹ The Bobbs-Merrill Company deemed that this practice was infringing on their copyright and sued R. H. Macy & Company.

The Supreme Court affirmed the district and circuit court decisions by noting that copyright disputes should be decided under the relevant statutory provisions.¹⁰ The Copyright Act 1831 granted US citizens, or authors domiciled in the US, the exclusive rights to print, reprint, issue, complement, copy, perform, complete, and vend their works.¹¹ The

⁶ *Ibid.*, 924. See further Rothnie (1993) 262.

⁷ *Clemens v. Estes*, 22 Fed. Rep. 899 (1885) 900. See further Mosley (2015) 245. A few further rulings from the turn of the twentieth century were introduced by Rothnie (1993) 263–265; Kawabata (2014) 19.

⁸ *Harrison v. Maynard, Merrill & Co.*, 61 Fed. Rep. 689 (1894) 691. See further Rothnie (1993) 262–263; Perzanowski and Schultz (2011) 913. Aaron Perzanowski and Jason Schultz introduced several other rulings from the same period, where the courts allowed for the repair and renewal, adaptation, and modification, as well as the display and performance of the lawfully acquired copies under the disguise of the first-sale doctrine. See *ibid.*, 913–922. See further Lauff (1998) 880–881.

⁹ Defendant acquired the majority of the copies from wholesalers at a price of 40 cents USD, and the minority of the copies from retailers for a dollar. See *Bobbs-Merrill Company v. Isidor Straus and Nathan Straus*, 210 U.S. 339 (1908) 341–342.

¹⁰ *Ibid.*, 346. ¹¹ Revised Statutes of the United States §4952.

courts could order seizure of the infringing copies, imposition of fines¹² or grant other injunctions to prevent further violations.¹³ The plaintiff argued that the courts had no right to grant “privileges” (now often referred to as “limitations” or “exceptions”) to the users, exceeding the economic rights set forth in statute.¹⁴ However, the Supreme Court disagreed by concluding that the defendant’s actions were not in violation of the right of vending, because this right does not apply to copies that were once lawfully put into circulation.

As the Supreme Court noted, the main question of the case was whether

[the right to vend was] intended to [be] a right which would permit the holder of the copyright to fasten by notice in a book or upon one of the articles mentioned within the statute, a restriction upon the subsequent alienation of the subject matter of copyright after the owner had parted with the title to one who had acquired full dominion over it and had given a satisfactory price for it?¹⁵

The Justices answered this question in the negative, as follows:

In our view the copyright statutes, while protecting the owner of the copyright in his right to multiply and sell his production, do not create the right to impose, by notice, such as is disclosed in this case, a limitation at which the book shall be sold at retail by future purchasers, with whom there is no privity of contract. [...] To add to the right of exclusive sale the authority to control all future retail sales, by a notice that such sales must be made at a fixed sum, would give a right not included in the terms of the statute, and, in our view, extend its operation, by construction, beyond its meaning, when interpreted with a view to ascertaining the legislative intent in its enactment.¹⁶

This decision set out two important principles. First, the right of distribution (vending) does not enable rightholders to control the downstream commerce of copies by their lawful owners, provided that the rightholder transferred the ownership of the copy in exchange for proper remuneration.¹⁷ Second, the warning printed in the copies can only bind those resellers who are in a direct contractual relationship with the rightholder.¹⁸

This ruling would have a significant influence on the outcome of the first-sale doctrine. Congressmen, who were involved in the drafting of the new Copyright Act, recognized the pertinence of the Supreme Court’s logic. According to the Report of the House of Representatives, on the Copyright Act 1909,

¹² Ibid., §4965. ¹³ Ibid., §4970. ¹⁴ *Bobbs-Merrill v. Straus* (1908) 346.

¹⁵ Ibid., 349–350. ¹⁶ Ibid., 350–351. ¹⁷ *Nimmer and Nimmer* (2013) §8.12[A].

¹⁸ On the decision see Corsello (1991) 189–190; Rothnie (1993) 260–261; Roa (1999) 216–218; Vacca (2007) 610–611; Hess (2013) 1998–1999.

[t]he concluding clause in the section, that “nothing in this act shall be deemed to forbid prevent, or restrict the transfer of any copy of a work copyrighted under this act the possession of which has been lawfully obtained” is inserted in order to make it clear that there is no intention to enlarge in any way the construction to be given to the word “vend” in the first section of the bill. Your committee feels that it would be most unwise to permit the copyright proprietor to exercise any control whatever over the article which is the subject of copyright after said proprietor has made the first sale.¹⁹

Congress thus entrenched the first-sale doctrine in the Copyright Act 1909, in accordance with the Supreme Court’s reasoning.²⁰

3.2 The Development of the First-Sale Doctrine until 1976

As the first-sale doctrine only concerns the copies that have lawfully been sold, differentiating between a license granted by the rightholder to a particular user and the transfer of ownership (via conveyance or any other legal action) has always been crucial. In *Hampton*, the legal predecessor of Paramount Pictures received permission from Kodascope to reproduce the silent movie *The Covered Wagon* and to screen it publicly outside of movie theaters. Kodascope provided a copy of the movie to John Hampton without authorizing the public showing of the work. The Ninth Circuit emphasized that the first-sale doctrine should not apply to the right of public showing and therefore Hampton’s public screening of the movie ran against the original license.²¹

The Ninth Circuit faced similar questions in *Wise*. Here, the defendant’s purchased and resold film reels that had previously been given to film archives by movie studios. The federal government argued that the films were not sold, but only licensed for certain individuals, for a certain purpose (e.g., to reuse the film reels) and for a certain period of time. Several movies and a great number of contracts were affected by this dispute.

The Ninth Circuit reasoned that the license versus sale dichotomy should be decided in light of the substance of the whole contract and

¹⁹ H.R. Rep. (1909) 13.

²⁰ An Act to Amend and Consolidate the Acts Respecting Copyright (1909) section 41: “Nothing in this title shall be deemed to forbid, prevent, or restrict the transfer of any copy of a copyrighted work, the possession of which has been lawfully obtained.” The Acts related to copyright were codified by the US Congress in 1947. Since that time the Copyright Act is located in the seventeenth title of the US Code. As a part of such codification, the earlier numbering of the first-sale doctrine (section 41.) was amended to section 27.

²¹ *John Hampton, et al. v. Paramount Pictures Corporation, et al.*, 279 F.2d 100 (1960) cert. denied 364 U.S. 882 (1960). See further Rothnie (1993) 268.

without prioritizing any of the stipulations. Judge Davis came to the conclusion that Wise had acquired ownership of several film reels, where the original acquirer had paid a lump sum for the reels and where returning these reels was impossible or was not required by the contract (like in the case of the reels acquired by actress Vanessa Redgrave). These copies were owned by the acquirer who, in turn, could have lawfully transferred the ownership over them to Wise.²²

In compliance with *Harrison v. Maynard*, the US courts allowed for the rebinding or reutilization of copies in the post-1909 cases. For example, it proved acceptable to use lawfully purchased scarves and towels for the preparation of new handbags,²³ as well as to affix lawfully purchased postcards and greeting cards on ceramic products,²⁴ as long as the defendants referred to the original rightholders on the new products. Moreover, the sale of discarded Superman comics with new covers²⁵ as well as the reselling of paperback copies in hardback were both found to be in compliance with the first-sale doctrine.²⁶

Under the Copyright Act 1909, the first-sale doctrine enabled the resale of copies, the possession of which had been lawfully obtained. However, it is important to note that possession is not an equivalent to ownership. Therefore, it was crucial to clarify whether mere possession also enables the application of the first-sale doctrine. In *Platt & Munck*, the plaintiff contracted with Republic on the production of puzzle toys and books. The customer refused to pay for the products, as it deemed the defendant's performance defective. Later, Republic sold the puzzle toys and books to another purchaser. The plaintiff argued that such sales infringed their right of distribution. Republic relied on the literal interpretation of the Copyright Act 1909 and emphasized that the toys and books were lawfully in its possession, as it had produced them and Platt & Munck had failed to pay for them. Judge Friendly rejected this rigid approach under the teleological interpretation of the act. He claimed that

[i]f lawful possession by another sufficed to deprive the copyright proprietor of his right to control the transfer of the copyright objects, any bailee of such objects could sell them without infringing the copyright, whatever his liability for

²² *United States v. Wise*, 550 F.2d 1180 (1977) 1190–1192. See further Rothnie (1993) 273–274; Degner (2012) 585–586; Donatello (2012) 66–67.

²³ *Scarves by Vera Inc. v. American Handbags Inc.*, 188 F.Supp. 255 (1960).

²⁴ *The C. M. Paula Company v. L. Gene Logan*, 355 F.Supp. 189 (1973). See further Lauff (1998) 881–883; Billah (2018) 135–136.

²⁵ *Independent News Co., Inc., et al., v. Harry Williams*, 293 F.2d 510 (1951). See further Rothnie (1993) 268–269.

²⁶ *Lantern Press Inc. v. American Publishers Co.*, 419 F.Supp. 1267 (1976). See further Rothnie (1993) 273.

conversion might be in view of the necessary role played by manufacturers, shippers, and others in producing and distributing copies of copyrighted works, the result in many cases would be that a copyright proprietor could not present his work to the public without risking the loss of part of his copyright protection.²⁷

The US courts have, on the other hand, continued to allow for the separate resale of lawfully acquired records under the Copyright Act 1909, even if the respective records were originally bound to shampoos for promotional purposes.²⁸

3.3 The Challenges of the First-Sale Doctrine after 1976 and the Amendments of the USCA

The content of the first-sale doctrine went through very few changes during the lifespan of the Copyright Act 1909. The policy considerations of the doctrine and the conditions for applying it were crystallized by federal courts and Congress transposed the earlier definition with only minimal changes. These changes included the addition of sound recordings among the affected subject matter, as well as the replacement of possession with ownership as a prerequisite for the applicability of the doctrine.²⁹ The first-sale doctrine is currently formulated as follows:

Notwithstanding the provisions of section 106(3), the owner of a particular copy or phonorecord lawfully made under this title, or any person authorized by such owner, is entitled, without the authority of the copyright owner, to sell or otherwise dispose of the possession of that copy or phonorecord.³⁰

Several post-1976 court decisions have contributed to the proper application of the first-sale doctrine. The Ninth Circuit concluded in *Mirage Editions v. Albuquerque A.R.T.* that lawfully purchasing artwork prints or books, gluing each piece of artwork or page of the book onto ceramic tiles, and ultimately selling these tiles in the retail market is not covered by the first-sale doctrine, as such practices represent adaptation under the USCA.³¹ This ruling represented a clear departure from the pre-1976 case law, with respect to the resale of lawfully acquired copies that were transformed before their alienation. In *Design Options v. Bellepointe*,

²⁷ *Platt & Munck Co., Inc. v. Republic Graphics Inc., et al.*, 315 F.2d 847 (1963) 851. See further Rothnie (1993) 269–271; Nimmer and Nimmer (2013) §8.12[B][3][b].

²⁸ *Burke & Van Heusen Inc. v. Arrow Drug Inc., et al.*, 233 F.Supp. 881 (1964). See further Lauff (1998) 877.

²⁹ Kernochan (1989) 1412. ³⁰ USCA §109(a).

³¹ *Mirage Editions, Inc., et al. v. Albuquerque A.R.T. Co.*, 856 F.2d 1341 (1988). See further Lauff (1998) 883–884. On the case law on the transfer of copies to new material objects in the EU, see Chapter 2, note 140 and the accompanying text.

the district court confirmed that the purchase of sweaters bearing copyrighted sweater designs did not grant any right to the purchaser to use the design to produce and sell new clothes.³² In *Redd Horne* and *Aveco*, the Third Circuit excluded the “in-store viewing” of lawfully sold video cassettes from the scope of §109(a). The court opined that the viewing of videos in the private rooms and boxes of rental shops violated the public performance right.³³ In *UMG v. Augusto*, the Ninth Circuit confirmed the applicability of the first-sale doctrine to the resale of promotional CDs.³⁴ In *Geophysical Service*, the Fifth Circuit concluded that the act of state doctrine³⁵ does not bar federal courts from ruling on the importation of copies of seismic sections to the US.³⁶

Several external factors made it inevitable that the parameters of the doctrine would need reframing. One of these outside factors was the acceleration of technological development. Products of Sony, such as the portable music player device (Walkman),³⁷ the multifunctional video player (Betamax),³⁸ and the revolution of computers, as well as the standardization of digital technologies (e.g., compact disc in 1983 and mp3 format in 1995), have all contributed to the transformation of the consumption of cultural goods. The acceleration of globalization and cross-border uses has also encouraged the global modernization of copyright law,³⁹ as well as improving the efficiency of law enforcement.⁴⁰ Both external factors basically derive from, and also affirm, the growing economic nature of copyright law. The engine behind this growth has mainly been the US, as the leader of the music, film, and software

³² *Design Options, Inc., v. Bellepointe, Inc.*, 940 F.Supp. 86 (1996).

³³ *Columbia Pictures Industries, Inc., et al., v. Redd Horne, Inc., et al.*, 749 F.2d 154 (1984); *Columbia Pictures Industries, Inc., et al., v. Aveco, Inc., et al.*, 800 F.2d 59 (1986). See further Lauff (1998) 895–896.

³⁴ *UMG Recordings, Inc. v. Troy Augusto*, 628 F.3d 1175 (2011). See further Steimer (2009) 313–342; Newman (2010) 853–854; Longdin and Lim (2013) 320–321; Nimmer and Nimmer (2013) §8.12[B][1][c][iii]; Won (2013) 409–410; Katz (2014) 130–133; Mosley (2015) 252–253; Determann (2018) 189–190; Graham and McJohn (2020) 535–536. On promotional CDs in general, see Harris (2009) 1745–1772.

³⁵ “The act of state doctrine ‘limits, for prudential rather than jurisdictional reasons, the adjudication in American courts of the validity of a foreign sovereign’s public acts.’ The doctrine applies to bar an action when ‘the relief sought or the defense interposed would have required a court in the United States to declare invalid the official act of a foreign sovereign performed within its own territory.’” See *Geophysical Service, Inc., v. TGS-NOPEC Geophysical Company*, 850 F.3d 785 (2017) 796 (footnotes omitted).

³⁶ “We find that the question presented by the first-sale doctrine, whether imported copies were ‘lawfully made,’ is different in kind from the question whether the copy-maker acted illegally or invalidly.” *Ibid.*

³⁷ Horowitz (1988) 42–43. ³⁸ “50 Years of the Video Cassette” (2006) 8–9.

³⁹ Long (2001) 313–343. ⁴⁰ Yu (2009) 1–16; Long (2013) 49–84; Yu (2013) 239–257.

industries. The “copyright industry” became one of the most important lobby forces in the US.⁴¹

These circumstances affected the first-sale doctrine, which up until now had experienced relative tranquility, making it more difficult for courts to apply the doctrine. In several cases, the revision of §109(a) became necessary. This was especially true in the 1980s and 1990s for the growing business of music, software, and video rental. Furthermore, as discussed in more detail at Para 4, a short piece of §109(a), namely, “lawfully made under this title,” has been in the spotlight since the USCA came into effect. The tension around this phrase has ultimately been resolved by the Supreme Court, which accepted the concept of international exhaustion in its *Kirtsaeng* ruling.

3.3.1 *Record Rental Amendment Act*

The original wording of the USCA did not pose any limitation for the lawful owner on the future disposition of the copy. Consequently, the future transfers could have been rental, lease, or lending. The legitimacy of this broad interpretation of the first-sale doctrine was brought into question by the significant changes to the music, software, and to some extent the film industry in the 1980s. Record rental stores appeared with an explosive speed in Japan in the 1980s. Their number reached 1,600 in 1983 and statistics indicated that 97 percent of Japanese customers made private copies of the rented audio discs. The income deriving from the sales of audio discs fell by 30 percent in the Far East.⁴²

This new trend reached the US quickly. The first “Rent-A-Record” store was opened in Providence, Rhode Island, in September 1981. By April 1983, the company already had 250 shops.⁴³ As CDs also appeared in 1983, it is clear why the lobbyists of recording studios envisioned the fall of the music industry unless Congress took steps to rectify and moderate this sudden surge in sound recording rentals.⁴⁴

The legislation acknowledged the issue with surprising speed and set hearings for the issue of record rental in 1983.⁴⁵ It was established by the House of Representatives that the rental stores offered recordings for a period of one to three days for 99 cents to 2.50 USD.⁴⁶ Furthermore, some shops were even selling blank audio discs.⁴⁷ The Senate Report highlighted that record rental conflicted with the rightholders’ distribution right, as it incentivized customers to rent copies more

⁴¹ Litman (2006). ⁴² Horowitz (1988) 32. ⁴³ Hess (2013) 1987.

⁴⁴ Vacca (2007) 612–613. ⁴⁵ H.R. Rep. (1984). ⁴⁶ Vanden Heuvel (2012) 665.

⁴⁷ Vacca (2007) 613.

cheaply and reproduce them at home. The report concluded that “[t]he rental is a direct replacement of a sale,”⁴⁸ convincing Congress to enact §109(b)(1). According to this,

[n]otwithstanding the provisions of subsection (a), unless authorized by the owners of copyright in the sound recording and in the musical works embodied therein, the owner of a particular phonorecord may not, for purposes of direct or indirect commercial advantage dispose of, or authorize the disposal of, the possession of that phonorecord by rental, lease, or lending, or by any other act or practice in the nature of rental, lease, or lending.⁴⁹

This “limitation of the limitation” prevented the lawful owners from renting out copies of sound recordings for the purpose of direct or indirect commercial advantage.⁵⁰ As William Patry put it, “[t]he legislation is designed to reach any commercial transaction by which revenue or other commercial advantage is gained, directly or indirectly, from the disposition and return of the same phonorecord, regardless of how the parties describe the transactions.”⁵¹ The general rule of the RRA was nonetheless limited by Congress to maintain the privilege of libraries and nonprofit educational institutions to allow them to continue lending recordings for their patrons.⁵²

Two decades after the enactment of the RRA,⁵³ the Sixth Circuit called attention to the inaccuracy of the statute, in *Brilliance Audio*. In this case, the defendant purchased audiobooks published by Brilliance Audio. Later, the audiobooks were relabeled and repackaged and were finally rented by the defendant to its clients. The issue was whether the RRA also applies to audiobooks or only to such sound recordings that contain musical works. The Sixth Circuit relied on the teleological interpretation of the RRA and denied the plaintiff’s motion.⁵⁴ The

⁴⁸ S. Rep. (1983) 2.

⁴⁹ The number of this rule was later – in 1990 – changed to USCA §109(b)(1)(A).

⁵⁰ On the substance of the RRA, see Kernochan (1989) 1418–1420; Mills (1989) 321–330; Vacca (2007) 615–616; Nimmer and Nimmer (2013) §8.12[B][7]. On the differing opinions in favor of and against the acceptance of the statute, see Smith (1987) 1636–1638; Chatterjee (1995) 394–398.

⁵¹ Patry (1994) 853.

⁵² “Nothing in the preceding sentence shall apply to the rental, lease, or lending of a phonorecord for nonprofit purposes by a nonprofit library or nonprofit educational institution.” See USCA §109(b)(1)(A).

⁵³ The RRA was originally introduced by the Congress for a five-year period. Before the end of the original effective date (October 4, 1989), the statute was amended to last until October 4, 1997. Finally, simultaneously with signing the NAFTA the RRA was amended to be effective for an indefinite period of time. See Patry (1994) 854–855.

⁵⁴ *Brilliance Audio, Inc. v. Hights Cross Communications, Inc.*, 474 F.3d 365 (2007). See further Kass (2007) 297–319; Vacca (2007) 617–620.

decision shed light on the causal nature of the RRA, as well as the fact that the constant development of technology might require Congress to reconsider its opinion on several sections of the law.

3.3.2 *Computer Software Rental Amendment Act*

From the middle of the 1980s, American society's reliance on rental stores seriously endangered the interests of the prospering software industry. Computer programs, especially games, became available for a daily rate of 1–20 USD. After the trial expired, customers had the option of purchasing the programs. During this time, this practice was not in violation of the USCA unless the customer made a copy of the program.⁵⁵

Due to the losses suffered by the software industry,⁵⁶ a bill was submitted in 1986 to fight the above trend. The CSRA, which was not enacted until 1990, included the renumbered 109(a)(A) and excluded the rental, lease, and lending of software from the scope of the first-sale doctrine, in the same way as the RRA did with sound recordings.⁵⁷

Congress introduced a few exceptions to the prohibition of software rental and allowed for its use in a few socially reasonable cases.⁵⁸ Currently, the CSRA does not prevent the resale of OEM (Original Equipment Manufacturer) software⁵⁹ or computer programs, included in or connected to personal computers, which are designed for the use of video games or other applications.⁶⁰ Lending by nonprofit libraries is also allowed, provided that reference to the original copyright was placed on the packaging of the software.⁶¹

⁵⁵ The USCA has never allowed for private copying of computer programs. See USCA §117(1). This is clearly supported by the fact that copies of software were the equivalent of the originals, and they could clearly and easily substitute the originals on the market. See Corsello (1991) 193.

⁵⁶ Judith Smith estimated that the software industry lost 1.3 billion USD due to unauthorized rentals during 1981 and 1984. See Smith (1987) 1627. Some have, however, stressed that the economic data on the effects of software rental were very limited when the CSRA was accepted. See Corsello (1991) 198–201.

⁵⁷ The software industry failed to fill in the gap generated by the CSRA. Therefore, the statute did not only abolish the activity of certain companies but also eliminated a specific form of business in its entirety. Compare to Reese (2003) 620.

⁵⁸ On the original exceptions, see Corsello (1991) 201–204.

⁵⁹ USCA §109(b)(1)(B)(i). ⁶⁰ USCA §109(b)(1)(B)(ii).

⁶¹ USCA §109(b)(2)(A). On the substantive rules of as well as the exceptions included in the CSRA, see Patry (1994) 856–862; Chatterjee (1995) 401–406; Nimmer and Nimmer (2013) §8.12[B][8][b]; Won (2013) 401–404; Determann (2018) 191–193.

3.3.3 *Video Rentals and the Lack of Amendments*

Another area directly affected by rental stores was the film industry. There were times when the proportion of rentals compared to sales was approximately 9 to 1.⁶² The overall danger of the rental business, including derivations of it, such as “in-store viewing” of rented films, to the movie industry was significant. A bill was submitted to Congress in 1983, which intended to exclude the rental of video cassettes from the scope of the first-sale doctrine.⁶³ There are several explanations as to why nothing ever came from this.

The *Betamax* ruling of the Supreme Court allowed for the private copying of TV programs by video tape recorders under the fair use doctrine.⁶⁴ *Betamax* had nothing to do with the first-sale doctrine. However, some have argued that the decision might have contributed to Congress aborting legislation restricting the use of video rentals.⁶⁵ Another reason might be that video rental shops spread at an explosive speed, at a time when the price of video tapes and video recorders were still very high. Therefore, establishing a video library involved serious expenditure and not every US citizen could afford such an outlay. Finally, producers of motion pictures concluded individual contracts with video rental franchises, making it into a general practice that rental stores could only rent copies that had been purchased directly from the studios.⁶⁶ At the peak of this practice, studios profited more from these agreements than they did from ticket sales.⁶⁷ In 2003, this income reached 11.9 billion USD.⁶⁸

In the very same year, a company called Redbox was established by Coinstar and McDonald's. This company rented lawfully purchased DVDs for a price of 1 USD per day.⁶⁹ By 2006, this company operated more than 2,000 machines, and in 2011 their number was estimated at

⁶² Opri (1986) 331.

⁶³ The CVSRA recommended the introduction of the following passage to the USCA: “[u]nless authorized by the copyright owner, the owner of a particular copy of a motion picture or other audiovisual work may not, for purposes of direct or indirect commercial advantage, dispose of the possession of that copy by rental, lease, or lending, or by any other activity or practice in the nature of rental, lease, or lending.” On the CVSRA, see Opri (1986) 340–347.

⁶⁴ *Sony Corporation of America, et al. v. Universal City Studios, Inc., et al.*, 464 U.S. 417 (1984). See further Reiner (1978–1979) 573–634; Clark (1979–1980) 661–681; Patry (1982) 211–248; Ikeler (1985) 873–897; Mills (1989) 316–321; Nimmer and Nimmer (2013) 13.05.[F][5][b][i].

⁶⁵ Chatterjee (1995) 399; Hess (2013) 1990. ⁶⁶ Opri (1986) 348–349.

⁶⁷ Corsello (1991) 192; Vanden Heuvel (2012) 665. ⁶⁸ Kaczanowska (2011) 28.

⁶⁹ Each vending machine contained 200 DVDs at a time.

34,000.⁷⁰ Another significant development was the launch of Netflix's online video rental service in 2007. As a direct consequence, the operation of brick-and-mortar video rental stores was undermined by the business policy and success of Redbox and Netflix, as well as the fact that DVDs proved to be a lot more durable than VHS tapes. For example, Blockbuster, one of the most famous brick-and-mortar video rental franchises, went into bankruptcy in 2010.⁷¹ Moreover, the income of studios deriving from video rentals revenue decreased to 6.6 billion USD in 2011.⁷² Without doubt, the future of home video consumption is streaming rather than the rental of physical data carriers.

3.4 The Limitations of the First-Sale Doctrine

3.4.1 *Prohibition of Parallel Importation versus First-Sale Doctrine*

The Copyright Acts of the US have referred to the right of importation⁷³ for over a century,⁷⁴ while the right of exportation has been protected since 2008.⁷⁵ Almost immediately after the acceptance of the USCA, in 1976, discussions commenced as to whether the right of importation was subject to the right of distribution and sections 107 to 122, including the first-sale doctrine. The USCA does not provide a clear answer to this question. However, it is crucial to decide whether rightholders are allowed to prohibit the parallel importation of copies that were lawfully produced or first sold abroad by them or under their authorization. There is much at stake. On the one hand, if parallel importation of gray market goods is accepted, it brings with it the danger that the prohibition of parallel importation is an empty regulation and US corporations should, and most probably will, reconsider their price discrimination

⁷⁰ Vanden Heuvel (2012) 667–668. ⁷¹ O'Neill (2011).

⁷² Kaczanowska (2011) 28. ⁷³ USCA §602.

⁷⁴ The right of importation can be traced back to the Copyright Act of 1790. Under this statute, foreigners were not protected, and the importation of copies produced abroad was therefore prohibited. See Roa (1999) 215–216. Under the International Copyright Act 1891, 26 Stat. 1106, foreign authors were protected under the principle of national treatment, supposed that their works were registered at the USCO and were produced by American printing-houses. This latter prerequisite is known as the “manufacturing clause.” The Copyright Act 1909 was the first to expressly mention the right of importation. It applied against pirate copies and those that were produced against the “manufacturing clause.” As a rare exception, importation for private and educational/library purposes was accepted. See Tucker (1985) 580–581; Patry (1994) 864–866.

⁷⁵ The Prioritizing Resources and Organization for Intellectual Property Act of 2008, Pub. L. No. 110–403, 122 Stat. 4259. Since 2008, §602(a) – the prohibition on importation – was renumbered to §602(a)(1).

strategies.⁷⁶ On the other hand, if parallel importation is prohibited and US companies could completely control the fate of copies produced or sold abroad, they might also choose to outsource the production of these goods in order to maximize profits. Such practices might have dangerous consequences for the US economy.⁷⁷

Most case law has dealt with the issue of copies being produced abroad by the rightholder, or under his or her authorization, in order to be sold solely on foreign markets, yet the copies were imported to the US (see *infra Nintendo*, *Scorpio*, *Stark*, *Harms*, *Red Baron*, *BMG v. Perez*, *Denbicare*, *Omega v. Costco*, *Kirtsaeng*, and *Pearson trio*). Some cases have focused on the issue of copies being produced in the US that were intended to be sold solely in foreign markets but found their way back to the US in a “round trip journey”⁷⁸ (see *infra Sebastian* and *Quality King v. L’anza*). Finally, a few cases have centered on situations where the copies were produced and sold first in the territory of the US, then were later exported to foreign markets, before eventually being imported back to the US (see *infra Cosmair* and *Neutrogena*).

The present author asserts that US case law in this area can be categorized as developing in two distinct phases. The early judicial practice consists of conflicting district and circuit court rulings. The second phase starts with the first Supreme Court decision in the *Omega v. Costco* case and ends with the *Kirtsaeng* ruling and the *Pearson trio*. In this latter phase, the Supreme Court took a long journey to the eventual acceptance of parallel importation in copyright law.

3.4.1.1 The Early Development of Judicial Practice (1983–1998)

The first decision on the clash between parallel importation and the first-sale doctrine was provided in *Nintendo of America v. Elcon Industries*. In this case, the Japanese parent company, Nintendo Co. Ltd., assigned copyrights to its American subsidiary over the video game Donkey Kong. The parent company had also licensed another Japanese company to make copies of the video game, under the name of Crazy Kong, and to distribute these copies solely in Japan. When the Crazy Kong video

⁷⁶ Gautam (2014) 737–754.

⁷⁷ Aldridge (2011) 340–341; Amundsen (2012) 350; Hamborg (2012) 905–906, 921–924. This problem was also noticed by courts. See *Parfums Givenchy, Inc. v. Drug Emporium, Inc.*, 38 F.3d 477 (1994) 481; *John Wiley & Sons, Inc. v. Kirtsaeng*, 654 F.3d 210 (2011) 222, note 44.

⁷⁸ This expression has been used by Justice Ginsburg in *Omega v. Costco*. See *infra* Chapter 3, Section 3.4.1.2.2.

games were imported to the US, the plaintiff sued the arbitrageur under §106(3). The district court disagreed with the defendant's argument that the license of the Japanese parent company had exhausted the distribution right of the US subsidiary and so the importation of the computer games violated the plaintiff's copyrights.⁷⁹

In *Scorpio*, the Vicor Music Corporation produced copies of sound recordings in the Philippines, with the authorization of CBS and its Japanese subsidiary, CBS-Sony. Upon the termination of the agreement, Vicor had sixty days to sell the remaining stock. Scorpio acquired the CDs after they were imported by Rainbow Music Inc. and International Traders Inc. to the US.⁸⁰ The district court denied the plaintiff's motion and reasoned that the first-sale doctrine could not be applied to the CDs, because they had not originally been produced and sold "lawfully under this title," that is, in the US. The court, without analyzing whether the right of importation is subject to §109(a), concluded that a different interpretation would make §602(a) pointless.⁸¹ The court was also reluctant to acknowledge the crucial fact that the CDs were imported to the US by Rainbow Music rather than Scorpio, and the latter only distributed the recordings in the US. Consequently, it could be argued that Scorpio's liability could be found under §106(3), which is subject to the first-sale doctrine.⁸² Nonetheless, the district court ruling was affirmed by the Third Circuit.⁸³

In *Cosmair*, the plaintiff had produced clothes in the US with the copyrighted "The Polo Player" logo. The clothes were later sold to Dynamite in the US. Dynamite first exported and then shipped the clothes back to the US. Cosmair argued that this importation violated its rights under §602(a). The court denied the motion as the clothes were produced and first sold within the US. The court also distinguished between §§109(a) and 602(a). Judge Hoeveller found that the latter applies where the rightholder authorized the production and distribution

⁷⁹ *Nintendo of America, Inc., v. Elcon Industries, Inc., et al.*, 564 F.Supp. 937 (1992). See further Donohue (1986) 196.

⁸⁰ *Columbia Broadcasting System Inc. v. Scorpio Music Distributors Inc.*, 569 F.Supp. 47 (1983) 47–48.

⁸¹ *Ibid.*, 49–50.

⁸² Admittedly, if the importation by Rainbow Music resulted in a violation of the USCA, any further use of the affected copies would be unlawful, too. The House of the Representatives warned that "any resale of an illegally pirated phonorecord would be an infringement." See H.R. Rep. (1976) 79.

⁸³ *Columbia Broadcasting System Inc. v. Scorpio Music Distributors Inc.*, 738 F.2d 424 (1984). See further Donohue (1986) 196–197; Rothnie (1993) 281–285; Patry (1994) 870; Roa (1999) 219–220; Hamborg (2012) 903–904; Nimmer and Nimmer (2013) §8.12[B][6] [a].

of copies abroad, but in this case the lawfully produced copies were imported to the US without any permission.⁸⁴

A similar decision was made in *Neutrogena*. The plaintiff sued the US Customs Office to prevent the importation of a shipment of cosmetics to the country. The products were originally produced in the US and were later sold by Neutrogena to a Hong Kong distributor who, in turn, resold them to a third party. The shipment of cosmetics finally found its way back to the country of origin. The district court dismissed Neutrogena's motion, as the products were produced and sold first in the US by the plaintiff. Any further control of the fate of the products is not allowed under the USCA.⁸⁵

In *Stark*, the plaintiff copyrighted eighteen literary works in the US. It authorized British companies to print these books in the UK. The copies were imported in large quantities to the US by J. Ben Stark's company. The court, following the holding of the *Cosmair* ruling, found that the importation was in violation of the USCA.⁸⁶ Judge Legge noted that §109 (a) does not affect the application of §602(a), since the former concerns the distribution of "a particular copy or phonorecord," while the latter concerns "copies or phonorecords" (practically, large amounts of copies).⁸⁷ Judge Legge based this conclusion on the singular and plural variations of the words across the two sections. However, this holding was significantly criticized by commentators.⁸⁸ The validity of these claims is supported by the fact that the USCA makes an expressed difference between individual and mass importation, where the former works as an exception from the general rule.⁸⁹ Moreover, the first-sale doctrine was codified in 1909 with an expressed view at the preexisting case law. As introduced earlier, those decisions were mainly of a commercial nature.⁹⁰

In *T. B. Harms*, WEA Records had lawfully published and sold phonorecords in New Zealand. The recordings also included the "Ol' Man River" song. When Jem Records imported those recordings to the US, T. B. Harms, the copyright owner of the Sinatra song in the US, sued the

⁸⁴ *Cosmair Inc., et al. v. Dynamite Enterprises Inc., et al.*, 226 U.S.P.Q. 344 (1985). See further Donohue (1986) 198; Roa (1999) 220–221.

⁸⁵ *Neutrogena Corporation v. U.S., Secretary of the Treasury*, 7 U.S.P.Q.2d 1900 (1988) 1903. See further Miller (1995) 483.

⁸⁶ *Hearst Corporation, et al., v. J. Ben Stark, et al.*, 639 F.Supp. 970 (1986) 981.

⁸⁷ *Ibid.*, 976.

⁸⁸ Rothnie (1993) 287–289; Roa (1999) 221; Nimmer (2013) §8.12[B][6][a].

⁸⁹ USCA §602(a)(3)(B). This rule was covered by §602(a)(2) at the time of the decision of the case.

⁹⁰ Compare to para. 4 *supra*.

importer under §602(a).⁹¹ Jem Records argued that the recordings were made lawfully under the compulsory licensing provisions of New Zealand. Consequently, T. B. Harms' exclusive right of distribution was extinguished. Indeed, the defendant claimed that

§602(a) does not apply here because it only addresses infringements of the *exclusive* distribution right of the copyright owner. Defendant argue[d] that no such exclusive distribution right exists in phonorecords of compositions, such as "*Ol' Man River*," available for compulsory licensing under §115 of the Copyright Act.⁹²

The district court dismissed Jem Records' defense. The court emphasized that a compulsory license does not extinguish the right of distribution, but only determines its limitations.⁹³ Furthermore, §115 can only be applied if the new phonorecords were produced in accordance with the USCA. One of these elements is that the phonorecords should be made in the US. An importer of copies where those copies were originally produced abroad does not satisfy this requirement.⁹⁴

In *Sebastian*, the plaintiff copyrighted the packaging of "Shpritz Forte" and "Wet." The plaintiff manufactured these cosmetics in the US and sold them to Consumer Contacts, with the condition that they could only be distributed in the Republic of South Africa. Once the shipment arrived at its destination, the defendant returned them to the US, where Fabric then resold the products to outlets.⁹⁵ The district court decided that the importation right is not limited by the right of distribution and the rightholder may determine which products enter the US market.⁹⁶

Raymond Nimmer criticized the court for misinterpreting the facts. The cosmetics were originally produced and sold first within the US. Indeed, §602(a) concerns only the copies "acquired abroad" and that was certainly not the case here. Judge Barry argued that both the first-sale doctrine and the right of importation require that copies are "lawfully made under this title," Nimmer properly indicated that §602(a) does not contain this expression at all.⁹⁷

⁹¹ *T.B. Harms Company v. Jem Records, Inc.*, 655 F.Supp. 1575 (1987) 1576–1577.

⁹² *Ibid.*, 1578 (italics in original). ⁹³ *Ibid.*, 1580.

⁹⁴ "The compulsory licensing provision of the Copyright Act could not be applicable to defendant because, as with the defendant in *Gallant*, Jem was only the middleman distributor of the phonorecord." See *ibid.*, 1582 (italics in original). See further Rothnie (1993) 289–290; Roa (1999) 222.

⁹⁵ *Sebastian International Inc. v. Consumer Contacts (PTY) Ltd., et al.*, 664 F.Supp. 909 (1987) 911–912.

⁹⁶ *Ibid.*, 919–920.

⁹⁷ Nimmer (2013) §8.12[B][6][b]. See further Rothnie (1993) 290–293.

The Third Circuit reversed the district court's judgment. The court admitted that

[w]e confess some uneasiness with this construction of "lawfully made" because it does not fit comfortably within the scheme of the Copyright Act. When Congress considered the place of manufacture to be important, as it did in the manufacturing requirement of section 601(a), the statutory language clearly expresses that concern.⁹⁸

Judge Weis therefore concluded that the prohibition on parallel importation is bound by the right of distribution, as well as the first-sale doctrine.⁹⁹ Judge Weis also stated that nothing enabled the plaintiff to ask for subsequent (more appropriate or adequate) rewards, if it had received proper payment.¹⁰⁰

The *Sebastian* ruling of the Third Circuit properly resolved the arbitrage by importers of copies to the US that were originally produced and put into circulation in the US. At the same time, it remained undecided whether this ruling could be equally applied to copies that were produced and put into circulation abroad.

This was first addressed by the Fourth Circuit in *Red Baron*. In this case, the defendant purchased and imported motherboards to the US that were designed to run the computer games of Taito, particularly the Double Dragon. These motherboards were produced in Japan and were mainly installed in arcade games machines. The district court decided in favor of Red Baron, claiming that the lawful sales in Japan exhausted the public performance¹⁰¹ and distribution rights of Taito's US subsidiary.¹⁰² The Fourth Circuit reversed this judgment, on the grounds that Red Baron did not have proper licenses to perform Taito's computer games in its arcade machines and concluded that the district court had falsely applied the first-sale doctrine to the public performance right.¹⁰³

In a similar case, Edmundo Perez was sued because he had imported CDs that were originally produced and sold abroad to the US without authorization. The Ninth Circuit distinguished this case from *Sebastian*, but accepted *Scorpio*, and reaffirmed that the first-sale doctrine should

⁹⁸ *Sebastian v. Consumer Contacts* (1987) 1098 and note 1. ⁹⁹ *Ibid.*, 1099.

¹⁰⁰ *Ibid.* See further Congdon (1989) 600–609; Stern (1989) 120; Rothnie (1993) 293–296; Patry (1994) 871; Donnelly (1997) 459; Roa (1999) 222–223; Hamborg (2012) 904.

¹⁰¹ USCA §106(4).

¹⁰² The district court's judgment was not published. Its details can be deduced from the Fourth Circuit's ruling. See *Red Baron-Franklin Park Inc., et al., v. Taito Corp., et al.*, 883 F.2d 275 (1989) 277–278. See further Stern (1989) 120–122.

¹⁰³ *Red Baron-Franklin v. Taito* (1989) 279–281. See further Rothnie (1993) 281–285; Nimmer (2013) §8.12[B][6][b].

not apply with respect to copies produced and distributed first abroad.¹⁰⁴ A similar decision was made by the Ninth Circuit in *Parfums Givenchy*, where the importation of Amarige perfumes, produced and first put into circulation in France, was banned.¹⁰⁵ However, in a separate case, the Ninth Circuit applied the first-sale doctrine where goods were sold in the San Francisco foreign trade zone by the bankruptcy trustee of the former copyright owner.¹⁰⁶

3.4.1.2 Let There Be (Some) Light: The Supreme Court Rules on Parallel Imports (1998–2013)

All of the aforementioned jurisprudence was established either by district or circuit courts. Those rulings harbored significant differences in their interpretation of the USCA, namely, what “lawfully made under this doctrine” means, and whether §602(a) is bound by §109(a). The Supreme Court denied granting certiorari in several instances,¹⁰⁷ but it finally agreed to decide the *Quality King v. L’anza* case.

3.4.1.2.1 *Quality King v. L’anza*

By way of a brief introduction, L’anza produces cosmetics and it holds copyrights in the US on the packaging of these products. In the actual case, L’anza sold several tons of shampoo to a British distributor, which was produced but never distributed in the US. The distributor resold these products to a Maltese company from whom the shipment was purchased by Quality King, which, in turn, imported the cosmetics to the US. Finally, Quality King resold the goods to a retailer in California. As L’anza massively advertised its products in the US, to increase its sales, the price of the cosmetics was 35–40 percent higher in the US than the ones sold abroad.¹⁰⁸

The district court concluded that the first sale of goods occurred abroad, as Quality King transferred the ownership of the cosmetics to a

¹⁰⁴ *BMG Music, et al., v. Edmundo Perez, et al.*, 952 F.2d 318 (1991). See further Rothnie (1993) 281–285; Patry (1994) 871–872; Miller (1995) 485–486; Roa (1999) 223–224; Hamborg (2012) 905.

¹⁰⁵ *Parfums Givenchy v. Drug Emporium* (1994) 480–483. See further Navarro (1995) 111–112; Donnelly (1997) 460; Roa (1999) 224–225; Hamborg (2012) 905–906.

¹⁰⁶ *Denbicare U.S.A., Inc., et al., v. Toys “R” Us, Inc.*, 84 F.3d 1143 (1996). See further Donnelly (1997) 464–468.

¹⁰⁷ *Red Baron-Franklin Park, Inc. v. Taito Corp.*, 493 U.S. 1058 (1990); *Edmundo Perez v. BMG Music, et al.*, 505 U.S. 1206 (1992); *Parfums Givenchy, Inc. v. Drug Emporium, Inc.*, 514 U.S. 1004 (1995); *Denbicare U.S.A., Inc. v. Toys “R” Us, Inc.*, 519 U.S. 873 (1996).

¹⁰⁸ *L’anza Research International v. Quality King Distributors, Inc.*, 98 F.3d 1109 (1996) 1111–1112.

British distributor with the sole intention of allowing for the resale in the UK. Accordingly, the court affirmed the claim of L'anza and found that Quality King had violated the plaintiff's right of distribution.¹⁰⁹ The Ninth Circuit opined that the first-sale doctrine cannot be applied if the arbitrage by importers deprives the rightholder of income deriving from the lawful sales within the US. The court found that L'anza had to compete with its own products. Permitting this could not have been the intent of Congress; otherwise, §602(a) would be a pointless and empty provision.¹¹⁰

The Ninth Circuit categorically rejected the Third Circuit's reasoning in *Sebastian*. Consequently, there were two opposing views on the relationship of §109(a) and §602(a) in the second half of the 1990s, and the Supreme Court rightly felt that it was time to clarify these contradicting interpretations.

The Supreme Court rejected the opinion of the Ninth Circuit and concluded that the plaintiff's cosmetics were "lawfully made under this title," as they were manufactured in the US. As the Supreme Court noted,

[a]fter the first sale of a copyrighted item "lawfully made under this title," any subsequent purchaser, whether from a domestic or from a foreign reseller, is obviously an "owner" of that item. [...] The owner of goods lawfully made under the Act is entitled to the protection of the first sale doctrine in an action in a United States court even if the first sale occurred abroad.¹¹¹

The justices unanimously confirmed that §602(a) is bound by §§106(3) and 109(a).¹¹² Otherwise, it would be possible that other limitations of exclusive economic rights could not be applied to the ban of parallel imports and this would be a big price for the sake of a ban on parallel importation.¹¹³ The Supreme Court also rejected that §602(a) would become pointless, as it provides clear protection against those who possess but do not own copies (such as a bailee, a licensee, or a consigner).¹¹⁴

¹⁰⁹ *L'anza Research International v. Quality King Distributors, Inc.*, 1995 WL 908331 (C.D. Cal.).

¹¹⁰ *L'anza v. Quality King* (1996) 1114–1118. See further Donnelly (1997) 460–463; McDaniel (1997) 295–297; Roa (1999) 212–215.

¹¹¹ *Quality King v. L'anza* (1998) 145 and note 14. ¹¹² *Ibid.*, 145.

¹¹³ *Ibid.*, 150–151.

¹¹⁴ *Ibid.*, 146–147. See further Gonzalez (1999) 39–44; Roa (1999) 225–233; Alvarado (2012) 897–901; Collins (2012) 32–34; Goldberg (2012) 3072–3075; Hamborg (2012) 907–908; Hansen and Morales (2012) 559–560; Nimmer (2013) §8.12[B][6][c]; Ficsor (2014a); Hartzler (2020) 1016–1017.

Nonetheless, the Supreme Court emphasized, in dicta, that the legal position of copies made abroad is to be evaluated differently. According to the court,

a publisher of the U.S. edition and a publisher of the British edition of the same work, each such publisher could make lawful copies. If the author of the work gave the exclusive U.S. distribution rights, enforceable under the Act, to the publisher of the U.S. edition and the exclusive British distribution rights to the publisher of the British edition, however, presumably only those made by the publisher of the U.S. edition would be “lawfully made under this title” within the meaning of §109(a). The first sale doctrine would not provide the publisher of the British edition who decided to sell in the American market with a defence to an action under §602(a) (or, for that matter, to an action under §106 (3), if there was a distribution of the copies).¹¹⁵

This has been reaffirmed by a short, two-sentence-long, parallel opinion of Justice Ginsburg. Accordingly, “[t]his case involves a ‘round trip’ journey, travel of copies in question from the US to places abroad, then back again. I join the Court’s opinion recognizing that we do not today resolve cases in which the allegedly infringing imports were manufactured abroad.”¹¹⁶ These two passages served as the last bastion of the supporters of national exhaustion under the USCA.

3.4.1.2.2 *Omega v. Costco*

In the first twenty years after the USCA came into effect, multiple cases were decided on the importation of products that were fitted with original works of expressions, namely, logos or other works printed on the packaging of goods, as well as trademarks.¹¹⁷ As solving trademark disputes might be slower and more expensive,¹¹⁸ and since applying the Lanham Act might be excluded,¹¹⁹ it is not a misuse of law, per se, if the rightholder relies on the USCA.¹²⁰ Nonetheless, those who criticize the application of the USCA in protecting mass market products (like cosmetics or clothes) may be correct, as after all the basic goal of US copyright law has historically been the protection of culture (literary,

¹¹⁵ *Quality King v. L’anza* (1998), 148. ¹¹⁶ *Ibid.*, 154.

¹¹⁷ Compare to *Cosmair*, *Neutrogena*, *Sebastian*, and *Quality King*.

¹¹⁸ Rothnie (1993) 294.

¹¹⁹ The Supreme Court has, for example, excluded the application of the Lanham Act in cases of parallel imports where the same person holds the US and foreign trademark, or where the domestic and foreign trademark holder is subject to common control. See *K Mart Corp. v. Cartier, Inc.*, 108 S.Ct. 1811 (1988). See further Weicher (1989) 477–489.

¹²⁰ On the use of trademark law to override the first-sale doctrine in copyright law, see LaFrance (2016) 390–407.

artistic, and scientific works) rather than the protection of trade control.¹²¹ The Third Circuit rightly indicated in 1987 that

[t]his twist has created the anomalous situation in which the dispute at hand superficially targets a product's label, but in reality rages over the product itself. We think that the controversy over "gray market" goods, or "parallel importing," should be resolved directly on its merits by Congress, not by judicial extension of the Copyright Act's limited monopoly.¹²²

Likewise, Richard Stern playfully summed up that "[i]t might seem that the tail is wagging the dog when the copyright law related to the label of the shampoo is referred to in order to keep the entire bottle of shampoo out of the United States."¹²³

Another similar dispute arose when Costco offered for sale 117 Omega Seamaster watches, for a price that was 35 percent lower than the original retail price of the watches (1,288 USD instead of 1,999 USD). On the back of the watches, the "Omega Globe Design" was placed. This logo was registered by Omega at the USCO in 2003. The watches at issue were made in Switzerland, sold in Paraguay and Egypt, and were later imported to the US.¹²⁴

The district court denied the plaintiff's motion.¹²⁵ The Ninth Circuit reversed and argued that "lawfully made under this title" needs to be interpreted geographically. Any other decision would make §602(a) empty and it would provide the USCA with an unwanted extraterritorial effect. The Ninth Circuit also distinguished the facts of the case from those of the *Quality King* case, as the Omega watches were not on a "round trip journey."¹²⁶ The Ninth Circuit also relied on the Supreme Court's dicta¹²⁷ as well as on Justice Ginsburg's concurring opinion and concluded that the first-sale doctrine did not apply to copies produced

¹²¹ Congdon (1989) 609. As Justice Fish has explained it in the Canadian Supreme Court's Kraft Canada ruling: "I express grave doubt whether the law governing the protection of intellectual property rights in Canada can be transformed in this way into an instrument of trade control not contemplated by the *Copyright Act*." See *Euro-Excellence Inc. v. Kraft Canada Inc.*, [2007] 3 S.C.R. 20, 2007 S.C.C. 37, para. 56. See further Evans and Prévost (2007) 58–59; Moyse (2016) 483–484.

¹²² *Sebastian International v. Consumer Contacts*, F.2d (1987) 1099.

¹²³ Stern (1989) 120.

¹²⁴ *Omega S.A., et al., v. Costco Wholesale Corp.*, 541 F.3d 982 (2008) 983–984.

¹²⁵ *Omega S.A., et al., v. Costco Wholesale Corp.*, 2007 WL 7029734 (C.D.Cal., 2007).

¹²⁶ *Omega v. Costco* (2008) 987.

¹²⁷ Applying the *Quality King* dicta is not flawless. According to it, the British publisher aimed to export the books to the US. In the present case, however, Omega has never intended to sell those watches in the US. The watches were lawfully acquired by other parties abroad. Compare to Alvarado (2012) 916–917.

and distributed first abroad. Consequently, there is no obstacle for applying §602(a).¹²⁸

The Supreme Court granted Costco's motion of certiorari.¹²⁹ The Ninth Circuit's ruling was, however, affirmed by an equally divided court in a per curiam ruling.¹³⁰ Justice Elena Kagan, who was newly appointed in August 2010, was forced to recuse herself as she was directly involved in the case as Solicitor General.¹³¹

After the Supreme Court had published the per curiam ruling, Costco came up with a brand-new defense during the remanded procedure of the district court. It accused the Swiss company of the misuse of its copyright.¹³² As the Ninth Circuit confirmed in *Napster*, the "defense based on misuse of copyright prevents the rightholder from expanding its monopoly beyond the boundaries of the monopoly."¹³³ Given the fact that Omega itself acknowledged that it had placed the Omega Globe Design on the back of the watches with the purpose of controlling the importation of the products, the district court concluded that Omega had gone beyond the boundaries of the economic rights granted under the USCA.¹³⁴

If this ruling is followed by other courts, then rightholders should give up their strategy of defending themselves against the arbitrage by importers of mass products under the disguise of copyright law.

¹²⁸ *Omega v. Costco* (2008) 990. See further Stern (2009) N31–32; Brooks (2010) 19–33; Aldridge (2011) 327–334; Leahy (2011) 45–67; Alvarado (2012) 909–911; Collins (2012) 35; Goldberg (2012) 3075–3078; Hamborg (2012) 908–911; Hansen and Morales (2012) 560; Katz (2014) 117–118; Hartzler (2020) 1017–1021. On the effects of the ruling on libraries, see Bacon (2011) 427–438.

¹²⁹ *Costco Wholesale Corp., v. Omega S.A.*, 559 U.S. 1066 (2010).

¹³⁰ *Costco Wholesale Corp., v. Omega S.A.*, 131 S.Ct. 565 (2010). The Supreme Court decides only a few cases per curiam, and it is especially rare in copyright law. The Supreme Court has published only ninety-two per curiam judgments during 2001 to 2011, and only one of them was about copyright law. Compare to Eisnach (2011) 4.

¹³¹ Ghosh (2013) 22.

¹³² On the meaning and the origins of the "copyright misuse" doctrine, see Jankowski (2013) 119–120.

¹³³ *A&M Records, Inc., et al., v. Napster, Inc., et al.*, 239 F.3d 1004 (2001) 1026. The theory of "copyright misuse" – analogous to "patent misuse" – has been developed by the courts. Yen and Liu stated that "[t]he defense applies in cases where a copyright owner seeks, typically through licensing, to use the copyright to gain rights beyond those granted by the Act, in a way that violates public policy. If a court finds that the copyright owner has engaged in misuse, then the copyright will be unenforceable until the effects of the misuse have dissipated." See Yen and Liu (2011) 440.

¹³⁴ *Omega S.A. v. Costco Wholesale Corp.*, 2011 WL 8492716 (C.D.Cal., 2011) 2. See further Alvarado (2012) 921–922; Collins (2012) 47–48. Omega's appeal remained unsuccessful. See *Omega S.A. v. Costco Wholesale Corp.*, 776 F.3d 692 (2015). On a similar Canadian case (involving the misuse of copyrights of logos placed on chocolate wrappers to limit the importation of goods to Canada) see *Kraft Canada Inc. v. Euro-Excellence Inc.*, 2007 SCC 37. See further de Beer and Tomkowicz (2009) 13–14.

3.4.1.2.3 *John Wiley & Sons v. Kirtsaeng*

The Supreme Court filled the space that remained after the *Omega v. Costco* decision with its *John Wiley & Sons v. Kirtsaeng* ruling. In this case, John Wiley & Sons published textbooks in Asia, which were of the same content as the American copies. However, these copies were printed on lower-quality paper, were issued as paperbacks, and did not contain any multimedia attachments and so they were cheaper. The plaintiff prohibited the exportation or importation of the copies to other regions in an expressed notice. The defendant, Supap Kirtsaeng, a citizen of Thailand, arrived in the US in 1997 to study mathematics at Cornell University. During his university years, Kirtsaeng imported textbooks to the US, with the help of his relatives and friends, profiting approximately 37,000 USD in the process. John Wiley & Sons sued Kirtsaeng, in 2008, for violation of copyright, trademark, and competition laws.¹³⁵

The district court ruled in favor of the publisher. Judge Pogue found that the grammatical interpretation of the phrase “lawfully made under this title” might allow for different solutions.¹³⁶ However, in light of the policy considerations of this phrase, a decision in favor of Kirtsaeng would have made the exclusive rights of rightholders meaningless and that could not have been the goal of Congress.¹³⁷ Also, taking into account the Supreme Court’s dicta in *Quality King*, the district court rejected Kirtsaeng’s defense, based on the first-sale doctrine.¹³⁸

The Second Circuit also analyzed the “lawfully made under this title” phrase, but it was not fully convinced with the plaintiff’s argument that “made under” could only refer to the manufacture of copies in the US. Consequently, the court decided that the term bore a geographical quality.¹³⁹ Indeed, the Second Circuit noted that the disputed phrase might be interpreted in at least three different ways: “‘lawfully made under this title’ could plausibly be interpreted to mean any number of things, including: (1) ‘manufactured in the United States,’ (2) ‘any work made that is subject to protection under this title,’ or (3) ‘lawfully made under this title had this title been applicable.’”¹⁴⁰

¹³⁵ *John Wiley & Sons, Inc. v. Supap Kirtsaeng, et al.*, 2009 WL 3364037 (S.D.N.Y., 2009) 1–3.

¹³⁶ *Ibid.*, 5–7. ¹³⁷ *Ibid.*, 8.

¹³⁸ *Ibid.*, 9. See further Collins (2012) 37–38; Goldberg (2012) 3078–3079. Similar to the argument expressed supra note 124, the *Quality King* dicta does not seem to be fully applicable here, as neither John Wiley & Sons nor its Asian licensees were intending to import the books to the US.

¹³⁹ *John Wiley & Sons, Inc. v. Kirtsaeng*, 654 F.3d 210 (2011) 219.

¹⁴⁰ *John Wiley & Sons v. Kirtsaeng* (2011) 220.

Ultimately, the Second Circuit used the following syllogism: if §109(a) provides for the exhaustion of the right of distribution, only with respect to copies produced in the US, then the rightholders can control the importation of copies produced abroad under §602(a). To hold otherwise would render the ban on parallel importation empty.¹⁴¹ Judge Cabranes noted that this logic is also in accordance with a passage of the *Quality King* decision, where the Supreme Court noted that

§602(a)[1] applies to a category of copies that are neither piratical nor “lawfully made under this title.” That category encompasses copies that were “lawfully made” not under the United States Copyright Act, but instead, under the law of some other country.¹⁴²

Accordingly, the majority decision affirmed the trial court ruling.¹⁴³ Judge Garvan Murtha attached a noteworthy dissenting opinion to the decision.¹⁴⁴ Judge Murtha rejected the geographical interpretation of “lawfully made under this title,” as it is not clearly supported by the grammatical or the historical interpretation of the USCA.¹⁴⁵ Indeed, the economic realities favor a nongeographical interpretation. By distinguishing between copies made in the US and abroad, the ban on parallel importation would increase rightholders’ willingness to move the production abroad. This could not be the intention of Congress.¹⁴⁶ Judge Murtha refused the classic argument that §602(a) becomes empty if the first-sale doctrine applies to copies made abroad and noted that the ban on parallel importation allows rightholders to fight against the arbitrage of those copies that were unlawfully produced, or that had not yet been sold.¹⁴⁷

Judge Murtha’s dissenting opinion must have influenced the Supreme Court, as it also arrived at the conclusion that “lawfully made under this title” cannot be interpreted on a geographical basis. Instead, it requires that the original production is carried out with the authorization of the rightholder.¹⁴⁸ Indeed, a geographical interpretation would work counterintuitively to the equal treatment of rightholders, where those rightholders who have produced their works abroad would have a wider scope

¹⁴¹ *Ibid.*, 221. ¹⁴² *Quality King v. L’anza* (1998) 147.

¹⁴³ *John Wiley & Sons v. Kirtsaeng* (2011) 222. See further Alvarado (2012) 902–907; Collins (2012) 37–39; Goldberg (2012) 3079–3082; Hamborg (2012) 911–924; Hansen and Morales (2012) 560–563.

¹⁴⁴ *John Wiley & Sons v. Kirtsaeng* (2011) 225 et seq. ¹⁴⁵ *Ibid.*, 226–227.

¹⁴⁶ *Ibid.*, 227–228.

¹⁴⁷ *Ibid.*, 228. See further Collins (2012) 39; Goldberg (2012) 3082–3083.

¹⁴⁸ *Kirtsaeng V. John Wiley & Sons* (2013) 1358–1360.

of protection.¹⁴⁹ Furthermore, Congress's central aim was to codify the then-existing judicial practice, both in 1909 and in 1976, and case law was silent on the relevance of the copies' place of origin.¹⁵⁰ The majority also opined that a geographical interpretation would cause unnecessary harms to public libraries, used-book dealers, technology companies, consumer goods companies, and/or museums, as they could pursue their business or nonprofit (cultural) tasks only with additional costs in the future. This would result in unpredictable, but by all means negative, consequences for the US.¹⁵¹

The Supreme Court also addressed the often-returning argument that §602(a) would become empty if a nongeographical interpretation would prevail. The justices recalled their opinion in *Quality King*, that §602(a) allows for the rightholders to tackle the arbitrage of unauthorized copies as well as importation by nonowners of the copies.¹⁵² As a result, the Supreme Court rejected the notion that rightholders may distinguish between the US and foreign markets by offering different prices.¹⁵³

In their concurring opinion, Justices Elena Kagan and Samuel Alito stated that the majority unnecessarily restricted the scope of §602(a)(1). They submitted that, upon establishing §602(a)(1), Congress indeed wanted to achieve a division of the markets by establishing a ban on the importation of copies produced abroad:

Assuming Congress adopted §602(a)(1) to permit market segmentation, I suspect that is how Congress thought the provision would work – not by removing first-sale protection from every copy manufactured abroad (as John Wiley urges us to do here), but by enabling the copyright holder to control imports even when the first-sale doctrine applies (as *Quality King* now prevents).¹⁵⁴

The concurring opinion thus blamed *Quality King* for the tension around the different sections of the USCA and pressed Congress to solve this problem:

If Congress thinks copyright owners need greater power to restrict importation and thus divide markets, a ready solution is at hand – not the one John Wiley offers in this case, but the one the Court rejected in *Quality King*.¹⁵⁵

Justice Ruth Bader Ginsburg provided her doubts in a dissenting opinion that Justices Anthony Kennedy and Antonin Scalia joined. Justice

¹⁴⁹ The Supreme Court noted that a geographical interpretation would also lead to inequalities when §§109(c) and (e), as well as 110(1), are applied. See *ibid.*, 1361–1362.

¹⁵⁰ *Kirtsaeng V. John Wiley & Sons* (2013) 1363–1364. ¹⁵¹ *Ibid.*, 1364–1367.

¹⁵² *Ibid.*, 1367–1368. ¹⁵³ *Ibid.*, 1371. ¹⁵⁴ *Ibid.*, 1373. ¹⁵⁵ *Ibid.*

Ginsburg stood up for the geographical interpretation of “lawfully made under this title.” Accordingly, she argued that the first-sale doctrine cannot be applied to the copies produced abroad.¹⁵⁶ As Justice Ginsburg noted,

[t]he logical implication of the Court’s definition of the word “under” is that *any* copy manufactured abroad – even a piratical one made without the copyright owner’s authorization and in violation of the law of the country where it was created – would fall within the scope of § 109(a). Any such copy would have been made “in accordance with” or “in compliance with” the U.S. Copyright Act, in the sense that manufacturing the copy did not violate the Act (because the Act does not apply extraterritorially).¹⁵⁷

This argument is not convincing. The majority opinion noted that §602(a)(2) expressly allows rightholders to tackle the importation (and the exportation) of the infringing copies. Section 602(a)(1) aims to regulate solely the use of lawful copies. Similarly, Justice Ginsburg’s argument that the majority opinion makes both §602(a)(1) and the related exceptions under §602(a)(3) meaningless¹⁵⁸ is without merit. The application of the first-sale doctrine would not result in the importation of *any* copies, but only those that were manufactured under the authorization of the rightholder and first sold lawfully. Consequently, the exceptions covered by §601(a)(3)(A)–(C) remain applicable to the lawful copies as well.

Justice Ginsburg further argued that it was the expressed intent of Congress to allow rightholders to divide the markets.¹⁵⁹ The dissenting opinion also rejected the argument that the geographical interpretation would be disadvantageous to certain institutions. Justice Ginsburg is, undoubtedly, correct in as much as these dangers are hypothetical, as no court decisions have been published since the adoption of the USCA that have concerned the dangers described by the majority.¹⁶⁰

¹⁵⁶ Ibid., 1376–1377. ¹⁵⁷ Ibid., 1377 (italics in original).

¹⁵⁸ Ibid., 1379. Section 602(a)(3) allows libraries – among others – to import a maximum of five copies of copyrighted works for the purposes of nonprofit lending or archiving.

¹⁵⁹ Ibid., 1374, 1382–1383. Justice Scalia did not join this part of the dissenting opinion.

¹⁶⁰ Ibid., 1390. On the Supreme Court decision, see further Maggioni (2013) 260–262; Morris (2013) 130–133; Calboli (2014) 75–91; Gautam (2014) 725–731; Smith (2014) 588–598; Mosley (2015) 254–256; Jütte (2017) 141–142; Graham and McJohn (2020) 504–506; Hartzler (2020) 1021–1023. The Supreme Court remanded the case for further considerations to the Second Circuit, which in turn forwarded the case to the Southern District Court of New York in April 2013. See *John Wiley & Sons, Inc. v. Supap Kirtsaeng*, 713 F.3d 1142 (2013). The district court ultimately decided on December 20, 2013, that Kirtsaeng cannot demand the award of his attorneys’ fees from John Wiley & Sons. See *John Wiley & Sons, Inc. v. Supap Kirtsaeng*, 2013 WL 6722887 (S.D.N.Y., 2013).

Later, the Supreme Court granted certiorari in two similar cases, where Chinese and Indian students were sued for the unauthorized importation and distribution of textbooks. These textbooks were produced by Pearson Education along with several other publishers (including John Wiley & Sons) and were first sold abroad. In both cases, as well as in the third pillar of the “Pearson trio,” both the District Court for the Southern District of New York¹⁶¹ and the Second Circuit decided in favor of the plaintiffs.¹⁶² However, the Supreme Court has followed its *Kirtsaeng* ruling and reversed both decisions without any due consideration for the merits of the respective cases.¹⁶³

In sum, the *Kirtsaeng* and *Pearson* rulings of the Supreme Court have begun a new era in the history of US copyright law. The long-standing primacy of national exhaustion, under §109(a), has been replaced by an international exhaustion regime, at least with respect to literary works. Whether it remains the default rule is not yet clear. The Fifth Circuit clearly followed the Supreme Court’s ruling in *Geophysical Service*.¹⁶⁴ Indeed, in the same case, on remand, Chief Judge of the Southern District of Texas, Lee H. Rosenthal, concluded in a more nuanced way that

the court interprets “lawfully made under this title” to mean that a copy is lawful if it was made in the United States in compliance with Title 17 or in a foreign country in a manner that would comply with Title 17 if United States copyright law applied.¹⁶⁵

¹⁶¹ *Pearson Education, Inc., et al., v. Ganghua Liu, et al.*, 656 F.Supp.2d 407 (2009); *Pearson Education, Inc., et al., v. Mohit Arora, et al.*, 717 F.Supp.2d 374 (2010); *Pearson Education, Inc., et al., v. Vinod Kumar, et al.*, 721 F.Supp.2d 166 (2010).

¹⁶² *Pearson Education, Inc., et al. v. Mohit Arora, et al.*, 438 Fed.Appx. 34 (2011); *Pearson Education, Inc., et al., v. Vinod Kumar, et al.*, 452 Fed.Appx. 11 (2011); *Pearson Education, Inc., et al., v. Ganghua Liu, et al.*, 10–894-mv (Second Circuit, 2011; not published).

¹⁶³ *Ganghua Liu v. Pearson Education, Inc., et al.*, 133 S.Ct. 1630 (2013); *Vinod Kumar, et al., v. Pearson Education, Inc., et al.*, 133 S.Ct. 1631 (2013).

¹⁶⁴ “Because this ‘importation right’ is merely a corollary of the distribution right, it is similarly limited by the first-sale doctrine. Accordingly, importation into the United States of lawfully made copies or phonorecords, even where the copyright holder has not authorized such importation, is protected by § 109.” See *Geophysical Service v. TGS-NOPEC* (2017) 794 (footnotes omitted).

¹⁶⁵ *Geophysical Service, Inc., v. TGS-NOPEC Geophysical Company*, 2017 WL 5598593 (2017) 10. See further *Geophysical Service, Inc., v. TGS-NOPEC Geophysical Company*, 2018 WL 3032575 (2018) 2. In sum, the case was concluded on grounds other than the first-sale doctrine itself. In its ruling, the Fifth Circuit concluded that TGS-NOPEC was granted an implied license to use the relevant data, and hence “we do not reach the express-license or first-sale arguments.” See *Geophysical Service, Inc., v. TGS-NOPEC Geophysical Company*, 784 Fed.Appx. 253 (2019) 255. As a final remark, the US Supreme Court denied granting the writ of certiorari in this case. See *Geophysical Service, Inc., v. TGS-NOPEC Geophysical Company*, 140 S.Ct. 2802 (2020).

Others, such as Justice Kagan in her concurring opinion to *Kirtsaeng*, noted that Congress might intervene to protect the commercial interest of domestic corporations.¹⁶⁶ In the meantime, vindicating the prediction of Justice Ginsburg¹⁶⁷ and other commentators,¹⁶⁸ John Wiley & Sons, the explicit loser of the above cases, has already raised their prices for international editions of textbooks.¹⁶⁹ Zubin Gautam has also indicated that rightholders can, and most probably will, apply multiple other tricks to preserve price discrimination and prevent arbitrage by importers. As Gautam argued,

[s]ome of these strategies are “traditional” in nature, relying on modifications of existing distribution practices for physical goods in order to decrease incentives for parallel importation, or on preventing parallel importation through direct monitoring and enforcement within distribution chains. More significantly, however, suppliers are likely to employ other methods particularly applicable to digitally distributed goods, including digital rights management technologies, distribution of goods via license rather than sale, and reliance on a perceived judicial abrogation of the first sale doctrine for digital goods.¹⁷⁰

James Grimmelmann warned as well that

[i]f *Kirtsaeng* can import international editions, so can Amazon, or anyone. The price differential between the two will collapse. Publishers will be reluctant to create inexpensive editions for those in less affluent countries who can’t afford the eye-watering prices (some) Americans can. That’s bad for readers around the world, and could make it infeasible to publish some books at all.¹⁷¹

The fact that the domestic and international book trade did not collapse post-*Kirtsaeng* might, however, be evidence that fears were greater than necessary. As Grimmelmann convincingly added,

in the wake of the U.S. Supreme Court’s decision in *Kirtsaeng*, the domestic resale of foreign editions of U.S. publishers’ textbooks may be limited by the reluctance of U.S. online retailers (*i.e.*, Amazon.com, [the now-defunct eBay subsidiary] Half.com) to upset their relationships with the handful of U.S. publishers that dominate the textbook market.¹⁷²

¹⁶⁶ See further Smith (2014) 595–598.

¹⁶⁷ *John Wiley & Sons v. Kirtsaeng* (2013) 1390, note 27.

¹⁶⁸ Guy Rub predicted that “if massive international arbitrage is allowed, the price will probably be high worldwide.” See Rub (2013) 47.

¹⁶⁹ Dawson Books, a supplier of academic e-books in the UK, has informed librarians that “[t]he price increases are the publisher’s reaction to a recent US Supreme Court ruling whereby lower priced editions bought elsewhere in the world were allowed to be sold back into the US, a market which has traditionally had higher prices than other markets. To reduce the impact on US sales, Wiley have chosen to increase the prices in the UK to match the American prices. Unfortunately we have no ability to influence this decision although our buying team has vigorously championed non-US customers against price increases.” See Pickton (2013).

¹⁷⁰ Gautam (2014) 737–738.

¹⁷¹ Grimmelmann (2013).

¹⁷² *Ibid.*

3.4.2 *Sporadic Droit de Suit*

The role of the *droit de suite*, as a limitation to the doctrine of exhaustion under EU law, was shown in Chapter 2, Section 2.6.2. By way of comparison, there is no regulation of a similar depth in the federal copyright law of the US. However, reviewing this topic cannot be neglected, especially due to the hectic life of the Californian Resale Royalty Act, and to the ever-recurring idea of a federal Act on the topic.

Although the demand for introducing the resale right can be traced back to 1948,¹⁷³ the then-existing contractual practices made the statutory protection unnecessary in the US.¹⁷⁴ A debate on the *droit de suite* flared up again when Robert Scull sold Robert Rauschenberg's artworks, for a significant profit, in 1973. In his angry outburst, Rauschenberg demanded a share of Scull's profits.¹⁷⁵ In his calm reply, Scull pointed out that the high resale price is also favorable for the artist, since he can sell his works for more money in the future.¹⁷⁶ Shortly after the Rauschenberg affair, a federal bill was submitted to Congress in 1978, but it failed.¹⁷⁷ Nevertheless, the idea of the resale right was ripe when the state of California accepted the CRRA in 1976.¹⁷⁸

The CRRA came into effect on January 1, 1977. It prescribed that 5 percent of the resale price should be transferred to American artists, or those who have domiciled in California for at least two years,¹⁷⁹ if their original paintings, sculptures, drawings, and glass products¹⁸⁰ were resold by California dealers or in the territory of California¹⁸¹ for at least 1,000 USD. All of this is based on the assumption that the resale price was higher than the original purchase price.¹⁸² The artists cannot waive their right; however, they can authorize others to collect the royalty.¹⁸³ If the artist cannot be identified within ninety days after the sale, or the

¹⁷³ Schuldner (1966) 19–43. ¹⁷⁴ Reddy (1995) 520–521.

¹⁷⁵ “I’ve been working my ass off just for you to make that profit.” Quoted by Petty (2014) 978.

¹⁷⁶ Scull responded that “[i]t works for you, too, Bob. Now I hope you’ll get even better prices.” Quoted by *ibid.*, 979. Scull’s response was most probably unsatisfactory to Rauschenberg, who kicked Scull and did not speak to him ever again. See *ibid.* On the Rauschenberg affair, see further Merryman (1993) 109–111; Turner (2012) 338.

¹⁷⁷ H.R. 11403, 95th Cong., 2d Sess. (1978). Compare to Turner (2012) 340.

¹⁷⁸ Following the acceptance of the CRRA, laws were enacted on the resale right in the state of Georgia and the Commonwealth of Puerto Rico. See Reddy (1995) 524. Eleven other states (Connecticut, Florida, Illinois, Iowa, Maine, Michigan, Nebraska, New York, Ohio, Rhode Island, and Texas) were discussing the possibility of introducing a similar statute, but none of these ideas came to fruition. See Kretsinger (1993) 969 and note 8; Shipley (2017) 7 and note 42; Rub (2018) 658–659 (although the latter source spoke of bills considered only in nine states).

¹⁷⁹ CRRA §986(c)(1). ¹⁸⁰ *Ibid.*, §986(c)(2). ¹⁸¹ *Ibid.*, §986(a).

¹⁸² *Ibid.*, §986(a)(1). ¹⁸³ *Ibid.*, §986(a).

artist cannot be found, then the royalty is to be transferred to the California Arts Council. After seven years have elapsed, the California Art Council can use this amount for the purchase of artworks for public purpose.¹⁸⁴ The artists are entitled to the royalty during their lifetime and their heirs are also entitled to any royalty for an extra twenty years after the death of the artist.¹⁸⁵ Should the seller fail to pay the royalty to the artist (or to the California Arts Council), the beneficiary might sue the seller for the royalty and for the award of attorneys' fees within three years after the sale or within one year after becoming aware of the sale.¹⁸⁶

Shortly after the adoption of the CRRA, Howard Morseburg, an art dealer, sued, claiming that the law was in violation of the US Constitution. The Ninth Circuit compared the CRRA and the Copyright Act 1909, before concluding that the federal law did not prevent legislation by the states and thus the federal law did not preempt the Californian law.¹⁸⁷

A more successful attack against the CRRA was initiated recently. In 2011, living artists and the heirs of artists who had died, including Chuck Close, Laddie John Dill, and Robert Graham, sued Sotheby's, Christie's, and eBay, requesting the payment of the resale royalties to them. The plaintiffs claimed that the defendants systematically failed to acknowledge that the sellers of artworks were California citizens or that the sale actually took place in California. The defendants argued that the CRRA violated the dormant commerce clause of the US Constitution¹⁸⁸ and the USCA preempted state laws.¹⁸⁹

The district court favored the defendant's submissions. Judge Nguyen argued that the CRRA enabled a discriminative system where the law prescribed the payment of the resale royalty, if non-California citizens sell artworks in California or if citizens of California sell their artworks in other states. Such a system contradicts the commerce clause of the US Constitution.¹⁹⁰

The Ninth Circuit affirmed Judge Nguyen's conclusion on the commerce clause.¹⁹¹ At the same time, the Ninth Circuit refused to declare

¹⁸⁴ Ibid., §986(a)(2) and (5). ¹⁸⁵ Ibid., §986(a)(7).

¹⁸⁶ Ibid., §986(a)(3). See further Bolch et al. (1978) 689–701; McInerney (1984) 1–25; Reddy (1995) 521–524; Barker (2011) 387–406; Turner (2012) 357–359; Petty (2014) 990–993; Shipley (2017) 7–8; Rub (2018) 659–670.

¹⁸⁷ *Morseburg v. Balyon*, 621 F.3d 972 (1980), cert. denied, 449 U.S. 983 (1980). See further Reddy (1995) 522–523; Petty (2014) 992–993.

¹⁸⁸ US Constitution Art. I, section 8, clause 3.

¹⁸⁹ *Estate of Robert Graham et al., v. Sotheby's Inc.*, 860 F.Supp.2d 1117 (2012) 1119; *The Sam Francis Foundation, et al., v. eBay Inc.*, 2012 WL 12294395.

¹⁹⁰ Ibid., 1122–1126. See further Petty (2014) 993–997.

¹⁹¹ *Sam Francis Foundation, et al., v. Christie's, Inc.*, 784 F.3d 1320 (2015) 1323.

the whole CRRA unconstitutional. Section 986(e) of the CRRA requires the separation of the unconstitutional piece of the law from the rest of the statute.¹⁹² The Ninth Circuit argued that the unconstitutional part of the CRRA is grammatically, functionally, and volitionally separable.¹⁹³ The grammatical separation can easily stand, as the CRRA requires the payment of royalties, either after the sale of an artwork by a California distributor or in the territory of California.¹⁹⁴ Likewise, functional separability is possible, as these two options regulate clearly different situations.¹⁹⁵ Finally, volitional separability might be verified by the fact that during the drafting of the CRRA, the danger that the Act would be in violation of the commerce clause was visible, yet the legislature neglected these concerns and chose to include both provisions in the final text.¹⁹⁶ In sum, the Ninth Circuit revived the CRRA in California sales¹⁹⁷ and remanded the case to the district court.¹⁹⁸ On April 11, 2016, Judge Fitzgerald declared, on remand, that the whole CRRA violates the first-sale doctrine and that the USCA preempts the state legislation.¹⁹⁹ The court noted that “[s]tate laws permitting copyright holders to control downstream sales stand as an obstacle to Congress’s goal of allowing resellers to dispose of copyrighted goods as they see fit.”²⁰⁰ On appeal, the Ninth Circuit confirmed the district court’s ruling on pre-emption. The Ninth Circuit also highlighted that the CRRA remains enforceable regarding those sales that occurred after the CRRA and before the 1976 Copyright Act entered into force (in practice, between January 1 and December 31 of 1977, respectively).²⁰¹

Academia has also been divided on the necessity of federal legislation on the resale right. On the one hand, Michael Reddy argued that the high level of protection for artists is one of the original goals of the IP clause.

¹⁹² “If any provision of this section or the application thereof to any person or circumstance is held invalid for any reason, such invalidity shall not affect any other provisions or applications of this section which can be effected, without the invalid provision or application, and to this end the provisions of this section are severable.” See CRRA §986(e).

¹⁹³ *Sam Francis Foundation v. Christie’s* (2015) 1325.

¹⁹⁴ “Whenever a work of fine art is sold and the seller resides in California or the sale takes place in California [...]” See CRRA §986(a)(1).

¹⁹⁵ *Sam Francis Foundation v. Christie’s* (2015) 1325–1326. ¹⁹⁶ *Ibid.*, 1326.

¹⁹⁷ The certiorari against this judgment was denied. See *Sam Francis Foundation, et al., v. Christie’s, Inc.*, 136 S.Ct. 795 (2016).

¹⁹⁸ *Sam Francis Foundation, et al., v. Christie’s, Inc.*, 2015 WL 4429309.

¹⁹⁹ *Estate of Robert Graham, et al., v. Sotheby’s, Inc.*, 178 F.Supp.3d 974 (2016) 981–991.

²⁰⁰ *Ibid.*, 985. See further Lindey and Landau (2016) §1:4.50; Patry (2016) §18.52; DuBoff et al. (2017) 291; Rub (2018) 671–677.

²⁰¹ *Chuck Close, et al. v. Sotheby’s, Inc. et al.*, 894 F.3d 1061 (2018). See further Graham and McJohn (2020) 524–533. On this ruling and on preemption in general see Shipley (2017) 11–37; Rub (2018) 677–684.

A return to the natural law principles, which form the roots of American copyright law, also makes it necessary to enclose the *droit de suite* in the USCA.²⁰² On the other hand, Elizabeth Petty stated that the resale right derives from moral rights that are unknown in copyright regimes.²⁰³ Petty also argued, by recalling Scull's opinion in the Rauschenberg affair, that the auction houses and artwork dealers work hard to promote the reputation of the artists and any kind of royalty imposed on them would endanger their services.²⁰⁴

Nonetheless, the demand for a federal law has consistently been present since the adoption of the CRRA. The first federal bill was submitted almost in parallel with the CRRA's adoption, during the tenure of the 95th Congress, in 1978.²⁰⁵ Next, bills were submitted to the 99th and 100th Congresses (during 1986–1987), to insert the resale right in the USCA.²⁰⁶ All these early attempts remained unsuccessful.

Shortly thereafter, the USCO also prepared a lengthy report on the resale right, under the authorization of the Visual Artists Rights Act 1990 (VARA).²⁰⁷ The USCO opposed the legislation due to the unforeseen effects of the resale right on the market of artworks. However, it left the issue open in case the EU harmonized the resale right.²⁰⁸

Following years of relative silence, in 2011 Representative Jerrold Nadler and Senator Herb Kohl submitted a draft under the title Equity for Visual Artists Act (EVAA) to the 112th Congress. The EVAA required the payment of 7 percent of the purchase price of artwork sold for more than 10,000 USD by auction houses. Only those auction houses that had an annual turnover of at least 25 million USD were subject to the EVAA. The royalty would have been divided between the authors or their heirs and nonprofit art museums in equal proportion.²⁰⁹ The draft received strong criticism²¹⁰ and it failed to progress past the committee stage.

In December 2013, the USCO suggested the introduction of the resale right into federal legislation. According to its report, visual artists are in a

²⁰² Reddy (1995) 532–544. See further Perlmutter (1983) 284–314.

²⁰³ Petty (2014) 1001–1003. See further Alderman (1983) 265–283.

²⁰⁴ Petty (2014) 1004–1006. See further Bussey (2013) 1063–1104.

²⁰⁵ H.R. 11403, 95th Cong., 2d Sess. (1978). See further Rub (2018) 657.

²⁰⁶ S. 2976, 99th Cong., 2d Sess. (1986); H.R. 5722, 99th Cong., 2d Sess. (1986); S. 1619, 100th Cong., 1st Sess. (1987); H.R. 3221, 100th Cong., 1st Sess. (1987). See further Kernochan (1989) 1434; Rub (2018) 657.

²⁰⁷ One of the early drafts of VARA still included the resale right, but it was later erased from the statute. See Turner (2014) 341.

²⁰⁸ USCO (1992).

²⁰⁹ S. 2000, 112th Cong., 1st Sess. (2011); H.R. 3688, 112th Cong., 1st Sess. (2011).

²¹⁰ Compare to Turner (2012) 363–365; Petty (2014) 997–1000.

disadvantageous situation, because they only receive a limited share of the price of their works. The USCO suggested that the royalty should be due during the lifetime of the artist and only for sales that take place in the future.²¹¹

The American Royalties Too Act (ARTA) was submitted to the 113th Congress by Representative Jerrold Nadler and Senator Tammy Baldwin in 2014; however, it also failed to progress past the committee stage.²¹²

The draft was reintroduced by the two sponsors in the 114th Congress. The bill called for the payment of a 5 percent royalty (with a maximum of 35,000 USD) after the sale of every work of visual art in public auctions for a price of at least 5,000 USD. All auction houses that had an annual turnover of at least 1 million USD were subject to the ARTA. Royalties were planned to be collected and distributed by a copyright collective society. Eligible artists would have been American citizens or citizens of any such country that also acknowledged the resale right. The payment of the royalty would have been mandatory, if the work of visual art was made in the US or in such a country that also acknowledged the resale right. Failure to pay the royalty would lead to copyright infringement, where artists could have claimed the payment of statutory damages, as well as the royalty.²¹³

The draft was designed to benefit both artists, by covering a broader range of auctions, and the auction houses, by decreasing the rate of the royalty. At the same time, it aimed at promoting transparency via the mandatory application of a copyright collective society.²¹⁴ However, the drafts were criticized by many. According to Petty, limiting the scope of the Act on public auctions would push visual artwork dealers toward private sales.²¹⁵ Rub recalled that the bills were submitted without having verified the paradigm of the “starving artist,” whereby the USCA discriminates against fine art artists or that the resale royalty would actually increase the income of the artists.²¹⁶ Lobbyists have also expressed their reluctance to support ARTA.²¹⁷ Not surprisingly, ARTA did not make it past the committee stage. ARTA was introduced once again in the House

²¹¹ USCO (2013) 77. See further Petty (2014) 1000–1001.

²¹² S. 2045, 113rd Cong., 2d Sess. (2014); H.R. 4103, 113rd Cong., 2d Sess. (2014).

²¹³ S. 977, 114th Cong., 1st Sess. (2015); H.R. 1881, 114th Cong., 1st Sess. (2015).

²¹⁴ It seems so that the ARTA reflected the opinion of commentators, who called for a stronger transparency in this field. Compare to Turner (2012) 366–370.

²¹⁵ Petty (2014) 1001, 1003–1004. ²¹⁶ Rub (2014) 1–7.

²¹⁷ Michael Beckerman, president and CEO of the Internet Association, argued that the ARTA “will constrict the free market.” See Cohen (2014).

during the 115th Congress; however, it once again suffered the same fate at the committee stage.²¹⁸

In summary, the *droit de suite* does not form a significant part of US copyright law and it also does not serve as a limitation of the right of distribution. It is hard to predict how much change can be expected in this field and whether art dealers will ever be willing to share their income with the creators of the works of visual art. As neither the EVAA nor ARTA were discussed by the competent committees of Congress, one can presume that the US legislators are unable to find an internal solution for the resale right, at least for the foreseeable future.

²¹⁸ H.R. 6868, 115th Cong., 2d Sess. (2018).

4 Digital Exhaustion in the EU and the US

The previous chapters have introduced the development, the values, and the policy considerations of the doctrine of exhaustion. In short, the doctrine was developed into a balancing mechanism of analog copyright law. The rapid technological changes necessitated international and domestic legislative modifications. Many of these rules (e.g., TRIPS, WCT, EU directives, and the amendments of the USCA) had direct relevance for the doctrine, too. The introduction of these provisions has, however, preceded the age of platforms. On the one hand, the economic rights continue to be applied in a technologically neutral way and are interpreted broadly. Hence, rightholders are granted a high level of protection. On the other hand, limitations and exceptions are treated in a technologically dependent way (tending toward the exclusion of many digital uses from the scope of permitted uses) and are interpreted narrowly. The adequacy of the doctrine's balancing role has been seriously questioned in the digital age.

Many commentators foresaw the dilemma as to whether the doctrine of exhaustion is applicable to contents (digital files) that were originally sold over the Internet.¹ Moreover, the idea of digital exhaustion was triggered by the emergence and massive spread of digital marketplaces (especially iTunes almost two decades ago)² and the online “sales” of predominantly digital (intangible) copies. The dilemma posed by the tectonic changes in the consumption of cultural goods challenges the preexisting set of economic rights, the freedom to provide services, the free movement of goods, and the traditional business models of the copyright industry, as well as other fields of law, e.g., consumer protection and competition law.

¹ See Koehler (2000); Gaubiac (2002) 10; Cook (2010) 118–120. See further the European Commission's analysis in COM(96) 568, 17–19 and Advocate General Kokott's Opinion in *Football Association Premier League Ltd and Others v. QC Leisure and Others*, Joined Cases C-403/08 and C-429/08, ECLI:EU:C:2011:43, paras. 184–188.

² Aragon (2017) 184; Oprysk (2019a) 169.

This chapter will discuss the concept of digital exhaustion in two parts. First, the German, EU, US, and Dutch case laws on the resale of computer programs, sound recordings, audio books, and e-books, as well as audiovisual works, will be discussed. Second, these cases will be specifically elaborated, using five factors, including (1) the license versus sale dichotomy; (2) the clash of distribution versus making available to the public rights, and related to that the so-called umbrella solution; (3) the “new copy theory,” and related to that the migration of digital files, as well as the “forward-and delete technologies”; (4) the issue of special legislation (*lex specialis*) in copyright law and related to that the theory of functional equivalence; and (5) the conflict of digital exhaustion and the territoriality of copyright. Following on from this, Section 4.3 will turn to evaluating the arguments that speak for and against a digital exhaustion doctrine.

Additionally, Chapter 4 introduces and considers the two opposing views on digital exhaustion. By way of a brief introduction to that discussion, the traditional positivist approach reasons that the doctrine of exhaustion is not applicable in the digital environment. However, the constructive realist approach urges the extension of the doctrine to the digital realm for the benefit of the digital economy, furthering social justice³ and curbing the development of end user rights. The present author favors the constructive realist approach and would argue that the application of the doctrine in the digital environment is not disadvantageous to rightholders. This is because growing social and economic needs, as well as the fundamental policy considerations of exhaustion, support the application of the doctrine for the resale of digital goods. In sum, this chapter will argue that there is a valid claim for the amendment of the existing copyright regime to embrace and accommodate the concept of digital exhaustion.

4.1 Case Law on Digital Exhaustion

4.1.1 Resale of Computer Programs

4.1.1.1 Europe

4.1.1.1.1 The *UsedSoft* Case

UsedSoft was the first major decision to shed light on digital exhaustion.⁴ In this case, Oracle, a renowned software producer, sued a German

³ On the meaning of social justice in an IP environment, see Mtima (2020) 380–381.

⁴ *UsedSoft GmbH v. Oracle International Corp.*, Case C-128/11, ECLI:EU:C:2012:407. See further Feiler (2012) 16–17; Göbel (2012) 226–234; Haberstumpf (2012) 561–572; Hartmann (2012) 980–984; Hoeren and Försterling (2012) 642–647; Lee (2012)

corporation, UsedSoft, for reselling used software licenses. Oracle sold its software on data carriers and also made them available for download from the Internet. Eighty-five percent of the end users opted for the latter option. Oracle signed EULAs with the purchasers of its programs. In the current case, the respective section of the EULA provided as follows: “[w]ith the payment for services you receive, exclusively for your internal business purposes, for an unlimited period a non-exclusive non-transferable user right free of charge for everything that Oracle develops and makes available to you on the basis of this agreement.”⁵

Oracle similarly offered so-called volume licenses, under which twenty-five end users had the right to use the computer programs. UsedSoft acquired parts of the volume licenses in which the original licensee had not installed the computer program in the available number offered by Oracle.⁶ UsedSoft did not transfer any copies of the computer program. Instead, it directed its clients to Oracle’s website to download the respective program from Oracle’s web page. UsedSoft launched an Oracle Special Offer in October 2005. It offered up-to-date software licenses for resale, in which the maintenance agreement was also in force. The company testified to the validity of the original purchase of the license key by a notarial certificate. Oracle initiated court proceedings to stop UsedSoft’s Special Offer.⁷

846–853; Schneider and Spindler (2012) 492–493; Senftleben (2012) 2924–2927; Vinje et al. (2012) 97–102; Witzel (2012) 121–123; Bäcker and Höfinger (2013) 635–636; Dreier and Leistner (2013) 887–888; Grigoriadis (2013) 198–205; Grütmacher (2013) 46–83; Krüger et al. (2013) 760–761; Longdin and Lim (2013) 546–548; Maclean (2013) 1–2; Morris (2013) 118–124; Verbraeken (2013) 7–12; Won (2013) 392–395; Günther (2014) 210–216; Haberstumpf (2014) 481–496; Khoury (2014) 45–57; Longdin et al. (2014) 324–326; Rognstad (2014) 1–19; Schulze (2014) 9–13; Apel (2015) 640–648; Batchelor and Montani (2015) 594–596; Savič (2015b) 414–429; Schonhofen (2015) 270–276; Spedicato (2015) 40–45; Trampuž (2016) 161–165; Jütte (2017) 157–167; Determann (2018) 194–195; Lober et al. (2018) 46; Peter (2019) 492. German courts have faced many other interesting cases on the doctrine of exhaustion and software rights before *UsedSoft*. One of the rulings excluded the applicability of the doctrine of exhaustion to the split of volume licenses. See LG München I. 19.01.2006 (7 O 23237/05) 251–255. See further Grütmacher (2006) 302–306. Another decision prohibited the resale of certificates of authenticity of Microsoft Office XP software. See OLG Frankfurt 12.05.2009 (11 W 15/09) 1–4. See further Hoeren (2010b) 448. Exhaustion was discussed in connection with the resale of preinstalled software. See OLG Düsseldorf 29.06.2009 (20 U 247/08) 4–5. See further Rutz (2009) N48–50. The contractual prohibition of the resale of end user online accounts was confirmed by BGH 11.02.2010 (I ZR 178/08) 822–824. See further Zech (2013) 382–383; Determann (2018) 205–206. On the most detailed analysis of the German case law related to the resale of computer programs on tangible data carriers, see Hoeren (2010a) 665–673.

⁵ *UsedSoft v. Oracle* (2012) para. 23. ⁶ *Ibid.*, para 24.

⁷ On the facts of the case, see *ibid.*, paras. 20–26. *UsedSoft* was sued by multiple other rightholders in Germany and in other countries. See Stothers (2012) 788.

Both the trial court⁸ and the court of appeals⁹ favored Oracle's submissions. The German Federal Court of Justice (Bundesgerichtshof, BGH) raised three questions to the ECJ. First, the BGH asked whether any subsequent acquirer of a computer program who had not signed a EULA with Oracle should be deemed as a lawful acquirer, where the latter can rely on the doctrine of exhaustion when purchasing the software license key. The BGH also asked for guidance as to whether the distribution right of software producers exhausts where the computer program was offered for download in an intangible form, rather than on any tangible medium (CD-ROM/DVD). Finally, the BGH asked for guidance as to whether

a person who has acquired a used license may, for making a copy of the program [...] rely on exhaustion of the right of distribution of the copy of the program made by the first acquirer, with the consent of the right holder, by downloading it from the internet, if the first acquirer has deleted his copy or no longer uses it.¹⁰

The ECJ answered the questions in a different order. Focusing first on the second question, the Judges provided a bright-line rule on the exhaustion of the software distribution right. The Grand Chamber recalled that under Article 4(2) of the Software Directive the right of distribution exhausts if a copy of the computer program is sold within the EEA by or under the authorization of the rightholder.¹¹ Consequently, it was to decide, whether the conclusion of an EULA and the download of the computer program from Oracle's website led to a first sale of the program.¹² Since the Software Directive does not refer to Member States' law when it speaks of sale, the ECJ interpreted this term in an independent and uniform way.¹³ The ECJ concluded that "[a]ccording to a commonly accepted definition, a 'sale' is an agreement by which a person, in return for payment, transfers to another person his rights of ownership in an item of tangible or intangible property belonging to him."¹⁴

Oracle argued that it did not sell its computer programs, but rather it signed an EULA with users, whereby it only licensed the use of the copies and at no point transferred the ownership of those copies to the users.¹⁵ The ECJ disagreed with this position. The judges noted that the

⁸ LG München I. 15.03.2007 (7 O 7061/06) 409–417.

⁹ OLG München 03.07.2008 (6 U 2759/07) 70–74.

¹⁰ Ibid., para. 33. On the questions raised by the BGH, see Leistner (2011a) 209–215; Leistner (2011b) 503–506; Bräutigam (2012) 1–9; Schneider and Spindler (2012) 491–492.

¹¹ *UsedSoft v. Oracle* (2012) para. 36. ¹² Ibid., para. 38. ¹³ Ibid., paras. 39–41.

¹⁴ Ibid., para. 42. ¹⁵ Ibid., para. 43.

downloading of the computer program and the conclusion of the EULA form an indivisible whole. Each part only functions with the other. Thus, there is no difference whether the computer program is offered for download or by means of a material medium. Downloading a copy of the computer program (the source code) from the data carrier or from the Internet to the user's computer and concluding an EULA remain inseparable from the point of view of the acquirer. Moreover, Oracle's EULA allowed for the permanent use of the software in exchange for the payment of a fee that corresponded to the economic value of the computer program.¹⁶ The ECJ concluded that Oracle's practice led to a sale, rather than to a license. As a result, the principle of exhaustion could not be evaded by merely renaming the contract a license.¹⁷

The ECJ refused the claim of Oracle and of the Commission that offering a computer program for download on a website represents making that program available to the public.¹⁸ The importance of this classification is huge, as the right of making available works to the public is not subject to the doctrine of exhaustion, unlike the right of distribution. The judges concluded that since the InfoSoc Directive leaves intact the rules of the Software Directive, the latter should be deemed as *lex specialis*.¹⁹

The ECJ also discussed whether the doctrine of exhaustion applies to intangible copies of computer programs, or – as Oracle, the Commission, and the Irish, Spanish, French, and Italian Governments argued – only to physical/tangible copies. The ECJ noted that the Software Directive is referring to the first sale of the computer program without specifying the form of the copy sold. Therefore, the doctrine of exhaustion covers the sale of both tangible and intangible copies of computer programs,

¹⁶ This wording resembles the ECJ's former case law: "the specific subject-matter of the intellectual property does not guarantee the right holders concerned the opportunity to demand the highest possible remuneration. Consistently with its specific subject-matter, they are ensured – as recital 10 in the preamble to the Copyright Directive and recital 5 in the preamble to the Related Rights Directive envisage – only appropriate remuneration for each use of the protected subject-matter. In order to be appropriate, such remuneration must be reasonable in relation to the economic value of the service provided. In particular, it must be reasonable in relation to the actual or potential number of persons who enjoy or wish to enjoy the service." See *Football Association Premier League Ltd and Others v. QC Leisure and Others*, Joined Cases C-403/08 and C-429/08, ECLI:EU:C:2011:631, paras. 108–109. See further Hyland (2012) 9. Rognstad opined that the above holding of the ECJ impliedly confirms the applicability of the doctrine of exhaustion on the freedom to provide services. See Rognstad (2014) 13–14. See further Batchelor and Montani (2015) 597–598.

¹⁷ *UsedSoft v. Oracle* (2012) paras. 44–49.

¹⁸ Compare to WCT Art. 8 and Art. 3(1) of the InfoSoc Directive.

¹⁹ *UsedSoft v. Oracle* (2012) paras. 50–51.

including works that were downloaded from the Internet.²⁰ Here, the ECJ returned to its previous reasoning that the Software Directive acts as *lex specialis*. Therefore, the interpretation of Article 4(2) shall be independent from international and other EU norms.²¹

At this juncture, the ECJ used two policy arguments. First, it claimed that “[t]he on-line transmission method is the functional equivalent of the supply of a material medium.”²² Second, the limitation of the doctrine of exhaustion to the copies sold on a tangible medium

would allow the copyright holder to control the resale of copies downloaded from the internet and to demand further remuneration on the occasion of each new sale, even though the first sale of the copy had already enabled the right holder to obtain an appropriate remuneration.²³

Oracle also claimed that since the updates offered by the company transformed the original computer program into a new copy, the licensees were not allowed to resell the “current” software, since that is not identical to the original one. The ECJ refuted this argument and noted that

the conclusion of a maintenance agreement, such as those at issue in the main proceedings, on the occasion of the sale of an intangible copy of a computer program has the effect that the copy originally purchased is patched and updated. Even if the maintenance agreement is for a limited period, the functionalities corrected, altered or added on the basis of such an agreement form an integral part of the copy originally downloaded and can be used by the acquirer of the copy for an unlimited period, even in the event that the acquirer subsequently decides not to renew the maintenance agreement.²⁴

The ECJ accepted Oracle’s argument on the partial resale of volume licenses. The Judges held that volume licenses are sold as a block by Oracle. If the original purchaser wants to get rid of parts of that, he shall deactivate the remaining copies of the computer program as well.²⁵

Finally, the ECJ provided a joint answer to the first and third questions. It concluded that the second (and any later) purchaser of the license key should be deemed a lawful acquirer who has the right to refer to the doctrine of exhaustion as a limitation on the right of distribution.

²⁰ Ibid., paras. 53–59.

²¹ Ibid., para. 60. Compare to WCT Art. 6(2) and the Agreed Statement attached to it, as well as Art. 4(2) and recitals 28–29 of the InfoSoc Directive.

²² *UsedSoft v. Oracle* (2012) para. 61. ²³ Ibid., para. 63.

²⁴ Ibid., para. 67. See further *ibid.*, paras. 64–66, 68.

²⁵ Ibid., paras. 69–71. Schonhofen therefore argued that the *UsedSoft* ruling is “not as disastrous for software developers as they might have first thought.” See Schonhofen (2015) 280.

Nevertheless, the reseller of the computer program is obliged to make unusable the original copy installed on his computer and the rightholder is allowed to ensure the deactivation by all technical means.²⁶

Taking into account all reformatory arguments of the ECJ the result of the procedure for the preliminary ruling is most appropriately summarized by Sven Schonhofen as “facts plus policy = results = doctrine.”²⁷ Christopher Stothers also noted that “[FAPL and Used-Soft] will become fundamental decisions on the interaction between intellectual property rights and the European single market in the online world, in the same way that Consten and Grundig and Deutsche Grammophon set the current framework in relation to physical goods in the 1960s and 1970s.”²⁸

The preliminary ruling was later confirmed by the BGH,²⁹ who also refused two novel arguments of the plaintiff that tried to devalue the binding nature of the preliminary ruling.

First, Oracle claimed that Member States are free to regulate their own property system.³⁰ Under the German Civil Code, proprietary rights might only exist on tangible goods rather than intangibles.³¹ Therefore, the ECJ intruded into German property law when it ruled on the definition of (first) sale and accepted property interests over intangible computer programs. The BGH resisted this argument and stressed that the ECJ interpreted the meaning of the sale (and concluded it is a transfer of ownership), rather than the meaning of ownership. Accordingly, the latter remains an issue to be interpreted under domestic law.³²

Second, Oracle argued that the ECJ interfered with the Agreed Statement to Article 6 of the WCT, when it accepted the exhaustion of intangible computer programs. According to the BGH, however, the WCT introduced the right of distribution as a minimum right and therefore the EU is not prohibited from broadening the scope of the exhaustion doctrine, in order to include the redistribution of intangibles (computer programs) as well.³³

The BGH vacated the decision of the court of appeal and ordered a new hearing. The court of appeal had to keep in mind that the plaintiff did obtain a “remuneration corresponding to the economic value of the copy of the work of which it is the proprietor.”³⁴ Also, the defendant had

²⁶ Ibid., paras. 69–71. ²⁷ Schonhofen (2015) 277. ²⁸ Stothers (2012) 790.

²⁹ BGH 17.07.2013 (I ZR 129/08) 264–272.

³⁰ Art. 345 of TFEU says that “[t]he Treaties shall in no way prejudice the rules in Member States governing the system of property ownership.” See further Akkermans and Ramaekers (2010) 292–314.

³¹ Rahmatian (2010) 197–248. ³² BGH 17.07.2013 (I ZR 129/08) 267, paras. 34–36.

³³ Ibid., 267, paras. 37–40. ³⁴ Ibid., 269, paras. 58–60.

to prove that UsedSoft only resold software licenses that permitted a perpetual use and that the maintenance agreements were still in force in respect of the resold computer program.³⁵ UsedSoft also had to demonstrate that the original purchasers made the resold computer programs unworkable on their computers. A notarial certificate did not properly evidence the uninstalling of the software. Additionally, the split of the volume license was not acceptable and therefore the defendant had to prove that its clients sold only undivided volume licenses to UsedSoft.³⁶ Finally, since secondary purchasers are only allowed to use the computer program for the purposes envisaged by the original EULA, it was the defendant's duty to inform the secondary acquirers to comply with the license.³⁷

4.1.1.1.2 *Post-UsedSoft Life*

The *UsedSoft* ruling of the BGH did not clarify all of the lingering questions surrounding digital exhaustion, especially not for German copyright law.³⁸ It is worth noting how other courts applied the holdings of the ECJ and the BGH.

In *UsedSoft III*, Adobe concluded EULAs with educational institutions. The software copies were available for download from Adobe's website. The defendant purchased forty individual license keys to Adobe's Creative Suite 4 Web Premium and later resold two of these to UsedSoft. The OLG Frankfurt am Main decided in 2012 that the distribution right of the affected copies had exhausted. Thus, the resale by the defendant was not illegal, as the total number of license keys did not change after the transfer of those two license keys.³⁹

The BGH affirmed this ruling at the end of 2014. It recalled the original *UsedSoft* rulings and held that the distribution right exhausts if the programs were sold by or under the authorization of the rightholder, irrespective of whether the software was installed on the end user's computer from a tangible data carrier or from a file that was originally downloaded from the Internet. The quintessential factor is whether the original distribution was authorized by the rightholder. If yes, then the limitations of the EULA on the transferability of the software are not applicable against the secondary lawful acquirer.⁴⁰ The BGH also refused the plaintiff's claim that it did not take into consideration the

³⁵ Ibid., 269–270, paras. 61–62. ³⁶ Ibid., 270, paras. 63–65.

³⁷ Ibid., 270, paras. 66–68. ³⁸ Scholz (2015) 142–145.

³⁹ OLG Frankfurt am Main 18.12.2012 (11 U 68/11) 279–285. Compare to Igel (2013) 300–303.

⁴⁰ BGH 11.12.2014 (I ZR 8/13) 776, paras. 35–36.

fact that end users might resell the software copies when it set the original retail price of the program. The court opined that this fact is irrelevant, as long as the plaintiff could freely consider the value of the software at the moment of the first sale.⁴¹ The BGH also reaffirmed that in such a case where the defendant acquired software under a volume license, it was not allowed to split the whole. However, as in this case the defendant had purchased forty individual software license keys, any limitations relating to the volume licenses were irrelevant.⁴² Ultimately, UsedSoft was able to resell the software copies.⁴³

Shortly thereafter, the BGH published another decision in *Green-IT*. In this case, the defendant purchased lawful copies of Symantec's Norton 360 Version 3.0 antivirus software, including a tangible data carrier and a license key from the plaintiff's official distributors. The plaintiff also allowed its customers to download a copy of the software from its website. The defendant resold the license keys and informed its clients that they should download the software from Symantec's website. After completing the installation of Version 3.0 users could freely upgrade to Version 4.0.⁴⁴

The BGH applied the doctrine of exhaustion in this case. The first lawful sale was evidenced⁴⁵ and the plaintiff was able to ask for a price that corresponded to the economic value of the program.⁴⁶ It did not hinder the application of the doctrine of exhaustion that the retailer had not transferred the ownership interests over the tangible data carriers, but only the license key and that the copy of the program was freely available online.⁴⁷ Likewise, it was irrelevant that the original license allowed for the use of the program for a fixed one-year period, as acquirers could unconditionally use the antivirus program during that period.⁴⁸ Consequently, the plaintiff should not contractually limit the resale of the lawfully sold copies⁴⁹ and any future acquirers are entitled to software upgrades.⁵⁰ Nevertheless, the defendant complies with the law only if it destroys or makes unworkable the tangible copies it acquired from the original purchaser.⁵¹

⁴¹ Ibid., 776, paras. 39–40. ⁴² Ibid., 776–777, paras. 43–49.

⁴³ Ibid., 777–778, paras. 52–65.

⁴⁴ On the facts of the case, see BGH 19.3.2015 (I ZR 4/14) 1108.

⁴⁵ Ibid., 1111, paras. 32–35. ⁴⁶ Ibid., 1111, para. 36.

⁴⁷ Ibid., 1110 and 1112, paras. 31 and 39.

⁴⁸ Ibid., 1111, para. 37. To put it differently, it is irrelevant who is going to renew the license after the elapse of the one-year period (supposing that he is a lawful acquirer of the license key).

⁴⁹ Ibid., 1111, para. 38. ⁵⁰ Ibid., 1112, para. 40.

⁵¹ Ibid., 1112–1113, paras. 41–52. On the decision, see Lober et al. (2018) 47.

The BGH aimed to follow the *UsedSoft* rulings in *UsedSoft III* and *Green-IT*. Indeed, these two decisions seem to improve the case law in certain aspects. For example, it has been confirmed that the doctrine of exhaustion applies to the resale of license keys in such a situation, where the software was downloaded from the Internet, but it was originally provided by the rightholder on tangible media. Furthermore, the right of distribution exhausts where the use of the software was originally licensed for a short (1-year) period.⁵² Elsewhere, the BGH ruled that offering 30-days, free-of-charge trial versions of Microsoft Office software for downloading from the defendant's website and the simultaneous sending (via email) of product keys to end users constitutes illegal making available to the public in the lack of prior authorization by the plaintiff. In this case, no sales contract has been formed by the parties, and the dissemination of the software resembles the requirements of the right of communication or making available to the public, as developed by the ECJ in its relevant case law, rather than the right of distribution.⁵³

Most recently, in *Union Fédérale des Consommateurs*, an association representing consumers' interests successfully claimed that a leading computer games producer's strict limitation on the resale of lawfully acquired computer games ran counter to French consumer protection laws. The French trial court held that such computer games (in compliance with the ECJ's *Nintendo* ruling), as mixed/hybrid works,⁵⁴ fell under the scope of the InfoSoc Directive, rather than the Software Directive. In a more reformatory way, the court also declared that consumers should be allowed to dispose of the copies they downloaded against payment from the corporation's website under the doctrine of exhaustion covered by the InfoSoc Directive, rather than under the Software Directive.⁵⁵ The utmost importance of that conclusion is based on the fact that – for the first time – a (national) court extended the scope of the InfoSoc Directive to cover digital resales. It is nevertheless too early to say that this ruling will serve as the basis of a (consumer-law-oriented) new approach to digital exhaustion.⁵⁶

The ECJ also published a preliminary ruling in 2016 that has direct relevance to the doctrine of exhaustion in the digital domain. In *Ranks & Vasiļevičs*, the defendants resold backup copies of computer programs.

⁵² For further German case law, see Lober et al. (2018) 47–48.

⁵³ BGH 28.3.2019 (I ZR 132/17) 950–953. Compare to Bouchè (2020).

⁵⁴ On “hybrid works” see this chapter's note 336 et seq and accompanying text.

⁵⁵ *Union Fédérale des Consommateurs – Que Choisir v. S.A.R.L. Valve*, Tribunal de Grande Instance de Paris, N° RG 16/01008. Compare to Geiregat (2019); Groffe-Charrier (2021) 78–80.

⁵⁶ Trapova and Fava (2020) 92–93.

The ECJ confirmed its *UsedSoft* holding and reasoned that the tangible or intangible form of the copy of the software is irrelevant when considering the doctrine of exhaustion.⁵⁷ However, the resale of backup copies should be subject to strict limitations. First, a backup copy can be made only by a person having a right to use the program and the copy should be necessary for the use of the software.⁵⁸ The resale of a backup copy is not excluded *per se*.⁵⁹ The defendant should, however, evidence that the original acquirer made the copy of the software unusable, simultaneously with the resale of the backup copy, otherwise the rightholder's right of reproduction is infringed.⁶⁰

4.1.1.2 US

The debate in the US on the resale of computer programs dates back to the 1970s. Before the federal protection of computer programs was introduced in 1980⁶¹, the software industry relied on license agreements to defend itself from piratical use.⁶² Consequently, the purchasers of computer programs acquired user rights, rather than ownership interests over the copies of the software. The current rules of the USCA lead to a similar conclusion. On the one hand, under §117(a) of the USCA, the owner of the copy can create an additional copy of the lawfully acquired software. Furthermore, under §117(b) the lawful owner can also transfer the ownership of this copy along with the originally acquired copies. On the other hand, under §109(d), these rules remain useless as long as the original copies are acquired through a license rather than a sales contract.⁶³ Although this setup appears rather straightforward, the actual interpretation of facts (especially the terms of end-user license agreements) is complicated. The task of courts is made even harder by the software producers, as “license agreements, rather than sales, have become the predominant form of the transfer of rights to use copyrighted software material” since “the first sale doctrine does not apply to a licensee.”⁶⁴ In other words, the software industry has historically built its business model on the evasion of the first-sale doctrine.

⁵⁷ *Aleksandrs Ranks and Jurijs Vasilevičs v. Finanšu un ekonomisko noziegumu izmeklēšanas prokurātūra and Microsoft Corp.*, Case C-166/15, ECLI:EU:C:2016:762, para. 35.

⁵⁸ *Ibid.*, para. 41. ⁵⁹ *Ibid.*, para. 53.

⁶⁰ *Ibid.*, para. 55. See further Geiregat (2017) 521–540; Oprysk (2019b) 77–82.

⁶¹ Computer Software Copyright Act of 1980, Pub. L. No. 96–517, 94 Stat. 3015, 3028 (1980). See further Mtima (2008) 9–10; Determann and Nimmer (2015) 167–171.

⁶² Pitell (2004) 390–392.

⁶³ On §109 and §117, see Perzanowski and Schultz (2011) 922–925; Sheridan (2012) 316–318; Won (2013) 404–405.

⁶⁴ *Apple Inc. v. Pystar Corporation*, 658 F.3d 1155 (2011).

Since the 1970s, the Ninth Circuit has especially faced questions such as whether the contract concluded by the parties is a license or a sale of goods, as well as whether the acquirer of the copy is a user or an owner. The *MAI Trio* is of great importance here, even if the first two rulings of the trio, *MAI Systems* and the *Triad Systems*, were subsequently overruled by Congress.

In *MAI Systems*, the plaintiff objected to the practice of Peak Computing where it loaded MAI software to the RAM memory of end users' personal computers, in order to repair those computers. The plaintiff claimed that Peak Computing needed permission to do so, as the end users were not the owners of the computer programs, but only their licensed users. At that time, however, §117(a) only provided for the reproduction for the benefit of software owners.⁶⁵ Likewise, in *Triad Systems*, the defendant loaded the computer programs to the RAM memory of PCs. However, Triad System's EULA explicitly excluded any kind of reproduction by the users of the program.⁶⁶ The Ninth Circuit, without digging into the details of the contracts, concluded in both cases that the restrictive terms of the agreements led to the conclusion of licenses.⁶⁷

In fact, "MAI effectively restrict[ed] the user's 'right to read' digital works."⁶⁸ Not surprisingly, the unrealistic prohibition of any maintenance and repair of the computer program by the user was overruled by Congress in 1998.⁶⁹ Currently, §117(c) and (d) allows for the maintenance and repair of computer programs for the benefit of their owners and their lawful users.⁷⁰

In *Wall Data*, the third element of the *MAI Trio*, the Los Angeles County Sheriff's Department acquired a volume license to use the plaintiff's RUMBA software on 3,663 computers. The department found it time-consuming to install the program on each PC individually and so they made available the necessary installation files from a central server. The software was ultimately installed on 6,007 separate PCs, but only 3,663 users could run the program at a given time. The Ninth Circuit

⁶⁵ *MAI Systems Corp. v. Peak Computer, Inc.*, 991 F.2d 511 (1993). See further Cross (1994) 59–66; Liu (2001) 1254–1262; Degner (2012) 587–588; Donatello (2012) 67–68; O'Connor (2019) 255–256.

⁶⁶ *Triad Systems Corp. v. Southeastern Express Company*, 64 F.3d 1330 (1995). See further Degner (2012) 588; Donatello (2012) 68–69; Vale and Brennan (1996) 328–329.

⁶⁷ *MAI v. Peak* (1993) 519; *Triad v. Southeastern Express* (1995) 1335–1337.

⁶⁸ Liu (2001) 1263.

⁶⁹ Computer Maintenance Competition Assurance Act, title III of the Digital Millennium Copyright Act, Pub. L. No. 105–304, 112 Stat. 2860, 2886 (amending §117, title 17, US Code), enacted October 28, 1998.

⁷⁰ On §117(c) and (d), see in detail Mtima (2008) 1–100.

noted that “[g]enerally, if the copyright owner names it clear that she or he is granting only a license to the copy or software and imposes significant restrictions on the purchaser’s ability to redistribute or transfer that copy, the purchaser is considered a licensee, not an owner, of the software.”⁷¹ Consequently, the number of installations exceeding the limit of the original license (altogether 2,344) was found to be infringing upon the license.

The conclusion of the *MAI Trio* – contrary to the balanced interpretation applied by the *Wise* court⁷² – is that end users will not become owners of the software, if the rightholder declares the contract it offers a license and extensively restricts the terms of use.⁷³ In practice, this means that federal copyright rules cannot preempt the enforcement of contract rights, unless the contract claim is an equivalent of a copyright claim and such claim is related to a federally protected subject matter.⁷⁴ This is evidenced by some notable court decisions.

Most importantly, in *Vernor v. Autodesk*, the Ninth Circuit addressed Timothy Vernor’s acquisition and partial resale (via eBay) of eleven AutoCAD Release 14 programs. One of the copies was acquired by Vernor from a garage sale in 2005. Ten further copies were sold in 2007 to Vernor by Cardwell/Thomas & Associates, Inc. (CTA). CTA resold these copies, although it agreed with Autodesk that the Release 14 copies were to be destroyed immediately after upgrading to Version 15 (AutoCAD 2000). The software package contained an express warning that the programs are only licensed by Autodesk and that such agreement is concluded by the installation of the software. Autodesk informed the acquirers that it will refund them the full retail price upon the return of the program if the acquirers do not agree with the EULA.⁷⁵ Vernor never opened any of the covers nor did he install any of the software. Consequently, he did not conclude any license agreements with Autodesk.⁷⁶

⁷¹ *Wall Data, Inc. v. Los Angeles County Sheriff’s Department*, 447 F.3d 769 (2006) 785. See further Degner (2012) 589; Donatello (2012) 69.

⁷² Compare to Chapter 3, note 22 and accompanying text.

⁷³ See further *Adobe Systems* (2002). ⁷⁴ Won (2013) 407.

⁷⁵ Under the software license agreement, Autodesk retained title to all copies; granted customers a nonexclusive and nontransferable license to use the computer program; imposed transfer and significant use restrictions; provided for license termination, should the user produce an unauthorized copy of the computer program or infringe the above restrictions. Finally, the agreement required the destruction of the original copy of the computer program, should the user upgrade to a newer version of the program. See *Vernor v. Autodesk* (2010) 1104–1105.

⁷⁶ *Ibid.*, 1105–1106.

The case was finally initiated by Vernor. He sought a declaratory ruling and requested that it be established that the resale of the AutoCAD software via eBay was covered by §109(a) and thus did not infringe Autodesk's copyrights.⁷⁷ The district court granted the motion and concluded that the holdings in the *MAI Trio* and *Wise* show significant differences, where the latter approach demonstrated a more balanced interpretation. The district court stated that under *Wise*,

the critical factor is whether the transferee kept the copy acquired from the copyright holder. When the film studios required that prints be returned, the court found no sale. When the studios did not require the transferee to return the prints, the court found a sale. Even a complete prohibition on further transfer of the print (as in the Redgrave Contract), or a requirement that the print be salvaged or destroyed, was insufficient to negate a sale where the transferee was not required to return the print.⁷⁸

The district court noted that users could “retain the possession of the software copies in exchange for a single up-front payment.”⁷⁹ Furthermore, Autodesk's Settlement Agreement and License required the destruction of the software if the user upgraded to a later version. Finally, strict restrictions were imposed on the transfer of the software copies. In light of these factors, the district court viewed Autodesk's agreement as a sale with use restrictions and applied the first-sale doctrine to the resale of the program copies.⁸⁰

The Ninth Circuit reversed this decision, as it disagreed with the district court's interpretation of *Wise*. According to the Ninth Circuit, *Wise* considered “whether the agreement (a) was labeled a license, (b) provided that the copyright owner retained title to the prints, (c) required the return or destruction of the prints, (d) forbade duplication of prints, or (e) required the transferee to maintain possession of the prints for the agreement's duration.”⁸¹ Judge Callahan clearly failed to take into consideration the single up-front payment and the possession of the copies for an indefinite period of time, as the relevant factors of the analysis of the license versus sale dichotomy.⁸²

Here, the Ninth Circuit tried to balance the different opinions expressed in *Wise* and the *MAI Trio*. It concluded that there are three general factors that play a crucial role in solving the license versus sale

⁷⁷ Ibid., 1106.

⁷⁸ *Timothy S. Vernor v. Autodesk, Inc.*, 555 F.Supp.2d 1164 (2008) 1170 (footnotes omitted).

⁷⁹ Ibid.

⁸⁰ Ibid. See further Degner (2012) 592–594; Donatello (2012) 72–74; Jankowski (2013) 113–114.

⁸¹ *Vernor v. Autodesk* (2010) 1108. See further Degner (2012) 596. ⁸² Ibid., 1113.

dichotomy. These are as follows: “[f]irst, we consider whether the copyright owner specifies that a user is granted a license. Second, we consider whether the copyright owner significantly restricts the user’s ability to transfer the software. Finally, we consider whether the copyright owner imposes notable use restrictions.”⁸³ Applying these factors to the present case, Judge Callahan declared Autodesk’s contract a license. Consequently, Vernor’s resale of the programs infringed the defendant’s copyrights.⁸⁴ In sum, Judge Callahan’s holding might be summarized as follows: if the software producer labels the contract as a license and imposes significant use restrictions, then a contract for sale is excluded. The Supreme Court denied granting certiorari in the case.⁸⁵

Commentators have heavily criticized this ruling. One of the central drivers behind this criticism was that the facts of *Vernor*, *Wise*, and the *MAI Trio* were completely different. Furthermore, prioritizing the *MAI Trio* is unfortunate, as those rulings clearly neglected to dig into the finer details of the license versus sale dichotomy and the first-sale doctrine. Many commentators have argued that it is not unrealistic to declare an agreement as a sale rather than a license, where the user acquires the software copy for an indefinite period in consideration of a single up-front payment.

In *Softman v. Adobe*, a district court concluded that

the circumstances surrounding the transaction strongly suggests [*sic*] that the transaction is in fact a sale rather than a license. For example, the purchaser commonly obtains a single copy of the software, with documentation, for a single price, which the purchaser pays at the time of the transaction, and which constitutes the entire payment for the “license.” The license runs for an indefinite term without provisions for renewal. In light of these indicia, many courts and commentators conclude that a “shrinkwrap license” transaction is a sale of goods rather than a license.⁸⁶

Therefore, the court concluded that the EULA did not bind SoftMan, as it failed to install the program.⁸⁷

⁸³ *Ibid.*, 1110–1111.

⁸⁴ *Ibid.*, 1111–1112. See further Halpern et al. (2011) 7–10; Sikich (2011) 20–21; Degner (2012) 598–606; Donatello (2012) 74–76; Geist (2012) 85–89; Leong (2012) 1–46; Jankowski (2013) 114–116; Nimmer and Nimmer (2013) §8.12[B][1][d][i][III]; Won (2013) 408–409; Katz (2014) 126–130; Longdin et al. (2014) 319–320; Mosley (2015) 251–252; Graham and McJohn (2020) 534–535.

⁸⁵ *Timothy S. Vernor v. Autodesk, Inc.*, 132 S.Ct. 105 (2011).

⁸⁶ *SoftMan Products Co. v. Adobe Sys. Inc.*, 171 F.Supp.2d 1075 (2001) 1085. See further Pitell (2004) 399–400; Shinall (2014) 386–387.

⁸⁷ *SoftMan v. Adobe* (2001) 1087. See further Pitell (2004) 399–400; Degner (2012) 590–591; Shinall (2014) 386–387; Determann (2018) 192–193. See similarly *William Krause v. Titleser v. Inc.*, 402 F.3d 119 (2005). See further Mtima (2008) 40–41; Tobin (2011) 174; Barbour (2012) 186–187. *A contrario*, in *ProCD v. Zeidenberg*, the Seventh Circuit concluded that the end user accepted the computer programs under §2–204(1)

Andrew Degner argued that contrary to the Ninth Circuit's approach, five elements need to be taken into account when concluding that a contract forms a license. It "[s]pecifies that the user is granted a license; [p]rovides that the copyright owner retains title; [i]mposes significant use and transfer restrictions; [i]s not a single, upfront payment by the transferee for a particular copy; and [p]rovides for the destruction or return of the transferred copies (no indefinite possession)."⁸⁸ However, Aaron Perzanowski and Jason Schultz have noted that three factors might be well enough to decide, whether ownership interests are transferred to an acquirer of a content. These are "(1) the duration of consumer possession or access; (2) the payment structure of the transaction; and (2) the characterization of the transaction communicated to the public."⁸⁹

4.1.2 *The Digital Resale of Sound Recordings: The ReDigi Case*

Shortly after the publication of the *UsedSoft* ruling, the District Court for the Southern District of New York ruled on a partially similar issue.⁹⁰ In this case, ReDigi, "the world's first and only online marketplace for digital used music,"⁹¹ was sued shortly after launching its service in October 2011.⁹²

and §2–606 of the UCC when he read the license terms on his computer screen. See *ProCD, Inc. v. Matthew Zeidenberg, et al.*, 86 F.3d 1447 (1996) 1452–1453. See further Cross (1997) 71–75; Covotta and Sergeeff (1998) 35–54; Longdin and Lim (2013) 550–551; Schulte-Nölke (2019) 111–113. Aaron Perzanowski and Jason Schultz have aptly noted that "according to Judge Easterbrook, the fact that Zeidenberg was put on notice that the licence terms were forthcoming, even if he had no idea what they were at the time of purchase, was enough to make them part of a binding legal argument." See Perzanowski and Schultz (2016) 68. Not surprisingly, others warned that the Seventh Circuit's ruling is not generally accepted by all other circuits. See Katz et al. (2016) 23. Degner (2012) 600. See further Sheridan (2012) 318–323; Shinall (2014) 385–386. On the "confusing cacophony" of the US case law, see Longdin et al. (2014) 318–322.

⁸⁸ Degner (2012) 600. See further Sheridan (2012) 318–323; Shinall (2014) 385–386. On the "confusing cacophony" of the US case law, see Longdin et al. (2014) 318–322.

⁸⁹ Perzanowski and Schultz (2016) 76–77.

⁹⁰ *Capitol Records, LLC, v. ReDigi Inc.*, 934 F.Supp.2d 640 (2013). See further Abelson (2012) 8–11; Bäcker and Höfinger (2013) 636–638; Jolly and Westmoreland (2013) 180–182; Lay (2013) 3–4; Lejeune (2013) 88–90; Longdin and Lim (2013) 559–561; Morris (2013) 124–129; Naylor and Parris (2013) 488–489; Serra (2013) 1756–1757, 1765–1766; Kawabata (2014) 55–71; Longdin et al. (2014) 322–323; Soma and Kugler (2014) 436–449; Yu (2014a) 394–395; Boutsikaris (2015) 28; Costanza (2015) 138–142; Dobson (2015) 198–208; Hamilton (2015) 242–247; Lipton (2015) 61–64; Mosley (2015) 253–254; Reis (2015) 185–186; Schonhofen (2015) 296–297; Aragon (2017) 202–204; Jütte (2017) 198–204; Determann (2018) 196–197; García (2019) 224–226.

⁹¹ *Capitol Records v. ReDigi* (2013) 644. ReDigi's self-description is not totally correct. A start-up called Bopaboo turned up at the end of 2008 (but vanished rapidly) and claimed to allow for the resale of mp3 files. See Davis (2009) 368–369; Serra (2013) 1758.

⁹² The Recording Industry Association of America sent a cease-and-desist letter to ReDigi on November 10, 2011. See Sisario (2011).

ReDigi's original version allowed registered users to upload their legally purchased sound recordings to ReDigi's Cloud Locker via the company's Media Manager program. Media Manager detected the uploader's computer and built a list of eligible files.⁹³ Only those files were eligible for resale that were lawfully purchased on iTunes⁹⁴ or from another ReDigi user. This feature technically guaranteed that pirate copies of music files could not be entered into the system. Simultaneously with the uploading of the file to the Cloud Locker, the content was erased from the source computer. This process was generally termed as "migration" or "atomic transaction" of the file by the defendant. The other function of Media Manager was to continuously double-check whether the users retained any copy of the resold files on their computers' hard drive or on any portable devices synchronized with the computer. If Media Manager detected any file like that, the users were warned to erase said copies. If the users failed to comply with the warning, their account was terminated by the company.

After uploading the files to the Cloud Locker, the users had two options: they either accessed their music for personal use or sold them to other users. In the latter situation, the files were stored in the same location in the Cloud Locker. However, the "file pointers" of the contents were transferred. Accordingly, the new purchaser could exclusively access the sound recording. The new user could remotely access the files from his account or download them to his computer. Users paid with credits purchased from ReDigi for each resale. Originally, these credits

⁹³ ReDigi claimed that "[u]pon the upload of an Eligible File [includes only files that have been originally and legally downloaded from iTunes or subsequently from ReDigi, thus excluding music tracks copied from CDs, downloaded from other online vendors or file sharers, or obtained from another outside source] to a user's Cloud Locker, such file and all copies thereof residing on the user's computer, and on attached synchronization and storage devices, are deleted. If the user were to attempt to upload the file without first accepting the prompt to delete the other copy or copies deleted by Music Manager, the upload would be blocked." Furthermore, "(a) the metadata and the acoustics are checked for validity; (b) the metadata are checked to ensure that no other ReDigi user has sold, has offered for sale, or is storing, a file with the same relevant metadata; (c) if the file fails either of these tests, it is discarded; (d) if it passes, then the file is stored on disk along with all the other music files; (e) the user's locker is updated to include the relevant metadata of the file and a 'pointer' to the 'location' of the file." See Barbour (2012) 190–191.

⁹⁴ US commentators regularly interpret Apple's EULA as offering for sale of, and consequently the transfer of ownership over, digital files. See Barbour (2012) 195; Soma and Kugler (2014) 436. See to the contrary Perzanowski and Hoofnagle (2017) 327–328. European scholars also opine to the contrary and claim that iTunes only licenses the digital files. See Günther (2014) 217–218; Arnerstål (2015) 752. This divergence might be explained by the geographically different business strategy of iTunes and the disparity of the legal systems.

could not be withdrawn from the users' accounts (however, now it is possible); they could only be used for further purchases. ReDigi earned a high transaction fee on every sale. Originally, the price of the used files varied between 59 and 79 cents USD. Currently, there are some tracks which are even cheaper. ReDigi retained 60 percent of the price, while 20 percent was allocated to the seller and 20 percent was retained on an escrow fund for the respective artist.⁹⁵

Capitol Records sued ReDigi on multiple counts and sought several permanent and preliminary injunctions, as well as damages, attorney's fees, costs, interests, and any other appropriate relief. The plaintiff applied for a summary judgment in July 2012, and the district court granted a partial summary judgment in March 2013.⁹⁶

ReDigi's system ensured that the respective music file was always located on one hard drive rather than in multiple locations. The defendant noted that files were migrated from the sellers' computers to the Cloud Locker and then between the purchasers' accounts and their computers. However, there is never any direct migration between the two different accounts, as only the file pointer is changed to provide access to the content for the current acquirer. Capitol deemed this exact process the source of the infringement, claiming that each step of the migration leads to a new reproduction of the original sound recording. As a result, Capitol argued that, since the first-sale doctrine only covers the redistribution and not the reproduction of copyrighted works, ReDigi's users had committed copyright infringements and consequently ReDigi's service also functions illegally.

The district court accepted Capitol's claims. Judge Sullivan highlighted that "courts have not previously addressed whether the unauthorized transfer of a digital music file over the Internet – where only one file exists before and after the transfer – constitutes reproduction within the meaning of the Copyright Act. The Court holds that it does."⁹⁷ First, the district court noted that sound recordings are undeniably protected under US copyright law⁹⁸ and Capitol owned copyrights on several recordings that were transferred via ReDigi's system. Second, sound recordings are fixed in phonorecords, and these constitute the material objects in which the sounds are fixed and "from which the sounds can be

⁹⁵ *Capitol v. ReDigi* (2013) 644–646. See further Barbour (2012) 189–192.

⁹⁶ *Capitol v. ReDigi* (2013) 646–647.

⁹⁷ *Ibid.*, 648. It might be true that this was the first time a court faced this question, but commentators have discussed the topic much earlier. See Calaba (2002) 11–15.

⁹⁸ *USCA* §101. ReDigi tried to convince the court that the used mp3 files are computer programs. This allegation is, however, clearly without merit. Compare to Barbour (2012) 193.

perceived, reproduced, or otherwise communicated, either directly or with the aid of a machine or device.”⁹⁹ Finally, sound recordings are reproduced every time they are fixed in a new material object.

Based on this logic, the district court stuck to the case law on peer-to-peer (P2P) file sharing¹⁰⁰ rigidly, noting that “when a user downloads a digital music file or ‘digital sequence’ to his ‘hard disk,’ the file is ‘reproduce[d]’ on a new phonorecord within the meaning of the Copyright Act.”¹⁰¹ The migration of the file was deemed to be irrelevant by Judge Sullivan:

ReDigi stresses that it “migrates” a file from a user’s computer to its Cloud Locker, so that the same file is transferred to the ReDigi server and no copying occurs. However, even if that were the case, the fact that a file has moved from one material object – the user’s computer – to another – the ReDigi server – means that a reproduction has occurred. Similarly, when a ReDigi user downloads a new purchase from the ReDigi website to her computer, yet another reproduction is created.¹⁰²

The court also noted that the electronic file transfer was within the meaning of the right of distribution.¹⁰³ Thus, ReDigi’s users infringed both the right of reproduction and the right of distribution when they used the company’s service. The only chance to escape liability was to rely on the fair use and the first-sale doctrines. Since both of these are affirmative defenses, the burden of proof rested on ReDigi to prove that its system fits into the realm of the two above doctrines.

ReDigi failed to successfully rely on either defense.¹⁰⁴ Although the users uploaded, migrated, sold, purchased, and finally downloaded the files, ReDigi was found directly liable for the reproduction and distribution of Capitol’s sound recordings.¹⁰⁵ Judge Sullivan argued that ReDigi willingly allowed for the upload of contents to the Cloud Locker.¹⁰⁶ Based on ReDigi’s service model, the fair use defense remained unsuccessful. The model was declared to be

⁹⁹ *USCA* §101.

¹⁰⁰ See especially *London-Sire Records, Inc. v. John Doe 1*, 542 F.Supp.2d 153 (2008).

¹⁰¹ *Capitol v. ReDigi* (2013) 649. ¹⁰² *Ibid.*, 650. ¹⁰³ *Ibid.*, 651.

¹⁰⁴ *Capitol v. ReDigi* (2013) 652–654.

¹⁰⁵ This part of the decision has already received negative treatment in *Andrew Paul Leonard v. Stemtech Health Sciences, Inc., et al.*, 2013 WL 5288266.

¹⁰⁶ “ReDigi’s Media Manager scans a user’s computer to build a list of eligible files that consists solely of protected music purchased on iTunes. While that process is itself automated, absolving ReDigi of direct liability on that ground alone would be a distinction without a difference. The fact that ReDigi’s founders programmed their software to choose copyrighted content satisfies the volitional conduct requirement and renders ReDigi’s case indistinguishable from those where human review of content gave rise to direct liability.” See *Capitol v. ReDigi* (2013) 657.

non-transformative, it allowed for the resale of full contents, and the system was found to be capable of interfering with the legitimate primary markets of the rightholders, and so it ran afoul of the fourth factor of the fair use test.¹⁰⁷

Regarding the first-sale doctrine, Judge Sullivan noted that

the first sale doctrine does not protect ReDigi's distribution of Capitol's copyrighted works [since] an unlawful reproduction, a digital music file sold on ReDigi is not "lawfully made under this title." Moreover, the statute protects only distribution by "the owner of a *particular* copy or phonorecord ... of *that* copy or phonorecord." Here, a ReDigi user owns the phonorecord that was created when she purchased and downloaded a song from iTunes to her hard disk. But to sell that song on ReDigi, she must produce a new phonorecord on the ReDigi server. Because it is therefore impossible for the user to sell her "particular" phonorecord on ReDigi, the first sale statute cannot provide a defense.¹⁰⁸

There are some concerns that the district court's reasoning on "particular" and "that" copy is correct. Music files sold via iTunes are marked with a persistent identification (PID) number that individually identifies the contents. The migration of the file via Media Manager and the Cloud Locker therefore leads to the duplication and transfer of an entirely identical file marked with the same PID number. From this perspective, the content sold via ReDigi is exactly "that particular copy."¹⁰⁹

The district court further argued that

the first sale defense is limited to material items, like records, that the copyright owner put into the stream of commerce. Here, ReDigi is not distributing such material items; rather, it is distributing reproductions of the copyrighted code embedded in new material objects, namely, the ReDigi server in Arizona and its users' hard drives.¹¹⁰

If the district court had aimed to refer to the international copyright norms, in particular to the relevant Agreed Statement of the WCT, then its argument would be totally correct. In reality, what Judge Sullivan practically said was that although phonograms are deemed to be material objects under the USCA and the right of distribution applies to the sale of phonograms in digital format ("electronic file transfer"), the first-sale doctrine does not apply to digital files, since they are not material items. That seems to be a clear catch-22, where Judge Sullivan followed both the international copyright norms and the vague (more properly: outdated) definition of phonograms under the USCA.

¹⁰⁷ "The clear inference is that ReDigi will divert buyers away from that primary market." See *ibid.*, 654.

¹⁰⁸ *Ibid.*, 655 (italics in original).

¹⁰⁹ A similar argument was expressed by Figliomeni (2014) 230–231. ¹¹⁰ *Ibid.*, 655.

Finally, ReDigi tried to satisfy the court that Capitol's interpretation of the first-sale doctrine would provide broader protection to the company as envisaged by Congress. The district court refused these arguments, especially since

amendment of the Copyright Act in line with ReDigi's proposal is a legislative prerogative that courts are unauthorized and ill-suited to attempt. [...] [T]he first sale doctrine was enacted in a world where the ease and speed of data transfer could not have been imagined. There are many reasons, some discussed herein, for why such physical limitations may be desirable. It is left to Congress, and not this Court, to deem them outmoded.¹¹¹

On April 4, 2016, shortly before the trial for damages was scheduled, the parties settled the remedy portion of the case. The district court endorsed a stipulated final judgment on June 3, 2016, and provided for stipulated damages and injunctive relief.¹¹² As the defendants reserved their right to appeal the summary judgment of the district court, the procedure continued on second instance.

The Second Circuit has stated that

[i]t is undisputed that one who owns a digital file from iTunes of music that is fixed in a material object qualifies as "the owner of a particular ... phonorecord lawfully made," and is thus entitled under §109(a) "to sell or otherwise dispose of the possession of *that* ... phonorecord," without violating §106(3).¹¹³

The court's opinion confirms that iTunes tracks (and certainly other digital files as well) are subject to ownership interests and might be resold under certain circumstances. Nevertheless, the devil is in the details, and the leading question is, no doubt, "under what circumstances" can users resell digital files?

The panel stressed that ReDigi's model necessitate the analysis of the right of reproduction and distribution. Judge Leval expressly sided with the trial court regarding the right of reproduction. He argued that saving the files in ReDigi's Cloud Locker leads to a new, unauthorized copy of the respective works. This is not affected by the fact that end users "migrate" the files, that is, the files are located always only on one hard drive. Due to the unauthorized copying, the court refrained from digging into deeper details regarding the distribution aspect of ReDigi's service. In sum, the first-sale doctrine's applicability was ruled out in the digital domain as long as it necessitates any (interim) reproduction. In other

¹¹¹ *Capitol v. ReDigi* (2013) 655–656.

¹¹² *Capitol Records, LLC, et al., v. ReDigi, Inc.*, 2017 WL 2131544 (Brief for Plaintiffs-Appellees) 7.

¹¹³ *Capitol Records v. ReDigi* (2018) 656.

words, the circumstances of lawful resale are limited to the transfer of the data carrier that embodies the actual digital file or phonorecord.¹¹⁴ Nevertheless, the Second Circuit also stated in dicta that “other technology may exist or be developed that could lawfully effectuate a digital first sale.”¹¹⁵ This way, the court left the doors open for a digital first-sale doctrine, but expressly ruled that ReDigi 1.0 is not a technology like that.

Regarding the fair use test, the Second Circuit has confirmed the trial court’s findings. Judge Leval concluded that ReDigi’s system does not represent transformativeness and is profit oriented, it leads to the reproduction and distribution of full files, and the business model is capable to prejudice the legitimate markets of rightholders.¹¹⁶

No doubt, Judge Leval is among the most respected “fair use judges.”¹¹⁷ I still believe that treating ReDigi as directly liable for this service is a mistake. If ReDigi is liable for these acts in any way, its liability shall be based on secondary liability doctrines, as opposed to direct liability. Direct liability for the actual reproduction and distribution of iTunes files might be attributed to the end users who executed the file transfers and created copies in the cloud.¹¹⁸ And the fair use doctrine only applies to these direct infringements, and so its factors should have been weighed in light of the users’ acts, rather than ReDigi’s. Elsewhere, the Second Circuit confirmed that “space shifting” of digital contents is fair use.¹¹⁹ Space shifting is the reproduction of sound recordings from computers to portable devices and vice versa. If creating copies in the cloud is fair use, the only remaining question is whether digital resales are fair use as well. In light of the Second Circuit’s own opinion, cited above, digital files are subject to ownership interest, and those individual phonorecords might be fairly resold by their lawful owners.

¹¹⁴ Ibid., 656–658. This view is nevertheless problematic in the sense that a hard drive can hardly be treated as a phonorecord. Compare to Hamilton (2015) 251–252.

¹¹⁵ Ibid., 659. ¹¹⁶ Ibid., 660–663.

¹¹⁷ Judge Leval’s most famous fair use paper is cited almost 1,900 times (as of December 11, 2020, and according to Google Scholar). See Leval (1990) 1105–1136.

¹¹⁸ See further: “[a]s a result, we find that the district court erred in concluding that Cablevision, rather than its RS-DVR customers, makes the copies carried out by the RS-DVR system.” See *Cartoon Network LP, LLLP, et al. v. CSC Holdings, Inc., et al.*, 536 F.3d 121 (2008) 132.

¹¹⁹ *Recording Industry Association of America v. Diamond Multimedia Systems, Inc.*, 180 F.3d 1072 (1999). On the analysis of the case, see Goetzel (1999) 459–460; Axberg (2003) 411–414; Coats et al. (2003) 455–471. There is some negative treatment of this decision. *Napster* correctly distinguished between copying from a PC to a portable player and the exchange of files by multiple users via a P2P file-sharing service. See *A&M Technology, Inc., et al. v. Napster, Inc., et al.*, 239 F.3d 1004 (2001).

ReDigi in timely fashion submitted its writ of certiorari on May 10, 2019, but the US Supreme Court dismissed the motion shortly thereafter, on June 24, 2019.¹²⁰

4.1.3 *Resale of Audiobooks and E-Books*

Compared to software, musical, or audiovisual content,¹²¹ the sale of e-books has become significant relatively late.¹²² It was in 2011 that Amazon sold more e-books than paper books,¹²³ but the overall share of e-books in the global publishing industry surpassed 25 percent only in 2018.¹²⁴ Unsurprisingly, the resale of e-books has also become a hot topic relatively recently.¹²⁵

The first pertinent decision on the resale of audiobooks was published in 2011. In this case, the OLG Stuttgart concluded that the download of an audiobook from a web shop did not exhaust the right of distribution, as no transfer of ownership of a tangible copy of work had occurred.¹²⁶ Furthermore, the general terms and conditions of the purchase agreement, via the web shop, provided for a license to use and at the same time prohibited the resale of the digital copy.¹²⁷ The court found these terms clear and enforceable. Although the web shop used expressions on its

¹²⁰ *ReDigi Inc., et al., v. Capitol Records, LLC, et al.*, 139 St.C. 2760 (2019).

¹²¹ “More than fifty percent of the global music recording industry income comes from digital channels, as well as a substantial part of the film and publishing industry income.” See Oprysk (2019a) 169.

¹²² Matulionyte (2017) 259. ¹²³ Tweney (2010); Miller and Bosman (2011).

¹²⁴ Research and Markets (2018).

¹²⁵ On the lending, sale and resale of e-books, see, e.g., Synodinou (2013) 220–227; Spedicato (2016) 149–175; Matulionyte (2017) 259–282; Oprysk et al. (2017) 128–138; Lipton (2020) 186–200; Rosati (2020a) 208–211.

¹²⁶ OLG Stuttgart 03.11.2011 (2 U 49/11) 301–302. See further Appl and Schmidt (2014) 193; Rauer and Ettig (2015) 713.

¹²⁷ According to Art. 8 of the contract: “[o]ur products and all contributions contained therein are protected by copyright law and contain inaudible digital watermarks. Any use and disclosure to third parties, which is not expressly permitted by the Copyright Act, requires our prior consent (pursuant to §§ 182, 183 BGB). In case of violation, we reserve the right to take legal action, unless otherwise expressly agreed by contract. The purchaser of the audiobooks and other media files offered in the portal acquires only a right to use, he does not acquire ownership. The resale is prohibited.” (Unsere Ware sowie alle darin enthaltenen Beiträge sind urheberrechtlich geschützt und mit unhörbaren digitalen Wasserzeichen versehen. Jede Verwertung und Weitergabe an Dritte, die nicht ausdrücklich von Urheberrechtsgesetz zugelassen sind, bedürfen unserer vorherigen Zustimmung (gem. §§ 182, 183 BGB). Im Falle der Zuwiderhandlung behalten wir uns rechtliche Schritte vor, es sei denn, dass bei Vertragsschluss ausdrücklich eine anderweitige Vereinbarung erfolgt ist. Der Käufer der im Portal ... angebotenen Hörbücher und sonstigen Mediendateien erwirbt lediglich ein Nutzungsrecht, kein Eigentum. Der Weiterverkauf ist untersagt.) See OLG Stuttgart (2011) 300.

website, such as “purchase” (*Kauf*), “purchase price” (*Kaufpreis*), or “basket” (*Warenkorb*), none of these proved that the service offered an actual transfer of ownership of the audiobooks. Indeed, a reasonable purchaser could have properly understood that the terms are used functionally, and he or she could also have easily understood the contractual terms, especially the prohibition on resale.¹²⁸ The court also followed policy arguments when it stated that digital contents can be easily reproduced and therefore rightholders deserve the right to authorize further uses of these contents.¹²⁹

In another case, an association for consumer protection sued an online bookstore to enforce the applicability of the doctrine of exhaustion on audiobooks offered for download via the defendant’s website. The trial court denied the plaintiff’s motion,¹³⁰ and the OLG Hamm affirmed.¹³¹ The OLG Hamm analyzed the defendant’s general terms and conditions¹³² and concluded that an average client, having a minimal understanding of technology, could understand that the license was designed to provide for a limited, inalienable right to use the copies.¹³³ Irrespective of the fact that the court improperly called the online transfer of audiobooks “streaming,”¹³⁴ it declared that the transmission of data should be

¹²⁸ Ibid., 303. ¹²⁹ Ibid., 302.

¹³⁰ LG Bielefeld 05.03.2013 (4 O 191/11) 688–694. See further Bäcker and Höfinger (2013) 638; Appl and Schmidt (2014) 193–194; Günther (2014) 225; Jütte (2017) 169–173.

¹³¹ OLG Hamm 15.05.2014 (22 U 60/13) 853–863. See further Biehler and Apel (2014) 727–729; Rauer and Ettig (2015) 714; Schonhofen (2015) 293–296; Jütte (2017) 173–175; Determann (2018) 198–201.

¹³² According to §10(3), “[i]n terms of this offer, the customer acquires the simple, nontransferable right to use the titles offered for personal use only in accordance with copyright law and in the way mentioned in the individual offer. It is not permitted to modify the content of the downloads in any way or to edit them or to make use of modified versions, to copy them for others, to make them available for the public or forward them, to adjust them to the internet or to other networks for remuneration or free of charge, to imitate them, to resell them or to use them for commercial purposes.” (Im Rahmen dieses Angebotes erwirbt der Kunde das einfache, nicht übertragbare Recht, die angebotenen Titel zum ausschließlich persönlichen Gebrauch gemäß Urheberrechtsgesetz in der jeweils angebotenen Art und Weise zu nutzen. Es ist nicht gestattet, die Downloads in irgendeiner Weise inhaltlich und redaktionell zu ändern oder geänderte Versionen zu benutzen, sie für Dritte zu kopieren, öffentlich zugänglich zu machen bzw. weiterzuleiten, im Internet oder in andere Netzwerke entgeltlich oder unentgeltlich einzustellen, sie nachzuahmen, weiterzuverkaufen oder für kommerzielle Zwecke zu nutzen.) See OLG Hamm (2014) 854.

¹³³ Ibid., 856.

¹³⁴ Streaming covers all technological solutions, where media contents (generally audio and audiovisual works) are transmitted for the purposes of receipt and display by the end user without the ability to produce permanent copies of the said contents. The streaming technology has traditionally been of two major types. First, live streaming (like webcasting) should be treated as communication to the public from the perspective

viewed as being made available to the public rather than as distribution. To reach that conclusion, the panel relied both on the existing case law on the exhaustion of the distribution right relating to audiobooks (including the above ruling of OLG Stuttgart), as well as on the justification for the implementation of the right of making available to the public by the German Parliament.¹³⁵

The OLG Hamm also analyzed a bill that was submitted to the German Parliament by the parliamentary group “Die Linke” in 2012.¹³⁶ This document called for the amendment of the German Copyright Act to allow for the resale of copies of works by the lawful acquirer if no further copies are retained by the reseller and if the copies are not made available to the public in any other way.¹³⁷ The OLG Hamm concluded that since the proposal was refused by the Bundestag in 2013, the legislature was unwilling to amend the status quo.¹³⁸ Finally, the OLG Hamm also distinguished the present case from *UsedSoft*, since

of the transmitting party. Second, contents might be accessed at a time and at a place chosen individually by the end user, that is, “on-demand.” That kind of streaming should be treated as making content available to the public in German copyright law. Since no permanent copy is made by the end user in any of the two above scenarios, the end users’ act is covered by the temporary act of reproduction (under Art. 5[1] of the InfoSoc Directive). Compare to von Lewinski (2008) 457, para. 17.76; Büscher and Müller (2009) 558; Wandtke and von Gerlach (2013) 676–683.

¹³⁵ OLG Hamm (2014) 856–858. ¹³⁶ Entwurf (2012).

¹³⁷ “§17a Resale of the works

(1) The original or copies of the work, that have been brought to the market by sale with the consent of the person entitled to distribute them within the territory of the European Union or another Member State to the Agreement on the European Economic Area, can be resold by the purchaser, insofar as the purchaser does not retain any copy of the sold work.

(2) The right of resale cannot be waived by contract. It is not permissible for the purchaser to make copies of the work available to the public.”

(§17a Weiterveräußerung von Werkexemplaren

[1] Vervielfältigungsstücke des Werkes, die vom Berechtigten im Gebiet der Europäischen Union oder eines anderen Vertragsstaates des Abkommens über den Europäischen Wirtschaftsraum im Wege der Veräußerung in Verkehr gebracht wurden, dürfen vom rechtmäßigen Erwerber weiterveräußert werden, soweit dieser keine weitere Vervielfältigung des veräußerten Werkexemplars zurückbehält.

[2] Das Recht zur Weiterveräußerung kann nicht vertraglich abbedungen werden. Eine öffentliche Zugänglichmachung von Vervielfältigungsstücken des Werkes durch den Erwerber ist nicht zulässig.)

It is not the task of the present chapter to criticize the above text. It might be noted, however, that while the proposal called for the analog application of the doctrine of exhaustion to tangible and intangible copies, the draft text of Art. 17a did not properly mirror this plan. All the elements included in the draft text could have been deduced from the existing case law and academic analysis.

¹³⁸ OLG Hamm (2014) 858–859.

it dealt with computer programs that were regulated by the EU and Germany through special laws.¹³⁹

The OLG Hamburg affirmed that the general terms and conditions that prohibit the resale of e-books and audiobooks are valid. According to the OLG Hamburg, the doctrine of exhaustion¹⁴⁰ does not apply to digital contents and so the original acquirers are not allowed to resell the audiobooks and e-books.¹⁴¹

Another debate over the resale of digital copies of literary works originates in the Netherlands. Here, a start-up called Tom Kabinet was launched in June 2014. The founders of Tom Kabinet allowed for private users to sell and purchase lawfully acquired DRM-free “used” e-books via their platform.¹⁴² Two publishing associations (Nederlandse Uitgeversbond/NUV and Groep Algemene Uitgevers/GAU) threatened the platform with a lawsuit only eight days after it had started to operate in the Netherlands. The associations deemed the service illegal, even though Tom Kabinet intended to keep 20 percent of the purchase price of each e-book sold through its system in an escrow fund for the benefit of the relevant authors.¹⁴³

After a period of unsuccessful negotiations, the associations sued Tom Kabinet and requested preliminary injunctions against the website. The District Court of Amsterdam (Rechtbank Amsterdam) refused to order the preliminary injunctions, claiming that under *UsedSoft* it was not self-evident that the resale of used e-books was precluded under EU law.¹⁴⁴ Joke Bodewits noted that

[a] lot of emphasis was placed on the fact that Tom Kabinet adds a new watermark to the e-book after it has been purchased in an attempt to prevent trade in illegal copies. Although this may not be sufficient to prevent all illegal trade, the interim relief judge considered that further protective measures could not have been implemented without cooperation of the publishers. Moreover, the interim relief judge was clear that the behaviour of the publishers, by not replying to the invitation to discuss participation but instead initiating interim relief proceedings, was a step too far given the good intentions of Tom Kabinet.¹⁴⁵

The Dutch Court of Appeals (Hof Amsterdam) upheld the Rechtbank Amsterdam’s judgment; however, it prohibited Tom Kabinet from

¹³⁹ Ibid., 859–861. ¹⁴⁰ UrhG §17(2).

¹⁴¹ OLG Hamburg 04.12.2014 (10 U 5/11) 361–365. See further Apel (2015) 644–647; Rauer and Ettig (2015) 714–715; Determann (2018) 201–203.

¹⁴² Hoffelder (2014a). ¹⁴³ Hoffelder (2014b).

¹⁴⁴ *District Court of Amsterdam, Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet*, C/13/567567/KG ZA 14–795 SP/MV, 21 July 2014. See Bodewits (2014) 10–11; Cuevas (2015a) 8–10; Hoffelder (2014c).

¹⁴⁵ Bodewits (2014) 11.

offering unlawfully downloaded e-books for sale. The court concluded that the application of *UsedSoft* on the resale of e-books could not be excluded per se. The online sale of contents fits into the concept of distribution, while the theory of functional equivalence stands for e-books too. Only a full trial could show whether Tom Kabinet's operation was in compliance with EU law. Nevertheless, the court believed that the plaintiff also allowed for the resale of illegal copies of e-books. The Hof Amsterdam took the view that the injunction might be dissolved if Tom Kabinet could demonstrate that its system was used solely for the resale of lawfully acquired e-books.¹⁴⁶ No appeals were lodged on the Hof Amsterdam's legal conclusion.¹⁴⁷

On June 8, 2015, Tom Kabinet changed its business model while continuing to operate as an e-book trader. The company now purchased the used e-books either from official distributors or individuals who joined Tom Kabinet's "reading club" (*leesclub*); and Tom Kabinet sold the e-books to registered members of the reading club. Tom Kabinet encouraged its clients to resell/donate the e-books to the company after they had read the works. When a client resold or donated an e-book to Tom Kabinet, the company granted "credits" and, in case of donation, a 0.99 EUR discount on the monthly membership fee to the clients. The membership fee ceased to be a requirement from November 18, 2015 onward. Tom Kabinet required its clients to erase the e-book from their devices simultaneously with the resale/donation. Tom Kabinet also placed digital watermarks on all e-books to indicate the lawful nature of the copies.¹⁴⁸ It is uncertain whether Tom Kabinet's service allowed for the simultaneous downloading of the same e-book by multiple members of the reading club or whether only individual members had access to the files.¹⁴⁹

Based on the changes to Tom Kabinet's business model, NUV and GAU applied to the District Court of The Hague (Rechtbank Den Haag) for an injunction to prohibit Tom Kabinet from offering its services. The

¹⁴⁶ *Court of Appeal of Amsterdam, Nederlands Uitgeversverbond and Groep Algemene Uitgevers v. Tom Kabinet*, 200 154 572/01 SKG 20-01-2015, NL:GHAMS:2015:66, available in Dutch at <https://uitspraken.rechtspraak.nl/inziendocument?id=ECLI:NL:GHAMS:2015:66>. See the English translation of the decision in *Computer Review International*, Issue 2/2015, pp. 47–50. See further Cuevas (2015b); Sluiter (2015); Jütte (2017) 175–181; Determann (2018) 210; Sganga (2018) 214–215.

¹⁴⁷ *Nederlands Uitgeversverbond and Groep Algemene Uitgevers (Tom Kabinet)*, Case C-263/18, Opinion, ECLI:EU:C:2019:697, para. 19; *Nederlands Uitgeversverbond and Groep Algemene Uitgevers (Tom Kabinet)*, Case C-263/18, Judgment, ECLI:EU:C:2019:1111, para. 23.

¹⁴⁸ *Case C-263/18, AG Opinion*, para. 18; *Case C-263/18, Judgment*, paras. 22–26.

¹⁴⁹ *Ibid.*, para. 69. Compare to Homar (2020) 29–30; Ohly (2020) 184.

Rechtbank Den Haag found in its July 2017 interim injunction that e-books are works, and that Tom Kabinet's service did not constitute a communication to the public within the meaning of the InfoSoc Directive.¹⁵⁰ At the same time, the referring court was uncertain, whether the right of distribution as well as the doctrine of exhaustion applied to the case at hand.¹⁵¹ Likewise, the court was uncertain whether Tom Kabinet's service also necessitates the exhaustion of the (inherent) right of reproduction.¹⁵² In other words, the court was uncertain about the 'new copy theory'.¹⁵³ The Rechtbank Den Haag thus referred four questions to the ECJ.¹⁵⁴

Advocate General (AG) Szpunar's opinion was constructed along three parts. He discussed the relevant norms (the legislative status quo), then the CJEU case law, and finally policy considerations ("balancing the interests involved"). While AG Szpunar showed sympathy toward digital exhaustion, he ultimately rejected the concept under all three rationales.

Regarding the status quo of exhaustion in the EU, AG Szpunar's starting point was that the WCT's umbrella solution prioritized the right of communication to the public over the right of distribution regarding the dissemination of immaterial copies over the Internet. AG Szpunar admitted that the reality of markets had changed a lot since 1996 (adoption of WCT) and 2001 (enactment of the InfoSoc Directive), while e-commerce had blurred the distinction between goods and services.¹⁵⁵ Nonetheless, he concluded that European legislation clearly followed WCT's logic, as evidenced by the language of recitals of the InfoSoc Directive.¹⁵⁶

AG Szpunar doubted whether Article 4 of the InfoSoc Directive applied to the online supply of digital content, as such materials are not subject to ownership interests.¹⁵⁷ He also questioned whether exhaustion could limit contractual freedom.¹⁵⁸ AG Szpunar also took a bright-line position based on the creation of a "new copy." He opined that reproduction was not allowed for end users except when they downloaded the file originally.¹⁵⁹ He further pointed out that no limitations and exceptions applied to the reproduction of new copies.¹⁶⁰

¹⁵⁰ Art. 3 of the InfoSoc Directive.

¹⁵¹ Art. 4(1) and (2) of the InfoSoc Directive, respectively.

¹⁵² Art. 2 of the InfoSoc Directive.

¹⁵³ *Case C-263/18, AG Opinion*, para. 20; *Case C-263/18, Judgment*, paras. 27–29.

¹⁵⁴ *Case C-263/18, AG Opinion*, para. 21; *Case C-263/18, Judgment*, para. 30. See further Karapapa (2020) 501–503.

¹⁵⁵ *Case C-263/18, AG Opinion*, para. 35 and 38. ¹⁵⁶ *Ibid.*, paras. 33–39.

¹⁵⁷ *Ibid.*, para. 43. ¹⁵⁸ *Ibid.*, para. 44. ¹⁵⁹ *Ibid.*, paras. 45–48. ¹⁶⁰ *Ibid.*

AG Szpunar also discussed a limited list of ECJ rulings. Unsurprisingly, *UsedSoft* was analyzed in detail.¹⁶¹ AG Szpunar accepted the ECJ's position concerning the existence of a digital exhaustion doctrine regarding computer programs. He argued that the requirement of loading software to hardware as well as the need for updates/maintenance forced the ECJ to refer to the acquisition of a computer program as "sale." Based on these two features he concluded that tangible and intangible copies of computer programs were functionally equivalent. He refused to arrive at the same conclusion in respect to other subject matters.¹⁶² Second, AG Szpunar believed the market for subject matters other than software to be more fragile.¹⁶³

AG Szpunar also recalled the ECJ's position that the lending of e-books necessitates at least an indirect or limited digital exhaustion. As AG Szpunar opined in *Vereniging Openbare Bibliotheken*,

I am of the opinion that it is necessary, when interpreting the concept of "lending" for the purposes of Directive 2006/115, not to be bound by what might have been in the mind of the EU legislature when it initially adopted the directive (that is to say, Directive 92/100), but instead to give a definition which is in step with developments in technology and in the market since that time. It is now necessary to analyse whether such an interpretation indeed follows from the wording of the provisions of Directive 2006/115 itself and whether it is consistent with other European Union legal texts in the field of copyright and with the European Union's international obligations.¹⁶⁴

Based on this logic, the ECJ ruled in *Vereniging Openbare Bibliotheken* that Member States are not precluded

from making the application of Article 6(1) of Directive 2006/115 subject to the condition that the digital copy of a book made available by the public library must have been put into circulation by a first sale or other transfer of ownership of that copy in the European Union by the holder of the right of distribution to the public or with his consent, for the purpose of Article 4(2) of Directive [2001/29].¹⁶⁵

AG Szpunar agreed with Tom Kabinet that this ruling would become meaningless without the application of digital exhaustion regarding the immaterial copies acquired by the libraries.¹⁶⁶

¹⁶¹ Ibid., paras. 53–67. ¹⁶² Ibid., paras. 58–60. ¹⁶³ Ibid., para. 62.

¹⁶⁴ *Vereniging Openbare Bibliotheken v. Stichting Leenrecht*, Case C-174/15, Opinion, ECLI:EU:C:2016:459, para. 40. See further *ibid.*, para. 28.

¹⁶⁵ *Vereniging Openbare Bibliotheken v. Stichting Leenrecht*, Case C-174/15, Judgment, ECLI:EU:C:2016:856, para. 2 of the operative part. On e-lending and exhaustion, see especially Walter (2016) 333–336; Marly and Wirz (2017) 16–19; Determann (2018) 210–212; Peter (2019) 499.

¹⁶⁶ *Case C-263/18, AG Opinion*, para. 62.

Finally, the Advocate General recalled the ECJ's case law on linking, especially the *Svensson* case.¹⁶⁷ There, the ECJ's conclusion seemed to suggest that the first right of making available of protected subject matter to the public might lead to exhaustion as well, if future uses were based on the same technological means (there the Internet) and if secondary Internet users were from the same target group as those to whom the contents were originally offered. This latter part of the ruling is generally known as the "new public theory."¹⁶⁸

The intense debates on the exhaustion of the making available to the public right might look naive in the light of the InfoSoc Directive that expressly denies the applicability of exhaustion to this right.¹⁶⁹ The importance of such discussion is, however, not minor at all. *Svensson*'s outcome represents nothing less than what exhaustion actually means: the loss of control over the use of the subject matter after the first lawful use by the rightholder. And vice versa: if the communication to the public right is not "quasi-exhausted," what does *Svensson* really mean?¹⁷⁰ The Advocate General solved the Gordian Knot by noting that "that case-law cannot be applied by analogy to the making available of works to the public by downloading."¹⁷¹

The third prong of the Advocate General's analysis centered on the policy arguments related to digital exhaustion. At this point, AG Szpunar provided a balanced list of various policy considerations. On the one hand, exhaustion might strengthen competition; lead to more innovation; guarantee privacy; and prevent anti-competitive practices. On the other hand, digital copies do not deteriorate; the multiplication of works may pose a risk to competition; it is difficult to verify compliance with rules, especially among end users; it might be difficult to differentiate between lawful and illegal copies; and the whole idea of exhaustion might become obsolete in the wake (and, in fact, because of the dominance) of streaming services.¹⁷² Based on the various conflicting policy considerations, AG Szpunar took a rather defensive position and concluded that the conflicting policy arguments do not allow for overruling the rules in force.¹⁷³

¹⁶⁷ *Nils Svensson and Others v. Retriever Sverige AB*, Case C-466/12, ECLI:EU:C:2014:76.

¹⁶⁸ Völtz (2014) 721–726; Mezei (2016) 887–900; Quintais (2018) 385–420; Frosio (2020).

¹⁶⁹ Art. 3(3) of the InfoSoc Directive.

¹⁷⁰ The ALAI's opinion on the *Svensson* ruling used the phrase "waiver *erga omnes*" in this respect. Cited by Karapapa (2020) 485. I doubt that this language solves the question. On "quasi-exhaustion," see further Benabou (2016) 351–378; Sganga (2018) 227–228.

¹⁷¹ *Case C-263/18, AG Opinion*, para. 74.

¹⁷² See all these arguments: *ibid.*, paras. 80–96. ¹⁷³ *Ibid.*, para. 97.

Contrary to the detailed opinion of the Advocate General, the ECJ's judgment was almost entirely based on the historic, teleological, and systematic analysis of the relevant legal sources. The ECJ noted that the InfoSoc Directive's language is unclear as to whether the supply by downloading, for permanent use, of e-books is covered by the right of communication to the public or the right of distribution.¹⁷⁴ The ECJ argued that the *travaux préparatoires* and the recitals of the InfoSoc Directive, as well as the WCT, support the conclusion that the right of distribution covers solely the transfer of ownership of tangible copies of works, while the right of communication to the public covers interactive/on-demand dissemination of copies in the broadest sense.¹⁷⁵

The ECJ excluded e-books from the scope of the Software Directive. Indeed, in compliance with the *Nintendo* ruling,¹⁷⁶ even if an e-book would comprise software, such a program would be incidental in relation to the literary work, and hence the InfoSoc Directive would trump the Software Directive.¹⁷⁷ The ECJ also refused to apply the theory of functional equivalence to e-books. The ECJ agreed with the Advocate General that e-books are perfect substitutes of the original copies as they do not deteriorate with age, so no additional efforts or costs are needed for the resale of copies. Hence, "a parallel second-hand market would be likely to affect the interests of the copyright holders in obtaining appropriate reward for their works."¹⁷⁸

Finally, the ECJ discussed the meaning of communication and making available to the public in details. Communication has always been interpreted broadly by the ECJ, and the public has been defined as an indeterminate, but certainly large number of people. Successive recipients of contents also form the public – that is, potential recipients shall be accumulated.¹⁷⁹ The ECJ found that Tom Kabinet's service complied with all relevant prerequisites of communication to the public.¹⁸⁰ The ECJ concluded that members of the reading club represent a "new public," that is, members of the public who were not taken into account when the e-books were originally sold by the rightholders.¹⁸¹

¹⁷⁴ *Case C-263/18, Judgment*, paras. 37–38. ¹⁷⁵ *Ibid.*, paras. 39–52.

¹⁷⁶ *Nintendo Co. Ltd and Others v. PC Box and Others*, *Case C-355/12*, ECLI:EU:C:2014:25, para. 23.

¹⁷⁷ *Case C-263/18, Judgment*, para. 54. and 59. ¹⁷⁸ *Ibid.*, para. 58.

¹⁷⁹ *Ibid.*, para. 68. On the concept of communication to the public, see, e.g., Jütte (2018b) 354–374.

¹⁸⁰ *Case C-263/18, Judgment*, para. 69.

¹⁸¹ *Ibid.*, paras. 70–71. On the judgment see further Ghosh and Mezei (2020) 249–275; Hofmann (2020) 136–138; Hohmann (2020) 547–550; Kaiser (2020) 489–495; Kuschel (2020) 138–140; Mezei (2020a) 130–153; Oprsyk (2020) 200–214; Rizzuto

Several researchers thought that the Judgment settled the tensions surrounding digital exhaustion.¹⁸² I believe, however, that the Judgment and the Opinion include several notable inconsistencies.

First, the Judgment and the Opinion are flawed in categorizing Oracle's original contract in *UsedSoft*. Both documents expressly refer to the "sale" of the relevant computer program.¹⁸³ In *Tom Kabinet*, the ECJ paid no attention to the practical reasons why Oracle's agreement was declared to be a sale. The Advocate General noted that such broad interpretation to the concept of sale regarding computer programs was necessary to guarantee that the effectiveness of the exhaustion doctrine is not undermined by the different legal consequences of material and immaterial supply of copies.¹⁸⁴ None of these options is correct or relevant. As mentioned earlier, the ECJ ruled in *UsedSoft* that a license might be "transformed" into a sale if the right to use a computer program lasts for an indefinite period "in return for payment of a fee designed to enable the copyright holder to obtain a remuneration corresponding to the economic value of the copy of the work of which he is the proprietor."¹⁸⁵ Neither the Advocate General, nor the ECJ criticized or overruled this legal argument, and the online supply of e-books fulfills the doctrinal requirements of the ECJ's *UsedSoft* standard. Therefore, such "transformation" of the contracts (and the relevant economic rights) looks entirely applicable to the supply of e-books as well.

Second, the ECJ partially misconstrued the theory of functional equivalence. Both the Advocate General and the ECJ correctly stressed that the material and immaterial supply of copies of software are functionally similar, as the copy shall be installed, and hence the source of the file(s) might be economically and materially irrelevant.¹⁸⁶ The ECJ, however, unnecessarily extended the scope of the functional equivalence theory by the reference to the nondeterioration of digital copies. The court treated the files as perfect substitutes to the original copies, which therefore pose an economic danger to the original market of right-holders.¹⁸⁷ Such arguments are true for software as well, but they are independent of the functional equivalence theory. Indeed, they represent

(2020) 108–115; Rosati (2020b) 267–268; Schmitt (2020); Sganga (2020); Geiregat (2021) 1207–1228.

¹⁸² Kuschel (2020) 138.

¹⁸³ E.g., *Case C-263/18, AG Opinion*, para. 59.; *Case C-263/18, Judgment*, para. 57. The Advocate General was more cautious in this regard, as he used the term "supply" more frequently than "sale."

¹⁸⁴ *Case C-263/18, AG Opinion*, para. 59. ¹⁸⁵ *UsedSoft v. Oracle* (2012) para. 49.

¹⁸⁶ *Case C-263/18, AG Opinion*, para. 60; *Case C-263/18, Judgment*, para. 57.

¹⁸⁷ *Ibid.*, para. 58.

strong and plausible policy arguments, but nothing more. This mistake by the ECJ is directly documented by the court itself. The Grand Chamber refers to point 89 of the Advocate General's Opinion, which is located in the Advocate General's policy considerations.

Third, the ECJ has important rulings other than the ones analyzed by the Advocate General. Indeed, *Art & Allposters* is significant for the proper interpretation of "new copies" made of original artworks;¹⁸⁸ *Ranks and Vasiļevičs* correctly excluded illegal backup copies from the scope of exhaustion;¹⁸⁹ *Nintendo* is relevant with respect to mixed or hybrid subject matters;¹⁹⁰ *European Commission v. France* concluded from a tax law perspective that the supply of e-books represents a service rather than a sale;¹⁹¹ and the analysis of *Renckhoff* would support the ECJ in refuting the applicability of the exhaustion doctrine to the making available to the public right.¹⁹² Taking these rulings into account would most probably not change the outcome of *Tom Kabinet*. The deep divergence of case law highlights, however, the urgent need for statutory or judicial clarification to the field.¹⁹³

AG Szpunar was of the mind that

[i]t is true that the Court's case-law may give an impression of complexity and inconsistency and that it would be tempting to simplify the legal situation by acknowledging the rule of exhaustion of the right of distribution in the digital environment for all categories of works. I think, however, that in the absence of full regulation by means of legislation as regards that rule, the diversity of judicial solutions is justified, and even inevitable, in the case of different factual situations, governed by different legislative acts and pursuing specific objectives. To my mind, the desire for consistency cannot on its own serve as a basis for judicial recognition of the rule of exhaustion.¹⁹⁴

Leaving the solution to the legislators might be the most reasonable solution. At the same time, the ECJ was often criticized for its "judicial activism,"¹⁹⁵ that is, for those rulings that contributed to the pragmatic development of EU (copyright) law. Such activism was detected both in the presence and in the lack of relevant international norms. Such a notable example is the ECJ's "new public theory." The "new" element of the communication to the public right misses any relevant international

¹⁸⁸ *Art & Allposters* (2015). This was the only ruling that the ECJ referred to in its judgment. *Case C-263/18, Judgment*, para. 52.

¹⁸⁹ *Ranks and Vasiļevičs* (2016). ¹⁹⁰ *Nintendo v. PG Box and Others* (2014).

¹⁹¹ *European Commission v. French Republic*, Case C-479/13, ECLI:EU:C:2015:141.

¹⁹² *Land Nordrhein-Westfalen v. Dirk Renckhoff* (2018).

¹⁹³ Compare to Sganga (2018) 224–227. ¹⁹⁴ *Case C-263/18, AG Opinion*, para. 78.

¹⁹⁵ Compare to Dawson et al. (2013); Beck (2017) 333–353.

legal background.¹⁹⁶ Put differently: the ECJ is not deterred from ruling against the (international) copyright status quo, if it wants to do so. (Some might declare the *UsedSoft* ruling as a perfect example for this practice.) At the same time, in a lack of clear consistency, it is not easy to understand when and why the ECJ will exercise or refrain from activism. The opinion of Harri Kalimo et al. is perfectly evidenced by the outcome of *Tom Kabinet*. According to these authors,

the Court gives only a (very) limited voice to those other discourses that would have supported the legal arguments and values that were contrary to the Court's judicial decision. [...] [W]e observed a clear structural bias favouring the voices that supported the Court's own argumentation.¹⁹⁷

Such a bias is clearly evidenced by the (almost) full disregard of policy considerations by the ECJ; the lack of coherent interpretation of the relevant terminology (e.g., “copy” or “[first] sale”) of EU law;¹⁹⁸ or the highly questionable interpretation of “public” with respect to members of the reading club.¹⁹⁹ In sum, unlike AG Szpunar, I believe that consistency in this field is of utmost importance.²⁰⁰

Fourth, the ECJ might completely misunderstood Tom Kabinet's business model. The ECJ noted that

[i]n the present case, having regard to the fact, noted in paragraph 65 of the present judgment, that any interested person can become a member of the reading club, and to the fact that there is no technical measure on that club's platform ensuring that (i) only one copy of a work may be downloaded in the period during which the user of a work actually has access to the work and (ii) after that period has expired, the downloaded copy can no longer be used by that user [...], it must be concluded that the number of persons who may have access, at the same time or in succession, to the same work via that platform is substantial.²⁰¹

Such a holding is problematic, as the referring court briefed the facts of the case to the direct opposite.²⁰² Imagine that – under the real facts of the case – the ECJ incorrectly viewed the members of the reading club as

¹⁹⁶ The ECJ's rhetoric in *Tom Kabinet* regarding the obligation to follow international standards is a bit sarcastic. In its judgment, the ECJ noted that “EU legislation must, moreover, so far as possible, be interpreted in a manner that is consistent with international law, in particular where its provisions are intended specifically to give effect to an international agreement concluded by the European Union (judgments of 7 December 2006, *SGAE*, C-306/05, EU:C:2006:764, paragraph 35; [...]).” See: *Case C-263/18, Judgment*, para. 38. It was exactly *SGAE* that introduced the “new public theory” in the lack of any supportive source of international copyright law.

¹⁹⁷ Kalimo et al. (2018) 304. ¹⁹⁸ Peter (2019) 500.

¹⁹⁹ Compare to Homar (2020) 30–31; Ohly (2020) 184–185.

²⁰⁰ See further Sganga (2018) 228–230. ²⁰¹ *Case C-263/18, Judgment*, para. 69.

²⁰² Homar (2020) 29–30.

“public,” and cast your eyes on the other element of the ECJ’s argumentation: “having regard to the fact [...] that there is no technical measure on that club’s platform.” Imagine that Tom Kabinet (or any other platform) applies technical measures that guarantee the accession of a single copy of a work by one end user at a given time. (We might call such a measure an effective forward-and-delete technology.) Should the ECJ’s syllogism mean that digital exhaustion is acceptable in the latter situation?²⁰³ Or – even worse – should that mean that the ECJ believes there is no “public” in the latter situation, and so the making available to the public right “*quasi-exhausts*”? It is truly hard to decide which of these options is more favorable in a legal sense and from a policy perspective.

Fifth, the ECJ failed to answer the remaining questions of the referring court. Therefore, an important issue remained unanswered. The referring court requested clarification of whether the resale of the device containing the digital files fits into the concept of exhaustion. We shall agree with Philipp Homar that such resales shall not be prohibited by the EU law.²⁰⁴

There is no extensive case law on the resale of e-books in the US. The book industry relies heavily on licenses and DRM. This strategy seems to be effective; commentators, however, cast doubt on its reasonableness. Case law is inconsistent in this area. Some courts declare the contracts as valid licenses, as they stringently restrict the use of the copies.²⁰⁵ Other courts argue that it should not be required that end users be aware of and accept automatically the terms and conditions of the EULA, if it was placed in a different part of the seller’s website, far from the “download” button.²⁰⁶ Elisabeth McKenzie argued that the restrictive EULAs might provide e-book sellers with an unlimited monopoly over their works, contrary to the aims of the USCA.²⁰⁷ Indeed, license agreements foreclose end users from opting for the purchase (and acquisition of ownership over) copies of works.²⁰⁸ McKenzie further noted that the existing contracting practices of e-books were having a detrimental impact on public libraries.²⁰⁹

²⁰³ Compare to Morgan et al. (2020) 237.

²⁰⁴ Homar (2020) 32–33. Indeed, this question could have independent significance from the perspective of the inheritance of the data carrier and – maybe even more importantly – of the subscription of a given service. On exhaustion and digital inheritance, see especially Außner (2021) 280–289.

²⁰⁵ *DSC Communications Corp. v. Pulse Communications, Inc.*, 170 F.3d 1354 (1999).

²⁰⁶ *Specht v. Netscape Communications Corp.*, 306 F.3d 17 (2002).

²⁰⁷ McKenzie (2013) 67–68. ²⁰⁸ *Ibid.*, 69.

²⁰⁹ *Ibid.*, 69–70. On Amazon’s licensing practices see in details: Oprysk et al. (2017) 131–132.

4.1.4 *Resale of Audiovisual Works*

The consumption of audiovisual contents has traditionally relied on the sale of tangible data carriers (video tapes, DVDs, Blu-ray discs, etc.) or on the streaming of video contents via the Internet. Rental practices gained ground in the 1980s but have become outdated now. The purchase of digital copies has declined in the last few years, too.²¹⁰ Nowadays, online rental services dominate the market and still possess significant potential to expand further.²¹¹ As audiovisual contents are purchased less frequently, there is almost no case law on the acceptability of the doctrine of exhaustion on the resale of these copies.

Some exceptional proceedings deserve to be mentioned. In the *VidAngel* case, several major Hollywood studios sued a California start-up that offered more than 2,500 movies and television episodes – among which more than 80 were plaintiffs’ copyrighted works – for purchase on its website. All contents were originally purchased in DVD format by VidAngel. The DVDs were encrypted with commercially available software. They were entered into an inventory management application database, and they were assigned a unique barcode. The encrypted copies were broken into 1,300 fragments on average and were tagged for more than 80 different types of potentially objectionable contents. VidAngel claimed that this tagging was in compliance with the Family Home Movie Act’s rules on making imperceptible limited portions of video content that are offensive.²¹² Clients of VidAngel could purchase any of these movies for 20 USD after logging in to the defendant’s website. After the purchase of the content, VidAngel either retained possession of the DVD, while the digital copy was removed from the inventory database, or clients could request that the DVD be shipped to them. Finally, clients had to select at least one of the different filters in order to stream the content on any VidAngel-supported device. After viewing the work, the clients could resell the content to VidAngel for a reduced price. The sellback price was reduced 1 USD per night for standard definition (SD) copies and 2 USD per night for high-definition

²¹⁰ Apple’s iTunes, one of the leaders of digital marketplaces, “saw a 7% year-over-year decrease in net sales of digital media – consisting of music, movies, TV shows, and e-books – in the [three months to end of December 2014].” See Ingham (2015).

²¹¹ Netflix launched its video streaming service in the US in 2007. See Helft (2007). It started expanding internationally from 2010, when it launched its Canadian service. See Nowak (2010). By the end of 2016, Netflix offered video streaming at home in 190 countries. See Scott (2017). Most recently, Netflix concluded a deal with a French mobile service operator, Orange. Under the deal, Netflix subscribers can access their account on their smartphones via their Orange subscription. See Scott (2017).

²¹² USCA §110(11).

(HD) copies. The lowest possible sellback price was 1 or 2 USD for SD and HD copies, respectively.²¹³

The studios claimed that VidAngel's service infringed their rights under the Digital Millennium Copyright Act, according to which "no person shall circumvent a technological measure that effectively controls access to a work protected under this title."²¹⁴ The plaintiffs also claimed that VidAngel infringed their reproduction and public performance rights by copying the decrypted DVDs to the inventory database and by offering these contents via streaming to the end users. The plaintiffs asserted that the Family Home Movie Act is not providing any shield against the claims of infringement, because that rule only allows for the making imperceptible of pieces of lawful copies, yet the decrypted movies were illegal in nature. The plaintiffs also stated that the defendant's practices did not constitute fair use. Referring to the four factors of the fair use doctrine, the plaintiffs asserted that the service was commercial in nature and was not transformative (added nothing new to the original works); the affected works were expressive; the clients viewed the heart of the works; and finally, the service had a negative impact on the potential market of the studios' distribution practices.

The District Court for the Central District of California agreed with the plaintiffs' claim and granted the plaintiffs' motion for preliminary injunctions. The court reasoned that VidAngel's service did not comply with the plain language of the Family Home Movie Act, and, indeed, it was designed to circumvent the technical protection measures installed by the rightholders. VidAngel's fair use defense remained also unsuccessful. Its service was found to be commercial and non-transformative; it affected the significant portion of creative contents; and it likely had negative impacts on the rightholders' market. In sum, VidAngel's copyright defense failed.²¹⁵ The Ninth Circuit interpreted the Family Home Movie Act in a more nuanced, although still literal way, and reconsidered the fair use doctrine as well. The court affirmed the trial court's decision in both respects.²¹⁶ In June 2019, VidAngel was finally ordered to pay 62.4 million USD in damages to the plaintiffs. More precisely,

[t]he jury found that VidAngel's infringement was willful and determined the studios were entitled to damages of \$75,000 for each of the 819 works in

²¹³ On the facts of the case, see *Disney Enterprises, Inc., et al., v. VidAngel, Inc.*, 2016 WL 8292206 (2016).

²¹⁴ USCA §1201(a)(1)(A).

²¹⁵ *Disney v. VidAngel* (2016) 3–14. Compare to Evans (2016); Norton (2018) 295–296; García (2019) 16–27.

²¹⁶ *Disney Enterprises, Inc., v. VidAngel, Inc.*, 869 F.3d 848 (2017) 857–862. Compare to Norton (2018) 296–298; García (2019) 27–32.

question, plus another \$1,250 per title for violation of the Digital Millennium Copyright Act.²¹⁷

From a cursory glance, this case looks as if it relates solely to the right of reproduction and public performance, the DMCA, and the Family Home Movie Act. However, it also has serious implications for the first-sale doctrine. VidAngel undoubtedly acquired lawful copies of audiovisual works, and it claimed that these copies were resold to the clients of the company.

It was doubtful that a digital model like this would not irritate Hollywood studios. Indeed, as Jonathan Bailey put it,

[r]emove the filtering from the case and it's hard to imagine that film studios would allow a streaming service to "buy" and "buy back" DVDs in this manner unchallenged. A service without filtering would likely be hit with the same lawsuit.²¹⁸

With that being said, such a defense still unfortunately lacks merit. Irrespective of the lawful purchase and the sale of the tangible DVDs to the clients, videos are also streamed by VidAngel. This can be treated as public performance under the USCA (and making available to the public in EU law).

Some might float the argument – in compliance with the ratio of *UsedSoft* – that the sale of the DVDs to clients transforms the performance/making available of the videos to distribution of contents. This logic, however, lacks merit at least for two reasons. First, US courts have not yet accepted any type of transformation of economic rights. Indeed, *ReDigi* shows a significant rigidity in interpreting the digital resale of contents. It is plausible that such a transformation would not be accepted in this case either. Second, if we take a closer look at VidAngel's service, it can be easily characterized as rental, rather than distribution, based on the assumption that clients ultimately return the DVDs to the company. In fact, clients who did not acquire physical possession over the purchased DVDs would in practice be selling back their right to stream the content from VidAngel's servers. If one were to more closely examine the parties' contractual spirit, then it would appear as if this system operates as a rental mechanism, rather than the sale and resale of copies of audiovisual contents.²¹⁹

²¹⁷ Raymond (2019). ²¹⁸ Bailey (2017).

²¹⁹ Following the Ninth Circuit ruling on the merits, VidAngel filed a lawsuit against four Hollywood studios in district court in Salt Lake City, Utah, seeking a declaration as to the legality of its service. In its order dated to July 27, 2018, the district court denied VidAngel's motion on procedural grounds, especially due to the lack of personal

In a more “classic” first-sale scenario, Redbox was sued for offering standalone download codes for sale through its automated kiosks. Importantly, such codes were initially offered for sale by the plaintiff Hollywood studios in combo packs (DVD or Blu-ray and the download code). The license terms of these combo packs aimed to exclude the separate sale of the tangible carriers and the intangible codes. Redbox argued that clients obtained ownership interests in the digital files, and hence Redbox could not infringe plaintiffs’ copyrights contributorily. The district court, however, found this argument unpersuasive. The court found the contractual terms of plaintiffs enforceable, and, at the same time, refused Redbox’s various defenses, including the first-sale doctrine and the doctrine of misuse.²²⁰ Most importantly, the court argued that “because no particular fixed copy of a copyrighted work yet exists at the time Redbox purchases or sells a Code, the first sale doctrine is inapplicable to this case.”²²¹ In sum, the first-sale doctrine does not cover service models where no particular copies are sold by the contested party.

4.2 A Critical Analysis of the Case Law on Digital Exhaustion

In light of the case law outlined above, this chapter will now turn its attention to critically analyzing the aforementioned jurisprudence and will aim to tease out broader, underlying themes. With that in mind, there are at least five aspects that need to be discussed, in order for us to establish a proper understanding of the courts’ view on digital exhaustion. The first is to compare the court rulings through the lens of the license versus sale dichotomy. The second centers on the crucial question of whether the transfer of digital contents via the Internet is distribution (in the form of sale) or making available to the public. In this regard, the umbrella solution also needs to be reviewed. The third dimension focuses on the transfer (migration) of digital copies via the Internet and discusses whether this kind of reproduction is a barrier to the application of the doctrine of exhaustion. The fourth topic relates to the different subject matters involved in the court proceedings. Here, the issues of *lex specialis* and the theory of functional equivalence will be

jurisdiction. See *VidAngel, Inc. v. Sullivan Entertainment Group, Inc., et al.*, 2018 WL 3611068 (2018).

²²⁰ In a more detailed ruling, the district court held that plaintiffs did not misuse their copyrights regarding combo sales. See *Redbox Automated Retail, LLC, v. Buena Vista Home Entertainment, Inc., et al.*, 399 F.Supp.3d 1018 (2019).

²²¹ *Disney Enterprises, Inc., et al., v. Redbox Automated Retail, LLC*, 336 F.Supp.3d 1146 (2018) 1156.

examined. Finally, the compatibility of territoriality and (a possible) digital exhaustion doctrine will be discussed. In other words, this topic addresses whether digital exhaustion could comply with the requirements of national and regional exhaustion. International exhaustion has no relevance at this point. As territorial limitations to resales are excluded in an international exhaustion regime, it could theoretically cover digital resales as well. Online retailers, however, might face extra challenges and burdens in countries with national exhaustion or regional blocks, e.g., the EU, where only resales of locally or regionally acquired copies are allowed.

Only a fragment of the cases introduced above focuses clearly on the doctrine of exhaustion in the digital environment. *UsedSoft* involved the resale of end user licenses rather than the actual computer program. Other German cases that are not discussed in detail here focused on the resale of online accounts to computer games, resale of certificates of authenticity, the split of volume licenses, or the alienation of physical data carriers.²²² Some of these proceedings related to the interpretation and validity of terms and conditions of contracts, rather than the actual resale of a digital file. Only *ReDigi*, *Tom Kabinet*, and *Redbox* seem to represent a pure digital exhaustion issue.

4.2.1 License versus Sale

In *UsedSoft*, the ECJ concluded that a license might be characterized as a sale if the right to use a computer program lasts for an indefinite period “in return for payment of a fee designed to enable the copyright holder to obtain a remuneration corresponding to the economic value of the copy of the work of which he is the proprietor.”²²³ Furthermore, merely calling a contract a license is not enough “to circumvent the rule of exhaustion and divest it of all scope.”²²⁴

The ECJ’s holding has been criticized by many commentators. Christopher Stothers noted that it is not the ECJ’s task to limit the available remuneration of rightholders. He claimed that “intellectual property normally provides an exclusive right (an absolute right to exclude others from using the intellectual property) and just a right to ‘reasonable’ royalties. The actual value of the rights is then determined by negotiation in the marketplace.”²²⁵ At the same time, the ECJ did not limit the freedom of rightholders to negotiate the value of their rights.

²²² See *supra* this chapter, note 4. See further Determann and Fellmeth (2001) 81–97.

²²³ *UsedSoft v. Oracle* (2012) para. 49. ²²⁴ *Ibid.*

²²⁵ Stothers (2012) 790. See further BGH 17.07.2013 (I ZR 129/08) 270–271.

What the ECJ said is that the right of distribution is exhausted as soon as the protected subject matter is put into circulation by or with the consent of the rightholder in exchange for a reasonable remuneration. Elsewhere, the ECJ noted that rightholders might demand reasonable remuneration rather than “the highest possible remuneration.”²²⁶ It is not irrational that the ECJ relied on the reward theory in a digital copyright case as well.

In a more interesting dimension of the *UsedSoft* ruling, the ECJ defined a sale as the transfer of ownership rights in tangibles or intangibles.²²⁷ Such a right lacks merit in several legal systems. The meaning of property is set by the legislation of the respective countries. For example, property interests exist on intangibles in Austria,²²⁸ in the Netherlands,²²⁹ in Canada,²³⁰ and the UK.²³¹ Germany regulates it the opposite way and excludes intangibles from the scope of “ownership.”²³² Nevertheless, German,²³³ Austrian,²³⁴ and Dutch²³⁵ courts accepted that computer programs can be sold without the transfer of ownership over the intangible data incorporated in the software. On the other hand, the German audiobook decisions have taken the stance that the doctrine of exhaustion can only prevail where the distribution involves the transfer of ownership on the protected subject matter. As audiobooks are digital data, this requirement cannot be met.²³⁶

Oracle unsuccessfully claimed in front of the BGH that the ECJ intruded into Germany’s freedom to regulate its property system. The verbal gymnastics of the BGH, according to which the ECJ did not determine the definition of ownership but rather declared the transfer of ownership as a sale, fail to convince. The ECJ expressly stated that a sale means that someone “transfers to another person his rights of ownership in an item of tangible or intangible property belonging to him.”²³⁷

UsedSoft also contradicts German domestic case law. While the sale of rights (*Rechtskauf*) is accepted under the German Civil Code,²³⁸ German

²²⁶ Compare to *FAPL*. See supra this chapter, note 16 and the accompanying text.

²²⁷ *UsedSoft v. Oracle* (2012) paras. 42 and 49. ²²⁸ Ruffler (2011) 378.

²²⁹ *District Court Mid-Nederlands, CWS v. Vendorlink*, ECLI:NL:RBMNE:2015:1096, 25.03.2015, 60–62.

²³⁰ Moyse (2016) 489. ²³¹ Mysoor (2018) 662.

²³² Haberstumpf (2012) 562–567; Zech (2013) 375–381.

²³³ BGH 22.12.1999 (VIII ZR 299/98) paras. 1–26; BGH 15.11.2006 (XII ZR 120/04) 3.

²³⁴ OGH 23.05.2000 4 Ob 30/00s, 249–253. See further Appl and Schmidt (2014) 192.

²³⁵ Beeldbrigade (2012) 339–353.

²³⁶ OLG Stuttgart (2011) 351; OLG Hamm (2014) 861–862.

²³⁷ *UsedSoft v. Oracle* (2012) para. 42.

²³⁸ BGB § 453 para. (1). See further Sosnitza (2009) 524–525.

case law confirms that a license might be transferred to a new licensee solely with the permission of the original licensor.²³⁹ The ECJ's argumentation seems to be misleading, since Oracle's EULA explicitly precluded the transfer of the license and UsedSoft ultimately purchased and resold licenses rather than copies of computer programs. UsedSoft's practice might be declared *ab ovo* illegitimate under the relevant provision of the German Copyright Act.

In the US, the Uniform Commercial Code states that contracts or agreements "are limited to those relating to the present or future sale of goods,"²⁴⁰ and so the Uniform Commercial Code does not apply to licenses.²⁴¹ The exclusive economic rights under copyright law are, however, subject to ownership and can be transferred by the owner of the rights.²⁴² Sadly, *ReDigi* did not address the license versus sale dichotomy directly. However, there is a slight chance that the court treated the acquisition of files from iTunes as a sale rather than a license. The district court noted that "a ReDigi user owns the phonorecord that was created when she purchased and downloaded a song from iTunes to her hard disk."²⁴³ Similarly, Judge Leval confirmed that iTunes tracks are subject to ownership interests.²⁴⁴

Nevertheless, before *ReDigi* was concluded, an important ruling was published in *Aftermath* in 2010. This case focused on the exploitation of rights to the sound recordings of Marshall B. Mathers III (aka Eminem). FBT Records, the original sound recording producer, contracted with Aftermath Records for the sale of the sound recordings via multiple channels, such as iTunes, as well as more generally as ringtones. Aftermath was allowed to sell the tracks either as "single records"²⁴⁵ or as copies produced from a licensed master copy.²⁴⁶ The royalty rate for

²³⁹ UrhG Art. 34(1). See further Pahlow (2016) 220–224. On the applicability of UrhG Art. 34(1) in the *UsedSoft* scenario, see *ibid.*, 228–234. It is hard to decide whether the new acquirer is entitled to the updates of the software. Alexander Göbel refused to accept that secondary acquirers are entitled to access the updates. However, he also took the view that the software producer infringes competition law, if it unreasonably denies the maintenance of lawfully sold copies of software. See Göbel (2012) 231.

²⁴⁰ Uniform Commercial Code §2–106(1) (2015). See further Reis (2015) 182.

²⁴¹ Elvy (2017) 126.

²⁴² See §101, 201(d) and 202 of the USCA. See further Rigamonti (2009) 21.

²⁴³ *Capitol v. ReDigi* (2013) 655. ²⁴⁴ *Capitol Records v. ReDigi* (2018) 656.

²⁴⁵ Under clause 16(e) of the original contract, "[r]ecords [are] all forms of reproductions, whether embodying sound alone or sound together with visual images, manufactured or distributed primarily for home use." Compare to *F.B.T. Records, LLC, et al. v. Aftermath Records, et al.*, No. CV 07–3314 PSG (MANx), 2009 WL 137021, p. 1.

²⁴⁶ Under clause 16(d) of the original contract, "master [is defined as] a recording of a sound, without or with visual images, which is used or useful in the recording, production or manufacture of records." See *ibid.*

each sold record was 12–20 percent, while Aftermath owed 50 percent for each copy produced from a master. Therefore, the key issue in the case was whether Aftermath owed FBT Records 12–20 percent or 50 percent.

The district court favored the defendant's submissions and ordered payment of the lower level of royalties.²⁴⁷ The Ninth Circuit reversed the decision and concluded that Aftermath licensed a single master copy to its contractors, which could have been reproduced in unlimited numbers. Consequently, neither iTunes nor any of its clients acquired ownership interests over the master copy and any further copies of it.²⁴⁸

Unfortunately, there is no similar ruling in this area, as other cases based on similar grounds were settled out of court.²⁴⁹

It seems as if both legislation and case law are conservative in their approach on this issue. In light of this, it might be useful to recall Article 5 of the Proposal for a Regulation of the European Parliament and of the Council on the Common European Sales Law. This document argued that

[t]he Common European Sales Law may be used for:

- (a) sales contracts;
- (b) contracts for the supply of digital content whether or not supplied on a tangible medium which can be stored, processed or accessed, and re-used by the user, irrespective of whether the digital content is supplied in exchange for the payment of a price;
- (c) related service contracts, irrespective of whether a separate price was agreed for the related service.²⁵⁰

Although the proposal was abandoned, the commission planned to introduce a special contract in 2011, which would have covered the supply of all digital contents irrespective of the medium of the content.²⁵¹ What was not discussed by the commission is whether and how the doctrine of exhaustion could have been applied to this intermediate or hybrid contracts. Nevertheless, the proposal was published at the same time as the *UsedSoft* case was being tried by the ECJ and it seems as if it has, at least indirectly, influenced the court in reaching its final conclusion.

²⁴⁷ Ibid., 1–8.

²⁴⁸ *F.B.T. Records, LLC, et al. v. Aftermath Records, et al.*, 621 F.3d 958 (2010) 964–966. See further Donatello (2012) 76–80; Yu (2014a) 396–397; Aragon (2017) 195–199. The Supreme Court denied the motion of certiorari. See *Aftermath Records, et al. v. F.B.T. Records, LLC, et al.*, 131 S.Ct. 1677 (2011).

²⁴⁹ Gardner (2013); Challis (2014). ²⁵⁰ COM(2011) 635, 27.

²⁵¹ Compare to Zech (2013) 386–387; Arnerstål (2015) 753. The hybrid or intermediate model imagined in subparagraph (b) might be effectively called to focus on “quasi-tangible” contents. Compare to Schmitt (2017) 299.

The same idea was nevertheless harmonized by various consumer rights' directives of the EU. Directive 2011/83/EU on consumer rights; Directive 2019/770 on certain aspects concerning contracts for the supply of digital content and digital services (the Digital Content Directive); as well as Directive 2019/771 on certain aspects concerning contracts for the sale of goods are based on the clear distinction between the sale of goods²⁵² and the supply of digital contents.²⁵³ As such, the logic of the directives expressly differentiates between the sale of tangible items and the supply of digital contents. Although these directives leave intact all other norms of the EU, including the InfoSoc Directive, and so the rules on the doctrine of exhaustion, it can serve as a good start for a more consumer-oriented regime.²⁵⁴

Taking all of the above into account, the ECJ was not wrong when it declared Oracle's license agreement as a sale. A contract that allows for a possession/use of the work for an indefinite period in consideration of a single, up-front payment results in a sale,²⁵⁵ irrespective of the name of the contract²⁵⁶ or of certain other limitations imposed on the use of the copies. This has been confirmed in *UsedSoft*, *Wise*, and *SoftMan*. As a consequence, the present author argues that digital contents can be sold and such sales fall under the right of distribution, and, at least theoretically, they can be subject to the doctrine of exhaustion, too.²⁵⁷

4.2.2 *Distribution versus Making Available to the Public*

Since exhaustion only applies to the right of distribution, it is crucial to decide which economic rights cover the sale of digital contents via the Internet.

²⁵² “‘Goods’ means any tangible movable items, with the exception of items sold by way of execution or otherwise by authority of law; water, gas and electricity shall be considered as goods within the meaning of this Directive where they are put up for sale in a limited volume or a set quantity.” See Consumer Rights Directive, Art. 2(3). To the same effect see Directive 2019/771, Art. 2(5).

²⁵³ “‘Digital content’ means data which are produced and supplied in digital form.” See Consumer Rights Directive, Art. 2(11). To the same effect, see the Digital Content Directive, Art. 2(1). Digital contents are, for example, “computer programs, applications, games, music, videos or texts, irrespective of whether they are accessed through downloading or streaming, from a tangible medium or through any other means.” See Consumer Rights Directive, recital 19. To the same effect see the Digital Content Directive, recital 19.

²⁵⁴ Stazi (2012) 171.

²⁵⁵ Payment in more installments is not an obstacle per se to the classification of the contract as a sale.

²⁵⁶ Zech (2013) 384–385. ²⁵⁷ Grigoriadis (2013) 202.

At this juncture, it might be worth recalling that the right of distribution was historically designed to cover the transfer of ownership of tangible copies. Under the InfoSoc Directive “Member States shall provide for authors, in respect of the original of their works or of copies thereof, the exclusive right to authorize or prohibit any form of distribution to the public by sale or otherwise.”²⁵⁸ Similarly, the USCA reserves the right to “distribute copies or phonorecords of the copyrighted work to the public by sale or other transfer of ownership, or by rental, lease, or lending” to the owner of the copyright.²⁵⁹ Both provisions are backed by the WCT’s definition of distribution, whereby “[a]uthors of literary and artistic works shall enjoy the exclusive right of authorizing the making available to the public of the original and copies of their works through sale or other transfer of ownership.”²⁶⁰

Copyright laws had to react to the drastic changes in digital technology, with particular reference here to the Internet. Under the umbrella solution of the WCT and WPPT, the signatories implemented an exclusive economic right for the benefit of rightholders regarding the on-demand making available of data. Member States could select the way in which they wanted to implement this right. They were not required to introduce a separate right under the name of making available to the public. They could insert this economic right into the right of communication to the public (the EU generally did this) or into the right of distribution or public performance (the US did this).

In *UsedSoft*, the ECJ affirmed that a data transfer via the Internet can fit into the communication to the public right, especially into the making available to the public right.²⁶¹ Nevertheless, the ECJ found the transfer of ownership of a copy of a computer program to be a first sale, which changes an act of communication to the public into an act of distribution.²⁶²

In fact, the ECJ differentiated between two types of uses via the Internet. In the first scenario, uses that do not lead to the permanent reproduction or sale of any copy of a protected subject matter are governed by the communication or making available to the public

²⁵⁸ InfoSoc Directive Art. 4(1) ²⁵⁹ USCA §106(3).

²⁶⁰ WCT Art. 6(1). See further WPPT Arts. 8 and 12.

²⁶¹ The ECJ consequently and correctly deems streaming as making available to the public. Compare to *ITV Broadcasting Ltd. and Others v. TVCatchup Ltd.*, Case C-607/11, ECLI:EU:C:2013:147; *UPC Telekabel Wien GmbH v. Constantin Film Verleih GmbH and Others*, Case C-314/12, ECLI:EU:C:2014:192. The Supreme Court of Canada treated streaming as communication to the public. See *Rogers Communications Inc. v. Society of Composers, Authors and Music Publishers of Canada*, 2012 SCC 35, [2012] 2 R.C.S. 283. See further Moyse (2016) 493.

²⁶² *UsedSoft v. Oracle* (2012) paras. 48 and 52.

right.²⁶³ In the second scenario, a permanent copy is received by the end user in exchange for a fixed purchase price and is retained on a permanent basis. Besides the *UsedSoft* scenario, the best example might be the purchase of a music track on iTunes. The ECJ declared this second category of uses to be a sale of products, which is covered by the right of distribution, rather than providing services, which is generally covered by other economic rights. Some commentators criticized the above logic,²⁶⁴ while others applauded it.²⁶⁵ At first glance, the critical voices might be correct. The right of making available to the public was harmonized by the InfoSoc Directive in accordance with WCT/WPPT and covers every subject matter protected under the EU copyright law. This means that the InfoSoc Directive and the WCT/WPPT have direct relevance when interpreting the Software Directive and the online transmission of computer programs.

Upon closer look at the wording of the making available to the public right and the business models of *UsedSoft*, *ReDigi*, or *Tom Kabinet*, supporters of digital exhaustion seem to be more convincing. Said right is formulated as follows: “making available to the public of their [works/phonograms/performances fixed in phonograms] in such a way that members of the public may access these [works/phonograms/performances fixed in phonograms] from a place and at a time individually chosen by them.”²⁶⁶ Although the business models of the respective companies are generally available to any member of the public, access to a specific content is conditional. One important obstacle hampers users from accessing the contents “from a place and at a time individually chosen by them.” They need to accept the terms of the sale by purchasing the subject matter under specific conditions. Ultimately, access to protected subject matter is not on-demand but “pay-walled.”²⁶⁷ In such situations, the broad or unlimited application of the right of making available to the public seems to be unconvincing.

The Supreme Court of Canada has followed a very similar approach in *ESA*. In this case, the court concluded that the downloading of a video-game, which included a protected musical work, did not amount to public communication. To the contrary, such a downloading represented a functional equivalent of the purchase of a data carrier in a

²⁶³ E.g., posting a journal article on the *New York Times* website, on-demand streaming (services offered by YouTube, Pandora, Spotify, etc.), or dissemination of files via P2P file-sharing applications.

²⁶⁴ Vinje et al. (2012) 100; Linklater (2014) 15; Rognstad (2014) 15.

²⁶⁵ Senftleben (2012) 2926; Grigoriadis (2013) 203.

²⁶⁶ WCT Art. 10, WPPT Art. 14, InfoSoc Directive Art. 3(1) and 3(2)(c)–(d).

²⁶⁷ Compare to Morgan et al. (2020) 238.

brick-and-mortar store.²⁶⁸ This opinion of the ECJ or the Supreme Court of Canada deserves applause rather than criticism, as they resemble the realities of the consumption of contents via the Internet.²⁶⁹

Indeed, the rethinking of economic rights in the Internet age might become necessary at some point. This has been perfectly reflected by the draft Common European Sales Law. The concept of the contract for the supply of digital contents seemed to offer a balanced approach under contract law. It attempted to regulate digital transactions that cannot fit into sales- and service-type contracts easily. Under copyright law, this type of contract seems to fit into the right of distribution easily. Nevertheless, as these contracts also differ from sales contracts, it is necessary to reconsider whether and how the right of distribution can be limited by the doctrine of exhaustion. A balanced approach to a digital exhaustion doctrine is easily capable of answering this challenge.²⁷⁰

The US experience on the proper classification of Internet uses shows significant differences when compared to those of the EU. The WCT/WPPT entered into force in the US in 2002, but the treaty language was never transplanted into the USCA.²⁷¹ Federal courts and commentators have expressed partially conflicting arguments since then. Several federal courts have expressly refused to accept the making available to the public right,²⁷² while other courts have decided the complete opposite.²⁷³ The Supreme Court classified Internet-based simultaneous communication

²⁶⁸ “In our view, there is no practical difference between buying a durable copy of the work in a store, receiving a copy in the mail, or downloading an identical copy using the Internet. The Internet is simply a technological taxi that delivers a durable copy of the same work to the end user.” See *Entertainment Software Association v. Society of Composers, Authors and Music Publishers of Canada* (2012) para. 5.

²⁶⁹ Frederick Abbott noted in 2000 that “[a]s a starting point for analysis, it may be suggested that delivery of a product or service to an end-user over the Internet constitutes a sale or transfer of that product or service to the end-user, just as such sale or transfer would take place in physical space. The end-user/transferee of a musical recording, video or software product would be entitled to transfer that product to another party, just as that end-user/transferee would be entitled to transfer a physical product (e.g., a book).” See Abbott (2000) 40. See further Tai (2003) 208–209; Rigamonti (2009) 23; Hilty (2016) 70.

²⁷⁰ See infra Section 4.3.3.3.

²⁷¹ The term “making available to the public” appears in the USCA six times; however, none of these provisions is related to the specific economic right.

²⁷² *Atlantic Recording Corporation, et al., v. Pamela and Jeffrey Howell*, 554 F.Supp.2d 976 (2008); *Capitol Records Inc., et al., v. Jammie Thomas*, 579 F.Supp.2d 1210 (2008); *London-Sire Records, Inc., et al., v. Doe 1, et al.*, 542 F.Supp.2d 153 (2008); *Sony BMG Music Entertainment, et al., v. Joel Tenenbaum*, 660 F.3d 487 (2011).

²⁷³ *Universal City Studios Productions LLLP, et al., v. Clint Bigwood*, 441 F.Supp.2d 185 (2006) 190–191; *Motown Record Co., LP, et al., v. Theresa DePietro*, 2007 WL 576284 (E.D.Pa.) 3.

of TV signals as public performance in *Aereo*.²⁷⁴ Several commentators have suggested that on-demand uses can fit into both the right of distribution and public performance.²⁷⁵ The then-Register of Copyright, Marybeth Peters, in her testimony before the House Subcommittee on Courts, Intellectual Property, and the Internet, stated that “making [a work] available for other users of a peer to peer network to download [...] constitutes an infringement of the exclusive distribution right, as well as the reproduction right.”²⁷⁶ Peter S. Menell, based on the historical interpretation of the USCA, reached the conclusion that the right of distribution covers making available acts as well.²⁷⁷ In line with this argument, David Nimmer – by inviting Menell to rewrite the section dealing with the right of distribution – amended his treatise on US copyright law in early 2012 in order to accommodate for his new-found acceptance that on-demand uses can fit into the right of distribution.²⁷⁸ Maria Pallante, a former Register of Copyrights, also noticed this uncertainty around the on-demand uses, and she called for the clarification of the distribution right, although she did not explicitly refer to the codification of the right of making available to the public.²⁷⁹ Finally, the USCO published a report in February 2016, where the office concluded that the existing economic rights (namely, the right of distribution and public performance) are capable of covering on-demand uses.²⁸⁰

As shown above, there is a significant diversity in academia and case law on the proper application of the making available to the public right under US copyright law. The most plausible interpretation is that the codified rights (distribution and performance) cover the making available of contents. In this case, the public performance right should be interpreted as the right to cover service-type uses of works, and the right of distribution should cover the transfer of digital files. Therefore, it is

²⁷⁴ *American Broadcasting Companies, Inc., et al. v. Aereo, Inc.*, 134 S.Ct. 2498 (2014).

²⁷⁵ Ficsor (1997) 207–214; Schlesinger (2009) 47–49.

²⁷⁶ Quoted by Schlesinger (2009), 48, note 12. ²⁷⁷ Menell (2012) 201–267.

²⁷⁸ Nimmer and Nimmer (2013) §8.11[C][4][c]. See further Ginsburg and Treppoz (2015) 347–350. Not everyone was convinced by Menell’s and Nimmer’s conclusion. As Rick Sanders noted: “[t]his Article does not criticize Nimmer’s view because it is wrong. He is not obviously or necessarily wrong, but he is not obviously or necessarily right either, and this is problematic. If his opinion were expressed in a law review article, that would be appropriate. Indeed, Menell’s article, on which revised section 8.11 is based, was a stimulating shot across the bow of those who had grown comfortable with the notion that the difficult proof of actual distribution was necessary to bring file sharing to heel. But Nimmer on Copyright is a treatise. Practitioners spend considerable sums of money on treatises not to be treated to law review-like normative arguments, but rather to be told, with confidence, what the law is.” See Sanders (2013) 879.

²⁷⁹ Pallante (2013) 324–325. ²⁸⁰ USCO (2016).

absolutely not surprising that the judges in *ReDigi* also applied the right of distribution on the atomic file transfer by ReDigi's clients.²⁸¹

We can conclude that the right of distribution is completely capable of covering digital file transfers in the EU and the US.

4.2.3 *The New Copy Theory versus Migration of Files and Forward-and-Delete Technologies*

The copyright law of the EU and of the majority of the Member States allows for the private copying of works. Private copying can be accepted under the fair use doctrine of US copyright law as well. This limitation of the reproduction right should not in any way lead to the expansion of the first-sale doctrine. The doctrine of exhaustion allows the lawful acquirer of a protected subject matter to resell "that particular" copy that he or she owns/possesses. The creation of a "new copy" excludes the applicability of the doctrine.

The "new copy theory" is nothing new under the sun. It has been articulated for quite some time that the transmission of digital contents via the Internet leads to the reproduction of the protected subject matter on the end users' computer and any further transmission of the data results in a new copy. If this argument is rigidly applied, it generally excludes the applicability of the doctrine of exhaustion.

The US *Green Paper 1994* highlighted that

the system encompassed by sections 106(3) and 109(a) appears to "fit" only "conventional" transactions in which possessory interests in tangible copies are conveyed in the first instance [...] Electronic disseminations, by contrast, typically involve the proliferation of copies, with the "publisher" retaining its copy and the user acquiring a new one.²⁸²

Similarly, the US *White Paper* noted that

the first sale doctrine does not allow the transmission of a copy of a work (through a computer network, for instance) because, under current technology, the transmitter retains the original copy of the work while the recipient of the transmission obtains a reproduction of the original copy (i.e., a new copy), rather than the copy owned by the transmitter.²⁸³

²⁸¹ *Capitol v. ReDigi* (2013) 651. The Second Circuit has expressly refrained from discussing the applicability of the right of distribution in this case. Compare to *Capitol v. ReDigi* (2018) 656.

²⁸² US Green Paper (1994) 32.

²⁸³ US White Paper (1995) 92. See further Ficsor (2002) 184–194.

Naturally, keeping a copy of a work after the resale of the originally acquired copy runs afoul of the private copying exception, as well as the doctrine of exhaustion. This was confirmed by academia²⁸⁴ and case law²⁸⁵ and prohibited by legislation too.²⁸⁶ What can be of importance is the forwarding or migration of the copy from the original acquirer to a new user.

In *UsedSoft*, the ECJ noted that the second and any subsequent acquirers of lawfully sold copies are lawful acquirers too. The reproduction of the computer program by these subsequent acquirers is equally necessary to enable the use of the software in accordance with its intended purpose.²⁸⁷ Alexander Göbel has criticized this conclusion. He claimed that Article 5(1) of the Software Directive originally intended to cover only the running of the software on end users' computers. The ECJ's interpretation thus fitted earlier acts of the user, namely, the acquisition (reproduction by download) of the software, into the frames of the paragraph.²⁸⁸ Such a claim is not entirely correct. First, in *UsedSoft*, no computer programs were transferred between the clients of the company, and the new purchasers acquired the copy from Oracle's freely accessible website. Only the license keys were transferred. Second, the ECJ referred to a specific provision of the Software Directive. Under Article 5(1): "[i]n the absence of specific contractual provisions, [permanent reproduction of a computer program] shall not require authorisation by the right holder where they are necessary for the use of the computer program by the lawful acquirer in accordance with its intended

²⁸⁴ Rothstein et al. (2010) 27; Hartmann (2012) 985; Appl and Schmidt (2014) 197–198.

²⁸⁵ *Flava Works, Inc., v. Marques Rondale Gunter, et al.*, 689 F.3d 754 (2012) 762; *Ranks and Vasiljevićs* (2016) para. 55.

²⁸⁶ See especially Art. 28B of the Copyright, Designs and Patent Act of the United Kingdom introduced in 2014, according to which

"(8) Copyright in a work is also infringed if an individual, having made a personal copy of the work, transfers the individual's own copy of the work to another person (otherwise than on a private and temporary basis) and, after that transfer and without the license of the copyright owner, retains any personal copy.

"(9) If copyright is infringed as set out in subsection (8), any retained personal copy is for all purposes subsequently treated as an infringing copy."

See Statutory Instruments 2014 No. 2361 – Copyright Rights in Performances – The Copyright and Rights in Performances (Personal Copies for Private Use) Regulations 2014, Art. 3. See further Cameron (2014) 1002–1004; Grisse and Koroch (2015) 562–569. This statutory instrument was, however, quashed by the High Court in 2015, as the amendment introduced the private copying exception contrary to the InfoSoc Directive's provisions, and also excluded the obligation to pay an equitable remuneration for private copying by claiming that these copies cause only minimal harm to the rightholders. See *BASCA v. Secretary of State for Innovation and Skills* [2015] EWHC 1723 (Admin).

²⁸⁷ *UsedSoft v. Oracle* (2012) paras. 80–81.

²⁸⁸ Göbel (2012) 230.

purpose, including for error correction.” Consequently, if the ECJ’s “indivisible whole theory”²⁸⁹ is correct and the second (and later) users lawfully acquire the license key, then they are also allowed to acquire said computer program.

The “new copy theory” was strictly followed in the German audiobook cases,²⁹⁰ as well as in *ReDigi*,²⁹¹ so that the applicability of the doctrine of exhaustion was excluded. The complicated nature of the “new copy theory” is mirrored by the argument raised by the trial court in *ReDigi*, according to which “[s]ection 109(a) still protects a lawful owner’s sale of her ‘particular’ phonorecord, be it a computer hard disk, iPod, or other memory device onto which the file was originally downloaded.”²⁹² The Second Circuit echoed this opinion in its ruling in *ReDigi*: “[a] secondary market can readily be imagined for first purchasers who cost-effectively place 50 or 100 (or more) songs on an inexpensive device such as a thumb drive and sell it.”²⁹³ A similar opinion was followed by the OLG Hamm in 2014.²⁹⁴ Likewise, the US *White Paper 1995* noted that

the first sale doctrine should apply if the particular copy involved is, in fact, the copy that is further distributed, even if the copy was first obtained by transmission. Moreover, if the technology utilized allows the transmission of a copy without making an unlawful reproduction – *i.e.*, no copy remains with the original owner – the first sale doctrine would apply and the transmission would not be an infringement.²⁹⁵

Although these opinions were based on the logical interpretation of the then-effective copyright norms, they are far from the reality in several cases. It is true that media contents can be directly downloaded to a memory stick, an exterior hard drive, a smartphone, or an mp3 player. Average users, who are absolute strangers to the subtle nuances of copyright law, quite often download the content first to their computer’s hard drive and reproduce the file on any device thereafter. Sometimes

²⁸⁹ *UsedSoft v. Oracle* (2012) para. 44.

²⁹⁰ OLG Stuttgart (2011) 301; OLG Hamm (2014) 855–857.

²⁹¹ *Capitol v. ReDigi* (2013) 649; *Capitol v. ReDigi* (2018) 657.

²⁹² *Capitol v. ReDigi* (2013) 656. ²⁹³ *Capitol v. ReDigi* (2018) 659.

²⁹⁴ “Who purchases an audio book and intends to use it primarily on a portable device – mp3-player or smart phone – will consider the possibility [to transfer it]. In such a scenario, a transfer to a third party without a reproduction process would be possible by transferring the device, while making sure that no copy remains with the transferor.” (Wer ein Hörbuch erwirbt und dessen Benutzung in erster Linie auf einem mobilen Abspielgerät – MP3-Player oder Smartphone – beabsichtigt, wird diese Möglichkeit in Erwägung ziehen. Bei einem solchen Szenario wäre eine Weitergabe an Dritte ohne weiteren Vervielfältigungsprozess möglich durch Weitergabe des Datenträgers, wobei nebenbei sichergestellt wäre, dass beim Veräußerer keine Kopie verbliebe.) See OLG Hamm (2014) para. 74.

²⁹⁵ US White Paper (1995) 93.

they first move the file to another folder of the computer. Some devices, like the ones produced by Apple, need to be connected to a computer first, in order to synchronize the device and the user's account (e.g., files kept in an iTunes library). In short, all portable devices might carry copies of digital contents that are certainly not those particular original copies.²⁹⁶

All of these concerns lead us to the important questions surrounding the migration of files and forward-and-delete technologies. These technologies were expressly refuted by the US *White Paper 1995*. According to the report:

[s]ome argue that the first sale doctrine should also apply to transmissions, as long as the transmitter destroys or deletes from his computer the original copy from which the reproduction in the receiving computer was made. The proponents of this view argue that, at the completion of the activity, only one copy would exist between the original owner who transmitted the copy and the person who received it – the same number of copies as at the beginning. However, this zero sum gaming analysis misses the point. The question is not whether there exists the same number of copies at the completion of the transaction or not. The question is whether the transaction, when viewed as a whole, violates one or more of the exclusive rights, and there is no applicable exception from liability. In this case, without doubt, a reproduction of the work takes place in the receiving computer. To apply the first sale doctrine in such a case would violate the reproduction right.²⁹⁷

Only a few years later, the *DMCA Section 104 Report* stated that

[u]nless a “forward-and-delete” technology is employed to automatically delete the sender's copy, the deletion of a work requires an additional affirmative act on the part of the sender subsequent to the transmission. This act is difficult to prove or disprove, as is a person's claim to have transmitted only a single copy, thereby raising complex evidentiary concerns. There were conflicting views on whether effective forward and delete technologies exist today. Even if they do, it is not clear that the market will bear the cost of an expensive technological measure.²⁹⁸

The Register of Copyrights recommended therefore no changes to the first-sale doctrine.²⁹⁹ The report particularly stated that

[r]elying on a “forward-and-delete” technology is not workable either. At present, such technology does not appear to be available. Even assuming that it is developed in the future, the technology would have to be robust, persistent, and fairly easy to use. As such, it would likely be expensive – an expense that

²⁹⁶ Kawabata (2014) 75–76. ²⁹⁷ US White Paper (1995) 93–94.

²⁹⁸ DMCA Section 104 Report (2001) xix. See further Reese (2003) 581–583; Long (2008) 1189–1190; Villasenor (2013) 3–4; Reis (2015) 182–185.

²⁹⁹ DMCA Section 104 Report (2001) 97–101.

would have to be borne by the copyright owner or passed on to the consumer. Even so, the technology would probably not be 100 percent effective. Conditioning a curtailment of the copyright owners' rights on the employment of an expensive technology would give the copyright owner every incentive not to use it. In the alternative, it would be damaging to the market to expand section 109 in anticipation of the application of technological protection measures, thus giving the copyright owner a choice between significantly increased expenses, significantly increased exposure to online infringement, or not offering works online.³⁰⁰

Forward-and-delete technologies have improved a lot since 2001. Although their effectiveness is often questioned,³⁰¹ these concerns are superficial. There have been no technologies (neither analog nor digital) that have been able to perfectly control the use of protected subject matter. The introduction of digital rights management or technological protection measures remained unsuccessful in most fields of the copyright industry.³⁰²

The improvement of the efficiency of forward-and-delete technologies can be shown through several examples. Under ReDigi's original concept, the lawfully purchased iTunes tracks were erased simultaneously with the migration of the files (including metadata) to ReDigi's Cloud Locker. The circumvention of ReDigi's technology was claimed to be easy, if end users reproduce works on portable devices. However, this claim is short-sighted. This solution can only effectively work, if the end users never synchronize their portable devices with their computers where ReDigi's Media Manager was installed. The user might forget that he copied the works onto the device, but Media Manager wouldn't. Ultimately, the suspension of the user's account, by ReDigi, until the illegal copies are erased could effectively deter users from any illicit activities.

Other companies, like Apple or Amazon, took steps toward introducing digital secondhand marketplaces.³⁰³ In order to guarantee the legality of their services, both companies submitted a patent application to the

³⁰⁰ Ibid., 98.

³⁰¹ OLG Stuttgart (2011) 302; *Capitol v. ReDigi* (2013) 650–651. See further Hess (2013) 2001–2011. The public consultation of the European Commission on the reform of EU copyright law called for responses to the following: “this raises difficult questions, notably relating to the practical application of such an approach (how to avoid resellers keeping and using a copy of a work after they have ‘re-sold’ it – this is often referred to as the ‘forward and delete’ question) as well as to the economic implications of the creation of a second-hand market of copies of perfect quality that never deteriorate (in contrast to the second-hand market for physical goods).” See Public Consultation (2014) 13. Reactions to this topic were mainly repulsive.

³⁰² Yu (2006) 13–77.

³⁰³ Capobianco (2013) 420–422; Soma and Kugler (2014) 449–453; Hilty (2016) 80.

US Patent and Trademark Office. Amazon's patent was issued in January 2013.³⁰⁴ Apple's patent application was, however, abandoned.³⁰⁵ Both systems were designed to control with technological means the simultaneous removal of contents once sold through the online marketplace, as well as the payment of a specific percentage of the generated revenue to the rightholders.³⁰⁶ Amazon's patent similarly sets an artificial limitation on the number of copies that can be produced from the original copy, thus guaranteeing the "digital aging" of contents.³⁰⁷ IBM also patented the "Aging File System," whereby "digital data stored on the aging file systems ages appropriately as would normal paper or photographs without the need for an external application."³⁰⁸ All these innovative technologies prove that forward-and-delete technologies do exist and they provide working and effective solutions for the resale of digital contents via the Internet.

Dennis Karjala correctly noted that

[w]hether erasure takes place immediately after transfer or whether the transfer takes place one byte at a time with erasure occurring as part of the ongoing process makes no difference to the end result or to the position of the copyright owner once the process has finished. Yet, if the byte-by-byte process, including erasure, is deemed the making of an unauthorized copy, the first-sale doctrine is for all practical purposes a dead letter in the digital age.³⁰⁹

Similarly, Giorgio Spedicato opined that

copyright holders may not invoke their exclusive rights for the purpose of preventing legitimate purchasers of a protected good from reselling that good

³⁰⁴ According to the abstract of US Patent No. 8364595 B1: "[a]n electronic marketplace for used digital objects is disclosed. [...] When the user no longer desires to retain the right to access the now-used digital content, the user may move the used digital content to another user's personalized data store when permissible and the used digital content is deleted from the originating user's personalized data store." See further Soma and Kugler (2014) 452; Reis (2015) 205; Oprysk et al. (2017) 136.

³⁰⁵ The abstract of the patent application (US20130060616 A1) claimed that "[t]echniques are provided for managing access to a digital content item (such as an e-book, music, movie, software application) to be transferred from one user to another. The transferor is prevented from accessing the digital content item after the transfer occurs. The entity that sold the digital content item to the transferor enforces the access rights to the digital content item by storing data that establishes which user currently has access to the digital content item. After the change in access rights, only the transferee is allowed access to the digital content item. As part of the change in access rights, the transferee may pay to obtain access to the digital content item. A portion of the proceeds of the »resale« may be paid to the creator or publisher of the digital content item and/or the entity that originally sold the digital content item to the original owner." See further Etherington (2013); Owen (2013).

³⁰⁶ Figliomeni (2014) 222. ³⁰⁷ Capobianco (2013) 422.

³⁰⁸ US Patent No. 20110282838. See further Hess (2013) 2006; Figliomeni (2014) 243.

³⁰⁹ Karjala (2013) 255.

and thus may not prevent purchasers from reproducing the work or making any other use of it as long as that use is only functional to the purpose of reselling the good.³¹⁰

Another consequence of the rigid application of the exclusive economic rights by courts could be that enterprises will invent alternative technologies and methods, designed to circumvent the language of the statutes or case law. Such a notable example was created by ReDigi itself. The amended version of the system, called ReDigi 2.0, was launched on June 11, 2012. The most important feature of ReDigi 2.0 is that users of the service can download their lawfully purchased iTunes tracks direct to their Cloud Locker account. Most aforementioned sources (especially the US *Green Paper 1994* and the US *White Paper 1995*) declared such first download as a lawful transmission of the purchased content. Consequently, in ReDigi 2.0, neither migration nor any new reproduction takes place once the files are uploaded to the Cloud Locker or when the track is resold to a new user. This model does not contradict the “new copy theory” at all. Consequently, ReDigi can be protected under the “staple article of commerce doctrine” developed by the US Supreme Court. According to this doctrine, “[t]he sale of copying equipment, like the sale of other articles of commerce, does not constitute contributory infringement if the product is widely used for legitimate, unobjectionable purposes, or, indeed, is merely capable of substantial noninfringing uses.”³¹¹ The applicability of this doctrine has been followed by several federal judges in digital copyright cases³¹² and there is no reason to believe that ReDigi 2.0 would or should be treated differently in this matter.

4.2.4 *Different Subject Matters, Lex Specialis, and the Theory of Functional Equivalence*

One of the immediate questions stemming from *UsedSoft* is whether the rules on computer programs represent a special law (*lex specialis*) and whether the doctrine of exhaustion applies differently to software and any other subject matter (sound recordings; audiobooks; e-books; audio visual works).

At first glance, the answer might be negative. Leading international copyright norms and domestic legislation have expressly voted for the protection of computer programs as literary works under copyright law,

³¹⁰ Spedicato (2015) 56. ³¹¹ *Sony v. Universal* (1984) 417–418.

³¹² *RLAA v. Diamond* (1999) 1074–1075, 1079; *Cartoon Network v. CSC Holdings* (2008) 130–133.

rather than granting *sui generis* protection for them.³¹³ The Software Directive shows, however, significant differences when compared to the rules on literary works. One of these differences is that the Software Directive does not differentiate between tangible and intangible copies of computer programs regarding the doctrine of exhaustion. To the contrary, under the InfoSoc Directive solely tangible objects are subject to the doctrine.

The ECJ correctly noted that “from an economic point of view, the sale of a computer program on CD-ROM or DVD and the sale of a program by downloading from the internet are similar. The online transmission method is the functional equivalent of the supply of a material medium.”³¹⁴ Indeed, this argument is also true from a technological point of view. The source code needs to be loaded onto the memory of the hardware, in order for the software to be used. Hence, it seems irrelevant whether that code (and the protected subject matter) is copied to the computer from a DVD or from a file downloaded from the Internet. The creation of a copy of the software on the computer is inevitable and therefore lawful.³¹⁵

Yet, the above logic is partially flawed. According to the ECJ,

[i]nterpreting Article 4(2) of Directive 2009/24 in the light of the principle of equal treatment confirms that the exhaustion of the distribution right under that provision takes effect after the first sale in the European Union of a copy of a computer program by the copyright holder or with his consent, regardless of whether the sale relates to a tangible or an intangible copy of the program.³¹⁶

Irrespective of whether the right of distribution applies to the online supply of computer programs, the ECJ either “‘purposively’ construed the law to arrive at this outcome”³¹⁷ or made a mistake when it disregarded the Agreed Statement of the WCT.

The WCT did not provide any specific right of distribution or exhaustion for computer programs; thus, the general rules should prevail for software as well. The right of distribution represents a minimum right under the WCT and therefore signatories can provide for stronger protection to rightholders, as well as setting broader limitations thereto.³¹⁸

³¹³ TRIPS Art. 10; WCT Art. 4. See further Software Directive Art. 1(1). The definition of “literary works” is covered by the Berne Convention Art. 1(1). In the US, the Computer Software Copyright Act of 1980 added a new definition of “computer programs” to section 101 of the USCA and thus inserted software into the realm of copyrights. See further Ginsburg (1994) 2562–2563.

³¹⁴ *UsedSoft v. Oracle* (2012) para. 61. ³¹⁵ Compare to Software Directive Art. 5(1).

³¹⁶ *UsedSoft v. Oracle* (2012) para. 61. ³¹⁷ Schulze (2014) 11.

³¹⁸ “The [WIPO] treaties do not prescribe any concrete way in which the distribution right must be implemented; they only require that the authors, performers, and phonogram

Any argument according to which the Agreed Statement to Article 6 of the WCT does not apply to computer programs, because the Council introduced the Software Directive before the WCT was accepted, and so the directive became *lex specialis*, is misleading. The EU implemented the WCT by the InfoSoc Directive.³¹⁹ This directive harmonized a general right of distribution and a general exhaustion doctrine without making any reference to different subject matters. It is correct that the InfoSoc Directive left the “specific provisions on protection provided for by Directive 91/250/EEC” intact.³²⁰

At the same time,

[t]his Directive is based on principles and rules already laid down in the Directives currently in force in this area, in particular Directives 91/250/EEC [...], and it develops those principles and rules and places them in the context of the information society. The provisions of this Directive should be without prejudice to the provisions of those Directives, unless otherwise provided in this Directive.³²¹

Recital 29 of the InfoSoc Directive seems to be such an “other provision.” As a result, the special application of the doctrine of exhaustion to computer programs sold in intangible format runs afoul of the existing rules of international and EU copyright law.³²²

The Parliament and the Council codified the Software Directive in 2009. The fact that the Agreed Statement to Article 6 of the WCT was not transplanted by the directive is either the legislator’s expressed intent or a mistake. In any case, it cannot allow for an assumption that EU law can sustain any special regulation on the resale of intangible copies of computer programs. Indeed, as the Software Directive was not amended in this respect evidences the primacy of the InfoSoc Directive.³²³

A few years after *UsedSoft*, AG Szpunar argued in his Opinion in *Vereniging Openbare Bibliotheken* that

producers can authorize or prohibit the describe acts of distribution. Accordingly, national law can take over the wording of the treaties, or implement the right by the so-called *droit de destination*, which has been developed in France by jurisprudence on the basis of the reproduction right of authors. It may also make the narrow distribution right of the WCT and WPPT a part of a broad distribution right, which in addition includes transfer of possession such as rental.” See von Lewinski (2008) 452, para. 17.61 (italics in original). See further Rosati (2015) 675.

³¹⁹ InfoSoc Directive recital 15. ³²⁰ Ibid., recital 50 and Art. 1(2)(a).

³²¹ Ibid., recital 20.

³²² Rognstad (2014) 9–10; Trampuž (2016) 201–203. See to the contrary Ruffler (2011) 379; Göbel (2012) 230.

³²³ Compare to Hartmann (2012) 982.

[i]n accordance with the principle of terminological consistency, rigorously applied, the term “copy” used in both Directive 2001/29 and Directive 2006/115 ought to be understood as including digital copies with no physical medium. That same principle would also afford a simple solution to the problem, widely debated by legal theoreticians and present also in this case, of the exhaustion of the distribution right following a sale by electronic data transmission. Indeed, Article 4(2) of Directive 2001/29 is formulated, in substance, in identical terms to Article 4(2) of Directive 2009/24 and consequently it ought, in principle, to be interpreted in identical fashion.³²⁴

Keeping the consistency of terminology of the *acquis*, as well as safeguarding the principle of equal treatment, is an important task of the ECJ. What AG Szpunar recommended is that the interpretation of a special law shall determine the application of the general norms as well. Irrespective of the practicalities of the *Vereniging Openbare Bibliotheken* ruling, AG Szpunar’s Opinion seems to misrepresent the hierarchy of the EU copyright norms.³²⁵

The question arises as to whether the theory of functional equivalence is applicable to subject matter other than computer programs. Did the US and German courts correctly decline to use the doctrine in relation to the resale of sound recordings and audiobooks? Or did the Dutch court in *Tom Kabinet* submit correctly that the *UsedSoft* holding might be applicable for e-books as well?

The ECJ argued that from an economic point of view the online transmission of a computer program is functionally equivalent to the sale of a data carrier in a tangible format. This argument seems to be valid under US law as well. If this is the case, one should conclude that the economic equivalence of sound recordings, audiobooks, and e-books differs in both jurisdictions. The different types of use are clear competitors of each other, as sound recordings, audiobooks, and e-books can all be marketed and used in markedly different ways, and they can be used on several different devices/platforms. We might paraphrase the ECJ’s logic in the following way: from an economic point of view, the sale of a sound recording/audiobook on a physical data carrier and the sale of said content through download are not similar. The online transmission method is not the functional equivalent of the supply of a material medium.³²⁶

The outcome is absolutely the same from a technological point of view. Sound recordings/audiobooks do not need to be permanently

³²⁴ Opinion, *Vereniging Openbare Bibliotheken v. Stichting Leenrecht* (2016) para. 52.

³²⁵ In its judgment, the ECJ did not address the above argument of AG Szpunar.

³²⁶ To the contrary, see Hartmann (2012) 982; Schonhofen (2015) 291.

copied (installed) for the purpose of enjoyment. American commentators noted that

[t]he tangible medium on which software exists has a different function from a book: to effect the reproduction of the copyrighted work. In other words, with current software technology, one does not use the software through the medium on which it is initially fixed. Instead, the user is required to copy the software onto another location, like a hard drive.³²⁷

A similar conclusion can be reached from a contextual interpretation of the EU *acquis*. The Software Directive allows for the first reproduction of computer programs, if that is necessary for the proper functioning of the software.³²⁸ Such an essential step defense is covered by the USCA, too.³²⁹ There are no similar provisions on other subject matter in the copyright law of the EU or the US, as there is no need for it.

The Supreme Court of Canada reached the opposite conclusion in *ESA v. SOCAN*. In this case, the court noted that “[i]n our view, there is no practical difference between buying a durable copy of the work in a store, receiving a copy in the mail, or downloading an identical copy using the Internet. The Internet is simply a technological taxi that delivers a durable copy of the same work to the end user.”³³⁰ Based on the need for a balance of interests of rightholders and users, as well as of technological neutrality, the court concluded that

[t]he principle of technological neutrality requires that, absent evidence of Parliamentary intent to the contrary, we interpret the Copyright Act in a way that avoids imposing an additional layer of protections and fees based solely on the method of delivery of the work to the end user. To do otherwise would effectively impose a gratuitous cost for the use of more efficient, Internet-based technologies.³³¹

It is not the subject matter that decides the application of the doctrine of exhaustion, but rather the medium in which it was put into circulation for the first time. It is therefore irrelevant if the resale affects computer programs, literary works, or sound recordings. The ultimate question is whether the work was distributed on a tangible or an intangible medium. Legal certainty and consequent case law are needed at this point, rather than at the level of the subject matter.³³²

At this point, the *UsedSoft* ruling seemed to run afoul of the existing copyright norms. More recently, the ECJ seemed to reaffirm its

³²⁷ Rothstein et al. (2010) 26. ³²⁸ Software Directive Art. 5(1).

³²⁹ USCA §117(a)(1).

³³⁰ *Entertainment Software Association v. Society of Composers, Authors and Music Publishers of Canada*, 2012 SCC 34, [2012] 2 R.C.S. 239, para. [5].

³³¹ *Ibid.*, 241, para. [9]. See further Racine (2019) 373–376. ³³² Peter (2019) 500.

“hypothetical open mindedness” in *Tom Kabinet* and accept the applicability of the exhaustion doctrine in the digital domain under certain circumstances. In paragraph 69 of the Judgment, discussed above, the ECJ noted in dicta that technological solutions that could allow for the single user access to e-books might fit into the concept of (digital) exhaustion.

Another interesting question needs to be addressed here. Does the doctrine of exhaustion – in accordance with *UsedSoft* – apply to the resale of a computer program that incorporates other protected subject matter as well? Computer games work as an excellent example for such “hybrid works.” Typically, computer programs, especially computer games, include other works, like sound recordings, audiovisual content, and photographs/graphic works. This content is protected by copyright as long as they are original works of expression.³³³

The ECJ stated in *Nintendo* that

videogames [...] constitute complex matter comprising not only a computer program but also graphic and sound elements, which, although encrypted in computer language, have a unique creative value which cannot be reduced to that encryption. In so far as the parts of a videogame, in this case, the graphic and sound elements, are part of its originality, they are protected, together with the entire work, by copyright in the context of the system established by Directive 2001/29.³³⁴

The application of the ECJ’s conclusion to all protected subject matters might lead to serious internal imbalances. The practical difficulty with the ECJ’s interpretation of the EU *acquis* is that the application of the InfoSoc Directive to computer programs might lead to the exclusion of the resale of selected computer programs (the hybrid works) against the expressed rule of the Software Directive. This conclusion does not only lead to the depreciation of the *UsedSoft* ruling, but also to an internal imbalance between various computer programs.³³⁵ The central or core element of other hybrid works (e.g., the audiovisual capture of computer game footage) might be clearly subject to the InfoSoc Directive. In the case of “hybrid computer games,” however, the leading element of the expression is the computer code itself. In line with the “predominant purpose test” of the US,³³⁶ the right approach would be to focus on the

³³³ *Nintendo v. PC Box and Others* (2014) paras. 21–23.

³³⁴ *Ibid.*, para. 23. Compare to Lober et al. (2018) 49. US case law has reached a similar conclusion regarding hybrid works. See *M Kramer Mfg. Co. v. Andrews*, 783 F.2d 421 (1986). Compare to Won (2013) 398–399.

³³⁵ Compare to Krüger et al. (2013) 762–765.

³³⁶ On the predominant purpose test, see, e.g., Elvy (2017) 105–112.

central or core element of a subject matter in order to decide which set of rules applies for the given content. The application of the InfoSoc Directive to such hybrid works where the relevance of the software element clearly surpasses the relevance of other elements seems to be arbitrary. In essence, the exclusion of the transferability of hybrid works, e.g., computer games, represents an ungrounded expansion of the InfoSoc Directive and its concepts to software law.³³⁷

4.2.5 *Digital Exhaustion and Territoriality*

None of the decisions on copyright exhaustion discussed above paid attention to another special (both theoretical and practical) issue – namely, whether digital exhaustion would run counter to the territorial limitations of exhaustion. This question is relevant in those countries that apply either national or regional exhaustion doctrines. In countries with national exhaustion policy, nothing other than the copies sold originally on its own domestic market can be resold. Countries that follow the concept of regional exhaustion might allow for the online resale of copies, if the original acquisition occurred within the privileged bloc of countries.³³⁸

Even the most prominent supporters of digital exhaustion shall accept that online resales of digital contents might be covered by the doctrine of exhaustion only if such resales do not collide with the given countries' economic policies. As such, digital exhaustion can only be legitimate if it complies with the territorial scope of the given countries' general exhaustion policy. This is not a real problem in countries with an international exhaustion regime, where the relevant copies might be imported without any limitation (other than the requirement of legality of the copy). These countries are ready to embrace the idea of "digital globalization."³³⁹ In countries with national or regional exhaustion, however, the availability of an uncontrolled online resale of contents could easily destroy the country's economic goals and priorities.³⁴⁰

The controlled flow of digital contents within a given territory might, however, be easily guaranteed via technological means. Digital rights management (e.g., traceable, unique ID numbers) can guarantee that only such copies can be resold within a certain territorial entity that were

³³⁷ Rendas (2015) 45; Grützmacher (2017) 438–439; Trapova and Fava (2020) 80–82.

³³⁸ Acquah (2019) 676.

³³⁹ On this term in an Internet law (rather than IP law) context, see Szpunar (2020) 149–168.

³⁴⁰ To the opposite effect, see Billah (2018) 141.

initially put on the market of that certain territorial entity.³⁴¹ Some have noted, however, that the technological control of access to (and maybe the erasure of) content acquired abroad might pose jurisdictional³⁴² and extraterritoriality challenges,³⁴³ not to mention privacy concerns. Similar to this, concerns might surface if the target countries' laws would restrict the resale of copies that were lawfully sold in the source countries.³⁴⁴

4.3 En Route to Digital Exhaustion?

This part of the chapter raises and seeks to answer the following questions: Is the preservation of the status quo the proper answer to digital resales? Is it really a demonic idea to introduce a digital first-sale doctrine? Is it correct to say – as Friedrich Ruffler pronounced – that “even in Community law, the literal wording of the provision is only one, though not unimportant, means of interpretation”?³⁴⁵ I introduce the main arguments in relation to these questions. Ultimately, I adopt the position that under specific conditions the digital exhaustion doctrine does not represent *as big a danger* as is often described by the copyright industry. Indeed, it represents a greater balance of interests at stake, and consequently it can guarantee social justice with greater success. This chapter will recommend replacing the current conservative positivist approach with a constructive realist approach.

4.3.1 *Isn't It Only Hype?*

The first question to be discussed is whether the idea of digital exhaustion is relevant at all in the digital environment or whether it is simply hype.

It is worth stressing once more that the doctrine of exhaustion was originally aimed at balancing the protection of personal property and the economic interests of rightholders. Since the emergence of digital technologies, the concept of ownership has undergone significant changes. The sale of digital contents, as well as proprietary interests over intangibles, has been accepted in several countries. It is therefore reasonable that users want to acquire ownership over intangible copies of protected

³⁴¹ Oprysk et al. (2017) 137. ³⁴² Jütte (2017) 143. ³⁴³ Villasenor (2013) 3–4

³⁴⁴ Jütte (2017) 217.

³⁴⁵ Ruffler (2011) 378. Likewise, Frederick Abbott claimed that “there is no basis to conclude that these Agreements have conclusively answered the issue of the international exhaustion of rights in digital works, particularly in light of the express reservation of this issue in response to Chairman’s alternative proposals on the subject.” See Abbott (2000) 39.

subject matter, and they want to maintain the ability to redistribute the digital contents.

Such a demand seems to be justified from the perspective of cultural organizations, such as public libraries, as well. The general purpose of these institutions is to disseminate knowledge and information among members of the society.³⁴⁶ In the absence of a digital exhaustion doctrine these institutions are deprived of the possibility of participating in the downstream digital commerce.³⁴⁷ They are forced to spend a fortune on nontransferable digital copies of cultural goods (especially licensed e-books).³⁴⁸ The ECJ's ruling on e-lending did not finally solve the problems institutions of cultural heritage either. In *Tom Kabinet*, the Luxembourg judges shortly thereafter effectively annulled the ratio of the *VOB* ruling. Consequently, libraries are going to lose the chance to fulfill the demands of digital natives, which could ultimately lead to the questioning of their existence at all.³⁴⁹

Commentators have also constantly stressed that the use of license agreements, as services, are going to eclipse sales contracts. This is especially true regarding the use of works in the online environment.³⁵⁰ Most of the licensors allow for the temporary use of contents. Such particularly noteworthy examples are the subscription models of Netflix for audiovisual contents, Pandora or Spotify for sound recordings, Steam or Origin for computer games, and Amazon's Kindle Unlimited for e-books.

Similarly, many service providers have moved to the cloud. The virtualization of their services and a shift toward accessing works via streaming might put an end to the commotion over this territory. Alternatively, as Sven Schonhofen noted, the sales of software "will soon be a relic of the distant past and the question of the exhaustion of the

³⁴⁶ Mezei (2015) 535–562.

³⁴⁷ The USCO warned in 2001 that the concerns about the scope of first-sale doctrine in the digital environment are "particularly acute in the context of potential impact on library operations." See DMCA Section 104 Report (2001) 96–97. An alternative solution – but only in US copyright law – could be to treat e-lending fair use under §107. Compare to Wu (2011) 527–551; Wu (2019). This solution would be even more compelling during emergency periods (e.g., during the COVID pandemic). Sadly, we might hear more about the shutdown and legal dispute surrounding the Internet Archive's National Emergency Library project rather than its massive usefulness for end users to access contents in a locked-down society. Compare to Pegoraro (2021); Schwabach (2021) 187–216.

³⁴⁸ Geist (2012) 92–93. ³⁴⁹ Calaba (2002) 15–18, 23–25.

³⁵⁰ Long (2008) 1191–1192; Göbel (2012) 232; Hartmann (2012) 985; Stothers (2012) 790–791; Maclean (2013) 2; Verbracken (2013) 8–11; Riehl and Kassim (2014) 807–812; Graber (2015) 389–408; Kerber (2016) 167.

distribution right would become obsolete.”³⁵¹ Schonhofen’s words seem to be fully applicable to other subject matters, too. Access to content via the cloud is granted on a temporary basis in exchange for a periodic payment of the license fee. Users are not provided any permanent copy of the content. This model can be qualified as a service without any problems.³⁵² Indeed, with respect to computer programs, we refer to this model as “software as a service” (SaaS). In sum, in these cases the application of the doctrine of exhaustion is easily opted out by the rightholders.³⁵³ Erik Verbraeken interpreted the rightholders’ counterstrategy to shift their services to the cloud as a method of “exhaustion evasion.”³⁵⁴

As streaming never actually triggers acquisition of ownership interests over the affected contents, it inevitably means that the end users won’t keep anything after they cancel their subscriptions.³⁵⁵ Nevertheless, the fact that the available options of access to protected subject matter tend to be subscription-based models, offered via the cloud, does not necessarily mean that users have lost their – culturally and historically strong – interest in the possession of permanent copies of copyrighted works.³⁵⁶ Furthermore, as many subscription-based services are not profitable yet³⁵⁷ and are not universally supported by the rightholders,³⁵⁸ it is questionable whether they will survive on a medium- or long-term basis. Peter Yu highlighted that most streaming and cloud-based services are start-ups that generally do not have a stable financial base when compared to the older participants in the music industry.³⁵⁹ As a great example of these concerns, Pandora, once a dominant online music provider, received cash infusion from Sirius XM in June 2017 to cover its basic expenses.³⁶⁰ Another notable example is, although not much of a start-up, Microsoft, which voluntarily ceased to sell e-books in 2019.³⁶¹ Furthermore, as an unforeseen side effect, the spread of streaming services – and the parallel decline of the tangible acquisition of copies – might contribute to the disappearance of content from the market.³⁶²

³⁵¹ Schonhofen (2015) 283.

³⁵² Lee (2012) 852; Vinje et al. (2012) 100; Maclean (2013) 2.

³⁵³ Trapova and Fava (2020) 91–92.

³⁵⁴ Verbraeken (2013) 8–9. See further Grigoriadis (2013) 204–205; Determann and Nimmer (2015) 201–202.

³⁵⁵ Perzanowski and Schultz (2016) 48.

³⁵⁶ Compare to Perzanowski and Hoofnagle (2017) 357–358.

³⁵⁷ Brustein (2014); Dredge (2015); Hill (2015); Sisario and Russell (2016); Handley (2019); Shapiro (2020).

³⁵⁸ Yu (2014a) 372–378. ³⁵⁹ Yu (2015). ³⁶⁰ De la Merced (2017).

³⁶¹ Etienne (2019). ³⁶² Lemley (2020).

It is similarly clear that the concept of exhaustion in the digital age is far from settled. This is best evidenced by the conflicting judgments of the ECJ.

On the one hand, in *Svensson*,³⁶³ in *BestWater*,³⁶⁴ and in *AKM*,³⁶⁵ the ECJ has practically created new substantive law (“exhaustion-plus”) in the EU. Under these rulings the right of making available to the public as well as the right of communication to the public under Article 3(1) and (2) of the InfoSoc Directive is exhausted as soon as the protected material that is hyperlinked, embedded, or rebroadcasted by a user has been communicated or made available online before the linking or rebroadcasting by the user takes place.³⁶⁶

The ECJ expressly stated in *Svensson* that

[t]he public targeted by the initial communication consisted of all potential visitors to the site concerned, since, given that access to the works on that site was not subject to any restrictive measures, all Internet users could therefore have free access to them. In those circumstances, it must be held that, where all the users of another site to whom the works at issue have been communicated by means of a clickable link could access those works directly on the site on which they were initially communicated, without the involvement of the manager of that other site, the users of the site managed by the latter must be deemed to be potential recipients of the initial communication and, therefore, as being part of the public taken into account by the copyright holders when they authorised the initial communication. Therefore, since there is no new public, the authorisation of the copyright holders is not required for a communication to the public such as that in the main proceedings. Such a finding cannot be called in question were the referring court to find, although this is not clear from the documents before the Court, that when Internet users click on the link at issue, the work appears in such a way as to give the impression that it is appearing on the site on which that link is found, whereas in fact that work comes from another site. That additional circumstance in no way alters the conclusion that the provision on a site of a clickable link to a protected work published and freely accessible on another site has the effect of making that work available to users of the first site and that it therefore constitutes a communication to the public. However, since there is no new public, the authorisation of the copyright holders is in any event not required for such a communication to the public.³⁶⁷

³⁶³ *Nils Svensson and Others v. Retriever Sverige AB*, Case C-466/12, ECLI:EU:C:2014:76.

³⁶⁴ *BestWater International GmbH v. Michael Mebes and Stefan Potsch*, Case C-348/13, ECLI:EU:C:2014:2315.

³⁶⁵ *Staatlich genehmigte Gesellschaft der Autoren, Komponisten und Musikverleger registrierte Genossenschaft mbH (AKM) v. Zürs.net Betriebs GmbH*, Case C-138/16, ECLI:EU:C:2017:218.

³⁶⁶ See further Spedicato (2015) 52–54.

³⁶⁷ *Svensson v. Retriever Sverige* (2014) paras. 26–30.

Such an exclusion of prior authorization by rightholders looks similar to the exhaustion of the making available to the public right. It might practically be called “*quasi*-exhaustion.”

This argument was later reaffirmed in *BestWater* in respect to embedding, even though the facts of the two cases showed a significant difference. Unlike in *Svensson*, where the online newspaper articles were originally posted by the rightholders, the source video in *BestWater* was uploaded to and made available via YouTube without the prior approval of the rightholder. This seems to be a material factual difference that allows for distinguishing in common law countries. The fact that the ECJ overlooked that aspect of the case³⁶⁸ led to a highly questionable practice. It is therefore important that courts in several Member States refused to follow *BestWater*. Both the High Court of the UK in *Paramount v. BSB* and the BGH in its final decision in *BestWater* concluded that linking/embedding of contents that were made available unlawfully cannot fit into the theory of new public, as access by these new users was not properly authorized by the rightholder.³⁶⁹

In *AKM*, the ECJ has expanded its exhaustion-plus concept to the rebroadcasting of a program by the Austrian public television corporation (ORF). The ECJ concluded that the original communication to the public of the ORF program was carried out in Austria, and the rightholders took into account all domestic persons when they authorized the original broadcasting. Consequently, the domestic viewers of ORF cannot be treated as a “new public,” and thus any further rebroadcasting within Austria to the same group of people is not subject to any authorization.³⁷⁰

On the other hand, the ECJ intended to limit the (negative) externalities of these rulings in *Renckhoff*. This case involved the insertion of a protected photograph (downloaded from the internet) into the paper of a high school student, which paper was later uploaded to and permanently stored on the school’s server, from where the paper was offered for download via a hyperlink. Although, quite clearly, the factual background of *Svensson* and *Renckhoff* showed significant differences, the ECJ felt that it shall *expressis verbis* distinguish *Svensson*’s liberal interpretation on linking from *Renckhoff*’s linking scenario. The ECJ noted that “[t]o hold that the posting on one website of a work previously

³⁶⁸ The ECJ explicitly referred to this information but missed putting any emphasis on that. Compare to *BestWater v. Mebes* (2014) para. 4.

³⁶⁹ *Paramount Home Entertainment v. British Sky Broadcasting* [2014] EWHC 937 (Ch), paras. 31 and 35; BGH 9.7.2015 (I ZR 46/12) paras. 31 and 34.

³⁷⁰ *AKM v. Zürs.net* (2017) paras. 28–29.

communicated on another website with the consent of the copyright holder does not constitute making available to a new public would amount to applying an exhaustion rule to the right of communication.”³⁷¹ That application is, however, expressly barred by Article 3(3) of the InfoSoc Directive. The ECJ further argued that the *Svensson* judgment (and the *BestWater* opinion) continues to be applicable in cases where the original posting of the content was offered (targeted) to all (potential) Internet users. Here in *Renckhoff*, however, the original photographer did not target those users who secondarily/indirectly accessed the photograph via the school’s website.³⁷² Even if this syllogism is to be consequently applied,³⁷³ the question remains open how (dogmatically) the ECJ classifies its *Svensson* ratio.

Taking all of the above into account, I take the view that talking about the doctrine of digital exhaustion is not hype. It is a by-product of socially and economically significant questions. The future access to protected subject matter under service-like models is not necessarily the only viable option for users to consume contents. The aim of possessing copies on a permanent basis and ultimately the interest in the alienation of them remain a lively issue. Furthermore, as seen from the significantly creative yet extremely problematic³⁷⁴ ECJ case law on “exhaustion-plus,” the meaning and the boundaries of the doctrine of exhaustion are still far from settled in the EU.

4.3.2 Traditional Positivism: A Dead End?

The ultimate barrier to the acceptance of a digital exhaustion doctrine seems to be the Agreed Statement to Article 6 of the WCT/WPPT. It explicitly refers to tangible copies as objects for resale. The wording of the Agreed Statement, read rigidly, is a dead end for any further discussion on the topic. However, one important issue was not addressed by the case law introduced above. Specifically, the Agreed Statement was

³⁷¹ *Land Nordrhein-Westfalen v. Dirk Renckhoff* (2018), para. 33.

³⁷² *Ibid.*, para. 37 et seq. On the judgment, see, e.g., Ohly (2018) 996–1004; Hanuz (2019) 190–196; Raue (2019) 165–167.

³⁷³ Most recently, in *VG Bild-Kunst*, AG Szpunar recommended the general application of this targeting doctrine in cases of automated in-line linking. See *VG Bild-Kunst v. Stiftung Preußischer Kulturbesitz*, Opinion, Case C-392/19, ECLI:EU:C:2020:696. Instead of this, the ECJ followed a technologically neutral approach regarding linking activities. See *VG Bild-Kunst v. Stiftung Preußischer Kulturbesitz*, Case C-392/19, ECLI:EU:C:2021:181. On the ECJ’s judgment, see Mezei and Jütte (2021) 461–463.

³⁷⁴ *Svensson* has received notable criticism among academia. See especially ALAI (2014) 149–154; Ficsor (2014b); Ginsburg (2014) 147–148.

implemented by the InfoSoc Directive in a partially different form, where the services versus goods dichotomy came into the limelight.

Yves Gaubiac noted it as early as 2000 that the dematerialization of works and the advancement of online uses make it necessary to appropriately categorize the supply of digital contents via the Internet. The importance of such categorization is great, as it can directly affect the fate of the doctrine of exhaustion.³⁷⁵ Similarly, AG Kokott noted in *FAPL* that

[a]dmittedly, some services differ from goods in that they cannot be re-used per se, for example the services provided by hairdressers. With the payment for the provision of the service the economic value is realized, but the service cannot be passed on as such. In this sense, there is actually no scope for an “exhaustion” of the right to the service. Other services, by contrast, do not differ significantly from goods. Computer software, musical works, e-books, films etc. which are downloaded from the internet can easily be passed on in electronic form. This is also illustrated by the fact that additional digital rights management measures are needed to prevent them being passed on. In these areas such a strict delimitation of the two fundamental freedoms would be arbitrary. The examples cited – music, films or books – also show that the question at issue has considerable importance for the functioning of the internal market beyond the scope of the cases in the main proceedings. A delimitation of the markets based on intellectual property rights means at best that access to the goods in question will be granted subject to differing conditions, in particular as regards prices or digital rights management. Often, however, access to such goods is completely precluded on many markets, either because certain language versions are offered only to customers from certain Member States or because customers from certain Member States cannot acquire the product at all. For example, in autumn 2010 dealers from the United Kingdom announced that they could no longer sell e-books to customers outside that Member State. No comparable products are offered for sale in other Member States in the case of many English-language books. At the same time, in the case of products offered which, as in the main proceedings, are based on conditional access or which are downloaded only from the internet, a market delimitation can be achieved much more effectively than in the case of physical goods such as books or CDs. The latter can be traded as a result of exhaustion in the internal market. For consumers, such barriers create unnecessary incentives to procure the corresponding goods illegally, that is to say, in particular without any remuneration for the rights-holder. It is for that reason necessary to examine carefully whether the principle of exhaustion applies *mutatis mutandis* in the present context, that is to say, whether the specific subject-matter of the rights in question requires that the internal market be partitioned.³⁷⁶

Several leading international and regional copyright norms try to rectify the problem highlighted by Yves Gaubiac and AG Kokott. The Agreed

³⁷⁵ Gaubiac (2002) 10.

³⁷⁶ *Opinion, FAPL v. QC Leisure* (2011) paras. 184–188. See further Günther (2014) 226–227; Jütte (2017) 150–153.

Statement to Article 6 of the WCT stressed that copies of protected works might be subject to distribution (and consequently exhaustion) if they are fixed and can be put into circulation as tangible objects. Recitals 28–29 of the InfoSoc Directive expressly exclude intangible copies, services (especially online services), and tangible copies produced with the help of services and online services from the scope of the doctrine of exhaustion. This wording stems from recital 33 of the Database Directive, according to which medium, namely, an item of goods, every online service is in fact an act which will have to be subject to authorization where the copyright so provides.³⁷⁷ Similarly, the E-Commerce Directive categorized online sale of goods as services.³⁷⁸ Most recently, the Digital Content Directive drew clear distinction between the sale of (tangible) goods and the supply of digital contents.³⁷⁹

The rules of the EU on value-added tax (VAT) similarly support the above treatment. The VAT Directive declares supply of services as “any transaction which does not constitute a supply of goods,”³⁸⁰ whereas supply of goods means “the transfer of the right to dispose of tangible property as owner.”³⁸¹ The ECJ used these terms to conclude in *European Commission v. French Republic* that “the supply of electronic books cannot be regarded as a ‘supply of goods’ within the meaning of that provision, since an electronic book cannot qualify as tangible property.”³⁸² Furthermore, implementing Regulation No. 282/2011 (of the VAT Directive) notes that electronically supplied services “shall include services which are delivered over the Internet or an electronic network and the nature of which renders their supply essentially automated and involving minimal human intervention, and impossible to ensure in the absence of information technology.”³⁸³ The ECJ concluded that the supply of e-books fits into that definition.³⁸⁴

³⁷⁷ Recital 43 of the Database Directive confirms this statement when it notes that “in the case of on-line transmission, the right to prohibit re-utilization is not exhausted either as regards the database or as regards a material copy of the database or of part thereof made by the addressee of the transmission with the consent of the right holder.”

³⁷⁸ “Information society services span a wide range of economic activities which take place on-line; these activities can, in particular, consist of selling goods on-line.” See E-Commerce Directive recital 18.

³⁷⁹ Compare to this chapter, note 252 et seq. ³⁸⁰ VAT Directive, Art. 24(1).

³⁸¹ Ibid., Art. 14(1). ³⁸² *European Commission v. French Republic* (2015) para. 35.

³⁸³ Council Implementing Regulation (EU) No. 282/2011 of March 15, 2011, laying down implementing measures for Directive 2006/112/EC on the common system of value-added tax, Art. 7(1).

³⁸⁴ *European Commission v. French Republic* (2015) para. 36. Advocate General Szpunar severely criticized this approach in his Opinion to *Stichting Leenrecht*: “the distinction thus drawn between printed books and digital books raises serious questions concerning its consistency with the principle of tax neutrality, which is the expression in the fiscal

Commentators also argued that the separation of goods and services (online services), with regard to the doctrine of exhaustion is justified by the distinct physical attributes and scope of goods and services, language diversities, differing prices, and technical barriers applied in connection to them.³⁸⁵

Nevertheless, many have criticized the ambiguities of the InfoSoc Directive's language. AG Bot noted that

[w]hile it appears to draw a distinction between the sale of goods, to which the exhaustion rule would apply, and the provision of services, to which that rule would be inapplicable, the fact remains that online services, as defined by EU law, include the sale of goods online. Thus, for example, by the standard of the wording of that recital, the exhaustion rule should not apply to an online purchase of a CD-ROM in which the copy of the computer program is incorporated. To my mind, however, the distinction as to whether the sale takes place remotely or otherwise is irrelevant for the purposes of applying that rule.³⁸⁶

Andreas Wiebe viewed that the uncertainties in this field stem from the fact that the doctrine of exhaustion and the goods versus services dichotomy have different purposes in law.³⁸⁷ He claimed that the emphasis in respect to goods and services was misplaced in EU copyright law. The WCT/WPPT excluded the online sale of copies from the scope of the doctrine of exhaustion, as no physical copy is provided by the seller to the purchaser. The EU law generally (and unnecessarily) treated these transmissions as services. The European Commission stated in 1995 that

[w]hether a distribution right is capable of being exhausted by an exploiting act of the right holder, or a third party with the right holder's consent, depends upon the form in which the protected work or related matter is exploited. If it is incorporated in a material form it is subject to the rules on free movement of goods and, in consequence, to the principle of Community exhaustion. [...] On the other hand, if the work or related matter is not incorporated in a material form but is used in the provision of services, the situation is entirely different. [...] In

sphere of the principle of equality. I would observe that the Commission has recently published an action plan on VAT in which it specifically contemplates the alignment of the VAT rate applicable to digital books and newspapers with that applicable to printed books. That approach confirms the stance taken by the Commission, also in the present case, that electronic books and printed books are in substance equivalent." See Opinion, *Vereniging Openbare Bibliotheken v. Stichting Leenrecht* (2016) para. 61.

³⁸⁵ Espantaleon (2010) 34–35.

³⁸⁶ Opinion of the Advocate General, *Axel W. Bierbach, administrator of UsedSoft GmbH v. Oracle International Corp.*, Case C-128/11, ECLI:EU:C:2012:234

³⁸⁷ Wiebe (2009) 115. See further Sosnitzer (2009) 524; Hoeren (2010b) 447; Targosz (2010) 347.

fact, given that the provision of services can in principle be repeated an unlimited number of times, the exhaustion rule cannot apply.³⁸⁸

However, Wiebe argued that “the assumption that online transmissions always involve a service is flawed.”³⁸⁹ Accordingly, it is not the goods versus services dichotomy that leads to the exclusion of the doctrine of exhaustion in cases of electronic supply of contents, but rather the fact that the seller is not obtaining control over a physical/tangible copy of the piece of work in question.³⁹⁰

Similarly, Giorgio Spedicato noted that it is not the tangible and intangible nature of the copies supplied via the Internet that matters, but whether the content was sold or it was communicated/made available to the public.³⁹¹ Spedicato argued that *UsedSoft* should also apply to subject matter other than software and thus the sale of protected subject matter via the Internet should not be excluded from the scope of the doctrine of exhaustion.³⁹² Furthermore, in the US the US Department of Commerce, National Telecommunications and Information Administration (NTIA) and the USCO also petitioned for a limited digital first-sale doctrine in 2001. They treated this concept in accordance with the Agreed Statement of the WCT. According to the NTIA’s report

both the proponents and the copyright community seem to agree that if the files are downloaded with the consent of the copyright owner, a “lawfully made copy or phonorecord” will have been created on the PC hard drive or tangible portable medium (such as a writeable CD). Thus, Section 109 would apply to the owner of that new digital copy or phonorecord. With respect to other applications of Section 109 to digitally downloaded files, however, there was considerable divergence between the stakeholders with respect to whether a copyright owner’s interest could be adequately protected. There was significant information in the record to suggest, however, that DRM systems and other like developments hold some promise of offering a technological solution.³⁹³

All of the opinions above demonstrate that the goods versus services dichotomy leads to a stalemate for the doctrine of exhaustion.³⁹⁴ I take the view that the status quo relating to the doctrine of exhaustion is

³⁸⁸ Green Paper (1995) 47–48. The follow-up to the Green Paper noted that “as regards exceptions, a large consensus exists that no exhaustion of rights occurs in respect of works and other subject matter exploited on-line, as this qualifies as a service.” See COM(96) 568, 19, para. 4. See further Lehmann (2000) 202.

³⁸⁹ Wiebe (2009) 115. See further Sosnitza (2009) 524–525.

³⁹⁰ Wiebe (2009) 115–116. ³⁹¹ Spedicato (2015) 49. ³⁹² *Ibid.*, 49–52.

³⁹³ Report to Congress (2001). See further DMCA Section 104 Report (2001). On these reports, see Tai (2003) 209.

³⁹⁴ In its essence, to the contrary compare to Hilty (2018) 865–880.

outdated and does not properly reflect the economic, social, and technological realities of our age.³⁹⁵ Therefore, the question as to whether there is any need to reconsider the scope of the doctrine of exhaustion in order to cover digital transactions as well shall be answered in the affirmative. Economic, social, and technological realities deserve priority.

Thomas Dreier correctly summarized that

in times of offering copyrighted works in digital form, it is of secondary importance whether the offering is conducted offline or online. Hence, the distinction between “goods” on the one hand and “services” on the other loses much if not all of its meaning. At best it is no longer technology-neutral. Moreover, due to increasing bandwidth, in the future most copyrighted works will be transmitted online anyway. If this is the case, then either all offerings of copyrighted material online will have to be considered as services. Or, if the distinction between freedom of movement of goods and services is to be maintained, the criteria for distinguishing between the two – and with it between “goods” and “services” – are to be found elsewhere. However, in this respect, the decisions handed down by the ECJ so far have not yet provided much guidance. What is needed is an appropriate definition of these meta-criteria, i.e. a coherent theory of when to treat online offerings of copyrighted works as “services” and when to still treat them as “goods,” in spite of their intangible and immaterial nature.³⁹⁶

4.3.3 *Constructive Realism: The Economic, Social, and Technological Effects of the Digital Exhaustion Doctrine*

The idea of a digital exhaustion doctrine coupled with the concept of virtual property, in other words, ownership over intangibles (e.g., digital files, end user accounts, license keys), perfectly indicates how twenty-first-century copyright law should keep up with social realities. Virtual property and digital exhaustion have come into the limelight and represent socially desirable values. This is what ReDigi, UsedSoft, Tom Kabinet, and the other digital secondhand marketplaces have noticed when they launched their novel business models.

The following paragraphs will run through the arguments for and against the introduction of a digital exhaustion doctrine. Arguments against its introduction will be criticized, as they are either unable or purposefully unwilling to reflect and react on social realities. It will be shown that a digital exhaustion doctrine is completely realistic. It perfectly reflects the technological, social, and legal Zeitgeist, as well as

³⁹⁵ Compare to Schonhofen (2015) 288–289.

³⁹⁶ Dreier (2013) 138–139.

providing for a more balanced treatment of competing interests of users and rightholders.

The digital exhaustion doctrine should also respect the interests of rightholders. Digital exhaustion should not make downstream commerce of digital copies easier than how the first-sale doctrine generally allows for the resale of tangible copies. Technological measures, as well as legal guarantees, should be put in place to guarantee the protection of rightholders. Effective forward-and-delete and/or blockchain technologies³⁹⁷ should be used by digital retailers in order for them to be eligible to rely on the digital exhaustion doctrine.

4.3.3.1 Pros and Cons

Many commentators routinely proclaim that the negative effects of digital exhaustion on the economy are tremendous. The most general claim is that digital copies represent an equivalent of the originals and that they can be illegally reused over and over again.³⁹⁸ Therefore, downstream commerce of digital copies would decrease the need for originals and would harm the interests of the rightholders and the intermediaries.³⁹⁹ This can negatively affect rightholders' incentives to innovate.⁴⁰⁰ Commentators have also warned that the price of original copies would increase if digital exhaustion is accepted, as such a rise would be required to compensate the losses of sales by the rightholders.⁴⁰¹

Similarly, the *White Paper 2016* of the Internet Policy Task Force gave a cold shoulder to the amendment of the US first-sale doctrine. It concluded that the acceptance of a digital exhaustion doctrine would have a negative effect on the primary markets of rightholders;⁴⁰² it would exclude the possibility of rightholders to develop their own flexible business models and technologies;⁴⁰³ the forward-and-delete technologies could not provide complete protection against the potential infringements;⁴⁰⁴ and, finally, no convincing evidence existed on the potential advantages of the introduction of a digital exhaustion doctrine.⁴⁰⁵ Equally, the final reform proposals of the European

³⁹⁷ "A blockchain is simply a chronological database of transactions recorded by a network of computers." See Wright and De Filippi (2015) 6.

³⁹⁸ Zech (2013) 394; Figliomeni (2014) 232–233; Rognstad (2014) 17; Rauer and Ettig (2015) 715–716; Hilty (2016) 71.

³⁹⁹ Davis (2009) 370–371. ⁴⁰⁰ Kerber (2016) 161.

⁴⁰¹ Hartmann (2012) 985; Chiarizio (2013) 633. These concerns were duly raised by AG Szpunar in his Opinion to the Tom Kabinet case. See *Case C-263/18, AG Opinion*, paras. 89–96.

⁴⁰² White Paper (2016) 51–52, 65–66. ⁴⁰³ Ibid., 52, 66. ⁴⁰⁴ Ibid., 52–54.

⁴⁰⁵ Ibid., 59–60.

Commission on the Digital Single Market remained also silent on the application of the doctrine of exhaustion to the digital environment.⁴⁰⁶

The reluctance of legislation and academia to accept the practicality of a digital exhaustion doctrine can be refuted by several counterarguments.

First, the WCT makes it clear that the three-step test, especially its second prong that discusses the economic effects of limitations on the economic rights of rightholders, should not affect resales covered by the doctrine of exhaustion.⁴⁰⁷ Consequently, the form of the sale (digital or analog) is not decisive. Indeed, should the form be relevant, the rightholders would be able to unilaterally exclude others from downstream commerce and would gain an unfair monopolistic advantage in this field.⁴⁰⁸

Second, it is undeniable that downstream commerce is *per definitionem* “cheaper” than the traditional marketplaces. This has numerous advantages for purchasers who are willing to pay for contents, but who are unable to afford the original, higher-priced copies. Spedicato noted that “the secondary markets will generally make lower prices available, thus making the work accessible to consumers with less purchasing power.”⁴⁰⁹ In sum, society significantly benefits from the existence of secondhand markets.

Third, the resale of digital goods could be generally useful for the whole economy, as it would lead to reinvestment into the copyright ecosystem.⁴¹⁰ This happened to the consumption of digital contents after the appearance of the Internet.⁴¹¹ Physical data carriers (e.g., CDs and DVDs) have almost totally vanished from the marketplace and in its place there is a constantly growing group of users who have subscribed to paying streaming services.⁴¹² IFPI’s Global Music Report

⁴⁰⁶ COM(2015) 626. Importantly enough, the Commission consultation preceding the reform proposals included a question on the applicability of exhaustion in the digital domain. As Caterina Sganga has pointed out, the exclusion of the topic from the final legislation was due to the sensible opposition to this idea expressed by the respondents of the consultation question. See Sganga (2018) 233. Such an outcome can easily be explained by at least two reasons. First, the consultation question itself was triggered by the *UsedSoft* judgment, which was in favor of digital exhaustion. Understandably, the opposition to this concept felt it more urgent to speak up against any broadening of the concept to other subject matters. Second, users’ or consumers’ opinions are rarely expressed so uniformly as rightholders’ opinion.

⁴⁰⁷ See, to the contrary, Rognstad (2014) 10.

⁴⁰⁸ Berger (2002) 200; Sosnitza (2009) 523; Ruffler (2011) 378–379.

⁴⁰⁹ Spedicato (2015) 33.

⁴¹⁰ Serra (2013) 1777; Kawabata (2014) 76–77; Reis (2015) 196. ⁴¹¹ IFPI (2016) 8–9.

⁴¹² The empirical analysis of Borghi et al. showed that audio contents and computer games were mainly accessed via downloading services in 2011, unlike audiovisual contents. See Borghi et al. (2012) 13. See further Bäcker and Höfner (2013) 623–634. More recently, downloading business models are almost totally outdated, and cloud-based

2017 highlighted the fact that “physical sales remain significant in certain countries and for certain artists, and the vinyl revival has been a headline grabber, but streaming is the growth driver that is revolutionising the business.”⁴¹³ It is still plausible that many consumers would continue purchasing digital copies, if they would acquire the right to later resell them, and so they could retrieve some of their investment in the copies. This is aptly demonstrated by Aaron Perzanowski and Chris Jay Hoofnagle’s empirical “MediaShop study.”⁴¹⁴ After collecting and analyzing 1,299 survey instruments, Perzanowski and Hoofnagle have convincingly evidenced that end users are “term optimists,” in other words, they “expect a contract to contain more favourable terms than it actually provides.”⁴¹⁵ More specifically, “[a] surprisingly high percentage of consumers believe that when they *Buy Now*, they acquire the same sort of rights to use and transfer digital media goods that they acquire when they purchase physical goods.”⁴¹⁶ This not only means that consumers are generally unaware of the content of the contracts they conclude, but also that they tend to interpret the contracts in favor of themselves. This finding also evidences that consumers understand contracts on the acquisition of digital files (clicking on the “Buy Now” button) as the sale of the content. The MediaShop study evidenced that “[a] sizeable majority of respondents – just over 83 percent – believed that after clicking the Buy Now button, they owned the digital good in question.”⁴¹⁷

Media researchers have also empirically demonstrated that “ownership” (be it of tangible or intangible copies) is a crucial element of self-

streaming services lead the market. IFPI’s Global Music Report 2017 noted that “digital revenues grew by 17.7% to US\$7.8 billion, driven by a sharp 60.4% growth in streaming revenue – the largest growth in eight years. This more than offset a 20.5% decline in digital download revenue. Streaming now makes up the majority (59%) of digital revenues. For the first time, digital revenues make up 50% of the share of total recorded music industry revenues.” See IFPI (2017) 12. IFPI has reported even nicer numbers in its Global Music Report 2020. According to it, “all streaming revenues – the dominant revenue format globally – climbed by 22.9% in 2019 to US\$11.4 billion.” See IFPI (2020) 14. Among the most popular streaming service providers, Netflix crossed the 100 million subscriber mark in April 2017, and passed 200 million by the end of 2020. See Fiegerman (2017) and Solsman (2021), respectively. Spotify exceeded the 50 million paying clients mark in March 2017, and had 144 million paying clients by September 2020. See McIntyre (2017) and Porter (2020), respectively. The rising number of global subscribers was partially due to the COVID-19 pandemic of 2020–2021. See, e.g., Balderston (2020).

⁴¹³ IFPI (2017) 16. ⁴¹⁴ Perzanowski and Hoofnagle (2017) 315–378.

⁴¹⁵ Ian Ayres and Alan Schwartz’s description of “term optimism” was quoted by *ibid.*, 321.

⁴¹⁶ *Ibid.*, 335.

⁴¹⁷ *Ibid.*, 337. On the language of EULAs and their meaning to and interpretation by end users, see further Racine (2019) 367–370 and 380.

identity and digital consumption. Words like “buy” or “purchase,” as well as permanent acquisitions of contents, generate “proprietary feelings” among users.⁴¹⁸

In essence, these proprietary feelings can form a significant element of consumers’ expectations related to the online acquisition of cultural contents. Consequently, such expectations can objectively form a part of “conformity” of goods/services under Article 10 of the EU’s Digital Content Directive. If so, end users/consumers might have a right to withdraw from online contracts, if – against the content providers’ communication – their proprietary feelings are not properly served.⁴¹⁹ Lillian Oprysk and Karin Sein, based on their empirical analysis of multiple EULAs of online content providers, concluded that consumers are entitled to apply the remedies envisaged by the Digital Content Directive. If a content provider is willing to limit consumers’ right to withdraw from the concluded contract, it must get an express and separate consent from the consumer.⁴²⁰

Fourth, the doctrine of exhaustion allows rightholders to be remunerated for the distribution of their works only once, after the first sale of the copies or originals. In compliance with the “*Belohnungstheorie*,” rightholders are not allowed to control the future sales of the given copies, if the first sale was made or authorized by them and they asked for a fair price at the time of the first sale.⁴²¹ This logic has been followed in *UsedSoft*⁴²² and in the ruling of the Hof Amsterdam in *Tom Kabinet*.⁴²³ There is no valid reason to limit the functioning of the reward theory in the digital domain.

Fifth, the negative effects of the downstream commerce might be eased by voluntary remuneration systems, like the ones developed by ReDigi or Tom Kabinet, as well as Apple’s (since then abandoned)⁴²⁴ patent.⁴²⁵ Admittedly, these models look paradoxical. If we accept that exhaustion can apply for the resale of digital goods, then any payment to the

⁴¹⁸ Helm et al. (2018) 179.

⁴¹⁹ Sein and Spindler (2019) 372–374. On the concept of conformity of goods under the Digital Content Directive, see further Twigg-Flesner (2020) 49–78; Vanherpe (2020) 259–271.

⁴²⁰ Oprysk and Sein (2020) 619–620. ⁴²¹ Tai (2003) 209.

⁴²² *UsedSoft v. Oracle* (2012) para. 63.

⁴²³ “The Court of Appeal does not see that, as the publishers have stated, the compensation for e-books – which, as the publishers claim, is 30% lower than the price of paper copies – would not constitute an adequate consideration for acquiring ‘ownership’ of the digital file as mentioned by the CJEU in the *UsedSoft* decision, as the production costs of e-books are substantially lower than those of paper books.” See *NUV v. Tom Kabinet* (2015) 48.

⁴²⁴ Compare to this chapter, note 305. ⁴²⁵ Soma and Kugler (2014) 456.

rightholders is arguably unnecessary. Nevertheless, stretching the limits of the exhaustion doctrine this way represents the good faith of service providers and a more balanced treatment of rightholders' economic interests.

Sixth, George Orwell, when talking about the introduction of the "cheap" ("sixpence") Penguin books in the first half of the twentieth century, noted that

it is, of course, a great mistake to imagine that cheap books are good for the book trade. Actually it is just the other way about. [...] Hence the cheaper books become, the less money is spent on books. This is an advantage from the reader's point of view and doesn't hurt trade as a whole, but for the publisher, the compositor, the author, and the bookseller it is a disaster.⁴²⁶

Orwell's vision might be theoretically correct; however, the history of the book industry has evidenced that publishers, editors, authors, and booksellers (and any other intermediaries) can and do survive, even if the price of items has decreased. It is more – rather than less – plausible that the introduction of any digital exhaustion doctrine would not kill the traditional forms of copyright industry either. Indeed, businesses would respond to it with new business models, and it is arguable that such innovation could and would be beneficial for the whole society.⁴²⁷

Indeed, some international book publishers have changed their pricing policies post-*Kirtsaeng* and increased the price of their international editions, or, alternatively, switched to provide access to their contents in service-type models. For example, in April 2014, Aspen Publishers announced the implementation of its "pay-to-see" program.⁴²⁸ Following the *UsedSoft* ruling, Oracle has also changed its business model.⁴²⁹

However, Alexander Göbel has convincingly argued that the advance of lawful digital secondary markets based on the concept of digital exhaustion would lead to the increase of prices of used copies and the decrease of prices of the originals.⁴³⁰ Göbel's view is not without its merits, if we suppose that digital retailers would invest more money into market expansion, advertisements, or the strengthening of the company's goodwill. Such activities would undoubtedly enhance their expenses. On the other hand, if the price of used copies increases, rightholders could

⁴²⁶ Cited by Friedman (2008) 349.

⁴²⁷ Access to culture fits clearly within fundamental rights such as freedom to receive and impart information and the right to education. These rights are expressly codified, for example, by Arts. 11 and 14 of the Charter of Fundamental Rights of the European Union.

⁴²⁸ Mosley (2015) 236. ⁴²⁹ Hilty (2018) 877. ⁴³⁰ Göbel (2012) 228–229.

opt for a price reduction to make original copies more attractive or to use their already existing goodwill to entice back consumers. Indeed, the rigid resistance against digital exhaustion could become counterproductive. The exclusion of the possibility of digital resales can direct some users (back) to pirated contents.⁴³¹ As Bernd Justin Jütte aptly noted,

a total prohibition of resales seems unreasonable. In the interest of a balance between the interest of rightsholders and users stricter supervision mechanisms that track down illegal files and enable rightsholders to take them off the market would more likely be an appropriate measure to prevent and fight piracy, instead of prohibiting resale in particular and denying digital files the benefits of exhaustion in general.⁴³²

The second significant aversion of rightholders against a digital exhaustion doctrine is that it can lead to a rearrangement of market powers, as downstream commerce should necessarily be dominated by new, competing service providers. Not surprisingly, dominant content distributors, like Amazon or Apple, have taken immediate steps to patent their own forward-and-delete technologies. Amazon also introduced Kindle Unlimited in 2014.⁴³³ Amazon's cloud-based service allows for an unlimited consumption of e-books at such a reduced price that it can easily eliminate any interest in acquiring used e-books by end users.⁴³⁴ Rightholders and traditional intermediaries can easily block the rearrangement of market powers by legal tools as well. For example, they could draft contractual clauses that effectively foreclose the resale of the copies.⁴³⁵ Rightholders should be cautious, however, as the monopolization of the market and the prevention of new actors entering the market could potentially breach competition law.⁴³⁶

A third classic argument against the digital exhaustion doctrine is based on the premise that digital contents can be reproduced infinitely for zero cost and without any loss of quality.⁴³⁷ Any such claim is implicitly based on the assumption that members of society are willing to copy protected materials for free.⁴³⁸ This opinion is correct on the one hand and flawed on the other hand. Practically speaking, copying digital content takes an extremely short period of time, marginal human and mechanical power is required, and the costs associated with it are virtually nothing. To put it differently, there is nothing surprising if users

⁴³¹ Racine (2019) 377. ⁴³² Jütte (2017) 194. ⁴³³ Alter (2014).

⁴³⁴ It is not only digital resales that are endangered by Kindle Unlimited. Amazon's "all-you-can-eat" model seems to be fading out the income of self-publishing authors as well. See Streitfeld (2014).

⁴³⁵ Scholz (2015) 145–150. ⁴³⁶ Cistaro (2016) 146–151.

⁴³⁷ Calaba (2002) 7–9, 29; Tobin (2011) 178–179; Schulze (2014) 13; Kerber (2016) 161.

⁴³⁸ Targosz (2010) 347.

reproduce the works, if they can. Indeed, humans have a deep-rooted desire toward the possession of culturally valuable goods, and such desire exists independently of the form of the protected content. Dutch researchers stated that

skilful consumers mastering information and communication technology have combined with the development of network capacity to increasingly squeeze the entertainment industry's traditional business model. Digital consumers, wise to technological possibilities and new applications in the digital arena, are now making demands of products and services – demands that the entertainment industry, stuck in its traditional practices, has failed to meet sufficiently over the past few years.⁴³⁹

The differences between the copying of an analog or a digital content have, however, generally vanished since the spreading of digitization technologies. There is no greater danger regarding the reproduction of digital goods than analog ones.⁴⁴⁰ Furthermore, digital contents also degrade over time, although markedly differently than analog copies. The evolution of information technology inevitably makes file formats obsolete, or, because of the lack of proper software or hardware, files become useless.⁴⁴¹ This type of evolution is surprisingly faster than the degradation of the tangible copies' quality. Think of the different generations of Windows operating systems. It is most probable that no one uses Windows 95 anymore. This is mainly due to the better performance and nicer visuals of the more recent Windows versions. Additionally, newer hardware is too powerful for old-fashioned software. Not surprisingly, there is no real downstream commerce in Windows 95 software. The same can be said of computer games. A few years after fancy computer games are launched, their broad appeal dissipates and only the fanatical players remain. A prime example of this, although a mobile game rather than a computer game, is Pokémon Go. When this game was released, its popularity soared, breaking records in the process and attracting international media coverage. A few months on and its gamer base significantly reduced, as most moved on to the next big new release.⁴⁴²

Therefore, the problem does not start here. It is more problematic when the production costs of the original copies, that is, the investment

⁴³⁹ Helberger et al. (2009) 19.

⁴⁴⁰ Tai (2003) 209–210; Rigamonti (2009) 20; Sosnitza (2009) 524–525; Hoeren (2010b) 448; Targosz (2010) 350; Ruffler (2011) 381; Grützmacher (2013) 68; Appl and Schmidt (2014) 197; Schonhofen (2015) 292.

⁴⁴¹ Perzanowski and Schultz (2016) 181; Hauck (2017) 49.

⁴⁴² On the rise and fall of Pokémon Go, see Elio (2016).

of rightholders, cannot be refunded in the chain of commerce. However, this is not the case in a scenario with balanced digital exhaustion.⁴⁴³ In this situation, not a single master copy enters the digital downstream commerce and becomes the source of unlimited reproductions and distributions, but more copies become available that were lawfully produced and first sold and are uniquely identifiable and traceable.

It is undeniable that tangible copies can wear out much faster than those contents that are stored either on a hard drive of a personal computer or in the cloud.⁴⁴⁴ Hypothetically, the indestructibility of digital copies provides a chance for future resales in an indefinite number. This, standing alone, cannot be an obstacle for a digital exhaustion doctrine. It was noted earlier that exhaustion covers all future resales of lawfully sold copies of protected subject matter. No internal limitation applies regarding the exact number of future resales. If the rightholder fears the prospect of unlimited resales of the copies of his works, then he should apply a pricing strategy that reflects such a situation. Furthermore, it is not a prerequisite of the application of the doctrine that the resold copies should be inferior in quality to the originals. The fact that such inferiority was present in the analog age should not automatically exclude digital copies from having a quality identical to the originals. If these claims are correct and functioning forward-and-delete and/or blockchain technologies exist, then no aging file systems would be required for a functioning digital exhaustion doctrine.

4.3.3.2 Policy Considerations of Exhaustion Revisited

The majority of commentators, as well as the legislatures in the US and the EU, are skeptical of the acceptability of the digital exhaustion doctrine. Their orthodox economic arguments were criticized above; indeed, the denial of the applicability of the doctrine of exhaustion in the digital realm poses significant threats to the economy and the culture. Revisiting the policy considerations of the doctrine of exhaustion will also evidence that these considerations can be equally applied to the resale of digital copies.⁴⁴⁵

⁴⁴³ See Section 4.3.3.3 *infra*.

⁴⁴⁴ “‘Cloud computing’ is a term used to describe a global technological infrastructure in which the user of a computer accesses and uses software and data located outside of the user’s personal computer or other digital device. The user connects to these external devices by way of an Internet connection, but typically has no knowledge of the nature or even location of the server on which the data and software are located.” See Gervais (2012) 33.

⁴⁴⁵ Compare to Jütte (2017) 222–227; Ghosh and Calboli (2018) 169–174; Sganga (2018) 231–232.

The three primary policy considerations of the doctrine of exhaustion are the superiority of property rights over copyrights; the reward theory; and the restraint of rightholders over market control.

The first element seems to be a particularly hard nut to crack in the digital age. Many have argued that the doctrinal framework of property rights must be reconsidered to meet the needs of the twenty-first century. In general, the boundaries of property are set by statutes and, where relevant, case law. Property rights can therefore be rearranged from time to time to fit. Most recently, the acceptance of the concept of virtual property has been the main focus. Under this concept, end users could exercise property rights over lawfully acquired intangibles, including the right to transfer the ownership of the copies of works.⁴⁴⁶

The other two primary policy considerations can apply without any doubt in the digital copyright context. The rationale of the reward theory is that rightholders are not entitled to any reward related to acts of distribution following the first lawful sale of the given copy.⁴⁴⁷ This is why rightholders have to proactively set the initial price of the copies of their works. Consequently, they should understand and react to the demands of their consumers and ask for a price that they find reasonable for the transfer of ownership over a given copy. As argued above, the fact that digital copies can be reproduced without any loss of quality does not exclude the applicability of the reward theory in the digital domain, supposing that copies are uniquely identifiable.

Similarly, the restraint of rightholders over market control should also apply in the digital environment. The legal system should guarantee that new actors can enter the market. This is advantageous for several reasons. From an economic perspective, it leads to competition, which in turn is the best guarantee for the decrease of prices and the acceleration of innovation.⁴⁴⁸ It guarantees that the existing actors do not monopolize the market. This policy argument is directly backed by the rules on free movement of goods within the EU.⁴⁴⁹ Furthermore, purchasers would derive more utility from digital goods if they would be allowed to later resell the acquired copy.⁴⁵⁰

Among secondary or indirect policies, affordability and availability were first mentioned. The prohibition of the digital exhaustion doctrine can potentially decrease the affordability and the availability of protected subject matter. Admittedly, pay-per-use models allow for cheaper access;

⁴⁴⁶ On the applicability of the German rules on “*Herrschaftsposition*” (dominion) on the acquirer of intangible copies, see de la Durantaye and Kuschel (2016) 210.

⁴⁴⁷ Ibid., 212. ⁴⁴⁸ Billah (2018) 127 and 131–132.

⁴⁴⁹ de la Durantaye and Kuschel (2016) 210. ⁴⁵⁰ Billah (2018) 127–128.

however, under these models, no ownership interests are acquired by consumers. Those who want to obtain a permanent copy of the work would have to dig deep into their pockets. Paradoxically, these acquirers cannot expect to recoup any money that they spend on the acquisition of the digital copy. These consumers usually do not acquire ownership interest over the permanent copies, as rightholders most typically require the conclusion of strict EULAs. The terms and conditions of these EULAs typically exclude the right to transfer the copies to third parties. Furthermore, the consumption of cultural goods on streaming portals practically leads to the drop in the number of permanently sold copies. Conversely, this leads to the increase of the retail price of individual copies, as well as to the decrease in accessibility of the contents on permanent copies. Such practices might have a chilling effect on public lending of works or on the access to the out-of-commerce works.⁴⁵¹ Accessibility of used copies of works can also serve altruistic purposes.⁴⁵² Sharing is caring; the ability to transfer (including donating) copies to secondary users or enhancing e-lending can increase social justice and welfare, as well as cultural democracy.⁴⁵³

Accessibility (of at least “used” copies via secondhand markets) might become an even more pressing need in and after the Coronavirus SARS-CoV-2 (COVID-19) pandemic. World IP policy leaders may need to get ready to introduce “emergency IP norms” at some point. COVID-19, and the extensive legal, social, and economic limitations imposed by governments during 2020 and 2021, shed light on the vulnerability of the existing IP order. COVID-19 will not only lead to significant (and long-standing) social distancing and⁴⁵⁴ affect remote education,⁴⁵⁵ media consumption, and the copyright industry’s existing business models (especially related to the production and dissemination of content),⁴⁵⁶ but it will also curb the disappearance of offline retailers.⁴⁵⁷ The growing need for online consumption and the slowly vanishing,⁴⁵⁸ but still existing, interests of consumers toward ownership may also support the application of the exhaustion doctrine to copies supplied via the Internet. No doubt, only extensive empirical research can prove whether a digital exhaustion doctrine would be advisable under such an “emergency IP regime.”

⁴⁵¹ Compare to Reese (2003) 616–644; Figliomeni (2014) 237–238.

⁴⁵² Billah (2018) 128–129.

⁴⁵³ Sang (2016) 221–249; Sang (2018) 277–296; Sun (2020) 201–208.

⁴⁵⁴ Lichfield (2020). ⁴⁵⁵ Craig and Tarantino (2020) 567–604.

⁴⁵⁶ Alter (2020); Barnes and Sperling (2020). ⁴⁵⁷ Alderman (2020).

⁴⁵⁸ Helm et al. (2018) 178.

In short, it is not irrational to argue that the introduction of a digital exhaustion doctrine would enhance the affordability and the availability of cultural goods in the digital realm.

Next, the preservation of cultural heritage by public institutions is seriously endangered in the Internet age. These institutions access digital contents, especially e-books, under license agreements that include considerable use restrictions. The transfer and acquisition of used e-books are typically prohibited by the license agreements. Nevertheless, it could be important to allow cultural institutions to purchase lawfully sold digital contents on downstream markets. This way, libraries could fulfill their aims of preserving and disseminating cultural heritage and they could also effectively mitigate the piracy of e-books.⁴⁵⁹ Studies have also shown that free access to e-books may actually boost e-book sales.⁴⁶⁰

Admittedly, the acquisition of e-books under a digital exhaustion doctrine could not be the result but rather the means to fulfill other tasks of libraries, such as the lending of digital contents to patrons. The judgment of e-lending is, however, far from settled. In *Stichting Leenrecht*, the ECJ has confirmed that e-lending fits into the general scope of lending rights under the Rental Directive.⁴⁶¹ Consequently, Member States can either introduce an exclusive right of e-lending for the benefit of authors, or they can derogate from the exclusive lending right, provided that at least authors receive an equitable remuneration for such e-lending.⁴⁶² This optimistic conclusion has since been overshadowed by the limited approach followed by the ECJ in *Tom Kabinet*. It is therefore still unknown how European legislators will react to the ECJ's ruling.⁴⁶³

In the US, the first-sale doctrine has traditionally served as the basis for free public lending of books by libraries.⁴⁶⁴ However, e-books are marketed by publishers under strict licensing agreements in which publishers retain control of the copies of e-books and libraries are unable to exercise their rights under the USCA freely.⁴⁶⁵ Licenses for e-lending might be acquired from major book suppliers (e.g., OverDrive, or

⁴⁵⁹ Geist (2012) 96. ⁴⁶⁰ Ibid., 97. ⁴⁶¹ 2006/115/EC Directive, Art. 6.

⁴⁶² "Article 1(1), Article 2(1)(b) and Article 6(1) of Directive 2006/115 must be interpreted as meaning that the concept of 'lending,' within the meaning of those provisions, covers the lending of a digital copy of a book, where that lending is carried out by placing that copy on the server of a public library and allowing a user to reproduce that copy by downloading it onto his own computer, bearing in mind that only one copy may be downloaded during the lending period and that, after that period has expired, the downloaded copy can no longer be used by that user." See *Stichting Leenrecht* (2016) para. 54.

⁴⁶³ E-lending has been, however, carried out under licensing models in several European countries. See Mount (2014) 16–69.

⁴⁶⁴ Geist (2012) 70–75. ⁴⁶⁵ Ibid., 94.

3M).⁴⁶⁶ The conditions of e-lending are strictly set by these corporations and there is no signal that publishers intend to change their practices in this field.⁴⁶⁷ In sum, both in the EU and the US, e-lending is subject to serious limitations and is provided independently from the concept of a digital exhaustion doctrine.

A digital exhaustion doctrine could be beneficial for the transparency of transactions. This is especially true in a balanced approach, introduced earlier, where only copies with unique ID numbers can be resold lawfully. In this situation, the chain of title could be technologically controlled. This would guarantee that the digital exhaustion doctrine is not misused by resellers. Furthermore, this would allow for a growing trust in the whole copyright system by creating a balanced environment, where both rightholders' and consumers' interests prevail. Finally, a digital exhaustion doctrine would guarantee that lawful acquirers of digital copies of works are not technologically "locked-in," in other words, irreversibly connected to the original retailer's service or hardware.

Some have argued that several supplementary requirements must exist for the proper functioning of the doctrine of exhaustion. These are rivalrousness, excludability, and consumability. These supplementary policy considerations can also be met in the digital domain.

First, if the copies that are resold under the guise of the digital exhaustion doctrine are first sold lawfully; are distinct, that is, they have unique ID number; and their transfer can easily be traced, then they do not compete with the rightholder's primary digital market any more than the copies do in the analog world.

Second, it is self-evident that a consumer who retains a copy of the digital file (on his PC or a portable device) after he resells the lawfully acquired copy runs afoul of exhaustion in general. What is different in the digital domain is the ease of such retention. Unlike in the analog world, where a backup copy of the original data carrier must have been, at least slightly, inferior in quality, that is not the case with digital files. Notwithstanding, a digital exhaustion doctrine can effectively function if the retention of files is prevented. Several forward-and-delete technologies, as well as blockchain technology, can guarantee that the reseller loses control over the digital file permanently.

Finally, some have argued that the doctrine of exhaustion should only apply if the quality of the copies deteriorates over time – that is, the copies

⁴⁶⁶ Chiarizio (2013) 640–644; Perzanowski and Schultz (2016) 108.

⁴⁶⁷ "Still, for publishers, the uncertainty of e-books and the instincts of self-preservation lead to the conclusion that more control, not less, is called for." See Geist (2012) 84.

are consumable.⁴⁶⁸ I disagree with this opinion. No law prescribes that the doctrine of exhaustion applies only if the given copy's quality deteriorates or, *horribile dictu*, the copy destroys after a given number of resales/uses. This cannot be guaranteed in the analog world either, where a book, a video tape, or a painting wear or degrade quite differently. Indeed, consumability as a prerequisite to a digital exhaustion doctrine would inevitably discriminate against the resale of digital contents.

4.3.3.3 A Balanced Approach for a Digital Exhaustion Doctrine

The application of the policy considerations relating to the doctrine of exhaustion can, at least theoretically, be expanded to the digital domain. It does not, however, mean that policy considerations are enough for the proper functioning of a digital exhaustion doctrine. It is necessary to properly balance the interests of different stakeholders.

In 2001, Joseph Liu argued that the right to transfer the digital copy is a bundle of interests under the digital copy ownership.⁴⁶⁹ He noted that

[u]nlike the transfer of physical copies, no physical property changes hands in the transfer of a digital copy over the Internet. Rather, the same pattern of digital ones and zeros is sent through the Internet and then replicated in the storage device of the recipient. Where there was once only a single copy, now there are at least two equally functional copies. This raises complications because, unlike RAM copies, copies made as a result of a digital transfer are in fact perfect substitutes. Indeed, the electronic transfer of a digital document is functionally equivalent to the creation of a copy-transferring and copying are basically the same thing.⁴⁷⁰

Liu correctly saw that an unlimited right to transfer digital copies would clearly undermine the incentives of rightholders.⁴⁷¹ He therefore named two distinct measures that are capable of balancing the different interests at stake. First, without using the precise expression, he noted that a fully automated forward-and-delete technology would be necessary for the functioning of the right to transfer the digital copy. This technology would prevent the creation of a new permanent copy, and, at the same time, it would guarantee that the original file is deleted simultaneously.⁴⁷² Second, he argued that such a solution could also be backed by a bright-line fair use ruling.⁴⁷³

Liu's novel approach remains deserving of attention in 2021. For the first time, someone called for the balancing of existing rules and the reaction to the social and technological changes of the Internet age.

⁴⁶⁸ Capobianco (2013) 409–413; Zech (2013) 376–377; Billah (2018) 138–139.

⁴⁶⁹ Liu (2001) 1349–1360. ⁴⁷⁰ Ibid., 1350–1351. ⁴⁷¹ Ibid., 1351 and 1355–1356.

⁴⁷² Ibid., 1353. ⁴⁷³ Ibid., 1358–1359.

Indeed, these arguments should be followed, even if technology and the legal reflection of it have significantly changed since 2001. I maintain that a balanced digital exhaustion doctrine can be reached by the combination of technological measures and legal guarantees.

The first technological measure should be a unique ID number that is inserted in the metadata of each digital file sold lawfully by the original seller. Only digital files tagged with a unique ID number would be eligible for resale. The privilege to tag the files should be reserved for the rightholders and authorized retailers. This would guarantee that contents are sold and acquired only through reliable sources.

The second measure should be the application of a workable forward-and-delete technology that is capable of managing the unique ID numbers; to validate that the given file is not an illegal copy of a protected subject matter; to control the transfer of files between the parties; and to guarantee that no copies are retained by the reseller.⁴⁷⁴ Workable forward-and-delete technologies are available on the market (think of Apple's abandoned patent application and Amazon's inventions, as well as ReDigi's system) and there are numerous service providers that sell media with unique ID numbers. Think of Apple's iTunes where they use persistent ID numbers. Likewise, blockchain technology is already used, for example, by OpenBazaar, to resell tangible goods over the Internet.⁴⁷⁵ No technological obstacles exclude the extension of the use of smart contracts to the resale of digital files.

Alternatively, blockchain technology could be used to facilitate the conclusion of smart contracts for the sale of digital goods. The most significant advantage of blockchain technology is that it can record all data relating to a particular transaction in chronological order and all these data are stored and periodically synchronized on every computer that is a part of the network.⁴⁷⁶ This way, blockchain technology and smart contracts guarantee that all transactions are valid and that former transactions cannot be invalidated ("trustlessness").⁴⁷⁷ Smart contracts are based on a zero-tolerance policy, namely, users must comply with the code of the network and they cannot infringe the norms of the system.⁴⁷⁸

⁴⁷⁴ Victor Calaba proposed the compulsory registration of ID numbers in a central database. He missed introducing who should cover the costs of running the system, including but not limited to the management, verification, and update of ID numbers. See Calaba (2002) 30. Elizabeth McKenzie solicited for the application of such DRM solutions that would effectively foreclose the simultaneous use of contents on more devices. See McKenzie (2013) 71.

⁴⁷⁵ OpenBazaar describes itself as "[a] Free Market for all. No Fees. No Restrictions." See <https://openbazaar.org/>.

⁴⁷⁶ Wright and De Filippi (2015) 6–7. ⁴⁷⁷ Ibid., 7; Schuster (2020) 9.

⁴⁷⁸ Wright and De Filippi (2015) 25.

Aaron Wright and Primavera De Filippi have noted that “[o]nce the contracting parties have agreed to be bound by a particular clause, the smart contract’s code immutably binds them to that clause without leaving them the possibility of a breach.”⁴⁷⁹

The applicability of blockchain technology in the copyright industry has been discussed in connection with licensing, including collective rights management; building a global collection of metadata (including rights management information) related to protected subject matter; dispute settlement; or the verification of facts related to the “sale” of tokenized information.⁴⁸⁰

Blockchain technology and smart contracts are not without critics. Some have correctly noted that “smart contracts” are not contracts in a legal sense,⁴⁸¹ and they do not fully comply with the requirements of the existing legal regime.⁴⁸² Indeed, trade with tokenized information does not meet the legal requirements of “sale contracts.”⁴⁸³ Martin Zeilinger, based on the in-depth analysis of MoneGraph, a digital platform dedicated to “document[ing] the genesis, reproduction, dissemination, and trade of digital art objects,”⁴⁸⁴ has concluded that

the hybridising of the blockchain and IP policy into a high-efficiency financial technology useful for regulating digital art markets will not help revolutionise the institutionalised art world to the benefit of digital artists. Rather, such developments represent a worrisome acceleration and intensification of long-standing efforts to fence in creative expression as private property.⁴⁸⁵

Indeed, Zeilinger has also concluded that the “hybridised conceptual-computational financial technology”⁴⁸⁶ might ultimately lead to the loss of artists’ chance to control the fate of their artistic creations.⁴⁸⁷

It shall be accepted, as Balázs Bodó, Daniel Gervais, and João Pedro Quintais concluded in their seminal paper, that “should blockchain technology reach its market potential, it may have significant – perhaps

⁴⁷⁹ Ibid., 26. Smart contracts, due to their zero-tolerance policy, can, in effect, function as a form of digital rights management, as rightholders could fully control access to and consumption of digital goods. See *ibid.*, 32. Notably, however, “[t]his way copyright law – including the regime of limitations or fair use – could be rendered less relevant, as self-executing contracts could tabulate and track every reproduction, distribution, derivative work, and display, narrowing the possibility for online copyright infringement.” See *ibid.*, 32–33.

⁴⁸⁰ On the applicability of blockchain technology in the copyright environment, see especially Fabian (2017) 852–863; Bodó et al. (2018) 311–336; Zeilinger (2018) 15–41; Corrado (2019) 181–244; Finck and Moscon (2019) 77–108; Shaverdian (2019).

⁴⁸¹ Guadamuz (2019) 1–16. ⁴⁸² Schuster (2020) 15–30.

⁴⁸³ Mezei et al (2021).

⁴⁸⁴ Zeilinger (2018) 16.

⁴⁸⁵ *Ibid.*, 19.

⁴⁸⁶ *Ibid.*, 21.

⁴⁸⁷ *Ibid.*, 33.

transformative – impact on copyright in the digital environment.”⁴⁸⁸ The combination of a unique ID number and the forward-and-delete or blockchain technologies could guarantee that end users could acquire and resell such contents that were first lawfully marketed by the right-holder or any authorized retailers and that the files could be effectively traced in the downstream commerce. These could effectively guarantee that the copies of works are resold in a visible and controlled way that, at the same time, forecloses the unlawful duplication of contents.

In sum, what is still missing is the approval of digital secondhand shops by the legislature or the courts. Admittedly, if digital secondhand markets are legalized, we could be immediately swamped with millions of digital files. It is, however, unimaginable that this would generally destroy the original marketplaces. First, it is plausible that only a limited number of works will be offered for sale via these systems, as end users would most probably upload only their unused files and would keep the rest of their contents for future enjoyment. Second, any broadening of the supply side would require the lawful acquisition of further original copies by end users. And, if no one purchases new files, there would not be anything to resell. Third, a significant number of end users would continue to acquire cultural goods from original dealers rather than from downstream commerce, as these services will be far less viral than the well-known brands like iTunes and Amazon. Fourth, this model would not open the floodgates to unauthorized copies that were downloaded from P2P file-sharing sites or accessed by any other illegal services.⁴⁸⁹ It would be similarly impossible for end users to resell the ripped content of their lawfully purchased CDs or DVDs, as the files stored on these data carriers have never been assigned a unique ID number. Finally, some might question why any rightholder or intermediary would tag the contents sold by them with a unique ID number, since that would allow for the resale of those files later. Doing so would be absolutely logical for at least two reasons. First, in this way the unique ID number would work as electronic rights management information. Any attempt to remove or alter the unique ID number would lead to legal remedies under Article 12 of the WCT and its domestic versions. Second, nothing prevents rightholders/intermediaries from launching their own digital secondhand markets. If there is a social demand for a given service (here the resale of used digital files), it is still a better option to remain in the whirlwind, rather than staying out of the business.⁴⁹⁰

⁴⁸⁸ Bodó et al. (2018) 336. ⁴⁸⁹ Calaba (2002) 28; Gratz (2011) 10.

⁴⁹⁰ An interesting example might be drawn from the physical world. Germanwings, Lufthansa's subsidiary, provides cheap flights for passengers. This way, Lufthansa,

If the lawful user intends to sell the copy on the digital marketplace, then the operator of the market should effectively guarantee that the digital file is removed from the seller's computer and any connected devices. The seller is required to erase all permanent copies he created on external data carriers (including, but not limited to, external hard drives, memory sticks, mp3 players, mobile phones). If the latter devices are used in an offline mode, it is difficult to prove the existence of the unauthorized copies. Most probably, this situation lasts only for a limited period of time. If the user synchronizes the device with a computer that is connected to the digital marketplace, the forward-and-delete technology applied by the operator's software should detect the unauthorized copy. In such a case, the operator should notify the user to expeditiously remove the given copy. If the end user fails to comply with the notice, the operator should be entitled to block or at least limit access to the end user's account. Theoretically, these actions can guarantee that only the single original, lawfully acquired copy with a unique ID number exists at any moment. There is no greater threat in a model like this than in any sale of a tangible copy in the offline world.

The digital exhaustion doctrine should be regulated by national or international norms as well. Such norms should explicitly refer to the transferability of intangible copies of protected subject matter; the requirement of lawful acquisition of the given copy; and the obligation of the reseller to erase the copy sold via digital marketplaces.⁴⁹¹

The above system balances the interests of rightholders and end users in downstream commerce. End users, like property owners, are allowed to control the fate of the copies they acquire, and their private sphere is not unreasonably intruded. Whereas the recurring but ad hoc control of the synchronized data carriers is a necessary way of protecting the interests of rightholders. Similarly, the balanced approach of the digital exhaustion doctrine is cost effective, and it restricts the influx of pirated copies to downstream commerce.

The development of copyright literacy through the acceptance of digital exhaustion is also reasonably guaranteed. End users would not simply sell their unused digital items but would reinvest in the development of a secondary market. Copyright law would be treated as a useful tool to support this system rather than as an obstacle that hinders downstream commerce, culture, and personal property.

which has always been known for its high-quality but expensive service, can still reach those passengers who wish to pay less for air travel.

⁴⁹¹ Berger (2002) 201–202; Targosz (2010) 351.

The lack of workable alternative solutions to consume protected contents via the Internet has already led to a tremendous gap between society and rightholders. Peer-to-peer (P2P) file sharing has appeared in 1999 partially due to the lack of lawful alternatives to consume digital goods online.⁴⁹² The introduction of the digital exhaustion doctrine can direct users' attention to lawful digital retail stores.⁴⁹³ Conversely, the lack of any lawful way to resell digital copies can direct users to illegal markets.⁴⁹⁴ Aaron Perzanowski and Chris Jay Hoofnagle's MediaShop survey confirmed the validity of this claim. The authors concluded that

consumers are more likely to opt out of lawful markets for copyrighted works and download illegally if there is no lawful way to obtain the rights to lend, resell, and use those copies on their device of choice. Thirty-two percent of respondents were more likely to download files without paying in the absence of a right to lend; 31% were more likely to do so in the absence of a right to resell; and 40% in the absence of a right to use their device of choice.⁴⁹⁵

Some commentators developed similar models.⁴⁹⁶ Aaron Perzanowski and Jason Schultz have introduced a concise concept of the digital exhaustion doctrine. In 2011, Perzanowski and Schultz argued that digital copies are functionally equivalent to tangible copies. Consequently, they advocated for the extension of the first-sale doctrine to the resale of digital copies other than computer programs. They argued that such an extension should follow the content of USCA section 117(b).⁴⁹⁷ Nevertheless, the new rule should exclude the possibility that the lawful acquirer markets the copy to more purchasers. This can be guaranteed if the new rules, similarly to section 117(b), require resellers to transfer the ownership of the original digital copy to the new acquirer. The burden of proof would rest on the shoulders of the reseller.⁴⁹⁸

In 2014, Perzanowski and Schultz provided two alternatives to the legislative solution. The first option is a clear statutory rule on the application of the first-sale doctrine on the resale of digital contents. In

⁴⁹² Helberger et al. (2009) 16–24. ⁴⁹³ Reis (2015) 188–189.

⁴⁹⁴ Kawabata (2014) 76–77; Soma and Kugler (2014) 455–460.

⁴⁹⁵ Perzanowski and Hoofnagle (2017) 360–361.

⁴⁹⁶ I omit discussing that creative but dogmatically groundless concept that recommended for the introduction of a digital resale royalty right modeled on *droit de suite*. See Serra (2013) 1787–1800; Figliomeni (2014) 240–241.

⁴⁹⁷ “Any exact copies prepared in accordance with the provisions of this section may be leased, sold, or otherwise transferred, along with the copy from which such copies were prepared, only as part of the lease, sale, or other transfer of all rights in the program. Adaptations so prepared may be transferred only with the authorization of the copyright owner.” See USCA §117(b).

⁴⁹⁸ Perzanowski and Schultz (2011) 935–939.

this case, if necessary, US Congress could differentiate between the permitted and unpermitted acts along the subject matter, economic rights, or the eligible resellers (end users only or organizations as well). This solution could lead to proportionate, inflexible, or even unjust categorizations.⁴⁹⁹ The second option is the adoption of a digital exhaustion standard, in other words, a flexible framework that follows the logic of the fair use doctrine. The authors noted that the digital exhaustion standard would need to answer the license versus sale dichotomy. They argued that the factors that courts should examine are the duration of the access to or possession of the digital content, the payment structure of the contract, and the characterization and naming of the transaction.⁵⁰⁰ Furthermore, it must be taken into account whether the reseller fully parted with possession of or access to the digital content, whether the resale deprives rightholders of a fair return and undermines the market of the rightholders, and whether the user has altered the expression contained in the digital file.⁵⁰¹ Taking all these factors into account, Perzanowski and Schultz concluded that the above two multifactor tests under the digital exhaustion standard “allow Congress to steer the general direction of the copyright exhaustion, but return the doctrine to its judicial origins, where courts can exercise reasonable judgment to craft decisions that bring some measure of predictability and keep pace with the quickening rate of innovation in copyright markets.”⁵⁰²

Policy considerations of the doctrine of exhaustion as well as economic, social, and technological arguments all support the acceptance of a digital exhaustion doctrine. A final question needs to be raised: Is it legally viable? This book takes the view that exhaustion is a special limitation to the right of distribution. Under EU law, limitations must be interpreted restrictively in order to guarantee that the high level of protection of rightholders’ interests prevails. Limitations are, however, similarly important in EU copyright law. The ECJ noted in *Deckmyn*, that “[t]he interpretation of the concept of parody must, in any event, enable the effectiveness of the exception thereby established to be safeguarded and its purpose to be observed.”⁵⁰³ If the doctrine of exhaustion is viewed as a special limitation, then it should also effectively function in EU copyright law.

⁴⁹⁹ Perzanowski and Schultz (2014) 1546–1550. ⁵⁰⁰ *Ibid.*, 1553–1554.

⁵⁰¹ *Ibid.*, 1555–1557.

⁵⁰² *Ibid.*, 1557. The same concept has been presented in Perzanowski and Schultz (2016) 179–185.

⁵⁰³ *Johan Deckmyn and Others v. Helena Vandersteen and Others*, Case C-201/13, ECLI:EU:C:2014:2132, para. 23.

The majority of the relevant court decisions refused to expand the doctrine to the resale of digital contents. Several rulings, especially *UsedSoft*, are either limited in scope or seem to run contrary to the existing copyright norms. As indicated earlier, the most significant obstacle to the introduction of a digital exhaustion doctrine is the Agreed Statement to Article 6 of the WCT. At first glance, it looks quite clear.

Regardless of this, I believe that the Agreed Statement does not fully foreclose a flexible reinterpretation of the doctrine of exhaustion. As Friedrich Ruffler noted, “what [the Agreed Statement] actually says is that the copies *can* be put into circulation as tangible objects, that is, that it must be possible to fix them in a tangible medium, and not that they *must* already be fixed as tangible objects.”⁵⁰⁴ Ruffler is theoretically correct, as all expressions are possible to be fixed somehow. Undoubtedly, the digital exhaustion doctrine concerns the electronic resale of contents that were initially disseminated in an intangible format. Therefore, this interpretation remains unconvincing.

A more flexible interpretation derives from the argument that WCT’s rules on the distribution right and on the limitations thereto are designed as minimum provisions.⁵⁰⁵ As such, a sensible level playing field exists for a more balanced, teleological interpretation of the rules.⁵⁰⁶ None of them speaks of their functioning in the online environment. Therefore, it is not irrational to categorize the sale of digital contents via the Internet as distribution that implicitly opens the doors for a digital exhaustion doctrine.⁵⁰⁷ I believe that such interpretation of the international norms would not contradict WCT Article 1(4) and BC Article 19. These articles allow for the granting of greater protection by the signatories of the international agreements. Indeed, such interpretation guarantees that a specific use is categorized under the most proper economic right. This is an important way for copyright law to adapt and fit into the present day. No doubt, all these legal hurdles can be easily navigated if the WCT is amended to embrace the resale of digital contents.⁵⁰⁸ This seems to be very unlikely in light of the extreme difficulty of reaching a consensus

⁵⁰⁴ Ruffler (2011) 380–381 (italics in original). See further Rigamonti (2009) 21.

⁵⁰⁵ Von Lewinski (2008) 452, para. 17.61. ⁵⁰⁶ Sganga (2018) 234–236.

⁵⁰⁷ Hilty (2016) 70.

⁵⁰⁸ Others recommended sidestepping the Berne Convention and the introduction of a TRIPS-based “supercode” to deal with the challenges of exhaustion. See Morris (2013) 139–140. Although I am pessimistic with the relevance of this idea, my understanding that the amendment of international norms is a prerequisite to settling the debates surrounding exhaustion and is visible from this proposal, too.

within the WIPO. If one of the two interpretations introduced above is viable, the introduction of a digital exhaustion doctrine would be possible on a national level. The amendment of Article 4(2) of the InfoSoc Directive seems to be necessary, though. Sven Schonhofen has convincingly claimed that

[r]ecitals of Directives describe the intentions of the legislature for the main provisions of the Directives. However, they do not have a binding character and use non-mandatory language. If a main provision of a Directive conflicts with a Recital, the Recital does not need to be taken into account. Therefore, the ECJ could hold that the doctrine of exhaustion in Article 4(2) of the InfoSoc Directive is applicable to digital works and Recitals 28 and 29 are repressed.⁵⁰⁹

⁵⁰⁹ Schonhofen (2015) 289. See further Hartmann (2012) 982.

Conclusion

Are there differences between the sale of an unopened Super Mario Bros. computer game and of the digital collage of 5,000 images? Viewed from the perspective of the doctrine of exhaustion, we can easily conclude that the two transfers have significant differences. The auction of the tangible data carrier of the Super Mario's 1986 edition (for \$660,000)¹ fits well into the doctrine. The auction of the NFT (non-fungible token) representing Beeple's "Everdays: the First 5000 Days" (for an equivalent of an astounding \$69.3 million)² seems to be hype with a snowball effect rather than a modern encapsulation of digital exhaustion. Some commentators,³ including the present author in collaboration with Alexandra Giannapoulou, João Pedro Quintais, and Balázs Bodó,⁴ have thoroughly introduced the incompatibility of the NFT mania with the existing copyright status quo, and so – in connection with the present book's topic – the sale of tokenized information, which is capable of representing information related to digital artworks, is practically excluded from the scope of the exhaustion of the right of distribution. At the same time, NFTs de facto offer a "code-based digital ecosystem that has practical consequences for the copyright-relevant fields of creativeness."⁵ The sale and resale of NFTs is possible; an exchange of information and title to "own" and "trade" information related to copyrightable subject matter is technologically guaranteed. In line with that, a quasi-exhaustion regime has also emerged. As such, the NFT mania can practically evidence the need for and modern technology's capability of offering digital market-places for artworks as well.

This book guided readers through the fascinating history of the doctrine of exhaustion and explained how these historical underpinnings have contributed to and been affected by the present-day environment. This tour encompassed several continents; more than a century of time; different domestic, regional, and international policies; and competing

¹ Fazio (2021). ² Reyburn (2021). ³ Guadamuz (2021); Lapatoura (2021).

⁴ Giannopoulou et al. (2021); Mezei et al. (2021). ⁵ Ibid.

cultural and economic interests, doctrine, and case law. However, the primary focus of this book was on the establishment and development of the doctrine of exhaustion within the copyright law of the US and the EU. This examination was carried out amidst several underlying thematic debates, such as the licensing versus sale debate, as well as the discussion of the functioning of the doctrine of exhaustion in the digital age. It is worth briefly revisiting these issues and summarizing our views once more.

With regard to the licensing versus sales debate, the legal systems inspected showed not only significant similarities but also simultaneously stark differences. It seems to be undecided when the selling of a protected subject matter is to be construed as a license and under what conditions and when the contract of use is to be considered as a sales agreement. Although this issue is to be considered a minor problem located only within the digital environment, its significance is not to be understated. Rightholders are afforded a far wider scope in applying licensing agreements when compared to the more limited use of exhaustion, since the latter is applicable only in cases of sales of copies of works. The spread of licensing agreements is not a desirable outcome for the future, because consumers' access to legally protected content would be severely limited. This would allow rightholders to maximize their income and provide resources for introducing further innovative solutions. Nevertheless, there are no guarantees that the rightholders would indeed spend their additional income on developing innovative solutions. Furthermore, if licensing practices outweigh sales contracts, then it would remove centuries of customs on property interests from the system of copyright law. It is questionable whether it would be worth it. One could argue that it seems to be a more balanced option if the rules of sales contracts – and therefore the right of distribution and exhaustion – are applied in a broad fashion during the analog and digital sales of work copies equally.⁶ Pierre-Emmanuel Moyse noted that

the twentieth-century terminology based upon a certain idea of what is tangible seems rather out of place with the current reality of electronic transactions. Music, movies, and books, consumers believe, are, to all appearances, distributed or sold online whether they are subsequently shipped, imported, or downloaded and whether they are enjoyed in an e-format rather than in solid medium. The fact that online distribution services generate a new copy upon the user's demand, thus a reproduction, should not distract us from the applicability of the distribution right.⁷

⁶ Mosley (2015) 257. ⁷ Moyse (2016) 488.

The concept of “digital sale” goes even further. Put simply, within the system of copyright law and property law, one of the most determinative issues is the extent to which property law can be applied to digital copies of works. In other words, the doctrine of exhaustion is one of the direct reasons why advocating for the acceptance of virtual property is becoming increasingly common.

The applicability of the doctrine of exhaustion within country borders is practically acknowledged all over the world. However, as soon as copies are sold across borders, the thinking related to the applicability of the principle significantly changes. The possibilities for national, regional, and international exhaustion are primarily determined by the economic policy of the particular country. In line with the logic of the single market, the EU is willing to apply the doctrine of exhaustion only within its own borders. The US, as the most important source country of the content industry, customarily followed an even more restrictive approach. The Supreme Court moved away from national exhaustion toward the other end of the spectrum, namely, international exhaustion, only as late as 2013 in *Kirtsaeng*.

In spite of the significant disagreements in the globalizing world, where international economic cooperation is a driving force, the competition and equal opportunities of countries, companies, authors, and end users of the world are essentially ensured by the doctrine of international exhaustion. Furthermore, since the adoption of the WTO, international exhaustion can be considered the only credible direction from the perspective of international economic cooperation.⁸ The most recently concluded free trade agreements also point to the fact that the future belongs to global and/or regional, rather than national, economies. Nevertheless, this might have limited or no relevance for the future scope of exhaustion. As the most recent free trade agreements of the EU show, the EU is unwilling to amend its regional exhaustion doctrine. As such, the trade of cultural goods into the common market shall remain subject to authorization.⁹

The application of exhaustion in a digital context seems to be a difficult task for all the parties involved. Although its advantages arise primarily on the consumers’ side, the emergence of digital secondhand marketplaces would also motivate the rightholders to think innovatively. It is mainly the content industry that is a staunch advocate of the disadvantages of the digital exhaustion doctrine. In this rather sensitive situation, the legislature should focus on developing a technology-neutral

⁸ Abbott (2000) 43–47; Bonadio (2011) 158–161.

⁹ Mezei (2020b) 51–64.

solution to ensure that the interests of all parties involved are respected in the widest possible scope. Rightholders are granted a high level of protection, on the one hand; a right for the freedom of enterprise is granted for intermediaries, on the other hand; and, finally, the end users might also effectively rely on their fundamental rights for privacy as well as access and depart from information and property rights. During this process, the legislature must consider preexisting fundamental rights, it must keep pace with the development of technologies, and, at the same time, the developers of innovative solutions cannot be punished.¹⁰

To solve the digital exhaustion conundrum, judges and legislators shall take into consideration more arguments benefiting the “class of consumers,”¹¹ people who are practically curtailed of some privileges that – on the other end of the spectrum – used to limit the exclusive rights of various rightholders. To be more precise at this stage, I argue for the followings. Let’s recall that I stated that the doctrine of exhaustion is based on three primary policy objectives: the superiority of property rights over copyrights, the reward theory, and the restraint of rightholders over market control. These objectives are further supplemented with various “secondary,” but certainly not less relevant, considerations. Suppose that we are devoted to keeping a balance between social classes. If so, in an online environment, where the superiority of property rights over copyrights might be at stake in the lack of a clear and general acceptance of “virtual ownership,” the two remaining primary policy considerations shall come into the foreground. The reward theory and restraint of rightholders over market control shall dominate the discourse. An even more balanced solution might be reached if we keep our eyes on the secondary goals of exhaustion, mainly those related to the role of the doctrine in preserving access to cultural goods through downstream commerce. This is the only way to balance the various interests at stake and guarantee the greatest benefit for social justice.

The issue of digital exhaustion is not merely confined to the scribbles of the academic sector. Several court decisions deal with it, and a number of them accept the application of the principle in a digital environment – although, admittedly, a greater number of judgments deny this idea. Legislative proposals were submitted to the German Bundestag¹² and the US Congress¹³ on this topic, although these proposals remained

¹⁰ Hartmann (2012) 983; Hofmann (2016) 489.

¹¹ On a consumer-oriented balancing mechanism, see opinions from as early as 2008: Rott (2008) 441–457; Schovsbo (2008) 393–408.

¹² Compare to Chapter 4, note 136 and the accompanying text.

¹³ Compare to Digital Era Copyright Enhancement Act, H.R. 3048, 105th Congress (1997), section 3 (www.congress.gov/bill/105th-congress/house-bill/3048/text); Consumer,

unsuccessful. Nevertheless, an ever-growing number of corporations offer services that allow for the resale of digital goods. This trend clearly illustrates the business potential for digital secondhand marketplaces.

In sum, digital exhaustion is *ante portas*, that is, at the doors. It is questionable as to whether the digital exhaustion doctrine is an enemy at all and whether it will be defeated as the Carthaginian commander, Hannibal, was, who reached but could not enter the gates of Rome more than 2,000 years ago.

It is interesting to draw a parallel between Hannibal's war against the Roman Empire and the "war" of the proponents of digital exhaustion against the copyright industry. One of the principal reasons Hannibal lost his campaign was the lack of required resources.¹⁴ Similarly, there is a significant chance that the debate on digital exhaustion will be silenced if proponents of this idea run out of the necessary means. Ironically, they might exhaust their resources to protect their business models. Fair enough, it must be pointed out here that UsedSoft, ReDigi, and Tom Kabinet finally went into bankruptcy. Similarly, if service-type business models remain users' only option to access cultural goods, and vice versa, the option to download copies on a permanent basis goes extinct, the whole (digital) exhaustion dilemma will become obsolete.

Bernd Justin Jütte correctly noted that

[e]xhaustion has been the indirect motor of copyright harmonization. It is currently unlikely that it will continue to play this role in the digital common market.¹⁵

Jütte's conclusion has merits. Indeed, the search for alternative methods to guarantee end-user privileges, e.g., based on the doctrine of implied license, is also viable.¹⁶ I still believe that exhaustion shall play an active role in the development of the future copyright laws of the EU and of the US.

Dennis Karjala's thoughts serve as a great point to finish with. He stressed that

[e]ither we believe in the first-sale doctrine in the digital age or we do not. If we no longer believe in it, we should discard it openly and not through verbal

Schools, and Libraries Digital Rights Management Awareness Act of 2003, S.1621, 108th Congress (2003), section 6 (www.congress.gov/bill/108th-congress/senate-bill/1621/text); BALANCE Act, H.R. 1066, 108th Cong. (2003), section 4 (www.congress.gov/bill/108th-congress/house-bill/1066/text?q=H.R.+1066+%28108%29). See further Newman (2010) 852.

¹⁴ Parker (2001) 16. ¹⁵ Jütte (2017) 207.

¹⁶ Mysoor (2018) 656–684; Jenkins (2021) 706–763.

gymnastics interpreting the definition of “copy” for the purposes of the statute’s reproduction right. Nor should our definition of “copy” force systems engineers into unduly intricate or artificial designs simply to protect the right of the owner of a copy of a music file to transfer that file, provided that no copies derived from the transferred file are retained.¹⁷

¹⁷ Karjala (2013) 255.

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Index

- §106 (3), 91
- §106(3), 85, 126
- §109(a), 78–79, 85, 89–91, 95, 98, 119, 126
- §109(b), 80
- §109(d), 116
- §117(a), 116
- §117(b), 116
- §601(a), 97
- §602(a), 85–87, 90–93, 95–96

- Aaron Perzanowski, x, 16, 121, 180, 195
- Aaron Wright, 192
- acquis communautaire*, 62, 71
- ADAGP, 68
- Adrian Otten, 24
- Advocate General, 54, 57, 61, 133–138
- affordability, 186, 188
- aggregators, 15
- Aging File System, 159
- aging file systems, 185
- Agreed Statement to Article, 112, 162, 172, 174, 197
- AKM*, 170–171
- Alexander Göbel, 155, 182
- Alexandra Giannapoulou, 199
- Amazon, 99, 128, 158–159, 168, 183, 191, 193
- Andreas Wiebe, 175
- Andrew Degner, 121
- Apple, 157–158, 181, 183, 191
- arbitrage, 31, 88, 90, 93, 95–96, 99
- Art & Allposters*, 60–61, 138, 204
- ARTA, 104–105
- Article 1(4), 197
- Article 10, 181
- Article 11^{bis}, 46
- Article 12, 40, 193
- Article 19, 197
- Article 3(1), 170
- Article 3(2), 170
- Article 3(3), 172
- Article 4(1), 58–59
- Article 4(2), 59, 64, 109, 111, 134, 161, 163, 197
- Article 5(1), 28–29, 155
- Article 6, 26, 28
- Article 6(1), 134
- Article 7(2)(b), 55
- Article 8, 26
- Article 8(2), 25, 28
- ASEAN, 22
- asymmetric regional exhaustion, 34
- audiobooks, 80, 107, 128–129, 131, 146, 160, 163
- Australia, 23
- availability, 15, 166, 186, 188

- Balázs Bodó, 192, 199
- Basset*, 48
- Beijing Treaty, 28
- Belgium, 14, 41, 45
- Belohnungstheorie*, 3, 181
- Bernd Justin Jütte, ix, 183, 203
- Berne Convention, 34, 67
- BestWater*, 170–172
- Betamax, 78, 82
- BGH, 39–40, 109, 112–115, 146, 171
- blockchain, 178, 185, 189, 191–192
- Blomquist v. Rolex*, 65
- Bobbs-Merrill*, 2–3, 72–73
- Brilliance Audio*, 80
- broadcasting organizations, 53

- Carlos Correa, 31
- Caterina Sganga, x
- CCH Canadian Ltd. v. Law Society of Upper Canada*, 21
- certiorari, 89, 93, 98, 120, 127
- China, 23
- Chris Jay Hoofnagle, 180, 195
- Christopher Stothers, 112, 145
- Cinéthèque*, 48
- circuit court, 73, 84, 89

- Clemens v. Estes*, 73
 Cloud Locker, 122–126, 158, 160
Coditel I, 40, 45, 48
Coditel II, 48
 Common European Sales Law, 148, 152
 common market, 36, 43–44, 48–50, 201, 203
 communication to the public, 9–10, 28, 133, 135–136, 138, 150, 170–171
 competition law, 13
 Computer Software Rental Amendment Act, 81
 conformity, 181
 Consten and Grundig, 112
 constructive realist approach, 107, 167
 consumability, 16, 189–190
 consumer expectations, 15
 copyright misuse, 93
Cosmair v. Dynamite Enterprises, 84–86
 CRR, 100–103
 cultural heritage, 15, 168, 188
 Customs Regulation, 65–66

 Daniel Gervais, 192
 Database Directive, 54–55, 57, 174
 David Nimmer, 153
 Deirdre Mulligan, 15
 Dennis Karjala, 159, 203
Der Heiligenhof, 39–40
Design Options v. Bellepointe, 77
 Designs Directive, 64
Deutsche Grammophon, 37, 42, 44, 48, 71, 112
 Digital Content Directive, 149, 174, 181
Dimensione v. Knoll, 59
Dior v. Evora, 64
 discrimination, 35, 43, 45–46, 48
 disguised restriction, 35, 43, 45–46
 distribution, 2, 9–11, 13–15, 17–22, 24–32, 38, 40–43, 45, 47–60, 62–65, 71, 74, 76, 79, 83, 85–88, 90–91, 95, 98–99, 105, 107, 109–113, 115, 124–128, 132–134, 136, 138, 142–144, 146, 149–150, 152–154, 161, 163, 169, 174–175, 181, 186, 196–197, 199–200
 DMCA, 143, 157
DMCA Section 104 Report, 157
 DRM, 131, 140, 176
droit de destination, 14, 41, 53
droit de suite, 5, 34, 62, 66–67, 70, 100, 103, 105

 e-books, 9, 107, 128, 131–134, 136–138, 140, 160, 163, 165, 168–169, 173–174, 183, 188

 ECJ, 6, 12–13, 18–19, 30, 36–37, 39–40, 42–62, 64–66, 68–71, 109–113, 115, 133–134, 136–140, 145–146, 148–150, 152, 155, 161, 163–165, 168, 170–172, 174, 177, 188, 196, 198
 Ed Sheeran, 1, 11
 EEA, 11, 62–63, 109
 EEC, 3, 23, 34–37, 41–42, 50–51, 57, 63, 162
 EFTA, 40, 62
 EFTA Treaty, 63
 electronic file transfer, 124–125
 e-lending, 168, 187–188
 Elisabeth McKenzie, 140
EMI v. Patricia, 47
 Erik Verbraeken, 169
Erschöpfungslehre, 2
ESA v. SOCAN, 164
 EULA, 108–109, 113, 117–118, 120, 140, 147, 181
 Eurodefense, 44
European Commission v. French Republic, 138, 174
 European Union, 6, 9, 12, 30, 33, 60, 62, 66, 134, 150, 161, 200
 EVAA, 103, 105
 excludability, 16, 189
 exportation, 29–30, 83, 94, 97

 fair dealing, 8, 21
 fair use, 8, 17, 82, 124, 127, 142, 154, 190, 196
 Family Home Movie Act, 141–143
 Fifth Circuit, 78, 98
 forward-and-delete technology, 140, 157–159, 178, 183, 189–191, 194
 Fourth Circuit, 88
 Frederick Abbott, 24, 33, 152, 167
 free movement of goods, 3, 14, 35–36, 43, 48, 54, 56, 64, 106, 175, 186
 FRG, 39–40, 42, 44, 46–47
 Friedrich Ruffler, 167, 197
 Friedrich-Karl Beier, 9

 GEMA, 44
Geophysical Service, 78, 98
 George Orwell, 182
 German Civil Code, 112, 146
 gift, 1, 11
 Global Music Report, 179
 Green Paper, 50–51, 56, 154, 160
Green-IT, 114–115

Harrison v. Maynard, Merrill & Co., 73, 76
 Hein Kötz, 3

Henry Bill Publishing v. Smythe, 72

Herman Cohen Jehoram, 31, 49

High Court, 171

IBM, 159

IFPI, 179

importation, 4, 11, 21–24, 28–30, 34, 40, 44, 59, 63, 65, 78, 83, 85–87, 89, 91, 93–98

India, 22

InfoSoc Directive, 37, 41, 53, 56–58, 60, 110, 115, 133, 135–136, 149–151, 161–162, 165–166, 170, 172–175, 197

intangible copies, 110, 134, 161–162, 167, 174, 180, 194

international exhaustion, 4, 11, 23–26, 32, 34, 41, 56, 63–64, 79, 98, 145, 166, 201

Internet Policy Task Force, 178

Internet Treaties, 22, 25–27

IP clause, 8, 71–72, 102

Italy, xi, 41, 59

iTunes, 106, 122, 125–127, 147, 151, 157–158, 160, 191, 193

Jan Corbet, 44

Jane Ginsburg, 4

Japan, 22, 24, 79, 84, 88

Jason Schultz, 15–16, 121, 195

Jens Schovsbo, 37, 66

João Pedro Quintais, x, 192, 199

John Hampton v. Paramount Pictures Corporation, 75

John Wiley & Sons v. Kirtsaeng, 94, 96, 98–99

Joke Bodewits, 131

Joseph Kohler, 2, 37

Joseph Liu, 190

Kaitlyn Amundsen, 32

Karin Sein, 181

Königs Kursbuch, 2, 38

Konrad Zweigert, 3

Kyocera, 18

Lanham Act, 91

Laserdisken, 60

lawful acquirer, 11–12, 109, 111, 113, 130, 154–155, 195

Le Corbusier, 58–59

leasing, 10

Leesportefeuille, 41

lending, 51, 134, 168, 188

license key, 108, 111, 114, 156

license versus sale, 3, 75, 107, 119–120, 144, 147, 196

Liliia Oprysk, x

limitations and exceptions, 7–8, 11, 17–19, 29, 106, 133

lock-in, 15

LUG, 38–40

Luxembourg, ix, 168

MAI Systems v. Peak Computer, 117

making available to the public, 30, 55, 107, 110, 115, 130, 135–136, 138, 140, 143–144, 150, 152–153, 170–171, 204

Maria Pallante, 153

Mario Monti, 52

market integration, 63

Marrakesh Treaty, 30

Martin Zeilinger, 192

Marybeth Peters, 153

MediaShop study, 180

Membran, 39, 44, 48–49

Michel Walter, 62

Mihály Ficsor Senior, 27

Mirage Editions v. Albuquerque, 77

misuse, 91, 93, 144, 189

MoneGraph, 192

most-favored-nation treatment, 24

Napster, 93

national exhaustion, 22, 25, 98, 145, 201

national treatment, 24

Netflix, 83, 168

Netherlands, 5, 22, 41, 63–64, 131, 146

Neutrogena v. US, 84, 86

new copy theory, 107, 133, 154, 156, 160

new public, 135–136, 138, 170–171

New Zealand, 5, 23, 86

Nintendo of America v. Elcon Industries, 84

Ninth Circuit, 75, 77, 88, 90, 92–93, 101, 117–119, 121, 142, 148

Omega v. Costco, 84, 94

on-demand, 27–28, 136, 150–151, 153

OpenBazaar, 191

ORF, 171

Origin, 168

out-of-commerce, 187

Pandora, 168–169

parallel importation, 5, 31–32, 62, 64–66, 83–84, 88, 90, 95, 99

patent, 31, 38, 158–159, 181, 183, 191

patent misuse, 93

Pearson trio, 84

Pennsylvania Circuit Court, 72

- performer, 25, 52
 Persistent ID number, 191
 Philipp Homar, x, 140
 phonogram producers, 52, 54
 phonorecord, 9, 13, 77, 80, 86, 124–126, 147, 156, 176
 Pierre-Emmanuel Moyse, x, 200
 pirated goods, 65–66
Platt & Munck v. Republic Graphics, 76
 Pokémon Go, 184
Polydor v. Harlequin, 62
Poortvliet, 41, 60
 preamble, 26, 57, 64
 preliminary injunctions, 123, 131, 142
 price discrimination, 32–33, 83, 99
 pricing strategy, 185
 Primavera De Filippi, 192
 public performance, 10, 40, 75, 78, 88, 142–143, 150, 153

Quality King v. L'anza, 84, 89, 92, 94–96

Ranks & Vasišević, 115
 readers' club, 39
 recital, 52–53, 55, 57, 64, 133, 136, 162, 174–175, 198
 record rental, 79
Record Rental Amendment Act, 79
Red Baron-Franklin v. Taito, 84, 88
 Redbox, 82, 144–145
 regional exhaustion, 11, 23, 30, 34, 39, 41, 44, 48, 52, 62–63, 145, 166, 201
 Reichsgericht, 38
 rental, 10, 17, 24, 26, 40–41, 46–47, 50–53, 78–83, 141, 143, 188
 rental and lending, 17, 52–54, 56–57
 Rent-A-Record, 79
 reproduction, 14, 18, 42, 45, 47, 49, 60–61, 65, 116–117, 123–124, 126–127, 133, 142–144, 150, 153–157, 160, 164, 184, 192, 200, 204
 Resale Right Directive, 68–69
 restraints on the alienation of chattels, 2
 reward theory, 3, 13, 17, 31, 146, 181, 186, 202
 rivalrousness, 16, 189
 Robert Rauschenberg, 100
 Robert Scull, 100
 royalty, 34, 48, 62, 66–69, 100–101, 103–104, 147, 195

 SACEM, 45
 sale of rights, 146
 Salvador Dali, 68
 Sam Ricketson, 4

 Second Circuit, 94, 98, 126–127, 156
 secondary market, 13, 15, 156, 179, 182, 194
 separability, 102
 Shubha Ghosh, x, 4
 Silke von Lewinski, 62
 single market, 43–44, 62–63, 112, 179, 201
 single up-front payment, 119
 Sixth Circuit, 80
Softman v. Adobe, 120, 149
 software, 9, 33, 50–52, 78, 81, 107–111, 113–114, 116–120, 128, 134, 136–137, 141, 146, 155, 160–161, 164, 166, 168, 173, 176, 184, 194
 software as a service, 169
 Software Directive, 51–52, 109–110, 115, 136, 151, 155, 161–162, 164–165
 Spinning Man, 1
 Spotify, 168
status quo, 30, 49, 130, 133, 139, 167, 176, 199
 Statute of Anne, 7
 Steam, 168
Stemra v. Free Record Shop, 41
Stichting Leenrecht, 61, 188
Stowe v. Thomas, 72
 streaming, 1, 83, 129, 135, 141–143, 168–169, 179, 187
sui generis protection, 55, 161
 Supreme Court of Canada, 14, 151, 164
 Sven Schonhofen, 112, 168, 197
Svensson v. Retriever Sverige, 135, 170–172
 Switzerland, 22, 92

T.B. Harms Company v. Jem Records, 86
 tangible copy, 5, 62, 128, 176, 194
 taxonomy, 16, 18
 TEEC, 35–36, 42–43, 45–46, 48–49, 63, 71
 term of protection, 47, 49
 TFEU, 71
Théberge v. Galerie d'Art du Petit Champlain, 14
 theory of functional equivalence, 107, 132, 136–137, 144, 163
 Third Circuit, 78, 85, 88, 90, 92
 Thomas Dreier, 177
 three-step test, 16–17, 26, 29, 179
 Tom Kabinet, 6, 131–132, 134, 136–139, 145, 151, 163, 165, 168, 177, 181, 188, 203
 trademark, 18, 64–65, 91, 94, 159
 traditional positivist approach, 107
 transfer of ownership, 2, 9–10, 12–13, 25, 56, 58–59, 62, 75, 112, 128, 134, 136, 146, 150, 186

- Treaty of Rome, 3
Triad Systems, 117
 trial version, 115
 TRIPS Agreement, 22–25, 30, 37, 56, 63, 65
 umbrella solution, 107, 133, 144, 150
 Uniform Commercial Code, 147,
 United Kingdom, 23, 173
United States v. Wise, 75
 UrhG, 39–40, 43
 US, 2–3, 6, 8, 13, 15–16, 24, 27, 32, 62, 71, 73, 76, 79, 82–89, 91, 94–96, 104–105, 107, 116, 152, 156, 163, 176, 178, 185, 196, 200, 202
 US Congress, 3, 24, 196, 202
 US Constitution, 8, 71–72, 101
 US Supreme Court, 2–3, 5, 127, 160
 USCA, 9, 13, 71–72, 77, 79, 81, 83, 86–87, 89, 91–93, 95–97, 101–104, 106, 116, 125, 140, 143, 150, 152, 164, 188, 195
 USCO, 92, 103–104, 153, 176
UsedSoft III, 113–114
 user right, 19–21, 107–108, 116
 VARA, 103
 VAT Directive, 174
 vending, 74
Vernor v. Autodesk, 118
VidAngel, 141–143
 video rental, 24, 40, 46–47, 82–83
 Vincent Chiappetta, 23
 volume license, 108, 113–114, 117, 145
Wall Data v. Los Angeles County Sheriff's Department, 117
Warner Brothers v. Christiansen, 40, 46, 49
 Warwick Rothnie, 63
 WCT, 22, 25–26, 28, 37, 55, 57–58, 63, 106, 112, 125, 133, 136, 150–152, 161–162, 172, 174–176, 179, 193, 197
 webcasting, 28
 White Paper, 49, 154, 156–157, 160, 178
 William Patry, 80
 Wolfgang Kerber, 15
 WPPT, 16, 22, 25–26, 28, 37, 56–58, 150–152, 172, 175
 WTO, 24, 201
 Yves Gaubiac, 173
 Zubin Gautam, 99

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